

Gravita India (GRAVITA)

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Call: May 2023

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05th May, 2023
GIL/202 3-24/020

Dear Sir,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2023 conducted on 03rd May, 2023 for your information and records.
The above information is also available on the website of Company:
<https://www.gravitaindia.com/investor-recordings/> .

This is for your kind information and records.
Thanking you.

Yours Faithfully
For Gravita India Limited

Nitin Gupta
(Company Secretary)
FCS: 9984

To,
The Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex, Bandra(E)
Mumbai -400 051
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Company Code: GRAVITA To
The BSE Ltd.
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“Gravita India Limited Q4 FY '23 Earnings Conference Call”

May 03 , 2023

MANAGEMENT : MR. YOGESH MALHOTRA – CHIEF EXECUTIVE OFFICER & WHOLE TIME DIRECTOR , GRAVITA INDIA LIMITED .
MR. SUNIL KANSAL – CHIEF FINANCIAL OFFICER , GRAVITA INDIA LIMITED .
MR. VIJAY PAREEK – EXECUTIVE DIRECTOR , GRAVITA INDIA LIMITED .
MODERATOR : MR. SABRI HAZARIKA – EMKAY GLOBAL FINANCIAL SERVICE .

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Moderator : Ladies and gentlemen, good day, and welcome to Gravita India Limited Q4 and FY'23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sabri Hazarika from Emkay Global Financial Service.

Thank you , and over to you , sir.

Sabri Hazarika : Good afternoon, ladies and gentlemen, and on behalf of Emkay Global Financial Services, I welcome you all to the Q4 FY'23 Post Earnings Conference Call of Gravita India Limited. We are pleased to have the Senior Management of Gravita India, led by Mr. Yogesh Malhotra – CEO and Whole -Time Director; Mr. Sunil Kansal – Chief Financial Officer; and Mr. Vijay Pareek – Executive Director.

So, today 's session will be a brief on the company results and corporate developments by the management. And then we will follow it up with the question -and-answer round. So, now I request Mr. Yogesh Malhotra for the opening comments. Over to you, sir.

Yogesh Malhotra: Good afternoon, ladies and gentlemen, and welcome to our Q4 and FY'23 Earnings Call. I believe you have had an opportunity to review the earnings presentation and financial results that were uploaded on the stock exchanges.

Before opening the floor for questions, I will provide a brief overview of the major highlights of FY'23. I am delighted to share that Gravita India has delivered stellar results for Q4 and FY'23.

Strategic Highlights and Project Updates

It gives me great pleasure to announce that Gravita has step -down subsidiary, Gravita Netherlands has been granted a €34 million ESG loan by European Development Financial Institutions. This facility was approved after detailed due diligence on environmental, social and governance aspects. This would enable Gravita's offshore businesses to gain financial independence in terms of their CAPEX and working capital needs. The facility is guaranteed by the parent Gravita India Limited. This loan is a testament to the company's continued efforts to build a more sustainable future and commitment to its motto of “We Recycle to Save Environment”.

I am also pleased to announce that the Board has approved a final dividend of Rs. 4.35 per share, making Gravita a consistent dividend payer with a 12 years long track record of sustainable dividend payouts.

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Gravita has signed an MoU to develop a battery recycling plant via JV in Oman with a annual capacity of 6000 metric ton per annum in Phase I. With the establishment of this plant, Gravita would expand its entry into the Middle East.

The Company has also expanded the lead recycling capacity at the Mundra facility to 60,000 metric ton per annum. In addition, value-added production of red lead with the capacity of 4800 metric ton per annum and plastic recycling capacity of 7500 metric ton per annum has also begun at Mundra.

The Company also began recycling aluminum in Togo and Senegal and plastic in Ghana, this year.

Additionally, the Company will start stored 1300 -kilowatt capacity of solar energy generation, which is anticipated to produce 2-million -kilowatt hour of energy annually. This (Inaudible) 30.43 goal to minimize its carbon footprint by lowering carbon emissions by 1550 tons annually.

Operational Performance

In Financial Year '23 Gravita has shown a growth in capacity to 251,000 metric ton per annum.

We anticipate expanding each year in realizing our goal of reaching 425,000 metric ton per annum

us capacity by the Financial Year '26 for our existing verticals.

The Company has witnessed a volume growth of about 11% in Q4 Financial Year '23 on a year-on-year basis. Lead volume increase by 13% and aluminum volume grew by 31% on a YoY basis.

Gravita has incurred a CAPEX of Rs. 108 crore up 50% from Financial Year '22. This Company is committed to expanding its capacity and hence is expecting to incur a CAPEX of more than Rs. 600 crore by Financial Year '26 for its existing as well as new verticals.

The PAT collection for Indian plants -- 46% in Q4 Financial Year '23 compared to 40% in the last quarter. We believe that redefining Battery Waste Management Rules extended producer's responsibility and sector implementation of GST have boosted and will continue to enhance PAT availability for the formal recycling industry. As a result of this the battery scrap collection in India grew by 23% to 13,100 metric ton in Q4 from 10,700 tons in Q4, 2022.

Financial Results

Consolidated revenue for the quarter is Rs. 749 crore, up by 12% on a year-on-year basis. This rise in revenue can be attributed to an 11% increase in sales volume. Revenue from value-added products stays at 45%. On a year-on-year basis, adjusted EBITDA increased by 17% to Rs. 85 crore, EBITDA margins improved to 11% as the company continued to maintain strong margins.

Gravita reported a strong consolidated PAT of Rs. 65 crore with a 40% growth year-on-year.

PAT margins also improved to about 8.5% compared to 6.2% in the last quarter.

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Going forward with the Financial Year '23 Financial Results consolidated revenue increase by 26% from Rs. 2,216 crore to Rs. 2,801 crore. The five year CAGR growth stood at 22% and the company is committed to achieve 35% sales volume, CAGR by Financial Year '27.

Adjusted EBITDA including other income for Financial Year '23 stood at Rs. 286 crore which is up 33% on a year-on-year basis. Consolidated PAT increased by over 44% to Rs. 201 crore. PAT margin for the year improved to 7.18% compared to 6.29% in the last financial year. The five-year PAT CAGR stood at 35%, which is in line with the company's vision. Additionally, I would like to inform you that the company has reduced its debt by Rs. 40 crore plus in Financial Year '23, and is committed to reducing it even further, going forward.

The company's ROC stands strong at 29% compared to 12% in Financial Year '19. The company has managed to improve its net working capital cycle from 95 days in March '22, to 83 days in March '23. The company aims to reach the target of 65 days by Financial Year '26.

Over to you, Sabri, I am through with my opening remarks.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Keshav from RakSan Investors. Please go ahead.

Keshav : Our planned capacity expansion for the next two years are pretty substantial. So, do you think

we should grow at a much higher clip through FY'23 to FY'24 and FY'25, two years?

Management: So, there are two portions of this growth in the next two years. Basically, one is expansion of the capacities at our existing plants in our existing verticals, which is expected at 25% year-on-year basis volume growth of 25%. Then the second growth is coming from the new verticals, we have plant like rubber, we have already started one plant at Ghana, but we are replicating that rubber recycling at other locations also, shortly in next two quarters we will be replicating it to other locations. And then we are also adding new verticals of steel recycling, paper recycling and lithium ion recycling, in next two to three years. So, this will help us to grow faster than the growth earlier we did of 22% in last five years.

Keshav : And the Rs. 600 crore planned CAPEX, how much of it

would be India centric and how much

would be ex-India roughly?

Management: Yes, so basically again Rs. 600 crore includes the new vertical CAPEX of approximately Rs. 250 crore. So, the remaining CAPEX of around Rs. 350 crore, the CAPEX will be in the similar ratio like 40% should be overseas and 60% in India. But for the new verticals, approximately 80% to 90% CAPEX is outside India.

Keshav : So, post the CSG loan facility where do you see our consolidated cost of debt going forward?

Management: The existing cost of debt is approximately 8.5% and with this new facility, we are going down to approximately 6.5%, saving of approximately 2%.

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Keshav : That's on a consolidated basis, right?

Management: Yes, consolidated basis, yes.

Moderator : Thank you. The next question is from the line of Vikash Vijayvargiya from AcornTree. Please go ahead.

Vikash Vijayvargiya : One thing is there in the last Q4 presentation in FY'22 whatever the Vision Statement is there, it is the same there and you mentioned this is a Vision Statement of 2026. But again, in this Q4 you mentioned the same line the Vision 2027. Any specific reason is that repeated and the year has changed.

Management: Yes, sure. So, basically what we are doing is that we are giving a visibility of next four years.

So, when we were 2022, then we gave a four-year visibility of the numbers in next four year.

So, the visibility of the next four year is similar to visibility of last four years. So, the numbers are same but then it is one year extended for the similar numbers, like 25% growth will be continued till 2027, instead of 2026 earlier and it's a rolling basis, visibility of next four years.

Vikash Vijayvargiya : So, then the visibility in the next four years is the same thing is there.

Management: Yes.

Vikash Vijayvargiya : Apart from that, because right now our value-added product is at 35% is there, and our target is at 50% is there whether it is the same, will be achieved in the FY'26, FY'27.

Management: Yes, the same will be achieved in '25.

Management : Current number is 43%, we target it to 50%.

Vikash Vijayvargiya : Yes, this is 43% and 50% we will achieve in FY'26 or FY'27.

Management: Yes, because in the two to three years we are expanding value-added production in our overseas facilities also. And also, we are starting like we have started red lead production in our Mundra facility. So, currently value-added production of red lead and lead sheet was only to the extent of Jaipur plant, but now we are replicating this model to other locations also.

Vikash Vijayvargiya : In which other location apart from Jaipur?

Management: Like Mundra we have just started, so that is added. So, Ghana we are starting and also we are starting like allies we are starting in other locations like Senegal and Mozambique.

Moderator : Thank you. The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

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Dhaval Shah : Just two broad questions, so first is, taking the lead of about the current profitability and the total capacity which you are guiding by FY'26, is it safe to assume that -- utilization we will do around Rs. 900 crore of EBITDA, at the company level?

Management: Yes, EBITDA is growing by 35% every year, so other than the volume growth visibility, we have also given the visibility of the bottom-line like EBITDA terms and the PAT terms. So, it will be 35% growth on profitability, EBITDA side. But we are more focusing on the return on

capital, because there are certain businesses where the working capital cycle is lower, but at the same time, the margin is also lower. So, rather than only focusing on the EBITDA per ton or EBITDA percentage we focus on return on capital.

So, idea is to keep the return on capital minimum or so around 25% plus, and so that is a more focused area for the company with the volume growth.

Dhaval Shah : So, for 4th Quarter our EBITDA per ton has been around Rs. 20,500. And by FY'26 we are going to do 434,000 tons, 434,300 tons. So, between today and FY'26 full utilization, will our product mix be significantly different, which will lead to a change in this Rs. 20,500 EBITDA per ton?

Management: So, Rs. 20,500 per tons is only for the lead. So, there are different per ton EBITDA for different products. So, Rs. 20,000 is for lead and Rs. 17,000 for aluminum and plastic is approximately Rs. 10,000 per ton. So, the product mix in the next two to three years will be changing because we will be more doing the other products will be like aluminum and plastic will be growing faster. And there will be some more verticals coming in. So, we see always the EBITDA per ton of the different products individually. So, we don't see on an average basis. But yes, going forward, with the more volumes coming in there will be economy of scale benefit also be there and EBITDA percentage terms we will be better compared to what it is today.

Dhaval Shah : Do we receive any sort of subsidy or any sort of grant from the government?

Management : We don't get grant on a regular basis but yes, there was only one grant we got is for establishment of Chittoor plant in Andhra Pradesh. So, that was there but other than that there is no specific grant for any product or business.

Management: It's not a grant for manufacturing or for processing basically it's a grant to setup a industry in that state. So, it's only a one-time subsidy that the government has given in establishing our manufacturing unit in that state. Apart from that there is no grant on recycling or anything like that.

Dhaval Shah : And we are planning around Rs. 650 crore to Rs. 700 crore CAPEX till FY'26, so how is this going to be financed?

Management: Yes, so majorly, this will be financed from the internal accruals. But considering the upcoming requirement of working capital also so we will be taking consciously some debt also, approximately Rs. 200 crore to Rs. 300 crore of additional debt in the next two to three years. But on the debt side we are very comfortable and we are very consciously taking the debt in

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terms of like debt EBITDA should be below 0.75 debt equity should be below 1.5. So, considering all these numbers we are very comfortable, debt EBITDA, we are 1.2 and debt equity we are 0.6. So, we are consciously taking debt, but yes it will be more funded from the internal accruals, majorly funded from the internal accruals.

Dhaval Shah : Okay, maximum it will take is around Rs. 300 crore s debt. So, by the time the CAPEX cycle is over, our balance sheet in FY'27 might have a total debt of around Rs. 700 crore. We are at Rs. 350 crore today, so around Rs. 650 crore.

Management: So, that is one way of looking at it, then the second alternative for us is to dilute at the right time by raising some equity from that capital market also. That is another option to --

Dhaval Shah : And could you give some examples of similar business model at the global scale where the companies have grown big in size to which you look forward to in terms of the business model and scale what they have achieved?

Management: So, basically, I think the model that we are in, where we are doing across geographies and also into different verticals there is no other company in our knowledge that is doing something similar. But if you talk about, I mean there are, in different fields in aluminum there are different companies who are recycling, similarly in lead also there are companies that are doing battery recycling. But mostly are only in one particular field and doing

only one product categories, you

will not find company that are into many other vertical, I mean which are doing recycling in different verticals.

Moderator : Thank you. The next question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta : Couple of questions from my side, to start with on the debt side itself, if you can just, I mean you highlighted that you might come to the market for raising either equity or debt as well. So, if I have to put in this way, what's the maximum leverage that you will be comfortable with, that would be helpful?

Management: Yes, so current leverage, if you see that current leverage is approximately one, but we can go up to maximum of 1.2.

Nikhil Rungta : So, beyond 1.2 will go for equity raising only, right --?

Management: Correct.

Nikhil Rungta : Second is on CAPEX of this Rs. 650 crore over next three years. So, when is it that we will start seeing the result of this CAPEX in our numbers?

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Management: Yes whatever CAPEX we do in the year one so 8x to 9x of revenue generation happens in the next year. So, it is rolling CAPEX, so every year whatever like this year we did CAPEX of around Rs. 108 crore, so next year we can see the 8x revenue generation from that number.

Nikhil Rungta : And even from the new verticals which we are planning Rs. 4,500 and Rs. 105 crore. So, very next year we will get that or it would be after two to three years once the entire --?

Management: Yes, new verticals may take slightly more time to be stable on the results coming in. So, like we expect instead of one year it maybe one and a half year to two years in case of paper recycling and steel recycling the new verticals.

Nikhil Rungta : But there also we will get asset turn of eight to nine times, right.

Management: Yes, asset turn will be the same.

Nikhil Rungta : Last question from my side, we are also into aluminum recycling, I mean there are concerns that because of EV -- lead recycling might come under pressure, but aluminum recycling would be a big opportunity going forward. So, your plans, I mean if you can slightly elaborate on the aluminum recycling?

Management: Yes, so basically to answer your question, first of all, we have already, I mentioned this many times at with the EV, lead recycling would not, I mean it is not a threat to lead recycling because even in the EV you would require a lead-acid battery because it's basically to do the starting lighting and ignitions and auxiliary function. So, with the EV also, the lead-acid battery would not go away, but of course it will give you an opportunity to recycle lithium ion batteries also which is replacing the IC engines so that is the first part.

The second part of course is the aluminum recycling, of course when with now most of the car bodies etc., are using more and more material which is lighter earlier they were using steel etc., now aluminum frames are very common. Apart from engine, other, I mean total capacity or the total requirement for aluminum is increasing every day. So, we believe that there is bigger opportunity for aluminum, even at current levels aluminum is around --

Management : Once this IC engine is replaced, so but lot of battery casings and other extrusions will come in the picture. So, there is a adjusting aluminum consumption in a car will be going at least 1.2x, 1.3x.

Nikhil Rungta : And the current aluminum recycling which we are into that's primarily the car bodies itself or other aluminums?

Management : Currently, we are into cast aluminum recycling. So, those are mainly engine, piston, any castings which uses for the cast purpose. And alloy wheel also is cast part, so these are the two parts. The body is mainly of steel, that is mainly sheets and extrusions, but in time to come, we can recycle them

at as well.

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Nikhil Rungta : And currently the scrap for aluminum would be coming from outside only, it would be import?

Management : Currently, it is mostly imported, we talk about Indian recycling, but in overseas we are recycling locally scrap generated, because India doesn't have any specific policies, the cars which were using, which are now redundant maybe 25 years old car they are not having much of aluminum.

But with this policy of old vehicle policy, initially scrapping policy that trucks and buses will come commercial vehicle. They are mainly of iron, steel, cast iron. But once the new age car come for recycling, but that will take time in India. So, then there will be more of aluminum availability there.

Nikhil Rungta : Last question from my side, We have got this ESG funding which you have just announced today morning so this €34 million ESG loan, if you can give some, I mean not the exact numbers but how is it compared to the existing borrowing for us? Will it benefit us significantly and cut down our cost of funding or how is it?

Management: Yes, so there are two aspects to this, one is that it will be improving the liquidity for our overseas business and India business so that is one. And second is the cost saving for our business, because the current borrowing cost is approximately 8.5%, which will come down to 6.5% after this new

borro wings. So, and, another part is that because they have done the detailed due diligence on the environmental and social and governance aspects for the overseas business, especially Ghana and Senegal, which is the bigger subsidiaries for us. So, it is also, basically certification for us too that we are following all the environmental standards at the IFC standards globally at all our overseas plant. So, this way it is going to help us in different terms.

Moderator : Thank you. The next question is from the line of John Shepherd from Batteries International. Please go ahead.

John Shepherd : About the loan that's been announced today --. I appreciate you said it will help reduce over all borrowing cost and so on, but will it also be use d to support the project in Oman with the Gravita Netherland which you are associated with the recycling project there?

Management: The new funding is only for the African business at this moment. And Oman will be majorly funded from the internal accruals, for the group.

John Shepherd : I see, so that means then, will you be expanding lead recycling in Africa as a result of this loan?

Management: Not only lead recycling, aluminum, plastic recycling also and probably we will set up a steel recycling plant also in Africa, so it's not only for lead recycling. And as far as Oman is concerned, I think in Oman we have option for cheaper fund availability also.

John Shepherd : Last and final question if I may cheekily who are your partners in Oman?

Management: So, they are local Omanis partners that we are working with, who are already in the trade of scrap there.

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Moderator : Thank you. The next question is from the line of Vaibhav from Enam Holdings. Please go ahead.

Vaibhav : I think two questions, one if you could please give us some more color on this new CAPEX and the new verticals on the Rs. 200 crore that you all are spending just, I know you guys obviously are very clear on capital allocation and obviously you must be seeing some strong opportunity there. So, if you could just give us some color on what this is and how you are all thinking of, what you are seeing?

Management: So, in the existing verticals which is lead, aluminum, plastic and rubber, we would be spending around Rs. 70 crore to Rs. 80 crore in the next four years which will be approximately Rs. 300

crore in the existing verticals. And another Rs. 250 crore to Rs. 300 crore of CAPEX would be done for new verticals which is as we mentioned, we are planning to have a steel recycling project in Africa, we are also planning to put up a paper recycling facility in Central America and apart from that pilot project for lithium recycling in India. So, these are the three major project which we are considering right now. But apart from that, we have enough surplus money available to look for some mergers and acquisitions opportunities if it may come across or maybe a smaller project for any other vertical also.

Vaibhav : And my second question on plastics that, what is sort of happening over there in terms of the CAPEX, the growth, the opportunity and especially the regulations that we were expecting to kind of help formalize the sector?

Management : See plastic EPR we are not involved much because we are into the plastic recycling which is mostly of our own recycling of batteries. But when it comes to other areas the similar grade of polypropylene, we can certainly see that we can fulfill the EPR targets from the paint industry.

Management: So, this EPR policy is still not -- plastic has come but the registration is currently going on for the recycling industry. So, once that finishes off then probably that push that is required for the EPR to start happening in India would happen so that is where we are focusing on. And then also the Scrappage Policy probably will be a source for raw plastic that is going to be available for us, going forward. So, these are the two areas which will give you the push going forward in plastic recycling in India.

So, it is still to take off, the lead recycling has taken off, but we are expecting because right now because if you talk about lead recycling, it is directly affecting the companies that buy lead, whereas in plastic recycling what is happening is that most of the companies that are affected are companies that use plastic as a packaging material. So, for them to understand it completely is taking a little longer. But once that starts happening probably we will see a lot of opportunity in plastic recycling also.

Moderator : Thank you. The next question is from the line of Abhijit Sinha from Pi Square Investments. Please go ahead.

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Abhijit Sinha : Could you just take us through how you plan to add these different verticals that we have in mind in the next three to four years in our Vision for '27. And what will be the different yields between these segments?

Management: So, I mean generally the major sectors for us to put up any new recycling vertical is to see whether there is enough availability of raw material at the right price for us. So, because we are present in many locations, we have our own procurement yards in many locations across the globe we can see some opportunities. We are currently seeing some opportunities in steel recycling in Africa and paper recycling in Central America.

So, what we do initially is we just try to first of all understand the whole market scenario of any particular vertical of wherever we want to go into. And in the second phase, we just try to trade some material to see whether what is the depth of the total available material in that geography and what price we would be able to sell and all those things. So, in steel and in paper recycling, we are in the second phase where we are now understanding the whole business mechanism of recycling in those regions, specific regions basically. Probably it will take us six more months to understand it completely. And once we are through with our feasibility then we will setup a plant in both these locations for steel and paper, if that is what you are asking. And in terms of, I mean we have our targets of EBITDA margins and ROC to see whether

it matches with our

philosophy of going forward with 25% ROC or not?

Abhijit Sinha : So, what I actually meant was that let's say we are talking about lithium recycling, e-waste recycling, all these kind of segments that we are even thinking about adding into our portfolio, right. So, in what stages are we actually looking maybe in '25, we might start with e-waste or lithium --?

Management: So, lithium ion is a little different, because we believe that the raw material for lithium ion will not be available for recycling in India for the next six to seven years, but at the same time, even in lithium ion, right now there is no proven technology also. So, we are putting up a pilot project to understand how lithium recycling would work. So, it's just a pilot project, it's not a full-scale project which will give you a --, it's more of a strategic business unit that we will be putting in where probably profitability will not be that important, but what we want to understand is, to setup a technology that will suit lithium-ion recycling in India. So, it's in a very nascent stage currently, it's not something that we have done complete homework on in terms of profitability and all. But for the other two steel and paper, it's basically a simple project because the technology is proven, I mean it's not rocket science, and it's very similar to what we are doing in lead or aluminum or plastic recycling.

Abhijit Sinha : Is it difficult to do the steel and paper over here in India as well?

Management: So, I mentioned that it basically depends on the raw material prices available and the opportunities available from which you can make more money. So, even in India if you look at steel recycling or paper recycling most of the raw material comes from overseas. So, a lot of value gets wasted in the logistic cost. So, if you put up the plant overseas itself from where we

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are importing those materials you save on those logistic costs also. And at the same time, all these countries wherever we put up those plants also require finished products.

So, for example, a country in Central America would be exporting a lot of scrap paper out of that country, but at the same time they will be importing a lot of finished products, I mean corrugated paper also into the country. So, by putting up the plant itself in that country itself you will save on a lot of logistic cost. So, that is the idea behind having those operations overseas rather than having it in India.

Abhijit Sinha: There are a lot of e-waste recycling companies here in India and I think 85% is unorganized. So, how does that look for India segment that you are interested in?

Management: So, again, I mean till the time, India can find out a solution to separate these things in an organized, I mean take this recycling into the organized sector, probably it will be very difficult to compete with the unorganized sector, because what is happening in e-waste mostly is that people are refurbishing rather than recycling it. So, you cannot compete with the unorganized sector, because again, then paying GST etc. everything else, you don't become competitive enough to compete with this unorganized sector. So, till the time, e-waste starts happening in the organized sector, probably it will be very difficult to compete.

Abhijit Sinha: Is it difficult for us to lead the change at present?

Management: Yes, it is, for any company it would be very difficult.

Abhijit Sinha: So, then we require the other --?

Management: It needs to be supported by the policy. So, we are not asking for any subsidy or anything else.

What we are asking is basically a level playing field where all of the companies whether they are organized or unorganized, they are treated in the same manner. So, unless and until it is there, probably it will

be very difficult.

Abhijit Sinha: So, at the moment, the government is supporting primarily lead recycling, if I am not wrong?

Management: No, it's not, the government is trying to support recycling in an organized manner for all the sectors. So, they are bringing in policy, changing policies because you know there are loopholes in some of the policies. So, the government is trying to fill those loopholes, but it will probably take some time for the e-waste policy so that people cannot misuse that policy currently.

Currently because most of the people who are doing that e-waste recycling are generally, it's basically refurbishing it so it's only a wash they are actually not recycling it.

Abhijit Sinha: And due to this recycling that we are doing, it would require lot of power consumptions, right.

So, then I was just checking the financial, this accounts to only about 1% of our top line. So, how do we do the accounting for the power cost?

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Management: So, in metal recycling generally it's not the power cost, it's basically the fuel cost that is, I mean the biggest component of process. So, power actually it's a very small cost, but fuel cost is a little higher than power cost for us.

Management: And fuel cost is accounted for in the material cost, basically.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: So, I had two questions, one was how is the progress on the shift that is going on from the unorganized to organized segment? And second is, any particular reason for a volume growth, year-on-year to be 12% which seems a bit lower than our other quarters? And next expected volume growth in the next two to three years?

Management: The shift from the informal to formal sectors, the new regulation which is known as BWMR that has come. And under that BWMR, there will be an EPR on battery, lead-acid battery rather all battery will come under EPR which were not there in earlier rule which were known as BMHR.

So, this EPR is in process, all registration from the manufacturer site are done, it means battery manufacturer and importer. And next is with the recycler will be registered on this, and it's a three, the manufacturer has to fulfill the EPR targets, and if they don't fulfill then there will be some penalty. So, this entire process will shift the existing informal volumes which is almost 65%. So, we foresee that from this 65%, 30% to 35% volume should shift to the formal sector.

So, there is huge growth potential in the formal sector.

Khush Nahar: My next question was regarding the volume growth expectation over the next two years.

Management: This growth expectations for us in volume terms is around 25% year-on-year for the next two years, for the next four years actually. So, there may be a slight change on a quarter-to-quarter basis or sometimes even in a year-to-year basis. And also, what we do, because we have our own capacities in India as well as overseas. So, sometimes what we do is, we bring that material into India so you don't see the volume growth as such, because then we process it in India and then it gets eliminated in the consolidated figure, whenever there is an opportunity, where we can take advantage of the arbitrage in Indian prices and overseas prices. So, for us, what is more important is the profitability growth. So, in volume terms also, we have grown more than 12%, but only 12% get reflected in the consolidated figures.

Moderator: Thank you. The next question is from the line of Abhijeet Bora from Sharekhan by BNP Paribas. Please go ahead.

Abhijeet Bora: In the segmental things there is item called turnkey projects, the earnings in that segment has a higher growth in this quarter around Rs. 9.6 crore, historically --?

Management:

Yes, so basically what was happening, because of COVID in the past two years there were not many new projects coming up in the lead recycling across the globe. But now that has started so

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that this year we have sold some projects outside and that is why we have got in our this fifth vertical of projects around Rs. 9 crore. Going forward, also you can expect something like this, because we have an order book of around Rs. 25 crore to Rs. 30 crore and generally it gives you

a 40% gross margin. So, going forward also you can expect something similar, in numbers here from the projects department a Iso.

Abhijeet Bora: And secondly in the other income parts like is there any one -off in that Rs. 23 crore you need to exclude something from there to arrive at th is PAT number?

Management: Yes, so there is other income part, there is majorly a hedging income which is part of the operational income. So, we consider it as part of EBITDA because it's a hedging strategy for the company like whatever metal price risk we cover from the hedging, so th at is reflected here other than that there is no significant one -off item which is there in this, so which can be only to the extent of some interest on the fixed deposits which is recurring in nature. So, there is no one - off case of in other income.

Abhi jeet Bora: What is the hedging amount --?

Management: So, in this year, FY'23, out of Rs. 93 crore of other income, Rs. 88 crore was related to the hedging part. So, remaining only Rs. 5 crore was related to the interest on the other fixed deposits and etc . So, this Rs. 88 crore is considered in the EBITDA calculation because it's a part of the operational income.

Abhijeet Bora: Couple of more questions any guidance on the taxes for the full year?

Management: Yes, tax rate currently is 11% for the group, bu t going forward it should be in the same range, 11% to 12%.

Abhijeet Bora: Lastly, last quarter it was mention ed that the CAPEX would be around Rs. 500 crore and it was revised upward by Rs. 100 crore . So, is there any change in the cost structure that any of the plants ?

Management: Yes, so there is no significant thing, but other than the CAPEX opportunity for the existing vertical and new verticals, so like new verticals we have considered, there is more visibility on the new verti cal, so that is why we have kept this target of Rs. 600 crore of CAPEX in next four years --

Abhijeet Bora: So, but there has been no corresponding change in the capacity expansion in guidance , it remains at the same level. So, I was wondering like Rs. 100 crore jump is quite significant in the CAPEX ?

Management: Yes, but there will be no significant change in the next four year at least.

Moderator: Thank you. The next question is from the line of Chirag from RatnaTraya Capital Partners. Please go ahead.

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Chirag: Just I wanted to just clarify the volume growth again a little bit , this quarter has been a little slower than average. Are there any one -off for any particular reasons here. And also on an ongoing basis, I understand that pricing can change the profitability, the headline number is --; but can the volume growth also be a lot more volatile and if that is the case, why would that be?

Management: Yes, so volume growth target is 25% on year -on-year basis next three to four years. So, this volume grow th, like this year it was 17% as compared to the FY'22. This volume growth is slightly changing because there are certain times when we get some additional margins by selling the goods of the overseas units in the Indian market, because sometimes Indian ma rket gives the better realization because of the Indian demand of the metal in India. So, at those times, the volume

gets reduce but because we import that overseas material to Indi and utilize the Indian capacities to process that goods to get that additi onal margins. But overall, if we compromise on the volume growth, definitely we are focus ed to have more growth on the bottom -line side. So, bottom -line growth of more than 35% is more important than volume growth like this so we compromise sometimes on th e volume growth to get the more bottom -line growth. So, that is the idea and with that more bottom -line growth, we get to more ROC. So, overall, the focus on from the re turn on capital.

Chirag: This quarter was something like that then --

Management: If yo u see the per ton EBITDA of lead, normally it should be in the range of Rs. 16 to Rs. 17 per kg, but this time it is Rs. 20 per kg, so we got this additional and EBITDA margin is also 11% which is not in general it is not there. So, but at those times, we compromise on the volumes.

Chirag: And by com promising on volume what you mean is that both plants, the overseas plant and the Indian plants could have processed good, but instead of that what you are doing is, you have directed metal from outside, scrap f rom outside to the Indian plants where the processing is happening in the Indian plant and that offsetting is increasing the volume , is that the right understanding?

Management: Correct. Yes.

Chirag : One more question, just on page 26 of the Investor Presentations , this time we have started to give a quarterly breakup of the domestic scrap collected. So, is it inclusive of the tolling business also or is this just the outright scrap that you collect?

Management: Yes, so this is including the total scrap collection in India. So, this is including both, tolling also and other corporate s also.

Chirag : So, this comes out to be around 43000 tons if my math is broadly correct . What w as the similar number for l ast year, what would have been the number for last year?

Management: So, number was 41000 approximately, yes.

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Chirag : Which is currently 43 odd approximately.

Management: Yes.

Chirag : The Nicaragua divestment, could you just give us a little bit more brief on that, what was the thinking there, and is there any learning from that sort of venture, the Nicaragua plant that just got divested, if you can just g ive a few comments on that.

Management: Yes, basically Nicaragua plant where we were processing this PET flakes PET recycling we were doing in Nicaragua, that was exclusive plant for this type of recycling. So, we started Nicaragua plant with , more potential we saw is that we can get volumes more in those geographies. And we can ex pand two other verticals also. But later on when we realize d that there are no such potential and the volumes are not coming up to that extent, because of certain geography reasons and there was some management bandwidth also consuming , this was also consu ming, the bottom -line return on capital target of 25% we were not able to achieve that. So, then we decided to exit from Nicaragua an d invest that money which we realized in two other geographies where like their nearest geography is Dominican Republic, wh ere we can plan for a bigger facility for similar kind of plastic recycling. And along with paper recycling, there is another potential of lead recycling in those geographies. So, we are very focus ed on the return on capital with a target of 25%. So, where ver we see that there is no such potential to grow to that number, to that extent, we brutally exit from that location. So, Nicaragua was among one of the investments.

Moderator : Thank you. The next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra : I wanted to understand how much capacity are we expecting in the rubber recycling, how much capacity are we plan

ning to install by FY'26 also? And what kind of EBITDA per ton, do we see in this segment, in rubber recycling. And also, in the new segments that we are targeting which is steel, papers, and lithium is of course earning was high , but steel and paper also, how much are we targeting EBITDA per ton?

Management: So, EBITDA per ton for different verticals is like lead i s approximately Rs. 16 to Rs. 17 per kg, Rs. 16,000 per ton . And aluminum because of this overseas business 90% overseas business so it is Rs. 18 to Rs. 19 per kg. And plastic is approximately in the normal case it is Rs. 10 per kg. So, the capacity expansion for plastics is expected to reach to approximately 80,000 tons in next four years. So, that's the target for plastic.

And also, for rubber, we are currently at 6,000 tons, and then we reach approximately 16,000 tons in the next four years. So, basically in rubber, the current capacity is around 6,000 metric ton per annum, which we are expecting to increase it to 15,000 metric ton to 60,000 metric ton in the next four years. But that is basically for captive consumption only. In additi on to this, we are also planning to put up other standalone rubber recycling projects, which will be in addition to this capacity of 15,000 metric ton per annum.

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Gunjan Kabra : So, rubber is basically used for captive consumption, so where is it used in our products?

Management: So, out of rubber we get pyrolysis oil, we also get steel and carbon. All these three things are used for our smelting processes in lead and aluminum. So, I mean pyrolysis oil replaces fossil fuel, similarly carbon replaces wood char coal, so all these things basically is also a major component in creating sustainability for our operations.

Gunjan Kabra : For steel and paper what is the EBIT DA per ton, are we targeting? -- Steel and paper, whe re we plan to expand, so we must be thinking of some EBITDA per ton, right. So, what will be that when we start recycling steel and paper?

Management: So, I will tell you that EBITDA per ton would be different for different verticals, based on different geographies -- it is very dynamic thing. So, eventually which geographies are we going to put in, because you must understand that for example, paper is a very small so per ton paper would be around I mean \$50 to \$80 per ton, as compared to lead being \$2,000 per ton. So, there

is a huge difference in terms of that. But at the same time the total CAPEX cost is very high in these things.

So, based on these two things, the EBITDA margins would be different. But if we talk about on a benchmark figure for say for example in future around 18% to 20% EBITDA margins would be there for steel. And around 30% to 35% EBITDA margins would be there for paper. But it will be in terms of percentages; in terms of absolute number, it would be much lower, because the price of the commodity is very less compared to the steel -- compared to the lead or aluminum prices that we hear.

Moderator : Thank you. The next question is from the line of Rohit from Vijit Global. Please go ahead.

Rohit : My question was major overseas operations are from African countries like Ghana, Senegal, Mozambique, and Tanzania. Are there any specific reasons to it, and what are your plans for expansion in these locations?

Management: Yes, so basically there are two to three options to expand in the geographies. One is, like wherever we are in these existing verticals, so we are already at the 60% to 70% market share of those verticals in those geographies. So, another opportunity is to expand into other verticals like we are already replicating the new verticals like earlier we added aluminum, so now we are in the process of replicating aluminum recycling at all the locations like Senegal, this year we have started Senegal. And we

are also adding new verticals, rubber recycling at all the locations, plastic recycling at all the locations.

So, whatever we start new, we replicate at these existing locations, because it is very difficult from 60% to 70% to reach to 90%. But it is very easy as compared to add new verticals instead of going in that --. So, just get some more economy of scale. So, we are growing by two things, one is existing location with the new verticals and new locations with the new verticals and that existing vertical also.

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Rohit : Thank you. The next question is from the line of Abhijit Sinha from Pi Square Investments.

Please go ahead.

Abhijit Sinha : I just wanted to understand what is the demand for these value-added products that we are currently having? And also how do we sustain this 25% to 30% growth for the next three years, because it's quite a substantial growth rate?

Management : Yes, in fact if you see the value-added products we are diversifying not only to the lead-acid battery industry, but also we are targeting to power cable industry, chemicals and pigment industry, and radiation production industry. So, in each and every locations like India, earlier we were having the value-add capacity in Phagi only, now we have added the capacity in Mundra and also expanding this capacity at Mundra location. Till date, we were not having value add capacity in African center so we are putting up the value-added capacity in Ghana center also so that European and its year by in British market can be covered.

So, we are pretty sure that whatever we are targeting for 50% of our volume should go to the value-added industry, it will be reached. Moreover like the cost of production existing in Europe vis-à-vis Indian, it's a much different. So, it will be a good opportunity for supply from India to meet the increased demand of the European market.

Moderator : Thank you. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika : Just wanted to know that this new debt facility, you have already drawn it or it is right now it's a facility now?

Management: Yes so currently we have just signed the document, loan document from this European Development Financial Institution, but in the next one or two months we will be drawing this money and using this money to release the liquidity for our Indian facilities.

Sabri Hazarika : Right now, this money will replace some debt right or it will be like on fresh CAPEX only.

Management: Yes, partly, approximately, four to five million is for the fresh CAPEX and the remaining is going to replace our working capital requirement of the overseas business. So, it will be used in overseas business, but it will release the working capital, currently Indian money is used for the overseas working capital so that will be released from that overseas market. So, overseas business will be self-dependent from this money.

Sabri Hazarika : And so, with this we have come to the end of this call. And I request you for the closing comments, sir. Thank you.

Management: Financial Year '23 was a tremendous year for our company across all fronts. And we are confident that by pursuing new opportunities we will continue to grow and fulfill our clear vision for 2027.

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We hope that we have addressed all of your questions, if you have any unanswered queries please do not hesitate to contact our Investor Relations team at Go India Advisors. I would like to express my gratitude to all of the participants who are joining us on this call and listening to our updates. Thank you all, once again. Thanks.

Moderator : Thank you very much. On behalf of Gravita India Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

Call: Jul 2023

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27th July, 2023

GIL/202 3-24/064

To,

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the quarte r ended June 30, 2023

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 202 3 conducted on 25th July, 202 3 for your information and records.

The above information is also available on the website of Company:

<https://www.gravitaindia.com/investor-recordings/> .

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

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Company Code - GRAVITA

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"Gravita India Limited
Q1 FY '24 Earnings Conference Call "
July 25, 2023

MANAGEMENT : MR. YOGESH MALHOTRA – CHIEF EXECUTIVE
OFFICER AND WHOLE -TIME DIRECTOR – GRAVITA
INDIA LIMITED
MR. VIJAY KUMAR PAREEK – EXECUTIVE DIRECTOR –
GRAVITA INDIA LIMITED *
MR. NAVEEN PRAKASH SHARMA – EXECUTIVE
DIRECTOR – GRAVITA INDIA LIMITED *
MR. SUNIL KANSAL – CHIEF FINANCIAL OFFICER –
GRAVITA INDIA LIMITED
* Non-Board Member

MODERATOR : MR. SABRI HAZARIKA – EMKAY GLOBAL FINANCIAL
SERVICES

Gravita India Limited
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Moderator : Ladies and gentlemen, good day, and welcome to Gravita India Limited Q1 FY '24 Earnings Conference Call hosted by Emkay Global Financial Services. We have with us today Mr. Yogesh Malhotra, Whole -Time Director and CEO; and Mr. Sunil Kansal, Chief Financial Officer. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Sabri Hazarika from Emkay Global Financial Services. Thank you, and over to you, sir.

Sabri Hazarika: Thank you. So good afternoon, ladies and gentlemen. On behalf of Emkay Global, I welcome you all to the Q1 FY '24 post Earnings Conference Call of Gravita India Limited. We have the senior management of the company, led by Mr. Yogesh Malhotra, Whole -Time Director and CEO; Mr. Vijay Kumar Pareek, Executive Director; Mr. Naveen Prakash Sharma, Executive Director; and Mr. Sunil Kansal, Chief Financial Officer. So today's session would be a brief on the results by the management, and then we will follow with the question -and-answer now. So over to you, sir.

Yogesh Malhotra: Thank you, Mr. Sabri. Good afternoon, ladies and gentlemen, and welcome to our Q1 FY '24 Earnings Call. I believe you have had an opportunity to review the earnings presentation and financial results that were uploaded on the stock exchanges. Before opening the floor for questions, I will provide a brief overview on the major highlights of the quarter.

I'm delighted to share that Gravita India has delivered strong performance in Q1 FY '24. Before we delve into the results, we would like to share some strategic highlights and project updates. I'm pleased to announce that pure Lead of 99.98% purity and above produced by our Phagi, Jaipur plant has been empaneled as an approved Lead brand deliverable against the MCX lead futures contract.

Pure Lead manufactured by the Chittoor plant of the company is already at MCX empaneled product. This will provide Gravita with an additional platform for hedging, better inventory management and price transparency in the domestic market. I would also like to highlight the fact that MCX maintains a global and stringent quality approach, which is at par with the international exchanges.

This reaffirms the fact that the products manufactured at Gravita's plants adhere to global standards, thereby ensuring excellence in every aspect of production. Gravita has expanded its existing capacity of battery recycling unit security at Chittoor, Andhra Pradesh. The capacity has been increased by 26,440 metric tonne per annum to 64,640 metric tonne per annum. The capex undertaken stands at around INR 21 crores. It is funded through internal accruals. Additionally, it's worth noting that this plant leverages the potential of domestic scrap, which is

abundantly available from permanent telecom players, UPS, OEMs, IT, IPS as well as waste scrap from the automobile sector in their respective markets.

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Gravita has also secured contracts to efficiently collect pan -India scrap enabling the company to serve OEM customers in South India and facilitate exports via the nearby Chennai port, thereby optimizing logistical costs. With this expanded capacity, the company aims to fortify its position in the South Indian market, including the Southeast Asian market as well.

Gravita Tanzania Limited a step -down subsidiary of Gravita Securities in Tanzania East Africa has started commercial production and recycling of waste rubber. It has an annual capacity of around 3,000 metric tonne per annum in Phase I

, which is expected to go up to 6,000 metric tonne per annum in Phase 2.

The capex incurred for Phase 1 is INR3.86 crores, again funded through internal accruals. This newly established recycling facility will not only result in cost reduction but also contribute to decrease the carbon footprint. The process of rubber recycling produces pyrolysis oil, which will be utilized by the company for in -house consumption as an alternative energy source in recycling battery and aluminium scrap.

This move aligns with the company's commitment to sustainable practices and environmentally friendly operations.

Let's now discuss the operational performance. Coming to capacity expansion. As of 24th July 2023, Gravita has grown by 22% from March 2023 and expanded its total capacity to 2.78 lakh metric tonne per annum. We are confident that we will reach 4.25 lakh metric tonne per annum capacity by financial year '26, which will include both existing as well as new verticals.

The company has witnessed a volume growth of 18% in Q1 FY '24 on a year-on-year basis. Lead volume increased by 18%, aluminium volumes grew by 63% on a year-on-year basis to 29,287 tons and 5,396 tons, respectively. We are maintaining a healthy order book of more than 60,000 metric tons per annum.

A reminder of our capex plans, Gravita is committed to expanding its capacity and hence is expecting to incur a capex of more than INR650 crores by financial year '26 for its existing as well as new verticals. Capex expected existing and new verticals is approximately INR 400 crores and INR250 crores, respectively.

Moving on to Q1 financial year '24 financial results. At consolidated level, revenue for the quarter increased by 21% to INR 703 crores on a year -on-year basis and showed a drop of 6%. On a Q -on-Q basis, 49% of the revenue in Q1 FY '24 came from value -added products, aligning to have a vision of achieving 50% revenues from this category. On a year -on-year basis, adjusted EBITDA increased by 24% to INR80 crores.

EBITDA margins improved 11.4% and the company continued to maintain strong margins.

Delta reported a consolidated PAT of INR52 crores with a 22% growth year -on-year. PAT margins remained steady at 7.4%. Overall, the company performed significantly well on a year -on-year basis, but faced a slight drop on Q -on-Q basis. This can be attributed to a drop in aluminium and plastic prices.

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Additionally, the disruption caused by the Biparjoy cyclone had a significant impact on the operation of a major lead plant in Mundra leading to adverse effects on volume growth and margins. Furthermore, the recent launch of our 2 new aluminium plants has been in stabilization phase and is yet to operate at full capacity.

At stand -alone level, revenue stood at INR654 crores, showing an increase of 6% on a year -on-year basis. EBITDA for this quarter stood at INR60 crores, demonstrating a significant improvement from quarter 1 of last year. EBITDA margin stood strong at 9%. Similarly, PAT showed a significant increase of 136% on a year -on-year basis to INR38.72 crores. PAT margin stood strong at 6%.

I would like to emphasize once again that we have steadfastly progressing towards our ambitious Vision 2027, which involves diversifying into new verticals, achieving robust financial growth and expanding our business in non -lead segments. Moreover, we have full confidence that by year financial year '26, we will successfully reduce our net working capital cycle from 83 days as of March 2023 to 65 days, thereby significantly enhancing our operational efficiency.

That's all from my end. I would now request to open the floor for questions and answers. Thank you, and over to you, Sabri.

Moderator: Thank you very much. The first question is from the line of Rahul Bhangadia from Lucky Investment Managers. .

Rahul Bhangadia : Sir, first questi

on is, could you give us a rough sense or your approximation of how much volume would you have lost because of disruption in the ope rations in Mundra?

Yogesh Malhotra: The volume, we loss is approximately 10 to 12 days, which is approximately 1,500 tons for this -- because of this Biparjoy impact.

Rahul Bhangadia: Okay. Okay. That is about 1,500 tons. Okay. Second question was you had a one -off in the form of piece of being kind of reversed or something like that, that have got into the other income, INR11 crores?

Yogesh Malhotra: Yes. So basically, we made a provision earlier in the form of impact of this employee benefit scheme, which we brought. But later, we realized that we don't need this provision because we have already dismantled -- we are in the process of dismantling the trust and giving the benefits of this scheme slightly earlier to what it is planned. So -- but now we have taken a provision of giving that benefit in the employee benefits. So if you see the benefit -- employee benefit expenses is slightly higher on this side. So on the one side, it is a provision reversal, which is showing in the in other income.

But on the o ther side, the impact is that we have taken a provision of incentives, which we are going to give to the employees so against that benefit, which we are losing. So it is a compensation. So we are considering this reversal as a part of the operational becau se the other impact is coming in the employee benefit expenses. So for us, we have taken it in the adjusted EBITDA because it's operational part of the business.

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Rahul Bhangadia: So this INR11 crores income that you've accounted for in the other income par t of it, how much would you have put in the employee benefit expenses or in any other expenses in this quarter itself?

Yogesh Malhotra: Yes. So approximately INR8 crores we have already considered in the employee benefit of expenses of this quarter.

Rahul Bhangadia: Okay. INR11 crores against INR8 crores , net INR3 crores is what you got in but benefited to that extent essentially.

Yogesh Malhotra: Yes. Correct. Correct. Correct.

Rahul Bhangadia: And that is why we have put it even this INR11 crores in the operational part because corresponding cost you have also recognized there.

Yogesh Malhotra: Yes, yes, yes.

Moderator: The next question is from the line of Gaurav Gandhi from Glorytail Capital.

Gaurav Gandhi: Congratulations on the good set of numbers. My first question is, sir, how do you collect scraps in India ? I mean do we have any contracts with the company handling municipal waste? And also, do we have any large symptoms in the cities for c ollection of household spreads? Do we have any kind of such centres collection for collecting scraps ?

Yogesh Malhotra: In fact, in case of domestic collection, our collection plan exists in three ways. One is we are having a PAN India contract with Amara R aja Batteries from which we are collecting the batteries from on PAN India basis. Secondly, we are also very closely working with some of the PROs. Those are collecting the battery, e -waste, plastic and many other commodities as a waste. And out of those w astes, we are collecting the plastic and lead scraps from those companies like Sambhav Karo and other companies.

Third thing is that we are also having our contracts with the IT companies like TCS, like Accenture and other companies from which we are colle cting the batteries on PAN India basis, whether those offices are located in affluent or in domestic tariff areas. Thirdly, we are also collecting the batteries from institutions like Jindal Group, Aditya Birla Group, Adani Group. So, from the different lo cations of the factory plants, factory locations, we are collecting these batteries.

Gaurav Gandhi: Do you think these municipal waste management companies like Antony Waste Handling and al

I can we benefit from these companies also?

Yogesh Malhotra: No. No . Because this municipal waste doesn't collect these batteries because these batteries will be largely either will be auctioned or it will be sold through different, different locations. No one will hand over these batteries to the municipal for municipal waste.

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Gaurav Gandhi: Okay. Okay. And my second question is to get more clarity on this EPR topic. As per EPR policy, if the producer gets responsible for recycling, does it mean that, for example, you know, if whatever Exide batteries or Amara Raja sales, they are responsible to collect and, you know, recycle all the batteries? And if yes, what happens to, let's say, if the Exide batteries are collected by us? I mean, do we hand over that scrap to them or how will it work?

Yogesh Malhotra: Yes, you are correct that as per EPR policy, they have to either collect back or recycle themselves or take in, buy, recycle lead or they have to take EPR certificates. Like even it is applied to the import of new batteries also. They have been given certain targets to collect the battery over a period of time. So that's how this will, EPR will process and there will be penalty if the EPR is not done and they can even create recycling partner under EPR. As we mentioned earlier, we are already partnered to Amara Raja.

Gaurav Gandhi: Sir, in that case, will it impact our margins if we partner with them in future, you know, will it impact our margins?

Yogesh Malhotra: So, basically, this is going to work as a tolling arrangement, which is currently in place. So, of course, if you talk about EBITDA margins, that will be lower, but there will be no working capital requirement in such a case. So, therefore, the overall ROC will be better in this case, which we are already doing. So, if you look at it, most of the domestic procurement that we are doing is through this arrangement only. So, overall, even though the EBITDA margins would be a little lower, the overall profitability or the ROC would be much higher as compared to when we buy it from domestic market.

Moderator: Thank you. The next question is from the line of Gunjan Kabra from Niveshaay. Please go ahead.

Gunjan Kabra: Sir, firstly thank you so much for the opportunity. Sir, I wanted to understand how this margin scenario work in plastic and aluminium section because they remain quite volatile. Like this quarter, it was around 4% for aluminium whereas it was and previously it was. So how does that scenario work in aluminium and plastic? What kind of stable margins can we expect in this segment? And if I wanted to understand the mechanism effect?

Yogesh Malhotra: So margin in case of, operational margin in case of plastic and aluminium is like in case of plastic, it is INR10 per kg but EBITDA margin for INR10 per kg. And in case of aluminium, it is mostly business outside India where we sold slightly cheaper. So margin is in the range of INR17 per kg, INR18 per kg EBITDA margin. But there is a slightly fluctuating margin because in case of plastic and aluminium, we are not hedged fully.

So we work on a model where we keep on buying the scrap and we keep on selling the finished goods against that. So we keep the stable inventory. But sometimes when the market prices are going down or going up, so that time the margins are according to the inventory gain or inventory losses, the margin is going up or down.

So that is the reason because we are not fully hedged in this model and there is no mechanism also available of hedging this plastic and aluminium. But going forward, we are looking for a mechanism for aluminium specifically. We are entering into an arrangement where MCX is Gravita India Limited

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going to be available as a platform because we are dealing with aluminium alloys. So on MCX, there will be

a platform for dealing or hedging or giving the deliveries also for aluminium alloys in future. So we are working on that. So hopefully that arrangement is going to be developed by the MCX with the Ministry of Finance. So they are arranging that. So after this, there will be stable margins on the aluminium side. But still we are finding a solution for plastic also similarly where we can hedge the margins for the future.

Gunjan Kabra: Okay, got it. So the second question I had is that you have already spoken about the total capacity expansion that you plan to do it over the years. But I wanted to know that from today and what is the expansion that is happening in, apart from lead and other metals, I mean I wanted to understand rubber, what is the expansion plan from FY '23 to '26, how much is the incremental capacity for rubber, then plastic and aluminium and if any other expansion also you plan into this segment, in any other segment?

Yogesh Malhotra: So basically, the total capacity which the expansion we are doing in case of lead is approximately from 300,000. Okay, so the capacity of by FY 2026, the capacity of lead which is currently 225,000, we are taking it to around 300,000 tons. And in case of aluminium, it is currently 30,000 tons, which we are taking it to 48,000 tons. And in case of plastic, it is currently 22,000 tons, which we are taking to 65,000 tons.

So these are the capacity expansions which we are planning for the existing verticals. And there is another vertical which we are talking about is rubber recycling. So because since we are not considering the capacity of rubber in our overall capacity expansion, because rubber is currently being consumed, the output of rubber is being consumed for the recycling of the lead and

aluminium.

So there will be capacity expansion in the rubber also because we are in the replication mode. We started from Ghana, now we are replicating the rubber recycling in Ghana, Senegal, Mozambique, Tanzania, all the African locations. So there will be expansion of rubber, but we are not considering that part of the capacity expansion.

Moderator: Thank you. Next question is from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Hello. Congratulations on a good set of numbers. My first question is really around the hedging mechanism. I think you briefly touched on certain aspects of it. If I sort of understand from your presentation, the back-to-back fiscal inventory is fully hedged. But my question is really in the future, for instance, when you have rubber, plastics, paper, there is no forward contract that you can do in LME or any other exchange, for example, the Chicago Board of Trade. So these will be really OTC contracts that you do on a one-on-one basis. So any thoughts around how do you want to play this hedging mechanism game going forward?

Yogesh Malhotra: So I think it's very clear that on lead we are already hedged, which is around 80%, and we are already in discussions with MCX to start incorporating ADC -12, which is the major alloy that we make, to incorporate it in their delivery mechanism. So these two in the future will be taken
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care of. But apart from that, I think in other verticals like plastics, etcetera, although there is no mechanism currently available where we can hedge it on exchanges, but definitely we have tie-ups with OEMs where we sell them forward contracts.

So whatever deliveries I'm going to give to any OEMs in July, the prices would be M -1 basis. So whatever I'm collecting today, more and more of that material would go in the next month. So that is where you are probably doing natural hedging, which we call it. The mechanism for that is already in place. So going forward, wherever there is no possibility of hedging through exchanges, we would incorporate this mechanism more and more.

ore and more.

Satadru Chakraborty: Okay. And just one sort of follow-up on – so it is fair to say that you mentioned aluminium, that you will potentially start to hedge this more. So it is more so it is fair to say that the EBITDA per metric ton will not be continuously dropping as we have seen for the last couple of quarters, right?

The second question I had was really on the turnkey projects piece. So I think this segment is performing brilliantly. I just wanted to hear from you what your outlook is on this, any margin revenue guidance you can give. And I also wanted to understand really very importantly, what is the market positioning that Gravita has? Is there no other integrated player who can provide, let's say, integrated turnkey solutions? Or do you have other, let's say, outside India players who can do that? Because I'm not sure that I understand the market structure fully well for this kind of service.

Yogesh Malhotra: So basically, how we see our turnkey solution division is basically as a support to our overall expansion plan. So even though you may not see the overall revenues or gross margins coming from this because sometimes around 80% to 90% of the total revenue that we do is internal only. In terms of where we are placed, actually, if you look at it, I mean, there are either European companies that are into this who are providing these solutions globally.

And then in lead and aluminium, generally, otherwise, there are no companies available which can make or produce sustainable, environmental -friendly equipment's. So we are the only solution provider in the developing countries who can provide this solution, which is viable, even if you make a smaller plant. So generally, if you go for a bigger plant where you are recycling, for example, for inlet, around 5,000 to 10,000 tons per month, then there are various options available from European companies.

But if you are anywhere in the range of 1,000 to 2,000 tons per month, there are very few options available, and that is where Gravita is placed. But we don't see it only through that lens. As I mentioned earlier, for us, it's an in-house research centre where we keep on improving our efficiencies, our yield, in terms of making it more environmental -friendly. So that is the major part we are in this.

Satadru Chakraborty: Understood. So you don't suspect that you will provide this solution to any other competitor, and then that's what cannibalizes your sales? I was just trying to ask...

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Yogesh Malhotra: No, no. We constantly do this. We supply material to anybody who wants to go into lead or

aluminium recycling. So far, we have sold more than 60 turnkey solutions across the globe, and we have a handsome margin of around 25% to 30% in the volume that we do externally.

Moderator: Thank you. The next question is from the line of Khush from Electrum Portfolio Managers. Please go ahead.

Khush: Thank you for the opportunity. So I have two questions. One was, any reason for the tax rate being higher in this quarter at 14%? And second, the domestic stock collection this quarter has been around 30% as of presentation, while in the previous quarters, it has been in the range of 40% to 45%?

Yogesh Malhotra: So your first question related to tax, because this quarter, Indian businesses were more profitable as compared to what it was earlier. So proportionately, the tax rate in India is slightly higher than the average tax rate in the overseas business. So because of this, the average tax of previous year is approximately 11%, against which this quarter, we ended up at 14%. So because of the slightly proportionately higher profitability and higher PBT in India. So that's the reason for the tax. And the second question was about the domestic scrap availability, right?

Khush: Yes.

Yogesh Malhotra: So part of the reason is that, and why

we did better in India as compared to the other parts of the globe, is that Indian market was giving better premiums over overseas businesses. So we imported a lot of batteries because overseas scrap was cheaper as compared to Indian scrap during these times. So we imported more overseas scraps to increase the profitability and reduce the Indian scrap. So there are opportunities of arbitrage available time to time for us, where there is a difference between Indian scrap.

Sometimes Indian scrap is cheaper. In those months or those quarters, we buy more Indian scrap. Whereas when the overseas market is slower, then we buy from overseas market also. And in sales, it's vice versa. Because Indian markets were good. So therefore, if you look at our performance of Indian entities, they have shown better results. We have sold more value-added products. And we've done more revenue in India as compared to overseas. So we have shifted a lot of scrap, even from our own entities into India, so that we can take advantage of that arbitrage. So we've taken advantage of arbitrage both on the sales front as well as on the procurement front.

Khush: Okay. And just one last question. So we as a company remain on the guidance of 25% growth in volume terms for the next three years. Just want to confirm that?

Management: Yes. So in terms of production, definitely we will grow more than 20% to 25%. As I mentioned here also now, sometimes there is arbitrage where it makes sense for you to not sell it to third party and bring it to India. So during those times in consolidation, you will not see the sales growth. Whereas the production volume growth would be there. But it would not reflect in the revenue numbers. But in terms of profitability, our target of 35% profit, PAT growth would always be there. Bottom line growth of 35%. We are very confident of achieving.

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Khush: Okay. Thank you.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Hemant, an individual investor. Please go ahead.

Hemant: Sir, thank you for providing me the opportunity. As part of one of our earlier calls, we are supposed to actually, we have the target of doubling our revenue over the next three years. So I hope it doesn't include the revenue from the existing verticals, right? Sorry, from the new vertical. It only includes the revenue from the existing verticals. And the revenue from the new verticals will be over and above the revenue after doubling it, right?

Management: No, our target, I think the target that we mentioned earlier also is that we are planning to go at more than 25% in terms of volume on a year-on-year basis for the next three to four years. And around 35% profitability growth CAGR in the next three to four years. So that remains our target even now. But as I mentioned earlier that sometimes the revenue growth will not reflect the volume growth in the company. So the production will increase, but sometimes when you will consolidate if there are arbitrage opportunities and we bring our material from our overseas plant into India, it may not reflect in the revenue numbers, but definitely it will reflect in the profitability numbers.

Hemant: But sir, I just wanted to understand one thing. In this call also you have told us that you will be doing INR650 crores of capex and INR400 crores will be for the existing verticals and INR250 crores will be for the new verticals, right? So you have previously mentioned that the asset time will be 8x. So basically, it translates to nearly INR2,000 crores of revenue from the new verticals, right?

And in FY '23, I guess we did something around INR2,800 odd crores. So we are getting INR2,000 crores of revenue from the new verticals only. So I think the revenue should be more

than 2x by FY '26, right? So these are the basic numbers. What I am trying to understand

is like

the revenue growth which we are talking about by FY '26, it includes only the existing verticals.

And the INR2,000 crores of revenue will be over and above the revenue growth of existing verticals, right?

Management: Sorry, can you come again?

Hemant: Like INR250 crores of capex we have already planned for the new verticals, right? And the asset time is 8x. So we will be roughly doing around INR2,000 crores of revenue from the new verticals itself, right?

Management: Yes, Yes. Some of the capex will come in the third year. So revenue numbers from that capex may not reflect in that year itself. So capex plan is different and the revenue which is coming from that capex may be one year to 1.5 years later. So there is a lag period for the new verticals specifically. There is more lag period because we are not making the equipment's for the new verticals.

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We are dependent on the third party for the equipment for the new verticals. In case of existing verticals, we are making our own equipment. So in that case, that lag period is very small. It turns to be six months to nine months we start the revenue generation from that capex. But in case of new verticals, it is slightly later. So that is the reason will -- the effect of revenue generation will come slightly later in this case, in case of new verticals.

Hemant: Yes, sir. I got your point. I think you have already mentioned previously. But just trying to understand, like, 20%, 25% revenue growth is from the existing verticals only, right?

Management: Yes, only existing verticals. Yes, you are right.

Hemant: And the incremental revenue of INR2,000 crores from the new verticals will be there.

Management: Absolutely. Correct, right? Yes, absolutely.

Hemant: And this capacity expansion from 2.5 to 4.25, it includes new as well as existing, right?

Management: Only the existing verticals.

Hemant: Okay, so 4.25 includes only existing verticals.

Management: Yes.

Hemant: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Harshit Shah, an individual investor. Please go ahead.

Harshit Shah: In the last quarter, we have seen a promoted transferring shares through bulk yields to some investors. So, do we see any more such transactions in the future? Second thing, in the last call, we also said that we will be doing some QIP. Can you share the timeline of it?

Management: So, basically, to answer your first question, there will not be any more dilution of the stake by the owner, promoter. So, that is the first part. The second part is QIP will only happen when we see that, I mean, so we have our internal debt to equity target. Yes. So, basically, earlier we planned QIP to fund the expansion which we are planning for. But later we realized that the internal generation of the cash which is sufficient enough to fund the future capex and the working capital needs because we are going forward.

We are taking up the business which is slightly better in terms of working capital cycle. So, we are bringing down the working capital cycle. So, we don't see the requirement of the funds going forward. So, we recently got some funding from the ESG fund which is reducing our debt cost also. So, we are funded from them. So, there is no point of diluting at this moment. No further QIP is planned in the near future except we get an opportunity of a significant sizeable, the opportunity of M&A. So, that will be the reason, only reason to come up for the QIP in future.

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Harshit Shah: And just one more question, sir. You have said that you have transferred some inventories from abroad, Indian market, and we have processed here and sold it India. But we also have a plant at Africa and other markets. So, why we haven't processed it there and sold it to India? W

ould it

be more cost effective?

Management: No, sir. So, as I mentioned earlier, there are certain times when there is an arbitrage in prices available in India as compared to overseas markets. So, during those times, we import that material into India because India is giving better realization for those products. Both in terms of value addition also and sometimes as the commodity prices are also different in both these

geographies. So, only during those times, we bring that material into India. Otherwise, we sell directly to third parties. So, having geographical diversification also gives us these benefits from time-to-time.

Harshit Shah: I understood that. But my question is regarding if we have a good lower cost material from Africa, can we process it there and sell the finished product in India when the arbitrage is there?

Management: So, generally we do that. Yes. So, generally we do that. But in some cases, some of the value-added equipment required are not viable when the scale is smaller. So, for example, in Tanzania, we are only doing 700 tons to 800 tons per month. In those countries, it is not viable to put up all the value-added equipment for all the value-added products. So, in those cases, we bring it to India. So, the basic process is done in those countries only, whereas some part of the value-addition is done in India.

Harshit Shah: Okay. Thank you so much.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Rohit Bahirwani from Vijit Global Securities. Please go ahead.

Rohit Bahirwani: Thank you for giving me the opportunity. My question is, if we see the interest cost, it has increased from INR10 crores to INR13 crores since last quarter. So, I want to just know how much additional borrowings can we assume going forward, including both capex and working capital?

Management: So, on the debt side, we are very conscious on taking the debt in terms of we have made our own parameters to take the debt. So, the debt parameter we have taken is 0.75 of debt equity. So, it should be less than 0.75 in case of net debt equity. And net debt EBITDA, we have kept our own benchmark of 1.5.

So, within this parameter, we are consciously taking the debt. But considering the cash flow coming in and the capex plan and the working capital requirement, so we are not seeing significantly higher debt in future. We are expecting to be in the range of like from a current number of around INR370 crores to maximum of INR550 crores in the next two to three years.

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Management: This quarter was an anomaly in the sense that we imported a lot of raw material from overseas as compared to domestic material because that was cheaper for us. And also, we diverted some of our products from overseas plants into India. So, that is why you see a higher inventory carrying cost, which will reduce in the coming quarters.

Rohit Bahirwani: Okay. I had one more question as per the investor presentation provided by the company. The company has signed MOU to establish battery recycling plant through joint venture in Oman.

So, by when can we expect this to be operational?

Management: So, it will be operational in one year, probably by first quarter of next year, it will be operational.

Rohit Bahirwani: Okay. And also, there is one location, Dominican Republic, which is showing in your global and pan-India operations. So, just wanted to know what our company's plan with respect to that?

Management: So, DR is a place where we are planning to put up a paper recycling plant in the future. And also, we will start plastic recycling in that country.

Rohit Bahirwani: So, any numbers with respect to capacity? So, it will take more than one year and 1.5 years to two years to put up a paper recycling plant. But plastic can start a little early. So, Dominican Republic is part of our new

vertical business, which we are expanding in different products. So, one of them is paper recycling, which we are planning to start in Dominican Republic. So, we are still under evaluation, second stage of evaluation feasibility at the Dominican Republic. So, we are just, because it's our business model to start the trading first. We start the trading of the scrap initially, and then we establish the plant for the recycling. So, we are in the process of trading of that scrap at that location. Once it is successful, then we start the capex and setting up the plant in that location. So, it will take another one year to 1.5 years from now.

Moderator: Thank you. The next question is from the line of Devang Shah from AC Mehta Investment. Please go ahead.

Devang Shah: Hi, good evening, sir. Congratulations for a good set of numbers.

Management: Thank you, sir.

Devang Shah: I have one question that there is some kind of deterioration as far as sequential performance of the company is concerned on all parameters, revenue, profitability, and this volume growth. Y-o-Y basis, we did extremely well. So, any specific reason for that? That is my first question, sir.

Management: So, there is a slight dip on the Q-on-Q basis, which you are talking about, right?

Devang Shah: Yes, sequential basis.

Management: Yes. So, sequential basis, as we mentioned earlier, that part of the revenue was lost because of Biparjoy. It affected the Mundra plant operations to the extent of -- I mean, so the plant operations was affected by around 10 to 12 days. And apart from that, we just recently started

our aluminium plant. So, it would take some time to stabilize those plants. Probably, that is one of the reasons why the numbers were not as good as we had expected.

And of course, there is a drop in aluminium and plastic prices also. So, these were the three issues. And all these three are temporary problems in our opinion. So, probably, by next quarter, some of these issues will be resolved. At the max, next to next quarter, all these issues will be resolved.

Devang Shah Okay. One more thing, sir, that we have seen also, you know, dip in our volume, especially sequential basis. So, that is, you know, any specific reason on all three verticals, lead, aluminium, and this...

Yogesh Malhotra: So, yes. So, in aluminium and lead, basically, as I mentioned earlier, that what we have done is that we have imported a lot of our material from our own plant. Into India. So, because of that, the revenue numbers does not show the total volume that we have done in production. So, it gets eliminated when you consolidate the data. So, that is why, otherwise, in production, if you look at the production-wise data, we have done better than the last quarter. But it is not reflecting in the revenue numbers.

Devang Shah So, it is one kind of intra-transfer. Intra-transfer. That will not reflect in a number and revenue also, right? If I understood correctly.

Yogesh Malhotra: Absolutely. Absolutely.

Devang Shah And last thing, sir, we have seen, you know, sequential decline in a fact that is, you know, a bit higher. So, that is only due to a tax element or any kind of, you know...

Yogesh Malhotra: So, yes. So, basically, in the last quarter, Q4, there was an additional one-time income of INR10 crores, which was there in this Q4 of FY '23. So, that is not there in this. So, that was the reason you see the higher numbers in case of Q4 versus Q1 this year. So, that is the only difference. Otherwise, as already mentioned that there are two, three things, which one is, of course, the Biparjaya impact on our Mundra facility.

So, these are the two, three things, which is contributed on two new plants in overseas. We have just started and the expenses were there, but we could not operate. So, it is under stabilization period. So, there is a r

reason we are lower on the expected numbers, but as compared to the last quarter. But the INR10 crores income, which was exceptionally there in Q4, that is the major difference in the PAT.

Devang Shah And last question, sir, you know, we will continue to have a, you know, margin that is, you know, something, you know, 8.5% to, you know, 7.5%. That will be a range somewhere we can expect PAT margin. And, you know, as you have mentioned, as far as tax is concerned, because Indian taxes are high. So, what should we expect, you know, average tax rate going forward?

Yogesh Malhotra: Yes. So, average tax rate should be 11% to 10%, 11% to 12%. That is the average we expect considering there will be slightly more profits coming in from the overseas business. So, which

is slightly lower in this quarter, but going forward, it should be back to the normal. So, we expect to be in the range of 11% to 12%.

On the PAT margin side, we expect to be. So, the percentage could be lower or higher, but we slightly focus on part and EBITDA and slightly 25% ROC minimum. So, that's a more relevant benchmark for us because we work in different geographies. So, working capital cycle is also different in different cases.

Like we discussed that there is a business which is a lower margin business, but there is no working capital in that business in case of India. So, that contributes higher. So, margin could be lower, but yes, we will be better on the return on capital. So, that's the benchmark. We have capital at 25%.

Moderator: Thank you. The next question is from the line of Shrinjana Mittal from Ratnatraya Capital. Please go ahead.

Shrinjana Mittal: Hi. Thank you for the opportunity, sir. Just a follow-up on the earlier question which was asked. So, on this scrap collection, you mentioned that since we imported more scrap because scrap is cheaper, we imported more and hence the domestic collection was less. Is that correct?

Yogesh Malhotra: Sorry, can you come?

Shrinjana Mittal: So, I was saying that domestic collection was less in this quarter. You mentioned because that was because overseas scrap was cheaper. So, you imported more than what is collected domestically. So, I just wanted to understand what is the difference between the landed cost

versus the domestic scrap? Like just an approximate percentage wise, what would have been the difference?

Yogesh Malhotra: 5% to 7% difference would be there. But the thing is that it is a little difficult to compare both these because then you have to see where we are selling it and to the customers that we are selling it because Indian scrap mostly is a tolling business where the margins are fixed. Whereas, when we import scrap and we sell it in India, then the margins increase because then you -- I mean the EBITDA margins are much higher in those cases. So, it is not an apple to apple comparison.

Shrinjana Mittal: Okay. So, if I am understanding it right, because of value-add, the margin difference would be there between what is sold -- what is imported and then sold and versus what is -- but in terms of working capital, the working capital is lower in the tolling business. So, when you make these decisions, you look at it in terms of margins -- the sold margins or the dosage wise, how -- what is the impact?

Yogesh Malhotra: So, the basic idea is to get the highest ROC. So, if we are getting higher ROC by importing that scrap, even though the working capital cycle is higher, but the profitability is higher in that case, then we will go for imported scrap. But if the ROC is higher in the tolling business, then we go for the tolling business. So, that is one criteria that we have kept. But it is not that we will convert
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100% of tolling business into. So, we can only play 10% to 15% only here and there. More than

that is not possible.

Moderator: Thank you. The next question is from the line of Rahul Bhangadia from Lucky Investment Managers. Please go ahead.

Rahul Bhangadia: Thank you for taking my question again. You know, there was a previous question on the interest expense going up. It is the highest in about four quarters now. Could you just give us a sense of what is your debt number right now? And what should we look forward to in that particular item?

Yogesh Malhotra: So, current debt number is approximately INR375 crores. And earlier net debt I am talking about. And the number, if you compare it with the March numbers, it is INR314 crores. So, it is increased by approximately INR60 odd crores in this quarter. And so, reasons we have discussed that there is a slightly, because we have recently started the new capacities in Mundra and Chittoor. So, we imported certain scraps in anticipation of this capacity. So, recently we have started this capacity. And the plants are under ramping up. So, gradually it will reduce to the normal level.

Rahul Bhangadia: Okay. And so, the other thing that you mentioned was this INR10 crores exceptional income in Q4. Just wanted to understand how would that get reported in the segmental numbers. Last time there was a turnkey project top line of about INR11 crores in March quarter. This quarter you also have again a INR15 crores, INR14.6 crores number. So, where does that exceptional INR10 crores sit in this -- which was there in last quarter and...

Yogesh Malhotra: So, INR10 crores income was related to the tax. It was basically recognition of the mat. So, it reflected in the tax itself.

Rahul Bhangadia: Okay. Last quarter you were saying it will sit in the...

Yogesh Malhotra: Q4 it was. INR10 crores of mat recognition. So, that was reflected in the -- not in the EBITDA. It is only in the...

Rahul Bhangadia: Okay. It was only on the tax side you are saying.

Yogesh Malhotra: On the tax side, yes. So, the tax number was lower by INR10 crores.

Moderator: Thank you. The next question is from the line of Vikash from Acorn Tree Group. Please go ahead.

Vikash: Thank you. One thing is our one of the customer is there is Amara Raja. And they also one of the early on subsidy is the Amara Raja circular solution is there which is also a recycling business area. Whether any kind of the impact has come in our lead recycling?

Management: In fact, a customer we are directly dealing with Amara Raja Batteries to which we are having the direct contract for supply of our products as well as we are collecting the battery scrap from

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different owners of Amara Raja and recycling it and supplying back to them. There will be the possibility and Amara Raja is also working on that that they will be putting up some recycling facilities down the line after three years. So, there is a recycling facility they are putting up. So, that is related to that.

Management: But the thing is that the overall opportunity in this case is pretty huge in the sense that currently around 30%, 35% of the total scrap available comes to the organized sector whereas the balance 65%, 70% goes to the unorganized sector. And with this new battery waste management rules coming into picture, we expect that majority of the scrap will now start coming back to the organized sector. So, there is a huge opportunity and there is a huge compliance pressure also on all these battery manufacturing companies.

So, just to fulfil that compliance commitment they may plan to set up battery recycling plants.

Exide has already done that. But Amara Raja had earlier planned to put up that plant much earlier but now they have kind of postponed it a little bit. Basically, that will be only from the compliance point of view. If they can find partners who can do it for them probably they will not come into recycling. And even if

if they do come into recycling there is still enough opportunity

available for all the battery recycling companies in India to grow at a very healthy rate keeping in mind the opportunity available.

Moderator: Hello. Mr. Hassan, does that answer your question? As there is no response from the current participant, we move on to the next question from the line of Vikas Mistry from Moonshoot Ventures. Please go ahead.

Vikas Mistry: Thank you for giving the opportunity. Sir, actually our sourcing is the main mode and how we are trying to build our mode in that regard. And from the perspective that what is the concentration of institutional clients specifically Amara Raja in case if they are trying to set their own manufacturing? That's my first question.

Management: See, Amara Raja sells -- and for that matter all the other battery manufacturers sell their batteries across India on a pan-India basis. So the battery gets collected across pan-India basis. So even if Amara Raja puts up a plant they will put up a plant in one location where they are kind of manufacturing their battery. But what about the other regions from where they have to collect those batteries from? That is where they need partners. So Gravita fortunately has pan-India presence. We have plants, one in north, one in south, one in west, one in central region of India. So it gives us in terms of overall efficiencies and logistic cost it gives us I mean advantage over others.

So even if they bring that plant that plant first of all will not cater to the entire capacities available for recycling in India. Then collecting that battery from say north and bringing it back to south where their battery manufacturing plant is there would not be logistically economical for them.

So they would need partners like us.

Vikas Mistry: That's great, sir. But my question is what is the concentration of those five institutional players who are giving sourcing to Gravita?

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Management: So in terms of their plants Exide has plant, major plant in Kolkata. Amara Raja is in south...

Vikas Mistry: Sorry to interrupt. Let me put it this way that what are the top 5 institutional client's percentage here in your scrap collection from them?

Management: Okay. In fact, other than Amara Raja we are collecting the scrap from various locations of SEZ then, IT companies like TCS, Wipro, Accenture those kind of clients and thirdly from the industrial sources. So by and large our scrap collection is more or less equal in volumes from all these institutional players.

Vikas Mistry: Sir, what top 5 players? What is the percentage?

Management: If you consider top 5, one is the TCS, second is Accenture.

Vikas Mistry: Can you place the percentage to that?

Management: This is random because the battery cycle is close to three years. So sometimes TCS volumes will be higher, sometimes Accenture volumes will be higher, sometimes Wipro volumes will be higher and sometimes SEZ business will be higher. So it normally varies on year-to-year basis.

Vikas Mistry: Any rough estimate, sir?

Management: Rough estimate? By and large all are equal. Because these are companies having different locations more or less similar kind of industries and similar kind of volumes data centres are having similar kind. But if you be very specific, we are getting more batteries from Tata group of the companies because we are having a global contract with the Tata group of the companies and it's an exclusive contract. So if you say that close to 20% to 25% batteries we are getting from these sources from Tata group. Rest will be distributed among four or five.

Moderator: Thank you. The next question is from the line of Ashit Koti an individual investor. Please go ahead.

Ashit Koti: My question is, sir, with regards to recycling if you are talking about sourcing of material from industrial u

sers also and assuming that batteries, which you are procuring from secondary market that is four-wheelers, two-wheelers or passenger vehicles or commercial vehicles. Region-wise if you have to consider, major concentration is from which area where do you procure more and from there in that place itself you have a plant or again or else you have to transport it back to your plant in Jaipur?

Management: See, around 80% to 90% of the total batteries 85% of the batteries are sold in these three regions, south, west and north and only 10% gets sold 10% to 15% gets sold in the eastern region. And in all these three regions whether it is south, we have a plant in south at Chittoor we have a plant in Mundra which is in west, then we have a plant in Jaipur which kind of covers the central region and we have a plant in Katwa in Jammu and Kashmir which covers the north region. So region-wise we have plant in all of the regions where 85% of the battery gets sold.

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Moderator: Thank you. The next question is from the line of Mohammed Hassan from Fairdeal. Please go ahead.

Mohammed Hassan: Thank you for the opportunity. Sir, since I am new to the sector, I just want to know about the new government rules about the recycling waste thing like, e-waste management thing?

Management: New rule on the battery waste management?

Mohammed Hassan: E-waste, e-waste management.

Management: Basically, all waste management rules whether it's e-waste, battery waste, tyre waste the principle is same, EPR principle polluter pays basis. So there is one policy wherein there is a responsibility on various stakeholders including producers, dealers, institutions and in different rules, you can visit details on MoEFCC website where the rules are already there. But in principle, every e-waste generated has to be taken.

A laptop producing company has to take back the laptop which they produced in year X and with considering the life they have to take back certain percentage of the electronic item, whatever it is they are selling it. Or they have to give it to a recycler who will recover various metals out of that by different processes and if they are not able to recover if they are an importer they have to get certificate of EPR from these recyclers. So all EPR rules are based on the same principles. There are the fine lines which can be seen on the website of the Ministry of Environment and Forest.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Over to you members of the management for any closing remarks.

Management: Thank you everyone for participating in this call. We are pleased to announce that we have begun the year on a positive note and we firmly believe that we are making steady progress towards realizing our vision of becoming the most valuable company in the global recycling industry. We trust that we have addressed all your inquiries during this session. However, if there are any remaining questions, please feel free to reach out to our investor relations team at Go India Advisors. Once again, we extend our gratitude to all the participants for joining us and for your attentiveness to our updates. Thank you and have a great day.

Moderator: Thank you very much. On behalf of Emkay Global Financial Services, we conclude today's conference. Thank you all for joining. You may now disconnect your lines.

Call: Nov 2023

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3rd November , 2023

GIL/202 3-24/112

To,

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30, 2023 conducted on 1st November , 2023 for your information and records.

The above information is also available on the website of Company:

<https://www.gravitaindia.com/investor-recordings/> .

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

FCS: 9984

Encl: As above

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NITIN

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“ Gravita India Limited
Q2 FY2024 Earnings Conference Call”

November 01, 2023

ANALYST: MR. SABRI HAZARIKA – EMKAY GLOBAL
FINANCIAL SERVICES

MANAGEMENT: MR. YOGESH MALHOTRA – CHIEF EXECUTIVE
OFFICER & WHOLE TIME DIRECTOR – GRAVITA
INDIA LIMITED
MR. VIJAY KUMAR PAREEK - EXECUTIVE
DIRECTOR – GRAVITA INDIA LIMITED *
MR. NAVEEN PRAKASH SHARMA – EXECUTIVE
DIRECTOR – GRAVITA INDIA LIMITED *
MR. SUNIL KANSAL - CHIEF FINANCIAL OFFICER
- GRAVITA INDIA LIMITED
*Non -Board Member
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Page 2 of 18 Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY2024 Results Conference Call of Gravita India Limited hosted by Emkay Global Financial Services. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Sabri from Emkay Global Financial Services. Thank you and over to you Sir!

Sabri Hazari ka: Good morning everyone. On behalf of Emkay Global, I welcome you all to Q2 FY2024 post-earnings conference call of Gravita India. We have with us the senior management of Gravita led by Mr. Yogesh Malhotra, Whole Time Director and CEO, Mr. Vijay Kumar Pareek - Executive Director, Mr. Naveen Prakash Sharma, Executive Director and Mr. Sunil Kansal, Chief Financial Officer. So today the management will brief from the result and then we will move on to the question answer round. So without any further delay now I invite Mr. Malhotra for the opening comments. Over to you Sir!
Yog

Yogesh Malhotra: Thank you Mr. Sabri. Good morning ladies and gentlemen and welcome to our Q2 and H1 FY2024 earnings call. I believe you have had an opportunity to review the earnings presentation and financial results that were uploaded on the stock exchanges. Before opening the floor for questions I will provide a brief overview on the major highlights of the quarter. I am very happy to share that Gravita has delivered stellar performance on both financial and operational fronts for Q2 and H1 FY2024. Before we delve into the results I

would like to share some strategic highlights and project updates . I am pleased to announce that ICRA has updated the credit rating for both fund based and non -fund-based facilities long-term rating has been upgraded to A+ stable from a positive for short term rating has been upgraded from A2 + to A1 . Gravita subsidiary in Togo West Africa has started commercial production of battery recycling from its existing recycling plant having an annual capacity of 6000 metric tonne per annum. I would want to highlight that the company has been sourcing scrap from Togo yard for the last 3 years and has set up a strong scrap connection network before establishing the plant there . Further the company is already having aluminium recycling plant having an annual capacity of 4000 metric tonne per annum in Togo West Africa and this new facility will enjoy the benefits of economy of scale and will be cost effective due to savings in logistic cost . Now let us discuss the operational performance . Coming to the capacity expansion as on 31st October 2023 , Gravita has expanded its total capacity to 2.84 lakh metric tonne per annum compared to 2.33 lakh metric tonne per annum on 31st March 2023 . We are strongly progressing towards our target of reaching the existing vertical capacity of 4.25 lakh metric tonne per annum by 2026 . Gravita is committed to expanding its capacity and hence is expecting to incur a capex of

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Page 3 of 18 more than Rs.600 Crores by FY 2026 for its existing as well as new verticals. Capex expected for existing and new verticals is approximately 350 Crores and Rs.250 Crores respectively . The company has witnessed a volume growth of 1% in Q1 FY 2024 on a year -on-year basis and we are seeing major volatility in the commodity place and some demand and slow down is also visible globally especially in China because of a strong relationship and OEMs across globe and back -to-back hedging mechanism we are able to generate volume growth along with sustainable margins . In case of plastic and aluminium , we are still in the process of developing OEMs approval and working on hedging options which will stabilize the margins with sustainable volume growth in these verticals also . Moving to financial results let us discuss the half yearly financial results . Consolidated revenue for H1 FY 2024 increased by 22% to Rs.1540 Crores and 48% of revenue in H1 FY2024 came from value added products aligning with our vision of achieving 50% revenue from this category Consolidated adjusted EBITDA for the half years stood at Rs.160 Crores that is up 23% and consolidated PAT showed an increase of 26% to Rs.110 Crores in H1 FY2024 from H1 FY2023 that margin increased to 7.1% . ROC for H1 FY2024 stood strong at 26% cash and cash equivalents of the company have increased to Rs.118 Crores as liquidity for future capex and working capital . Coming to quarterly financial results at consolidated level revenue for the quarter increased by 22% and 19% to Rs.836 Crores on a year on year and quarter to quarter bases respectively 44% of the revenue in Q2 FY2024 came from value added products and 39% revenue came from overseas business . On a year -on-year basis adjusted EBITDA increased by 23% to Rs.80 Crores. EBITDA margins stood at 99.5% . Gravita reported a consolidated PAT of Rs.8 Crores

with a 30% and 11% growth on year -on-year and quarter on quarter basis respectively PAT margin remained steady at 7% that is all from my end . I would now request to open the floor for questions and answers thank you and over to you Sabri.

Moderator : Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Mr . Rahul Bhangadia from Lucky Investment Manager . Please go-ahead Sir.

Rahul Bhangadia : Thank you for taking my question Sir and congratulations on good set of numbers. Two questions one is on the lead side things seem to be on track and they seem to be trending towards what we had guided for but aluminium and plastic volumes seem to be struggling while you touched upon it in the initial remarks but if you could just give us a better insight into what is happening there and what do you think you will do to kind of improve the trends that are visible right now .

Yogesh Malhotra : Sure Rahul so as I mentioned in the comments also that there is huge volatility in the metals or commodity market. I mean it has come down drastically especially in aluminium in the last year and because we are not hedging , there is no hedging mechanism currently so you

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Page 4 of 18 could see the effect on the bottom -line numbers of aluminium and also because of this huge volatility and also there is some slowdown in demand as I mentioned in China especially so our Indian operation is not running optimally so that is why you see some issues in aluminium EBITDA margins and aluminium volumes also. I mean there is a possibility that that this will continue for another quarter but by the next quarter or at the most by year end we will see some stability in these markets also and we are also working on some

mechanism for hedging for aluminium as well as I mentioned earlier in my earlier calls as well so hopefully that will be also in place by the end of this year so once these two things happen I think we will be in line to grow in aluminium also in the same manner as we are doing in lead .

Rahul Bhangadia : And plastic Sir.

Yogesh Malhotra : Because we closed down our plant in Karago last year so the effect is primarily because of that but we are increasing the capacities in wherever other plants are there because that was one of the major plants that we sold off so you could see some negative growth there but otherwise if you look at the existing verticals we are at par with last year .

Rahul Bhangadia : So maybe the existing sites are working at par with last year how much would have the shutdown plant contribute to the volumes in plastic .

Yogesh Malhotra : It is around 1000 tonnes in this quarter sorry .

Rahul Bhangadia : So 1000 tonnes per quarter is that shutdown site used to contribute.

Yogesh Malhotra : Yes.

Rahul Bhangadia : And besides that you are saying essentially then we are flattish .

Yogesh Malhotra : Yes we are flattish .

Rahul Bhangadia : But then Sir besides lead we need other guys also to start growing and if you could touch upon what is the developments in the newer verticals on rubber and other places .

Yogesh Malhotra : So rubber is doing well . We have increased our capacities in Ghana . We have also increased capacities in Tanzania . Senegal plant is also coming but it does not reflect on the bottom line per say because all the consumption from the material is in house only so it gets reflected in the profitability of other verticals wherever we are using rubber as raw material so apart from that we have already applied for consent to establish a plant for lithium-ion battery recycling at Mundra . We are waiting for the approvals once that comes through we will start setting of plants there , paper also hopefully in next quarter or a quarter next to that

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where we will start setting up a plant in central America for paper

also so these two verticals we are very confident that we will start putting up plant , we will start establishing plants in this year itself .

Rahul Bhangadia : Okay I will come back for more questions Sir just a final one . Given the slight challenges that you are witnessing in aluminium and plastic for varied reasons do you still think you will be able to go by your guidance that you have of course redirected in your presentation.

Yogesh Malhotra : So these are only short-term setbacks actually if you look at the prices of aluminium once they stabilize I think we have good to go . Our capacities have increased and in the long term if you look at it and we are very confident because the overall recycling space is growing very fast and we see a very good ecosystems in both these plastic especially and in aluminium also and that is why we are increasing our capacities . These are only short-term setbacks and especially because currently there is no mechanism for hedging you would see these effects on a quarter-to-quarter basis but if you look at the same time last year would have seen some increase in EBITDA margins in aluminium also because the prices are going up so once these prices stabilize we will come back to the same EBITDA numbers .

Rahul Bhangadia : Great Sir I will come back for more . Thank you so much . Thank you .

Moderator : Thank you Sir. The next question is from the line of Dhruv from JMFL . Please go-ahead Sir.

Dhruv : Good morning Sir. Sir my question is related to the long-term debt part . The long-term debt has increased from approximately 90 Crores to almost 325 Crores so what is the reason for this increase in debt .

Sunil Kansal : So basically we have taken some long-term loan in the overseas subsidiary in Netherlands which is we have taken it from some ESG European funds where the working capital and the capex needs of the overseas business is planned to met by these ESG funds so that is the reason where we have increased the long-term debt and reduced the short-term debt so earlier overseas business was being funded for the working capital from the Indian facilities but since we have taken this facility for the overseas business in overseas itself now Indian working capital debt is slightly reduced and some part of this long-term loan is already kept as a cash and cash equivalent in the overseas where it will be used for future capex and the working capital needs .

Dhruv : Sir from which entity you have taken this loan .

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Page 6 of 18 Sunil Kansal : Netherlands . So we have taken it is the Netherlands subsidiary and the overseas lender is Proparco and OECD these are the two overseas lenders , ESG funds . Their mandate is to fund the African business in the recycling space .

Dhruv : Okay and what is the rate of interest on these loans .

Sunil Kansal : Rate of interest is slightly lower than the current working capital loan facility we have taken in India so the Indian facility we are taking at around 8 and this facility comes at around 7 currently .

Dhruv : Okay overseas are at 7 . Okay Sir thank you so much . I will come back in the queue.

Moderator : We take the next question from the line of Satadru Chakraborty from Chakraborty Family Office . Please go-ahead Sir.

Satadru Chakraborty : Hello good morning congratulations on a good quarter . My first question revolves around the net working capital cycle so I think the inventories payables look good . My question really is on the receivables so there is a sharp jump and I see that cash flow cooperation is significantly down because of that . Can you give me a bit more insight on what exactly is happening is this one or two large customers who are not paying or is this going on credit so what exactly is causing this jump.

Sunil Kansal :

So yes on 30th September 2023 this number was exceptionally higher just because of some additional volume dispatches in the last few just before the quarter end and this money is already realized in the current month so it was exceptionally high just at the quarter end but it is already at the normal level at this point of time , so normal level is close to 150 Crores but yes it was higher on the 30th September .

Satadru Chakraborty : Okay any notional idea on how many days this is in terms of receivables or this quarter versus the last .

Sunil Kansal : Yes normally it is in the range of 18 to 20 days but exceptionally higher as I explained so it was around 25 days slightly more than 25 days .

Satadru Chakraborty : Okay understood my second question is a bit more nuanced in the results sheet that you have presented there is a point number six which says there is an appeal received by the commissioner of customs Jodhpur of around 70 Crores you are saying for the moment being you have a good case . There is no provisioning and there is just one line which mentions that in case any liability comes from the company , the company is entitled to take credit of the tax amount so I am not very sure I understand this last line correctly so what you are trying to say is if the liability comes then our revenues will go down and then the tax that

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Page 7 of 18 we have paid is more so we can get a credit of that tax amount is this what the strategy is so far.

Sunil Kansal : As mentioned this is a pre-imposed condition where we need to deposit the demand which is in the form of GST so whenever we deposit this amount in the form of GST it is available as a credit also for us to be taken for the future GST payments . It can be adjusted for the future GST payments so still we are under appeal . We are saying this case is not applicable on us but if as mentioned if the case is not in our favor we have to deposit this amount and we can take a credit off in the future GST payments for this amount .

Company Speaker : In other words it may affect the cash flows for the time being but it will not have any financial impacts in the longer terms .

Sunil Kansal : So that is the reason where we have not taken any provision on the company's financial .

Company Speaker : And to further add to this the judgment was given before the guidelines came from CBIC . The CBIC guidelines says that only the cases where this pre-import condition was violated , the GST has to be deposited while the honorable commissioner considered the entire period as a violation , one part is this so this number will reduce to less than 10% and second thing is that when we have gone to the appeal for the tribunal so there we are telling this is a bonafide case not wherein this cannot be raised on us after a period of two years so these are two other scenarios which are already there .

Yogesh Malhotra : I hope we have answered your question or do you need some further clarification on this .

Satadru Chakraborty : No I think this is quite good thanks for this. The last question I have really is on the upcoming diversifications so any sense on what exactly is the company and the management trying to do with the lithium-ion recycling because I know there is a lot of scope for this in the market .

Yogesh Malhotra : So as I mentioned earlier answering some question that have plans to put up a lithium-ion recycling plant a pilot project in Mundra and we have already applied for consent to establish a plant in Mundra . We are waiting for the concerned authorities to approve that plan for us to start putting up plant there so hopefully we will get that consent in the next quarter and then we will start putting up plant for lithium-ion recycling in Mundra in this year itself .

Satadru Chakraborty : Okay one additional followup just taking this further I do not think there is any hedging mechanism in place that you can afford to do with the lithium metal , the way it stands now

right .
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Page 8 of 18 Yogesh Malhotra : For all metals there is a hedging mechanism it can be traded on exchanges . There is LME London Metal Exchange .

Company Speaker : Lithium ion is getting formation because SSFE China is a major lithium supplier so there is some mechanism which is being developed but since these batteries availability is very low and we expect that more volumes to come by FY 2026-2027 then this particular hedging will also evolve over a period of time .

Satadru Chakraborty : Right thank you gentlemen all the very best .

Moderator : The next question is from the line of Mr . Parikshit Kabra from Pkeday Advisors. Please go-ahead Sir.

Parikshit Kabra : Hi thanks so much . Congratulations on your results . Great set of numbers. I wanted to touch upon something that other people have already touched upon is basically the lithium opportunity but not from the angle of recycling lithium but this is obviously going to impact the lead market as well maybe not in the next couple of years but maybe in five years , six years so I just wanted to get a sense from the management over the next five to six years how do you see the lead market total addressable market evolving and Gravita's market share within that .

Yogesh Malhotra : So I think although it may affect the lead market it will not affect in a big way because lead acid battery is used for lighting ignition and starting so it is a SLI battery that we use whereas a lithium -ion battery is a traction battery which is used to drive the car so even in a electric vehicle you would require a lead acid battery although the size of the battery is smaller . The lithium battery replaces the IC engine part .

Parikshit Kabra : It is not there. If I know this has been the line for a while but we know that the consumption will significantly drop right .

Yogesh Malhotra : I mean the size of the battery would be say around 70% of the size of the battery that is getting used currently in IC engines but at the same time , I mean it will take some time . I think what you were mentioning about in the next 3 , 4 years it will replace lead acid battery or the EVs will replace the IC engines that would happen probably in the developed countries but in countries where we are present I think most of the applications would still run on IC engine is our take but we have mentioned earlier also that it does not matter whether lithium ion battery comes in place or maybe some other technology comes in place our business is recycling business where the ecosystem is more important , procurement is more important than the technology , technology can be bought but the whole ecosystem of procuring material , processing it , and then supplying to the OEMs that ecosystem is much Gravita India Limited

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Page 9 of 18 more important so although the lead acid battery may come down in future we believe that recycling of lithium battery will present a much larger opportunity for us to go into .

Parikshit Kabra : Absolutely and that makes sense right when we diversify we can go into other segments and I completely appreciate so this is not a this is not a take on Gravita as a whole I am just trying to understand the lead market as a vertical how we see the lead vertical evolving over the next five to six years , Gravita may obviously create multiple new businesses and that is great but how will the lead business evolve over the next five to six years in your opinion .

Company Speaker : Yogesh rightly said that lithium -ion batteries are upcoming market and undoubtedly it is going to take some space out of the Gravita's recycling diagram but if you see in lead space also we have hardly 2% of the global market share . Because in case of Gravita's perspective

we see that we will position our self more in global market to sustain the volumes of lead but yes in times to come as soon as the lithium ion increases it will take the space from the lead space.

Yogesh Malhotra : Yes so to answer your question Sir definitely there will be a hit on lead acid battery manufacturing . I mean all the IC engines would get converted to EVs but then there are other opportunities also coming stationary batteries . I mean like this battery power storage is also another application that is there so overall probably in the mobility business or in the cars or I mean like automobile batteries section lead acid battery may go down but there are other application for lead that are still growing . I mean like we are talking about a cable industry which is using lead as a sheathing mechanism which is also growing then there is radiation industry , x-ray machines and nuclear power plants . There are various other application for lead which are also growing at the same time so overall we are very confident that the lead as a commodity there is very little chance of it going down because of the other opportunities that are available for this .

Parikshit Kabra : Okay great thank you so much . Thank you for taking my question .

Moderator : Thank you Sir. The next question is from the line of Mr . Rahul Son i from IC ICI Bank limited . Please go-ahead Sir.

Rahul Soni : Yes thanks for giving me an opportunity . Sir my question is on the procurement side . Sir I want to know what percentage of your raw material requirement like scraps for lead and aluminium you procure from globally and at what discount to the prevailing LME prices , thirdly I want to know what is the power cost for smelting of lead and aluminium compared to the recycling of the same . As compared to recycling what is the power consumption .

Yogesh Malhotra : If you mine the metal as compared to recycling right.

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Page 10 of 18 Rahul Soni : Yes.

Yogesh Malhotra : So to answer your first question you were asking about the price of battery that we buy.

Rahul Soni : Percentage of your total raw material procurement.

Yogesh Malhotra : I will give you ballpark figure that whatever batteries we are importing in India is somewhere in the vicinity of 50 to 55% of the LME prices right so but the lead content in that battery is around 60 to 65% so you will probably get the picture so it is around 80% of the total lead available. The price of the battery is around 80% of the total lead metal available in that battery when you import that battery . Whereas in India it is somewhere around 58 to 60% so it is around 90% of the total lead available in that battery if you buy it in India . We have our own yards in Africa where we get this lead acid battery at around 40% of the LME prices also so it varies a lot depending on which geography you are in where you are buying it from either you are buying it from your own yards or you are going to aggregators and buying it from there so the prices would change drastically depending on the geographies and the mechanism . Coming to the energy cost of recycling business in mining it is approximately 1/4 of the total energy cost is used if you are smelting it by recycling as compared to mining and in case of aluminium it is 120, it is only 5% of the energy that you consume when you recycle aluminium as compared to when you do mining of aluminium so it is very energy efficient .

Rahul Soni : So in terms of units what is the power consumption for lead smelting ?

Yogesh Malhotra : So in recycling generally it is not the power it is the fuel that is important because for smelting you use fuel and not power is very minuscule . A major part of energy that is consumed is through in way of furnace oil or gas or coal or any other such thing . To give you a picture I think for every tonne of lead that we

produce we use around 50 liters of furnace oil .

Rahul Soni : Okay so that is the main fuel component .

Yogesh Malhotra : Yes that is a major component and for that also we are using rubber and tire recycling and we are kind of replacing the fossil fuel and using tire instead of fossil fuel so we using pyrolysis oil to replace fossil fuel for our smelting processes .

Rahul Soni : Okay.

Moderator : Thank you Sir. We take the next question from the line of Mr . Khush Nahar from Electrum PMS . Please go-ahead Sir.

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Page 11 of 18 Khush Nahar : Thank you for the opportunity Sir so I just have two questions one what would be the percentage of domestic sourcing this quarter.

Company Speaker : So domestic sourcing percentage is close to 20% in this quarter but on H1 basis it is approximately 27% .

Khush Nahar : Okay and Sir just want to know that are we maintaining on the volume guidance as said earlier on 20 -25% for FY2024 and going ahead for the next two , three years seeing the demand slow down .

Company Speaker : Yes correct so that guidance is given for till FY2027 so that guidance is continued of 25% .

Yogesh Malhotra : so as I mentioned earlier also we are not affected by slowdown that much in lead business because we already have and also as Vijay mentioned earlier that the total capacity that we have is hardly 2% of the total global requirement so the slowdown will not affect us that is one part , the second part as Sunil also mentioned this is only temporary setback in the longer terms I think in aluminium and plastic will come back to the same position that was there last year so in the longer run in the next 3 years 25% growth rate is not at all a problem .

Khush Nahar : Okay Sir thank you .

Moderator : Thank you. We take the next question from the line of Ketan Athavale from RoboCapital . Please go-ahead Sir with your question.

Ketan Athavale : Hello thank you for the opportunity Sir. I wanted to know what revenue growth can we get in this year FY2024 will it be slightly lower than 25% and also what is your EBITDA

margin guidance for FY 2024-2025 and 2026 thank you .

Sunil Kansal : So revenue growth in H1 is approximately 22% so we are giving it volume guidance of 25% growth on a longer -term basis so which is the target for us so there may be some fluctuation in the prices so that may vary from year to year or quarter to quarter but yes we are confident for taking a volume growth of 25% on a longer -term basis .

Yogesh Malhotra : I will just elaborate it a little bit more in the sense that our focus is more on the bottom line rather than the volume growth in revenue numbers because there are various factors that are important in the volumes . As I mentioned that sometimes we also have arbitrage opportunities where we bring in some of the material that we source outside into India and therefore it does not get reflected when you consolidate the numbers so the volume growth shows a little lesser than the total production that we have done so that way the volume growth may not be the right reflection on how much production we have done or how much
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Page 12 of 18 volumes we have done overall because it gets eliminated when you bring it to India and then sell it from India that is only because we want to increase the bottom line so those numbers can change but our guidance on the bottom line of 30 to 35% growth on the PAT numbers are intact and we are very confident of achieving that in longer run also .

Sunil Kansal : And in addition to that we are also focused on taking the minimum ROC of 25% because uh there is different kind of businesses and different kind of businesses involved , different kind of working capital also so to be more precise on the bottom line that ROC return on capital is a more precise number we follow and the target is minimum achieve

25% .

Sunil Kansal : Okay thank you Sir. Thank you so much .

Moderator : Thank you . The next question is from the line of Jenish Karia from Antique Stock Broking . Please go-ahead Sir.

Jenish Karia : Thank you Sir. The first question is with regards to the capex so first half we have done around 54 Crores of capex as per the cash flow statement . We are guiding for around 205 Crores of capex in FY2024 so will second half be capex free or do we see some slippages in the next year .

Sunil Kansal : So approximately 54 Crores we have done in the H1 but H2 may have another 100 Crores and part of plan of H2 May carry forward to the next year maybe first half of next year so that will be incurred in that one, so maybe 50 odd Crores will carry forward to the next year.

Jenish Karia : And the 100 Crores that we plan to spend in the second half will it be majorly for the lead overseas business or which vertical will it be.

Yogesh Malhotra : So basically it is for the existing vertical capital we are talking about and it is not 205 Crores per annum because it is around 150 Crores per annum for the existing verticals we were talking about so we would be completing that 150 Crores for current verticals in this year apart from that in another vertical we are expecting to incur around 45 Crores this year and then 100 Crores next year and the 100 Crores next year so in the existing verticals we are in line , it is the new vertical we are talking about . We are talking about lithium and so we are completing our feasibility for paper and steel plant in Africa and Central America that may get postponed to the next year . I mean some of the capex in those two lines may get postponed to next year spill over to next year but the existing vertical in line with the total 150 Crores that we are talking about .

Jenish Karia : Okay that is helpful . The second question is uh why is the domestic sourcing for India plants uh declining over last four to five quarters .

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Page 13 of 18 Yogesh Malhotra : I have talked about this earlier also sometimes there is an arbitrage opportunity where the overseas market is more price I mean effective as compared to the Indian markets . There is a difference between the prevailing prices overseas compared to the Indian markets during those times we import a lot of batteries into India and on other occasions we export a lot of material from India also whenever the prices are the other way around . In last quarter in Q1 there was a huge arbitrage opportunity so we imported a lot of battery into India because of that there was surplus of batteries availability to us so because of that we hold procuring any batteries both from overseas also and in India also so that is one of the reasons otherwise there is availability but when there is availability we choose the scrap that is cheaper to us so it happened in last quarter but from next quarter onwards you will see improvements in the domestic battery scrap also . It is not because of non -availability of battery much because our capacities are limited so it is dependent on the price of battery that is available to us .

Jenish Karia : And just a follow up on that so prior to FY2023 and FY2022 the proportion of domestic

sourcing for India plants was upward of 50% with battery waste management rules getting implemented from FY2023 onwards the proportion of sourcing from India has gone down so is it because of the rules being implemented, the domestic sourcing has become costlier and we are finding it economical to import it is that understanding right or am I wrong. Yogesh Malhotra : Batteries have always been cheaper overseas. We are increasing our capacities because there is huge opportunities in the local space also but at the same time we are increasing our procurement yard capacities overseas. The overall capacities are increasing and the overall batt

ery availability is also increasing for us both from Indian market as well as from overseas market but we pick and choose which is more price efficient for us and that is what we do so at the back of it both prices as well as the ROC is important to us but when you see there is a huge arbitrage between overseas batteries and domestic batteries during those times only we buy more overseas scraps as compared to the Indian scrap having said that we are already increasing our capacities in India. We had increased the capacities in Mundra and are continuing to increase our capacities so that whatever scrap is available we can use that scrap also.

Jenish Karia : Just to summarize that the spreads between the overseas and India battery right now narrows down to yield increase of domestic sourcing right.

Yogesh Malhotra : So if you look at the overall numbers compared to last year we have procured 40% more batteries as compared to last year in India.

Jenish Karia : Earlier we used to report our overseas profit as a percentage in our presentation so that has stopped since the last two quarters.

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Page 14 of 18 Yogesh Malhotra : Actually earlier there was a concern about the Indian profits being too low so we were always mentioning that Indian profits but if you want we can start it from next quarter again.

Jenish Karia : That would be helpful Sir and if you can just give me the last two quarter numbers.

Jenish Karia : I probably will share it offline. I do not have it ready.

Jenish Karia : No problem I will take it offline Sir. Thank you so much for your time.

Moderator : Thank you. We take the next question from the line of Mr. Navneet an individual investor.

Please go-ahead Sir.

Navneet : Hi Sir can you tell me the market share that you have in lead recycling right now.

Yogesh Malhotra : So it is a very fragmented market. It all depends on which geography you are present in because we are not present in the developed world where most of the battery gets consumed. We are not there in Europe. We are not there in US so overall global market share would not be available but when we talk about Indian market of the total organized market we have around 15 to 17% market share in India and wherever we are present in Africa whichever country we have more than 50% market share in all the countries that we are in so we are a major player in most of the countries.

Navneet : And Sir organized market would be what proportion in India.

Yogesh Malhotra : Around 30% of the total market would be organized 30 to 35%.

Navneet : Got it. Do you have similar numbers for your plastic and aluminium business as well?

Yogesh Malhotra : For plastic it would be very difficult because most of the plastic business in India is unorganized. Not more than 10% would be in the organized sector more than 90% would be in the unorganized sector. For aluminium I will just hand over to Mr. Naveen.

Naveen Prakash : In aluminium mostly India is importing the scrap because the local generation of scrap is very less so that volume is percentage wise very low you can say our capacity here we have around 15,000 tonnes per annum and alloy market should be somewhere around 7 to 8 lakhs so percentage maybe 2-3%.

Navneet : Right on the aluminium and plastic business before you grow it aggressively would you want to sort of develop that hedging plan or irrespective of whether you can develop the hedging plan or not you would continue to invest heavily in these businesses as well.

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Page 15 of 18 Yogesh Malhotra : See there are two aspect of this business when we recycle. One is when you use this EPR like we are doing it in lead recycling also we have tolling business availability so part of the business would be tolling business as we grow especially in plastic more and more because of t

he EPR extended producer responsibility. There you would not require any hedging so hedging is important but business proposition is more important so I will just give you an example because what happens when you do not hedge is that your quarter-on-quarter variability in profit would be there but that profit does not go anywhere if you keep the

same stock even whether there is a hedging mechanism there or it is not there it will only affect your quarter-on-quarter profit. If you keep the quantities constant, if you keep on buying regularly throughout the year then whenever there is a change in prices again you will start getting the benefit of the stock that is already there so it will not affect the actual profits it is just a notional profit that gets affected.

Navneet: I understand so currently in terms of profitability at least in this quarter these two businesses contributed quite insignificantly to your overall firm so when do we see these businesses contributing say upwards of 10% at least to your overall business.

Yogesh Malhotra: So definitely with increasing volume if you see in the last year we have increased the capacities of aluminium by more than 100% that is one thing and if you see last year also the profit from aluminium was high because the prices were high. This year you are seeing because the prices have come down so the price of my inventory has gone down. Once there is a reversal in prices again the prices of inventory will go up again and that profit is already intact in the inventory so it has not gone away and despite that on the current business also 11% of the EBITDA comes from aluminium and plastic and another 8% comes from turnkey solutions, so lead is contributing 81% of the total EBITDA currently.

Navneet: We take the next question from the line of Mr. Rohan Vora from Envision Capital. Please go-ahead Sir.

Rohan Vora: Hi thank you for the opportunity. Sir I would like to have your views on how different the sourcing ecosystem would be for lithium, paper, etc the new businesses. How different would be the sourcing ecosystem.

Yogesh Malhotra: The sourcing equipment I think it is very similar to the tolling business that we do where you will have to tie up with the OEMs and collect battery on their behalf from their workshops and also most of the business would be that way when you have relationship with the OEMs either battery manufacturing OEMs or car manufacturing OEMs which is very similar to the Indian business that we are doing and also some part of it will be the retail batteries that are being used by E-rickshaw and especially in countries like India and developing countries that would come probably through the retail network only but that

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Page 16 of 18 would be only a small percentage of the total business available, other business would be the uh very similar to the OEMs relationship that we are having in lead acid battery in India.

Rohan Vora: Okay and across the globe would there be any difference.

Yogesh Malhotra: No it is going to be very similar because generally what happens first of all the life cycle of a lithium ion battery is very high and second thing is because it comes under the warranty for car it will go to the workshops only to get replaced or maybe get changed or things like that so it is going to be especially for passenger car it would be very similar to the lead acid battery system that is in place whereas for three wheelers or e-rickshaws or maybe two wheelers etc probably it will come through retail networks.

Rohan Vora: Okay thank you Sir.

Moderator: Thank you Sir. We take the next question from the line of Mr. Shubham Thorat from Perpetual Capital Advisors. Please go-ahead Sir.

Shubham Thorat: Yes thank you for the opportunity. One of the earlier answers you mentioned that even if the lead acid battery share

in the space will be declining there will be other applications that

can support our lead division so can you tell deeper into what spaces are we looking for.

Company Speaker: Yes the other application will certainly grow as country is growing, per capita income is growing so the storage energy household batteries their life demand will certainly go and telecom towers they will keep growing so alloy cable industry, so smart city storage and solar. As of now solar is mostly used off grid so later on they will be using societies or housing societies will be storing energy in lead acid battery only so those sectors will grow and that demand will be even bigger.

Shubham Thorat: Yes thank you.

Moderator: The next question is from the line of Mr. Hemish an individual investor. Please go-ahead Sir.

Hemish: I just had one question when you mentioned that so the rubber is now being used as a fuel so should it not increase your margins going ahead as you keep adding more capacities for rubber recycle.

Company Speaker: Definitely it will increase the overall profitability for us because it will reduce the cost of fuel wherever we are using it so definitely it will have some marginal impact on the overall profitability or the EBITDA margins as we increase the capacities so far we do not have any rubber recycling unit in India but now we are in discussion of putting up a continuous

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Page 17 of 18 process which is a state of art process which is currently not used in India to start using that for our Indian plants also .

Yogesh Malhotra : In addition to the margin Improvement it will have better and more impact on the environment side . It will be better for the environment as we are not using fossil fuels as an insight.

Hemish : So when you talk about the new avenues like paper recycling and how much time does it take for the plants to come up on stream . If you start by Q4 how much time does it take for the plant to get set up?

Yogesh Malhotra : So it all depends from country to country how much time would it take for you to take approvals for a particular plant because these categories , especially paper industry is very critical environmentally so sometimes it takes a lot of time for clearances also but generally once you give a go ahead from that point to installing a project would take around one to one and a half years .

Hemish : Okay and Sir Q-on-Q your margins have gone down now is it because of notional loss that you would have on your aluminium business is it partly because of that and if you have the amount if there is any inventory loss that you have there .

Yogesh Malhotra : Yes so some of the notional loss that we have got is part of the notional profits that we got last year so we always stated that the average EBITDA is around Rs.17 rupees in aluminium Rs.16 to 17 per kg in aluminium last year that profit was Rs.20 because the prices were going up regularly . Once the prices came down so whatever we have gained in inventory last year got reflected in the profitability this year but some part of the profit are still in the inventories if the prices go up again we will again start seeing some better EBITDA margins going forward so this is for aluminium but in case of lead we are very stable on the per tonne EBITDA so normal EBITDA margin is in the range of Rs.16 to 17 per kg. Some time we get slightly additional margin on account of arbitrage opportunity by selling more into India when the Indian prices are higher and by selling some more quantities in overseas when the international prices are higher so that with arbitrage because we are present in both the markets where we take the advantage of that so some quarters it is higher but normal margin is Rs.16 to 17 rupees per kg which we are maintaining .

Hemish : Okay no problem . Thank you Sir.

] Moderator : Thank you . Ladies and

gentlemen that was the last question for the day . I would now like to hand the conference over to the management for closing comments .

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Page 18 of 18 Yogesh Malhotra: Thank you everyone for participating in this call . At the end I would want to mention that Gravita has made a niche for itself over the last 31 years and our strong performance year on year is a testament to our fully integrated business model which covers all the key aspects of recycling . Our strategic position as one of the few recyclers in the formal sector is supported by strong sector tailwinds like stricter government norms of BWR and EPR.

Our pan India and global presence , integrated supply chain , operational excellence , and strong risk management framework makes us a preferred partner of choice for OEMs across India and gives us confidence to meet our vision 2027 of diversifying into new business verticals and achieving revenue CAGR of 25% plus profitability growth of 35% and ROCE of 35% . We trust that we have addressed all your inquiries during this session however if there are any remaining questions please feel free to reach to our investor relations team at Go India Advisors. Once again we extend our gratitude to all of the participants for joining us and for your attentiveness to our updates . Thank you and have a great day , thanks .

Moderator : Thank you Sir. On behalf of Emkay Global Financial Services that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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29" January 2024

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To,

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Phiroze Jeejeebhoy Towers The National Stock Exchange of India Ltd.

Dalal Street, Exchange Plaza, C-1, Block G,

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Fax No.: 022-22721919 Mumbai- 400 051

Scrip Code- 533282 Fax No.: 022-2659 8120

Company Code- GRAVITA

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended December 31, 2023

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended 31* December 2023 conducted on 24% January 2024 for your information and records.

The above information is also available on the website ~of Company:

<https://www.gravitaindia.com/investors/financial-details#>

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

FCS: 9984

Encl: As above

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{>GRAVITA

"Gravita India Limited

Q3 and 9M FY 24 Earnings Conference Call"

January 24, 2024

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MANAGEMENT: MR. YOGESH MALHOTRA — WHOLE TIME DIRECTOR

AND CHIEF EXECUTIVE OFFICER — GRAVITA INDIA

LIMITED

MR. SUNIL KANSAL — CHIEF FINANCIAL OFFICER —

GRAVITA INDIA LIMITED

MODERATOR: MR. MANISH MAHAWAR — ANTIQUE STOCK BROKING

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Moderator:

Manish Mahawar:

'Yogesh Malhotra: Gravita India Limited

January 24, 2024

Ladies and gentlemen, good day, and welcome to Gravita India Limited Q3 FY 24 Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please call an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Inow transfer the conference over to Mr. Manish Mahawar from Antique Stock Broking. Thank you, and over to you, sir.

Thank you, [Manojal. On behalf of Antique Stock Broking, I would like to welcome all the

participants on the 3Q FY 24 Earnings Call of Gravita India. From the management, we have Mr. Yogesh Malhotra, Whole Time Director and CEO; Mr. Sunil Kansal, CFO, on the call. Without further ado, I would like to hand over the call to M. Malhotra for opening remarks, post which we'll open the floor for Q&A. Thank you, and over to you Mr. Malhotra.

Thank you, Mr. Manish. Good afternoon, ladies and gentlemen, and welcome to our Q3 and 9 months financial year 24 Earnings Call. Today, we'll be discussing our company's financial performance and strategic decisions. Our investor presentation is available on the exchange, and we hope you have had a chance to review it.

I'm pleased to announce that Gravita India has demonstrated robust performance during Q3 and 9 months financial year '24. Before we delve into the results, I would like to share some project updates.

I'm pleased to announce that Gravita's step-down subsidiary, situated in Tanzania, East Africa, has started commercial production of recycled PP granules from its new plastic recycling plant, having an annual capacity of around 1,800 metric ton per annum.

The company will be securing domestic plastic scrap for production from this plant, and it will cater to th

e needs of plastic manufacturing industries situated in Europe and Asia. This plant will help the company to optimize its sales mix by increasing the contribution from plastic business. Let's now discuss the operational performance. Coming to capacity expansion, we are making significant strides towards our goal of attaining a capacity of 4.25 lakh metric ton per annum by financial year 126.

As of 31st January 2024, Gravita had expanded its capacity to 2.86 lakh metric ton per annum compared to 2.33 lakh metric ton per annum on 31st March 2023. I'm pleased to announce that the production has increased by 17% in Q3 financial year 24 on a year-on-year basis. However,

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the company has witnessed a sales volume drop of 7% in Q3 financial year 24 on a year-on-year basis, lead volume increased by 2% to 34,488 tons on a Q-on-Q basis, whereas aluminum and plastic volume dropped by -- to 3,264 tons and 2,458 tons, respectively. The reason for drop in volumes was due to logistics disruption.

To reiterate our capex plan for the future expansions to reach the targeted capacity of 4.25 lakh metric ton per annum by financial year 26, we will be incurring a capex of approximately INR600 crores by financial year 26, covering both existing and new verticals. The estimated capex for existing and new verticals is approximately INR400 crores and INR200 crores, respectively.

Moving to financial results. For 9 months financial year '24, consolidated revenue for 9 months financial year '24 increased by 12% to INR2,297 crores, 47% of revenue in 9 months financial year 24 came from value-added products, in line with our vision of achieving 50% revenues from this category.

Consolidated adjusted EBITDA for 9 months financial year 24 increased to INR238 crores, up by 19% on a year-on-year basis. Consolidated PAT showed an increase of 24% to INR170 crores in 9 months financial year 24 compared to same period last year. PAT margin increased by 7.4 - increased to 7.4%.

Coming to Q3 financial year 24. Revenue for the quarter witnessed a slight drop of 2% to INR758 crores on a year-on-year basis because of drop in volumes, which were impacted due to logistics disruption. However, this was largely offset by increased realizations.

On a year-on-year and Q-on-Q basis, adjusted EBITDA increased by 26% and 11%, respectively, to INR90 crores. EBITDA margins also showed a significant increase to 12% compared to 9% in Q3 financial year 23. Gravita reported a consolidated PAT of INRGO crores with a 20% and 4% growth on a year-on-year and quarter-on-quarter basis, respectively. PAT 'margin remained steady at 8%.

In conclusion, I would like to emphasize that Gravita is making significant strides toward realizing its ambitious Clear Vision 2027. Our emphasis on diversifying into new business verticals targeting a revenue CAGR of 25%-plus and profitability growth of 35%-plus, achieving a ROCE of 25% and increasing the non-lead business to 25%-plus, highlights our commitment to sustainable development.

Successful strategies, such as capacity expansion, increased proportion of value-added products and proactive risk mitigation through back-to-back hedging have contributed to strong and sustainable margins. With our global presence, integrated supply chain and stakeholder support, we are confident in realizing our Vision 2027.

That's all from my end. I would now request to open the floor for questions-and-answers. Thank you, and over to you, Mr. Moderator.

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Moderator:

Kushal:

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Sunil Kansal:

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Moderator:

Chetan Thacker:

Sunil Kansal: Gravita India Limited

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Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Kushal from Motilal Oswal. Please go ahead.

Sir, can y

ou expand more on this logistics...

Excuse me, Mr. Kushal, can you be a little louder, please?

Yes. Sir, can you explain logistics disruption, how long the impact would be, the quantum of impact and everything on that end?

So basically, this logistics disruption came because of this Red Sea issue. So we expect to be over by this current quarter end or latest by April end. So — but we - as for the company, we are taking some alternatives. We are using certain strategies to mitigate this impact on the bottom line of the company. So we are moving certain goods to India also, to other territories also to maybe remain on - lower on the volumes, but to maintain the bottom line.

Sir, the quantum of impact...

Dispatches from overseas plants to Europe were disrupted because of this issue. And also from India, some exports from our Mundra plant was disrupted. So we are looking at alternatives to sell this material to some other markets probably and also bring some material from our overseas plant into India, which will impact our revenue for some time, but it will not have a major impact on the bottom line during this period.

Quantum of impact if you can - for this quarter would be around?

Sorry?

Quantum of impact would be for this quarter?

So quantum of impact on the volumes, approximately INR100 crores to INR120 crores of revenue...

Thank you. The next question is from the line of Chetan Thacker from Ask Investment Managers Ltd. Please go ahead.

Sir, just wanted to understand from you what we've seen in OP for the lead business in particular, which is at INR23 a kg and it appears to be more on the higher side of what we believe s the normalized operating profit. So can you just let us know s there any one-off there sitting there?

Or what is the reason for this higher operating profit per ton on the lead business?

So basically, as we discussed that there was some logistic issues of Red Sea and there was some volume impact where we could avoid certain volumes. So when this kind of situation is there when we are not able to increase the volume, so the lower margin business, which is where -- like the tooling business, where we get to slightly lower per ton EBITDA, so we avoid to do that

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Chetan Thacker:

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'Yogesh Malhotra: Gravita India Limited

January 24, 2024

kind of business. And at that point in time, overall per ton EBITDA improves, but with the lower volumes.

So that strategy was there in this quarter specifically, where volumes were lower, per ton was higher. But yes, this is not a normal situation, so we expect to be - whenever the normal volumes comes after this issue is resolved, so we should be normal to the INR18 to INR19 per kg of

margins.

Sure. So that will get then compensated by higher volumes, so that is how that gets compensated?

Correct. Correct. Correct.

And sir, when we say well be moving certain materials to the Indian manufacturing sites for recycling, does that essentially mean that there will be some impact on working capital as well to that account?

Yes, definitely, there will be some impact on the working capital cycle. But at the same time, currently, we are enjoying some arbitrage because Indian market is a little favorable. So I think it will be more than compensated by having some additional realization.

Yes. So this quarter also, the margins were higher. So overall, when we get this material to India, So we slightly get better margins. So at that point in time, the ROC remains same. But at the same time, we cannot import all the material to India. So it will have some impact if this situation continues in the Q4 also.

Is it fair to understand that there will be certain impact on volumes in the fourth quarter as you look how best to optimize given the situation that we are facing and that you will try and

optimize

or set off that by doing higher-margin products for the time being and then you look at it more structurally to see how things can be worked out?

Yes. So because we have long-term contracts, So it's not easy to find new customers. Probably on the short term, it may have some impact, but because of our production is not going down, our production has increased, our capacities have also increased. So in the longer run, it will come back to normal very soon.

And sir, in volume terms, what could that impact be, if you could quantify? You've given the revenue impact, but what could be the volume impact because of this?

Because there is no price fluctuation, so the revenue impact is only — the volume impact and revenue impact is same. There is not much, not much fluctuation impact.

So we should ideally take whatever is the LME, plus your conversion and the margin there and then try and get a number of the volume, that would be a fair number on the volume.

Correct. Correct. Correct.

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Okay. And sir, this impact is not purely on lead, it's on other products as well because of this Red Sea issue.

Yes. So slightly more in case of plastics because plastic is not able to come to India. So lead we can bring to India, but plastic is not the case for India. So it's more impact on plastics. And aluminum also because, in our case, most of the aluminum gets manufactured in overseas plant only. So the proportion of aluminum production in overseas is more than 70%. So, therefore, the impact in aluminum also is there.

So lead, the tepid in volume growth is not purely on account of logistics, there are some other factor as well?

No, it's purely on - so because the production is higher, so we have more stock — finished good — more stock of finished goods available in our factory, which will probably be diluted in this quarter probably or, otherwise, at the max next quarter.

Understood. And sir, the alternate route to reach Europe will mean what degree of higher freight costs that you would have to incur if this has to be done?

No. Right now, it's basically — I mean very difficult to ascertain because even at the current level, the freight costs have gone 7 to 8x. So it's very difficult to ascertain. But I think it will normalize for a period of time in the sense that either the premium to these markets will come down. And similarly, the price of raw material will also drop a little.

So - but these disruptions only have an impact on a short-term period. In the longer term, everything will then normalize. I mean either — because if the freight cost remains higher then what will happen is that the premium for the product from these countries into Europe will drop down a little to compensate for the increase in freight cost. But similarly, the raw material costs will also drop down. So its only in the short-term basis that these things impact you a little.

Understood. Sir, our contracts have the capability to — or the flexibility to build them at a higher cost because this is something which is obviously not in the normal course of business, so that 'would mean that we could...

So as I mentioned that, in the shorter term, no, but in the longer term, of course, either we'll have to give in and reduce some premium or they will increase the premium and things like that will happen. But as I mentioned, that it will also have impact on the raw material costs from these countries.

So you are saying the RM will also go down for you, which comes to you in terms of scrap?

Yes, if this thing continues for a longer period.

Okay. And sir, scrap for this is procured, so is it — so from the plants where we are manufacturing, this is more inbound raw material that co

mes through or it's more locally sourced

'material and that gets recycled?

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Yes, it's more locally sold material, but - because it's not only us, the prices for logistics increases for everybody else. So the fair thing is that it gets distributed across the supply chain or the value chain. So if the premiums go down in the long run, the prices of the raw material will also come down.

So a fair assessment will be that because RM is locally sourced, you see pricing going down there and given material is not moving efficiently to the European markets, most of recyclers like you will probably demand a higher premium because an alternate freight route has to be then developed. So that is how, from a more medium- to long-term perspective, profitability comes back, but the short- term disruption has to be managed.

Absolutely. You're right.

Okay. This is very helpful. Thank you so much.

Thank you.

Thank you. The next question is from the line of Suruchi Parmar from Nx Wealth Management. Please go ahead.

Yes, good afternoon sir. Thank you for the opportunity. I just wanted to ask about the aluminum. EBITDA per metric ton aluminum has dropped from the last quarter as well as from the last year also. So what is the reason for that?

So basically, as we discussed every time this part, so basically, in case of aluminum, we are not fully hedged on the metal side because this is an aluminum alloy which we deal into, so we don't find any solution for hedging of this metal. So whenever there is a price fluctuation, so it impacts the per ton EBITDA margin also and sometimes volume also. So, we curtail certain volumes, which are taking more working capital cycle or cash-to-cash cycle.

So we avoid those kinds of - to mitigate certain risks to avoid certain risks. So that is the reason where the per ton EBITDA of aluminum business - so till the time we find a solution for this hedging. And in this case we are talking to MCX also for giving us a solution for hedging of aluminum alloy, the product which we are dealing into, so till the time we are finding such solution, we are slightly the margins on this aluminum alloy will be fluctuating.

And also the freight cost has increased, as I mentioned earlier. It has also impacted, to some extent, the EBITDA margins. But we see some recovery from next quarter onwards. We are already seeing some changes there. And we believe that in the next quarter, the EBITDA margins would probably be a little better than this quarter in aluminum.

Okay. So going forward, like our lead business will be the same amount or the lead will taper down and this aluminum, plastic and whatever new segments...

So the sustainable margin is around — yes, so basically, the sustainable margin for lead is INR18 to INR19 currently. And for aluminum, it should look — so currently, it is approximately INR0

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per kg, which should go up to INR10 or INR11 per kg in the shorter term. And in the longer term, it should go back to the normal level of INR16, INR17 per kg.

Okay, sir. And can you just tell about - like you said that revenues are — the volumes offset by the increase in realization? Sir, in which segment the realization has actually increased, in lead, aluminum or plastics?

No, it is slightly improved in case of lead only where we improved certain - because certain goods were shipped from overseas to India, where we do certain value addition. So in that case, the realization per ton is improving. So actually, in lead, generally, we cover both the markets, Indian

market as well as global market. Whereas in aluminum, entire sales is outside India. I mean, approximately maybe 90% of the sales is outside India. So we could not take advantage of bringing that material into India in aluminum.

Okay. So bringing into India, its beneficial for us for the revenue's part or...

Yes. So in case of lead, we find certain arbitrage opportunities like selling into India, but that is not the case for aluminum because aluminum we have only a single market outside India. So where — so the opportunity which is available for only for lead, where we can improve certain realizations, better realizations at certain times when the Indian markets is higher.

Okay. Thank you, so much, sir. I'll join back in queue.

Thank you. The next question is from the line of Vikas Mistry from Monsot Adventures. Please go ahead.

Hi. Good morning sir. Thanks for the opportunity. I have a couple of questions. First, pardon me for the slightly longest question. In recent times, we started to venture into so many recycling avenues like aluminum, steel, paper and all that, and we have ambitions to do that. For that we needed a good sourcing for these materials. Do we have that sourcing infrastructure ready for the plants to run? Point number A.

And point number B, we are not having the newer aluminum and steel. And what is the hedging strategy for all the materials? And to put that into context, if you don't have both of the things ready, it is like venturing into uncharted water and not having proper plan for that?

Yes. So I think it's a very relevant question. To answer your first question, definitely, we have our own sourcing in place - sourcing system in place where we source everything, including the new verticals also that we are dealing into, and we will only put up a plant when we are 100% confident of having that arrangement where we can source raw material for the new plant, whether it is for paper or for steel or for any other commodity.

So that is a prime thing to consider when we go into a new vertical, whether we can source that material or not. That definitely would be there. To answer your second question, definitely, that is a challenge that is going to come. And we constantly look at opportunities to find a solution

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to that. And as T mentioned earlier, probably, we are in discussion with MCX in India to set up a hedging mechanism.

Unfortunately, it is taking a little longer because it is something that is totally new to the exchanges because it's not a very freely traded commodity. There are certain specifications issues that can crop up. So it generally takes little longer time. But we are expecting probably by first quarter next year to have this aluminum hedging in place.

The other alternative is to keep a constant flow of material and a constant amount of idle stock in your kitty. So what happens is that whenever I'm buying, I should have a natural hedge. I should have an order from a customer for the material that I'm buying today. So that is what we are keeping. But when the volumes grow, then having - I mean, then maintaining this idle stock is very difficult.

So we are constantly looking at opportunity to do this. But what we assure you is that it is only an impact on a quarter-to-quarter basis because if you keep the same business model on, then whatever losses you have made when the prices come down, you will recover those losses when the prices go up, if you keep the inventory level common. So although it may impact on a year-to-year basis, but because we only take the margins - the conversion margins, it will not impact

us in the longer run.

Sir, just a follow-up on that. You said that you make up the gains in the next quarter and on year-on-year it looks quite fine. But the problem is that it increases volatility in earnings and it a

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introduces fragility in the business. And from investor's perspective and from the business perspective, that fragility is not right. It would be very prudent to have a hedging solution that will back to back hedge.

And point B is that whatever the — apart from aluminum, other commodities, are they - can they be hedged or they also have the specification issues which can't be hedged?

So I'll tell you. For example, in plastics, generally -- and we are moving towards more and more tolling arrangements. So what happens in this case is that we already have arrangements with the customer to provide them, say, around a particular volume of business per month and we only procure that much material during that month. So it's more like a tolling business.

We buy from their factories raw material or waste material, process it and give it back to them. So that is another alternative that we are working on very closely with OEMs. So that will also take care of any volatility that may affect your business.

Okay. You are saying that in other avenues, which we are foraging into, steel, paper and plastics, we don't have to basically schedule...

Not steel, not steel, I'm talking about plastics currently. Steel is a little, I mean, further away in terms of implementation of a new vertical. We're currently looking at plastics, aluminum, paper

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and then probably steel -- lithium-ion recycling, and then steel will follow up. So what I'm talking about right now is from aluminum and plastic perspective.

Okay. Okay. Sir, my last question is on what is the technology...

Sorry to interrupt. Can you join the queue again?

Okay. Thank you.

Thank you. The next question is from the line of Sabri Hazarika from Emkay Global.

Yes, good afternoon sir. So two questions. Firstly, in terms of this Red Sea disruption, so Q3 numbers were the worst of it or are we seeing Q4 turning out to be similar? Or especially, on the freight side, whatever numbers you've posted in Q3 that captures the jump in freight or in Q4, we could see that go up?

So to answer your question, it is very difficult to say. But the thing is that we are looking at finding solutions. Generally, in the shorter term, it will impact you more because you don't have any alternatives in the short term. But in the longer term, we are now trying to find out customers' orders from places other than Europe.

So in the shorter term, it is very difficult to move material from one source to another source.

But in the longer term, probably in Q4, we would find a solution so that we will divert the material that was supposed to go to Europe, and it will go somewhere else. So hopefully, it will be better than Q3.

Okay. So you expect Q4 to be better than Q3 in terms of the operational numbers, right?

Yes, yes.

And freight also you are saying that Q4 will not see any jump in freight costs compared to Q3.

No. So we don't know. We don't know whether freight will increase or not, but we'll find a solution in the terms of - so if the freight remains high to go into Europe, then we'll probably not sell enough in Europe and we'll sell to some other geographies, maybe Asia or maybe the US or things like that.

Right, sir. And this Red Sea disruption, I mean, there's no movement of ships or how...

No, no, the movement is there, but it will affect -- it will impact the bottom line and that is -- and that again is a bottom line for us also because we don't want to disturb the bottom line, so we will look at an option where the net realization is the highest. So if even after the freight cost European realization would be the highest, then we'll sell in Europe; otherwise, we'll divert that material to someplace else where the

realization is higher.

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Okay. Thanks And second question is, can you give us some idea on what is the current scenario in terms of like lithium-ion recycling in India? And what are your latest plans with respect to that?

So again, I think in the shorter term, nothing has changed. We are still very keen and still India is a - it's premature to talk about lithium-ion recycling currently because it may take five to six years for actual volume to come into recycling for lithium-ion, but we are very keen. Even right 10w, our technical team is in China looking at options to put up a pilot project in India at Mundra. So hopefully, you will see some action by quarter one of next year.

Yes, there are some small companies which are into lithium-ion recycling, so..

Sorry to interrupt, Sabri...

Yes, no, it's a follow-up to this question only. So just wanted to know — I mean, in terms of like technical knowhow and other things, are you like interested in those kind of opportunities?

Yes, definitely. If there are some technologies available that can give a breakthrough into lithium-ion battery recycling, definitely, we are looking at such opportunities too, too.

Right, sir. Thank you so much and all the best.

Thank you.

Thank you. The next question is from the line of Chirag Fialoke from Ratnatraya Capital. Please go ahead.

Hi. Good afternoon. I have three quick questions, if you would allow me. The first one is could you share the closing inventory number for this quarter?

Closing inventory number is approximately INR690 crores.

INR690 crores. And essentially, the INR120-odd-crores that has increased, that is kind of what the order that got stuck, but you have already...

Correct. So we have certain finished goods, but we could not ship it because of this reason, and certain goods were in transit, which we moved from overseas to India. So because of these two issues, the inventory got slightly higher...

Understood. And just a clarification on the EBITDA per ton for lead. Essentially, what you said was there is - because of such a disruption, there is opportunistic sort of pricing available in the market, and that's what we have taken advantage of which will definitely normalize as soon as the volume situation normalizes.

Yes. So it's partly because of the arbitrage opportunity and partly also because when you reduce the volumes, you reduce the volumes that give you the minimum EBITDA numbers.

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Sir, but what kind of business was that? Because if...

So, for example, tolling business, although the ROC is equal or even higher than the ROC that

is given by the other business, but the EBITDA margins are slightly lower in tolling business also because there is no working capital requirement, there is no capital requirement as well. So generally, we also consider ROC as a -- 50 ROC is also equally important to us as is EBITDA margins.

Because we are dealing into various mechanisms, various geographics, so EBITDA margins on a consolidated level is INR18 to INR19. But if you look at each and every business per se, then ROC is a better marker to understand which business is more lucrative for us. In this case, because the volumes are going down, so we decided to — and also because there was no alternative for us to sell our product, our overseas material into, we imported that material into India.

So the EBITDA margins have increased. But as you see that the v

olume - the inventory levels

have also gone up. So the ROC has dipped a little, although it is still more than 25% that we have benchmarked ourselves for, but if we had done tolling business, then the ROC would have improved a little, but the EBITDA margins would have come down.

Got it.

But the overall EBITDA per ton - absolute EBITDA would have gone up.

Understood, sir. Understand what you're saying. Sir, could you give us the current capacity for lead specifically?

So the current capacity for lead is 231,000, and the total capacity is 285,000 -- 286,000.

Understood. Last question, sir, on the presentation, you report an order book, which for the last two quarters has been around in the 60,000 tons number. Could you just help us understand what this order book is? Does it generally have the age of one quarter? Or does that also include some longer-term contracts? We'd love to understand what that number really represents.

So it covers both long term also and short term also. Generally, we have a contract with any OEM for a year. The quantities are fixed, but the prices are based on that month's price. So some of the contracts are for the entire year, other contracts would be for a quarter also.

When you say 60,000...

So these are including — it includes the contracts with the OEMs and certain contracts with the large metal traders like Trafigura, Glencore. They undertake certain quantities based on — the pricing could be on a market price basis.

Understood, sir. Is there an average age for this order book that you generally sort of think of?

I'm just trying to understand from this order book how things look.

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So orders are generally for - the contract s basically - as I mentioned it, on a weighted average, it would be very difficult with three to four months. But generally, the contract is for the entire year with some of the OEMs. But the prices keep on changing. So, for example, there's an OEM say, Exide, so they will give you a firm commitment to buy, say, 1,000 tons per month for the next year at a particular premium over the LME of that month.

Correct, sir. Understand. And that 12,000 -- the entirety of that 12,000 is included in the 60,000 number?

Yes.

Okay. Thank you so much, sir. That's all.

Thank you. The next question is from the line of Jenish Karia from Antique Stock Broking.

Please go ahead.

Yes. Thank you for the opportunity. Sir, firstly, if you can just help us understand the adjustment that we have done. In the footnote below the results, about INR18.8 crores adjustment for nine months and in the quarter, so what exactly is that adjustment? And in the previous quarters also, we have made some reversals, so could you just explain that?

Yes. So basically, what we do is — the intent is to make some clarification on the amount of hedging of currency and commodity hedging, which we — which is part of the other income, which we take as a consideration into the operational income. So that amount reflects that part, which we have considered in the - taken in the other income, but considered in the special income.

Okay. So we have classified INR18.8 crores from other income to operational income, is that understanding right?

Correct.

Okay. So what would be the absolute amount of commodity hedging gains for the quarter?

So commodity is approximately - for this quarter, it is approximately INR20 crores.

Okay. And that will be forming a part of your revenue?

Yes. So that's basically - effectively, that is a part of revenue.

Okay. But in financials, where does it exactly disclosed if it's INR20 crores a quarter and not in the...

This is reflected in the financials in the other in

come.

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Okay. Second, there is a decline in the segmental assets for aluminum, plastics and turnkey segments. So is there any assets that we have sold for this division?

We haven't sold anything. Where, sorry?

Segmental assets that were reported in the segmental financials below the P&L. So they were declining on a sequential basis.

No. So that represents including the assets, including the working capital, the inventory and the receivables also.

Okay. So if we see the reported EBITDA per kg for aluminum segment for the quarter is around INR9,000 — INRY per kg. But if I calculate the EBIT per kg for aluminum division, it's approximately around INR11. So why is the EBIT higher than the EBITDA?

Yes. So there is a decrease of depreciation also.

Okay.

And there is a - below the line, there is an unallocated income also, which represent - there is certain hedging loss also, which is in case of aluminum, there is a hedging loss of around INR0.8 crores, INRS0 lakhs, which is reduced from this EBIT for calculating the per ton EBITDA.

Okay. Understood. Sir, next s if you could just help us the capex spends for the nine months for existing and new verticals?

Capex for - youre talking about capex for?

For the nine months FY24, how much have we spent?

So we have spent approximately -- so total capex is INR55 crores, but - sorry, INR78 crores, we have spent in nine months. Out of this, approximately INR10 crores is for new verticals, which is rubber. So now we are in the process of replicating the rubber which is still settling vertical and replicating from — we started from Ghana and now we are replicating it to Mozambique, Senegal, Tanzania, all the locations. And later, we plan it to put it in India also.

Okay. And INR68 crores will be for the existing verticals. So in our presentation, we have guided for FY24 capex spend of INR159 crores for existing verticals and INR45 crores for the new verticals. So it will be deferred in the next year, right?

Yes. So whatever left over will be taken care of - will be taken forward for the next year because there is a certain new verticals, which we are working on like lithium-ion and paper recycling slightly. We are making some more studies and more robust supply chain establishment before we go and spend some capex on that.

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Okay. And for the existing verticals, we have been guiding for FY'24 capacity of 3,24,000 metric ton, including rubber. So we'll be able to meet that with the limited capex that we are doing in the existing new verticals this year? Or is there will be some downward revision?

Yes. Of course, we are planning to have a new plant. So maybe we may not be doing it by March end, but maybe by April or May, maybe we should reach this target because we are establishing Oman also, we are in the process of establishing rubber at all the locations, and we are expanding certain capacities in Mundra and Chittoor also.

So what are we targeting the year-end capacity, if not 3,24,000 tons?

So it should be - we should reach to this target, maybe slightly one-month delay.

Okay. Understood. What would be the cash flow from operations and working capital days as on December? If you can just say anything with that.

Sorry?

The cash flow from operations and working capital days.

Sorry to interrupt, Jenish. Can you join the queue again?

Yes, sure. No problem.

Thank you. The next question is from the line of Parikshit Kabra from Pkeday Advisors. Please

go ahead.

Hi, Yogesh. Hi, Sunil. Thank you for taking my question. I've couple of them. Number one, I know that we have given a vision of 35% CAGR in profitability for 2027. But as of the last three quarters, it feels like we're missing the mark there. So I just wanted to hear any reflections that you guys may have on how to look at that guidance from — maybe not from a four-year perspective, but even from this year and the next year's perspective, with the new macroeconomic situations and the challenges in the business?

Yes. We agree. I think we are a little off mark of the 35% bottom line that we suggested. Part of it is because of the aluminum prices. As we mentioned earlier, also the aluminum and plastic business didn't give us the kind of profits that we were envisaging earlier.

But I think we are on a recovery line, recovery path now. We already see some changes in aluminum and also plastic. In plastic also, I think we were expecting EPR to kick in a little faster, but I think it is a little slow in the sense that implementation of that EPR has taken some time.

But we also see some changes happening now on the field.

Some believe that these things will start giving us impact, if not in the next quarter, but definitely by first quarter of next year. So that will change the bottom line structure overall. And as far as

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revenues are concerned, we mentioned earlier also that is not very important because in some cases, when we import the material into India, there is some elimination also.

But overall, this may not go in a perfectly straight line. I mean it may not be a linear growth, but by - in the next three years, we see a 35% overall CAGR. So some quarters may be a little lower in terms of that growth path, but eventually, we will reach the committed path very soon.

Makes sense. So — and my second question was going to be along exactly those lines, the aluminum and plastic business. I think there is an external event that we are hoping will happen, which is — the EPR policy gets implemented. And also, I think you guys are looking to set up with MCX some kind of financial products that enables you to do more sustainable and stable business here.

So just wanted to figure it from your guys' perspective, and I think you mentioned maybe a quarter or two quarters, but are you hearing anything that is changing around these policies and is MCX about to turn around? What do you guys think is going to be the timelines for this?

Yes. So it's not about hearing. We are seeing things happening. We already are in discussion

with quite a few OEMs. We have started picking up their material. But in terms of making some products out of it is taking a little longer. Because in plastic, it's not very simple, you have to do a lot of trials before you end up making material that's suitable for the OEMs. So it is taking a little longer, but we are seeing things changing actually a lot due to this EPR.

We are getting a lot of materials also available, but in plastic, generally, no two materials are the same. So we are getting a lot of challenges in terms of how to segregate those materials and how to make something useful out of those materials. But we definitely are working on it. And definitely, it will have impact, as I mentioned, not probably in a quarter or two quarters, but we see that we are on the right path in plastics.

In aluminum, of course, as I mentioned earlier also because we are not hedging, so that if there is any fluctuation in the prices of aluminum, it reflects on the bottom line of the business, which has been the case this year. But now the prices have stabilized, and we don't see the prices going down from the current prices, the business has also stabilized. So we are planning to increase the volumes also.

And of course, the overall bottom line will also improve going

forward in aluminum. But in

plastic, definitely, although it may take a little longer to stabilize, but we think that we are on the right path.

Got it. And lastly, in the Red Sea issue, it's already been another month into Q4, and at least from the headlines that I can read, it doesn't seem like it's getting resolved anytime soon. So in terms of finding alternative buyers, you must already be well in the process of doing that at this stage...

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'Yogesh Malhotra:

Parikshit Kabra:

'Yogesh Malhotra:

Sunil Kansal:

Parikshit Kabra:

Moderator:

Khush Nahar:

Sunil Kansal:

Khush Nahar:

Moderator:

Piyush Jain:

'Yogesh Malhotra: Gravita India Limited

January 24, 2024

Yes, yes. We already have done it. We have diverted some of the material already, but getting a buyer for the entire, I mean, production is not that easy because -- in the short term, not in the long term, right? As I mentioned that we have started diverting some of the material into India also, which has impacted the bottom line because some of it is in transit and some of it gets eliminated when you consolidate the entire balance sheet.

It will start giving effect from next quarter onwards. From this quarter, definitely, and from next quarter onwards, we will be able to dilute all the materials - all the increased inventory that we have.

Got it. But then the margin will come down, right, when we start diluting this extra inventory...

No. Not much. We generally look at other options - because freight cost is very important. So if we can somehow reduce that freight cost - there may be some issue but increased volume will take care of that reduction in the prices or in the premium.

Per ton will go down, yes, but absolute EBITDA margin will improve with the volumes.

Got it. Understood. Perfect, thanks a lot. Thank you, guys. Thanks a lot.

Thank you. The next question is from the line of Khush Nahar from Electrum Portfolio Managers. Please go ahead.

Hi sir. Thank you for the opportunity. Sir, one question. What would be our domestic sourcing percentage for our Indian plants this quarter?

Yes. So it is slightly reduced because the percentage is approximately 36% at this moment for this quarter.

36%. Okay, sir. Thank you.

Thank you. The next question is from the line of Piyush Jain, an Individual Investor. Please go ahead.

Thank you for the opportunity. Sir, I just wanted to understand, we have this 2027 vision. So right now our largely sale is dominated by lead and our capacity utilization is 57% overall. So this 2027 and future growth, which product segment will be the driver of growth?

So even in lead, we are considering a growth of around 15% to 20%, but others definitely including plastic probably will grow much faster. So our target is to bring down lead contribution to less than 75% and 25%-plus business would come from non-lead businesses.

So out of that, of course, plastic would grow the fastest, if we - I mean, sitting today, we can — we are estimating that plastic to grow much faster, but aluminum also would grow faster than lead. And then we are also talking about other businesses - rubber, paper, steel, lithium-ion battery recycling businesses would also contribute.

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Sunil Kansal:

Piyush Jain:

'Yogesh Malhotra: Gravita India Limited

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Then how much is non-lead business? What is the proportion of today non-lead business?

Today, it's around 12% to 13%.

And we are targeting that we'll be able to achieve a 25% type of a lead business, correct?

15% to 20% increase in lead business.

No, no I'm saying non-lead business, we are giving a target of 25%, so it means...

Yes, 25% plus. Yes, absolutely.

Okay. The next thing, sir, on -- I'm new to the company, the first thing I want to understand is we have plants

in South Africa - four, five plants in South Africa. So basically, these are the plants for sourcing of scrap and recycling there or it is ~ these plants are also making the finished goods? Since all the plants are recycling as well as making a product, also finished goods, selling to a customer, or what? How...

Yes. So all our plants overseas — there are five plants in Africa and one in Sri Lanka, currently doing recycling of lead, aluminum and plastic. And almost all of that material is sold to third parties. We only bring that material to India whenever Indian markets are more conducive as compared to the global markets. But, otherwise, during normal operations, the entire product from these materials are sold to countries in Europe, the US, Asia Pacific, China, Japan, etcetera. So we're making finished products and then selling it to these countries.

How much is our export sales out of overall contribution?

So total, we can say that international sales is currently 45%, which is used to 50% or 55% historically, slightly reduced because of this issue. So it's not export sales. We export certain goods from India also, but we can say that international sales, which is sold outside India. So that is 45% of this one.

Okay. Last thing, sir, we are also doing this recycling of rubber - sir we are doing this rubber recycling also. So, this includes I believe in tyre also. So I have seen a few players who are making, let's say, 15%, 20% type of margin in rubber and tyre. So are our volume also in similar lines? Because fewer people are making sodium silicate, fuel oils, steel wires, so our product is also in same category and same margin and maybe we're not able to see the blended margin or something else?

So currently, whatever tyre reselling we are doing, we are using it for captive consumption only. So you don't see any differentiated margins in tyre. So it's already incorporated in the margins of - especially of lead and to some extent in aluminum recycling because it's for captive consumption only. But the new tyre plants that we are going to put up are going to show you a separate line for tyre verticals also. And the margins are definitely in the same line as you are mentioning.

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Piyush Jain:

Moderator:

Sharan:

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Okay. Thank you.

Thank you. The next questions from the line of Sharan, an Individual Investor.

Yes. Thanks for the opportunity. I'd like to know the status of the Oman plant which is like 50% joint venture. What is the status? And by when it will get commissioned?

So we have already established a company. We are a joint venture there. We've been allocated land by the Oman government, and the process is right. Now, we are waiting for them to give a go ahead to - so the environmental study also has been submitted to the government. Now, we're waiting for them to give a clearance to set up a plant.

The plant erection — sorry, the fabrication of the plant has already started. We have already fabricated more than 50% of the total plant. So we are now just waiting for that go ahead in terms of clearances - environmental clearances from the government. Once that happens, I think — and we are estimating that by Q1 and/or Q2 of next year that plant will be operational.

Okay. And what all the recycling will happen there? Overall...

In the first stage, we are recycling lead, but we are going to recycle lead, plastic, aluminum, all three in Oman.

Okay. And another question, so there are talks in the industries about solar panel and solar glass and other stuffs as solar is getting pace, so that recycling. Are you working with any of these solar companies - related companies for doing a turnkey solution or any JVs for recycling related to that? Because solar contains many materials like not just glass, copper, aluminum,

everything it contains, the whole panel. So...

Yes, I understand. But we are not looking at solar currently as a recycling vertical because we already have our hands full. We are already thinking of too many lines. So as of now — because in any case, the life of a solar panel is around 25 years, so it will take some time. Although we understand that some of the solar panels have started coming for recycling, but even currently, the volume is not that big.

So probably eventually, we'll go into solar panel recycling also. But currently, it's not in the agenda.

Sure. And one quick question. Do you have any inorganic plan of any acquisition or anything?

Yes, yes. We keep looking at options of - but there has to be some value in the sense that, as you know, we manufacture or we fabricate and design our own plants, so in India it is very difficult to find a plant that is of the same level as we desired. So we will not buy something in the existing verticals, wherever we are present. But if it is, say, for example, taking over our lithium-ion battery recycling plant or maybe a paper plant, then we are very open to those things.

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Sharan:

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Moderator:

'Yogesh Malhotra:

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Okay. Because as we see a lot of small companies which are into recycling, but not in the same segment as you are, but different like, for example, mobile or laptops or any electronics recycling. So just wanted to know if you are looking...

Yes, we constantly look at options — opportunity to - for mergers and acquisitions also. And so if there is a good opportunity, then we'll definitely be considering that as well.

Okay. Can you throw some quick light on the turnkey solution? How is that business going? And as India is — everyone is talking about is a lot of manufacturing is coming here, so how is the turnkey solution you are seeing growth?

So currently, the turnkey solution is only for the recycling verticals that we are into. So we only — as of now, we are only making lead recycling plants and aluminum recycling plants, and to some extent, some plastic recycling products also, although not the complete plastic recycling line currently. And most of these - it's basically a very - it's more of an R&D for us. It's more of a thing to improve our operational efficiencies. So it helps us in putting our plant at a faster rate and at a cheaper rate as compared to competitors and also help us in improving our yield and efficiencies.

But at the same time, we also sell it to customers who want recycling plants outside. So it's doing well as of now, giving us a revenue. But in terms of revenue, it's not -- I mean it's not a very big percentage of the total revenue, probably around -- only 1% to 2% of the total revenue comes from the turnkey projects. It's more of a strategic thing for us.

Sure. Yes. Thanks for the time and the answers. Wish you all the best sir. Thank you.

Thank you. As there are no further questions, I would now like to hand the conference over to

Mr. Yogesh Malhotra for closing comments.

Yes. Thank you, and thank you, everyone, for participating in this call. We trust that we have addressed all your inquiries during the session. However, if there is any remaining questions, please feel free to reach out to our Investor Relations team at Go India Advisors. Once again, we extend our gratitude to all the participants for joining us today. Thank you, and have a great day.

On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us. And now, you may disconnect your lines. Thank you.

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Call: May 2024

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4th May , 202 4

GIL/202 4-25/033

To,

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the quarte r and year ended March 31, 202 4

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended 31st March , 202 4 Conducted on 02nd May, 2024 for your information and records.

The above information is also available on the website of Company:

[https://www.gravitaindia.com/investors/financial -details](https://www.gravitaindia.com/investors/financial-details)

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

FCS: 9984

Encl: As above

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"Gravita India Limited Q4 Earnings Conference Call"

May 02, 2024

MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER , GRAVITA INDIA
LIMITED

MR. VIJAY PAREEK -- EXECUTIVE DIRECTOR ,
GRAVITA INDIA LIMITED *

MR. NAVEEN PRAKASH SHARMA -- EXECUTIVE
DIRECTOR , GRAVITA INDIA LIMITED *

MR. SUNIL KANSAL – CHIEF FINANCIAL OFFICER –
GRAVITA INDIA LIMITED

*Non -Board Member

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

Gravita India Limited

May 02, 2024

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Moderator : Ladies and gentlemen, good day, and welcome to Gravita India Limited Q4 FY'24 Earnings Conference Call hosted by Antique Stockbroking.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"and then "0" on your touch -tone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stockbroking. Thank you, and over to you, sir.

Manish Mahawar : Thank you, Rishi. On behalf of Antique Stockbroking, I would like to welcome all the participants on the 4Q FY'24 Earnings Call of Gravita India.

From the Management , we have Mr. Yogesh Malhotra – Whole -time Director and CEO; Mr. Vijay Pareek – Executive Director; Mr. Naveen Prakash Sharma – Executive Director; and Mr. Sunil Kansal – CFO on the call.

Without further ado, I would like to hand over the call to Mr. Malhotra for opening remarks post which we will open the floor for Q&A. Thank you, and over to Mr. Malhotra.

Yogesh Malhotra : Thank you, Mr. Manish. Good afternoon, ladies and gentlemen, and welcome to our Q4 and Financial Year '24 Earnings Call . I trust you have had the chance to go through the "Earnings Presentation and Financial Results" that were uploaded on the stock exchanges.

I am delighted to announce that Gravita has delivered outstanding performance for the quarter and the Financial Year 2024 . We have achieved record high revenue, EBITDA and PAT for the quarter as well as for Financial Year '24 despite some logistics disruption. Before we delve into the results, I would like to share some strategic highlights and project updates.

I am pleased to announce that pure lead produced at Gravitas Mundra, Gujarat has been empanelled as an approved lead brand deliverable against MCX lead futures contract. The pure lead manufactured by Chittoor and Phagi plants of the company are already an MCX empanelled products. The MCX empanelment will provide us with an additional platform for hedging, better inventory management and price transparency in the domestic market.

Gravita 's stepped down wholly owned subsidiary situated in Tanzania, Gravita Tanzania Limited, has increased the battery recycling capacity by 5,000 metric ton per annum, bringing the total capacity of battery recycling of this unit to 12,000 metric ton per annum. CAPEX of approximately Rs. 3.5 crore has been done for this capacity expansion, and the same has been facilitated through internal accruals. The Board of Directors have approved an interim dividend of Rs. 5.2 per equity share, making Gravita a consistent dividend player with a 13 -year long track record of sustainable dividend payouts.

Gravita India Limited

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Our conviction lies in the interdependence of our success with the wellbeing of our employees, the environment and the communities that we engage with. We have created a clear ESG road map, through which we affirm our dedication of sustainable growth and making a positive difference. In our ESG road map, we have clearly outlined our short-term, medium-term and long-term targets that are expected to be met by Financial Year '27, Financial Year '34 and Financial Year '50, respectively. You can find the detailed ESG road map on our website.

Coming to the Operational Performance :

On the capacity expansion front :

Gravita has expanded its total capacity to 3 lakhs plus metric tons per annum in Financial Year '24 compared to 2.34 lakh metric tons per annum in Financial Year '23, which shows an increase of 29%. We aim to increase our capacity to 5 lakh plus metric tons per annum by Financial Year '27.

Discussing about the volumes :

Sales volumes saw a sequential increase

of 9% in Financial Year '24 and 14% in Q4 Financial

Year '24. Lead and plastic volume increased by 25% and 8% to 40,634 tons and 3,540 tons on a year-on-year basis, whereas aluminum volume dropped to approximately 3,200 tons. The reason for drop in aluminum volume is to avoid high risk of metal price fluctuations during transit period for imports in India.

As you are aware that we are in process of finding solution for hedging of aluminum, we are pleased to inform you that aluminum alloy has been notified under Securities Contracts, Regulation Act 1956 by Ministry of Finance. And we are expecting launch of this aluminum alloy commodity derivative of MCX by next quarter. This will help us in managing the risk of price volatility and, in turn, help us in scaling our aluminum business.

Coming to quarterly EBITDA per ton performance :

EBITDA per ton for plastic is Rs. 11,176 per ton, lead is Rs. 19,252 per metric ton and aluminum is Rs. 15,308 per metric ton in Q4 Financial Year '24. This is in line with the company's target.

Moving to Financial Results :

I am delighted to share that we have achieved a record high financial performance quarterly as well as annually.

Gravita has achieved an outstanding 5-year revenue CAGR and PAT CAGR of 21% and 74%, respectively. Revenue for Financial Year '24 increased by 13% to Rs. 3,161 crores. 45% of revenue in Financial Year '24 came from value-added products, which is in line with our vision of achieving 50% revenues from this category. India contributed 62% and the balance contribution of 38% is from overseas business.

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Adjusted EBITDA for Financial Year '24 increased to Rs. 331 crores, up 16%. PAT showed a significant increase of 19% to Rs. 239 crores in Financial Year '24. PAT margin increased to 7.6%. ROCE for Financial Year is standing strong at 25%, which is in line with our Vision 2028.

Coming to Q4 Financial Year '24:

Revenue for the quarter increased by 15% to Rs. 863 crores on a year-on-year basis. 44% of revenue in Q4 FY'24 came from value-added products in line with our target to reach 50% of overall revenue from value-added products.

On a year-on-year and quarter-on-quarter basis, adjusted EBITDA increased by 9% and 4%, respectively, to Rs. 93 crores. EBITDA margin stood strong at 11%. Gravita reported a PAT of Rs. 69 crores, with 8% and 14% growth on year-on-year and quarter-on-quarter basis, respectively. PAT margin remains steady at 8%.

Further, we would like to also clarify on the qualification of recent financial statements with respect to accounting treatment of sale of shares held by trust for benefit of employees of Gravita. The qualification is just difference of interpretation of accounting standards, which needs to be understood. Gravita Employee Welfare Trust acquired shares of the company in the last few years with an objective to distribute, utilize the gains of the funds for benefits of employees of Gravita.

During the year, 380,500 equity shares held by the Gravita Employee Wealth Trust have been sold, and the capital gain or surplus from the share sale will be utilized for the welfare of the employees of Gravita as per the requirement of the trust deeds. The trust, being an independent entity, has sole responsibility and obligation to utilize the funds for the welfare of employees of Gravita as per the terms of the trust deeds.

Based on the independent legal opinion from reputable law firms, management of the company is of the view that the distribution or the utilization of gains arising on sale of such shares is not an expense. The surplus or gain is considered as other liability in the balance sheet of the trust and the consolidated financial statements. Further, it needs to be noted that it is just an issue of

interpretation and has no impact on the net worth of the company, and the accounting treatment has been done appropriately in the financial statements.

In conclusion :

I wish to highlight that Gravita is making significant strides towards realizing its ambitious Clear Vision 2028. Our focus on diversifying into new business verticals like lithium-ion, steel and paper, aiming for revenue CAGR exceeding 25%, profitability growth surpassing 35%, maintaining an ROCE of 25% plus, elevating non-lead business to over 30%, using 30% plus renewable power and reducing energy consumption by 10% underscores our commitment to sustainable development, increasing the proportion of value-added products to 50%. And Gravita India Limited

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proactive risk management through back-to-back hedging will contribute to resilient and sustainable margins.

With our DNA of 31-plus years and plus eco-conscious state-of-art manufacturing facilities across the globe, global footprint in 70-plus countries, integrated supply chain which is backed by 6 government norms of BWMR and EPR, and robust stakeholder support, we are confident in achieving our Vision 2028.

That's all from my end. I would now request to open the floor for question and answers. Thank you, and over to you, Mr. Manish.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from line of Mr. Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit : I have a couple of questions. The first one is on the vision. So, earlier, it was the Vision 2027. But now in this presentation, we see Vision 2028. So, just wanted to understand exactly what has changed in the vision, whether we are thinking of delaying certain CAPEX elements or whether the CAPEX is expected to go up further? Or there are some risks or challenges that we see that has resulted in this delay of 1 year?

Yogesh Malhotra : So, actually, what we are doing is we are doing a rolling 4-year vision. So, last year, it was '27. So, going forward, it is Vision 2028. We have incorporated some additional landmark in this vision, especially on ESG front, as I've mentioned. And also, we have increased certain other landmarks also. For example, in Vision 2027, we are mentioning that the non-lead business would be 25%. But in Vision 2028, the non-lead business, we have increased the percentage to around 30% plus. So, it's in line with the Vision 2027, but we are giving visibility for 1 year further.

Amit Dixit : Wonderful. Got it, actually. So, that will be like next year to be Vision 2029, then with some possibly more things added. The second question is that since we are working with MCX, and there has been some kind of circular also being floated on inclusion of ADC12, so that would facilitate hedging. And does this also mean that our aluminum capacity, particularly at India operations, now since we have got a good hedging thing. So, that capacity utilization would also improve. If so, possible to share some numbers what we can see once the hedging is active actually on MCX.

Management : Yes, correct. Last year, we had only capacity utilization of 11% in case of ADC12. So, this year, we plan to increase it once these get implemented. And we expect that the derivative should list somewhere in next quarter and then brand empanelment will start. So, maybe in Q4, we have certainly growing volume. And next year further, we foresee the volume growth and capacity utilization to higher levels.

Yogesh Malhotra : So, this is basically the capacity utilization of Indian plants, yes. Overall, it was around 37% for the group including the overseas business.

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Amit Dixit : Yes, sir. Is it possible to give us an idea what could be the exit rate of capacity utilization in FY'25, the exit rate of your aluminum India operations?

Management : Aluminum India operations should touch around 65% to 70%.

Amit Dixit : That should be the exit rate. And then that would

be the broad base going forward.

Yogesh Malhotra : And there will be further capacity addition also we are planning, especially for our country in Ghana.

Moderator : The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Thanks for clarifying accounting treatment which was kind of highlighted in the notes. Sir, my first question is the ongoing Red Sea issue. It was good to see some growth despite the logistic issues which are continuing. Is it possible to share what sort of alternate arrangements we are

doing, and do we return back to our normal growth of around 20% plus from FY'25 onwards?

Vijay Pareek : Yes. This is Vijay Pareek, and I look after the international as well as domestic marketing. So, whatever logistic issues was there with respect to this Suez Canal issue, we addressed that particular issue while we're diverting the volumes to other geographies, although we are having the customer base around the globe. So, wherever we were encountering the problem, we diverted the volumes to other geographies without affecting the volume growth.

So, there were some impacts on the volumes in the quarter 3, but now we have already started shifting the volumes from quarter 3 onwards. So, now we think the volume level from the base for the quarter 4 is the base for the growth of another 25% in the next year.

Sumangal Nevatia : And what are we compromising or sacrificing when we are diverting? Is it at the expenses slightly lower margins?

Yogesh Malhotra : So, the margins would be affected but not that much because we also use some arbitrage opportunities. Some of this is getting diverted into India, where the realization is a little better.

But of course, the working capital cycle takes a hit whenever you do some diversification. So, it's more towards increasing working capital cycle and less on EBITDA per ton margins.

Sumangal Nevatia : And was it completely resolved in fourth quarter? Or it was more of a gradual thing and when you should see further improvement?

Vijay Pareek : In times to come, once the situation gets normalized, then we will be, again, using the similar customers. But yes, we have the flexibility also with the customers for diverting the volumes.

So, until now, effect is there, although some part of the impact has been nullified, but yes, the issue is going on.

Yogesh Malhotra : So, again, working capital part, which we are lacking at this moment, that will be improved further after this situation is further resolved.

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Sumangal Nevatia : I mean, that was actually the second question. The working capital has increased, whereas our guidance, we should gradually move towards 60, 65 days. So, is it possible to share some more details, why was this increase? And do we see it normalizing in 1Q or in FY'25 overall?

Yogesh Malhotra : Yes. So, if you see that, I mean part of the sales that was to happen in Q3 happened in Q4. So, you would see a lot of, I mean, receivables that has gone up. But as we see it right now, there has been a reduction in receivables by around Rs. 100 crores, Rs. 125 crores. So, it's only a temporary thing. I mean the overall inventory levels are in line, although, I mean not exactly as per the targets that we have envisaged. But once these things normalize, I think we'll be back to the same issue, I mean we will be back to the same target of reducing the inventory levels. Also, there is another thing that has happened is that this year, we have not taken as much domestic scrap simply because the overseas scrap was much cheaper compared to the domestic scrap, and there was some arbitrage opportunities. Overseas markets were lower compared to Indian markets. So, we bought more international scrap as compared to domestic scrap. So, that has also contributed to increased working capital cycles, although it's a more profitable business

so we have gone and taken more international scrap.

So, once this arbitrage opportunities, which in this quarter has almost normalizes, then again, the domestic scrap will increase and then the overall inventory cycle would reduce. I hope we have answered your query, Sumangal.

Moderator : The next question is from the line of Hemaant, an individual investor.

Hemaant : You have provided the revenue number as well as the PAT number. It was under the Vision 2027 program and now under 2028 program. So, it was 25% revenue growth and 35% PAT growth. But if I take a look at the FY'24 number, I don't think that the revenue numbers have grown by 25% and the PAT numbers have grown by 35%. So, any specific reason for that?

Yogesh Malhotra : Yes, sir. So, actually, there are 2, 3 reasons. First of all, when we mentioned this 25% CAGR, it's a long-term guidance and it's not a short-term guidance. So, there would be years when we would grow faster than 25%, and then there would be years when the growth would not be in line with 25%. So, if you look at the past 5 years, the revenue growth is 21% and the PAT growth is 74%, CAGR level. This year was also affected by some logistic issues in quarter 3, which has impacted the growth rate to some extent. And we are very confident that going forward, our Vision of 2028 of long-term CAGR growth of 25% and PAT growth of 35% is achievable.

Hemaant : So, sir, can we expect that the growth number in terms of percentage FY'25 over FY'24, should be higher than the growth in terms of percentage in FY'24 compared to FY '23?

Yogesh Malhotra : Yes, I mean, we are optimistic of achieving higher growth, but we would stick to the 25% CAGR growth for the next 4 years. So, that is the bottom line. So, maybe this year probably would grow maybe 30% also, it can grow at 25% also, but definitely 25% is the minimum growth rate that we can expect in the next year. It would be probably above 25%, but that is the bottom line.

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Moderator : The next question is from line of Rahul Bhangadia from Lucky Investment Management. Please go ahead.

Rahul Bhangadia : Congratulations on a good set of numbers in somewhat difficult circumstances. Two questions on the P&L. One is if you could just give us a sense of the drop in the employee cost that we have seen on a quarter -on-quarter or even a year -on-year basis?

Yogesh Malhotra : Yes. So, basically, the employee cost includes some part of incentives also, so we make provisions for incentives on a YTD basis. So, whatever targets we have achieved, that has been already provisioned for in Q3. So, there was a higher number for Q3 because we have provisioned slightly higher and expecting some better numbers in Q4. But because we could not achieve the growth, so then the incentive part is reduced. So, this incentive is a variable factor which keeps on changing every quarter. So, that is the only reason where employee cost is lower in quarter 4 as compared to quarter 3 because the provision for incentive are higher in the quarter 3.

Rahul Bhangadia : And sir, the second question was on the tax rate from what you can see in the presentation, the contribution of the Indian operations to the overall PAT is now much higher. In fact, it is almost 3x of what it used to be in 2 years back. FY '22, Indian operations were 25% of PAT. Now this year, we're spending almost 75% of PAT. But actually, it seems to be low to my limited understanding, the tax rates were low because of the contribution of the African operations to the PAT. So, some sense there, please.

Yogesh Malhotra : So, I mean if you look at the total numbers, because there were some arbitrage opportunities in India, because of which we have diverted some of the materials from the African operations into India. And also because of this Red Sea situation also some of the material from the East Africa

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operations were diverted into India. And so, the overall increase in EBITDA margins in that if you see that as against Rs. 19 per ton, we have increased EBITDA numbers, and that has contributed to the increase in the overall profitability from India.

Rahul Bhangadia : No sir, my question was more related to tax rate and assuming India works at a nominal tax rate and Africa works at a much more subsidized or probably very, very low tax rate. If the profit contribution from India is this high, I would have agreed that the tax rate should have been higher, but the tax rates have not gone higher. They remain in the 10%, 12% range. So, that's what I am asking.

Yogesh Malhotra : Yes. So, basically, in India, also, we have tax advantage in Chittoor, where we are enjoying 100% tax exemption. So, whatever profit contribution is from Chittoor, that is 100% tax -free. So, because whenever we are importing certain goods from Africa to India, that is majorly processed in Chittoor itself. So, that's the reason we have the higher margins in Chittoor and which is tax -free entity. So, that percentage has not gone up because of this issue.

Rahul Bhangadia : But Chittoor has some special tax exemption under some government.

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Yogesh Malhotra : Yes, 80IA exemption for Chittoor.

Moderator : The next question is from the line of Sabri from Emkay Global. Please go ahead.

Sabri H. : So, I have 2 questions. Firstly, regarding this BWMR regulations, so it's been like 1 year now.

So, how has been the experience? Have you seen share of organized volumes in the industry going up? And what is the expectation for the next 1 year in terms of implementation of this?

Vijay Pareek : Yes. EPR was the additional thing, which was created under this regulation. So, now the central portal has started working. The producers have been registered. And recyclers are also getting registered, and the EPR certificate for the Financial Year '22, '23 are also in the process of generation by various recyclers.

The next stage is the EPR penalty. So, for noncompliances, those numbers are yet to be released.

So, there are meetings going between the producers and recyclers. So, we hope by next quarter, the EPR penalties will come. So, that will create a financial model. So, that is the second stage.

So, certainly, the numbers are growing. The producers are getting them registered, and they will be diverting more materials to former sector.

Yogesh Malhotra : So, some of the manufacturers and the brand owners are basically waiting and watching. But once these penalties are decided, then probably those who are watching also will start implementing this waste management. So, overall, we believe that after this first quarter, when the penalties are decided, there will be even further increase from the current levels also.

Sabri H. : Right now, is that 35% or is it like higher or lower?

Yogesh Malhotra : There is definitely some increase. So, it would be around 40% currently, the organized sector would have increased.

Sabri H. : 40% versus, say, 35% a couple of years back, right?

Yogesh Malhotra : Yes. But you must understand that, overall, in the first year, the requirement is also only 30%.

So, it will only gain traction once the 50% or 70% and the 90% of the total volume that has to be recycled would come into play. So, 30% is not that difficult. But now from 30% to 50%, if they want to do it in the second year, I mean, people will start going from the retail.

Sabri H. : Right, sir. And the second question is on this depreciation. So, it has increased. So, which are the plants or CAPEX, which has been expensed this quarter?

Yogesh Malhotra : Yes, basically, major expansion we did it in Mundra and Togo. Togo was a new facility. So, these are the 2 new plants. Also, we have shifted the new facility in Senegal. So, although the capacity is not changed significantly

y, but yes, the plant was totally new. So, that is the reason there is a higher depreciation in this year.

Sabri H. : Was there any working capital impact from this also?

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Yogesh Malhotra : Not that much. Actually, CAPEX is only a small part. Most of the working capital cycle is affected with higher inventories and payables and receivables, et cetera.

Sabri H. : I mean this new plant is having new inventories or anything of that stuff?

Yogesh Malhotra : No, no. Not that much.

Sabri H. : So, this was basically due to new markets only and Red Sea disruption why the working capital is up?

Yogesh Malhotra : Yes.

Moderator : The next question is from the line of Jenish Karia from Antique Stockbroking. Please go ahead.

Jenish Karia : Sir, my question is again on the depreciation part. So, on a sequential basis also, like the earlier participant mentioned, there is a very sharp jump in depreciation. And also on the annual basis, the average rate of depreciation turns out to be around 7.5% to 8% of the gross block, compared to around 6%, 6.5% in the last year. So, what should be the annual depreciation rate we should be seeing going forward? And is there any change in depreciation policy that we have taken?

Yogesh Malhotra : Yes, slightly, there was higher depreciation because as we discussed that the new facility, especially in Africa, there the depreciation rates are slightly higher. So, we started 2 new facilities in Africa, Senegal and Togo. But going forward, the depreciation rate, as we do more CAPEX in India, so that the depreciation rate will come down to same levels as we were earlier.

Jenish Karia : That's helpful. Secondly is on the EBITDA per ton for the aluminum segment. So, currently, we are doing approximately Rs. 12 to Rs. 13 per kg of EBITDA for aluminum segment. Going forward, once the MCX hedging is in place, what do we see those stabilized EBITDA for aluminum segment?

Yogesh Malhotra : So, in this quarter, the annual number for aluminum per ton is around Rs. 12,000. But for this quarter 4, we realized around Rs. 15 per kg. So, that Rs. 15 to Rs. 16 per kg is a fair estimate of going forward EBITDA per ton for aluminum.

Jenish Karia : And this is at the current utilization levels, Rs. 15, Rs. 16. So, as utilization levels improve, is there a possibility of per kg EBITDA improving or Rs. 15, Rs. 16 will remain constant?

Yogesh Malhotra : So, Rs. 15 to Rs. 16 is a range. So, we can reach to slightly towards Rs. 16, if the capacity utilization improved in this year.

Jenish Karia : Sir, next is if you can just help us with the domestic scrap collection for India plants for the fourth quarter?

Yogesh Malhotra : So, domestic scrap collection for India fourth quarter is approximately 40% for the Indian scrap requirement.

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Moderator : The next question is from the line of Praful Siddharth from Shravas Capital. Please go ahead.

Praful Siddharth : Sir, could you please throw more light on your interpretation of IndAS 19 with regard to auditors' qualifications? Because based on our understanding of IndAS 19, this expense is something which needs to be taken to the P&L and not on equity.

Yogesh Malhotra : Okay. So, basically, first, we need to understand the transaction, which we did and then in light of the IndAS. So, 1) I think we mentioned that there were some equity shares, which were held by the trust and the scheme was that the appreciation will be distributed or utilized for the benefit of the employees of the Gravita Group. So, this was a scheme. So, when we sold those shares, there was some gain. And so, because it is a treasury share, so we were not supposed to book the gains in the P&L. It was supposed to go to the equity part, directly to the reserve.

And when it came to the distribution or utilization of that amount for the e

mployee benefit, so

auditor has suggested it to be provisioned for in the employee benefit expenses. But our contention was that since it is a distribution of the income, which is gained from the shares held,

so that it was not a share -based payment according to our estimate and the legal opinion we have taken from various law firms. So, the distribution was supposed to go to the reserve only, as it was the treatment for the income also.

So, what we did is we have considered the income also in the other equity and the provision also in the other equity. So, there is a liability standing on the balance sheet, and there is an investment which is lying on. So, in future, there will be distribution of this amount gained to the employees. And then both of the legs will be squared off. But auditor was having a different opinion or interpretation of the accounting standard. And we took our own opinion, including some opinion from EY also. Based on that, we concluded this.

Praful Siddharth : So, we took the opinion from EY, sir?

Yogesh Malhotra : Yes.

Praful Siddharth : Sir, just one more accounting question. So, in FY '23, we recognized a forward contract gain in other income. And in FY '22, we recognized a forward contract loss in other expenses. So, considering the accounting policy in FY '22, don't you think we should have directed the gains from other expenses in FY '23 instead of taking into other income? So, why has there been a change in accounting policy here?

Yogesh Malhotra : So, what we do is whenever there is a loss on the hedging, it goes to the other expense. Whenever there is a gain on the commodity hedging, it goes to the other income. So, this is as per accounting standard. But because the hedging is part of the operational transactions or is in back-to-back against the physical transaction, so other expense is always part of EBITDA.

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But other income, normally, it is to be excluded from the EBITDA part. But since it is part of our operational income, we consider adjusted EBITDA, and we reported in that way so that we can consider this as the operational income.

Moderator : The next question is from the line of Parikshit Kabra from Pkeday Advisors. Please go ahead.

Parikshit Kabra : I wanted to understand that last quarter, our EBITDA margins rose up to 11% because we were diverting to new customers and using the cheaper raw materials. This time, it's come down to 8%. Can you explain that, how that has happened? And what should we expect in the next couple of quarters from an EBITDA margin perspective?

Yogesh Malhotra : So, basically, last year, we had mentioned that there were some arbitrage opportunities present in India, because of which, the EBITDA margins were higher. But this quarter, it's not 8%, it's 10.76%. So, there was some increase in EBITDA percentage in last quarter. The EBITDA margins were 11.83%, which was abnormally high because there were some arbitrage opportunities in India, and we had diverted that material into India. But you can expect a 9% to 10% EBITDA margin on a sustainable basis going forward.

Management : So, maybe in your calculation, as we mentioned that we are considering this hedging income also as the operational income, which is part of the EBITDA. So, if you include that, which is for this quarter 4, it is approximately Rs. 21 crores. And for the entire full year, it is Rs. 47 crores.

Yogesh Malhotra : This EBITDA percentage is approximately 10.76% for quarter 4 and 10.47% for the full year.

Parikshit Kabra : So, the second question that I had was that I understand that Red Sea issue has created some level of issues for us, and we have missed our long-term guidance. But divided into shorter term, we have missed it this year. And next year, you have given a guidance on a top line of 25%. But can you break this down, like in the sense like what are we expecting

next quarter? Or is this

25% growth is also going to be backloaded towards the third and fourth quarter? Or can we start expecting that from the first quarter itself?

Yogesh Malhotra : Part of this growth, you can start expecting from first quarter itself. So, it will not be too much towards the last quarter. So, on a quarter-on-quarter basis, generally, it's very difficult to give you any guidance. But definitely, it's between 20% to 30% throughout the year, unless something strange happens again. I mean like if everything remains normal, you can expect a 20% to 30% growth rate on a quarter-to-quarter basis.

Parikshit Kabra : But even for quarter 1, it is too difficult to give guidance because we're sitting in quarter 1, right?

Yogesh Malhotra : Yes. As I mentioned, you can expect 20% to 30% growth rate in the first quarter also.

Parikshit Kabra : And aluminium business, from what I understand that we were holding back only because of inability to do hedge. Now that the hedging is going to be possible in Q1, what kind of volume

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growth or top line growth are you expecting for the aluminum business in this quarter or the next quarter?

Management : So, the benefit should arrive somewhere around next quarter because it has been notified in the month of March, but the effective contract should start somewhere in the next quarter. And the

physical delivery thing should happen in for Q3. So, we should expect this advantage of hedging somewhere around Q3 onwards. So, as we mentioned, that Indian utilization was lower, that was only 11%. That should go to 60% after Q3 and Q4.

So, that number will come. Certainly, whatever we did last year in aluminum business, that will grow at least by 60% to 70% in terms of volumes because we are also adding capacity at certain location, at Ghana, that should be operational in beginning of the Q2 .

Parikshit Kabra : So, just to repeat and make sure I understood currently, from last year to this year in volume terms, aluminum business should see a 60% to 70% growth?

Yogesh Malhotra : Yes.

Moderator : The next question from the line of from Ankit from Marketcord Research Private Limited. Private Limited.

Ankit : So, my question is what is the EPR certificate which we 're generated in the India already, which is ready for sales?

Management : We have generated EPR certificate for lead -acid batteries, for plastics. So, these data are already available on the portal. So, you want the number, the quantity?

Ankit : Yes. I want the number and quantity, and what is the sales we realize on that?

Management : See, the realization will take place later once we start trading them. So, we have generated. And wherever we took material from the producer in that case, those will be given in turn because the materials being given by that particular battery manufacturer to us. So, that will be traded in lieu of the material given.

For the rest of the producers, whenever they come to fulfill their liability of EPR, then this will be traded. So, the fair price will come out whenever a penalty is finalized. So, that we foresee in next quarter. So, as of now, the financial numbers is not available because let us see what number it comes.

Ankit : Sir, what is the volume against which we have EPR generated?

Management : I think 24,000 tons for '22/'23. '23 is around 25,000 tons.

Ankit : And what percentage also this is for lead?

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Management : That is for lead only. And plastics numbers are different. It 's not readily available, but we can certainly share.

Moderator : The next question is from the line of Vikas Mistri from Moon Shot Venture. Please go ahead.

Vikas Mistri : Yogesh, I have a couple of questions. Last quarter, we are losing some of the tooling business. So, can you quantify in this quarter how much we are losing on tolling b

usiness? And how we

can be so sure that there will be a strong rebound in the next quarter?

Yogesh Malhotra : I would like to just correct you a little bit that we are not losing the tooling business, but we fully have decided to rely more on international battery, because there were some arbitrage opportunities in last quarter where Indian prices were higher. So, it was more beneficial for the company to import batteries instead of using the domestic batteries. But in this quarter, we have increased the total quantity that has come up.

So, overall, if you talk about in the Indian import and domestic procurement, we have increased the procurement by 22% last year. But we have improved more than we have used the domestic battery. But in the last quarter, if you look it, we have , I mean, again, started using domestic batteries. And it 's around 12,000 tons of domestic batteries that we have bought this year. So, if you compare it with the Q3, which was around 10,000 tons, so it 's around 20% growth over Q3, in the last quarter for domestic bat eries.

Vikas Mistri : You want to say that whatever the Red Sea issue is there, you are not materially impacted from hereon. That you want to say?

Yogesh Malhotra : No, no, Red Sea is basically an impact on the sales of our products from India and East Africa to Europe. It has not impacted the import of battery scrap into India because we are importing from Americas and from Africa. There is no impact of Red Sea on import of battery scrap into India. We 've got very little impact of battery scarp into India.

Vikas Mistri : So, you are fairly confident that the volume drop will come back in Q1?

Yogesh Malhotra : Yes. So, as I mentioned, the total procurement growth in India is 22% last year. So, whether it comes from domestic or it comes from international, the overall growth in battery scrap is 22%.

So, we always look at the best option to buy it. So, if the import prices are lower, then we buy international battery and if the domestic prices are more viable, then we increase the battery procurement locally.

Vikas Mistri : My last question is that we have said that we are going through MCX with this aluminum alloy.

So, still after doing this, how much of the portfolio is still unhedged?

Yogesh Malhotra : So, if we start hedging on aluminum, only plastic remains unhedged, but otherwise, lead and aluminum would be 100% hedged.

Vikas Mistri : Aluminum, all other alloys will be hedged, but only through ADC12 will be hedged?

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Yogesh Malhotra : Around 90% of the total aluminum alloys are being hedged. And the prices of other alloy also move in tandem with the ADC12 prices. So, you can hedge ADC12 and then still have some amount of hedging for other alloys as well. So, just to clarify, lead is fully hedged at this format, but the aluminum is partly hedged just because at this format, we don't have the hedging mechanism for this. But, as mentioned, whenever we have that platform of MCX, we will be doing 100% hedging for aluminum also.

Management : Currently, we do some hedging of aluminum, which are on LME, but that's non-ADC product.

Moderator : The next question is from the line of Diya Brijwani from White Whale Partners. Please go ahead.

Diya Brijwani : So, my question was on the regulation bit. If I compare the 2001 regulation versus the 2022, 2001 also had some guidelines around, let's say, for the producer, they had the responsibility to collect that, let's say, 50% of the new batteries sold. And things didn't change materially after that in terms of like informal shares still remained high. So, my question is what is fundamentally different in the 2022 regulations, which would basically divert the ULABs from the retailers versus what was there in 2001? So, am I reading this correct? And what is your view on that?

Management : Yes. So, you clearly told correctly when i

t came in 2001, the percentage, they were to collect

was 70, 80, 90 and 100 by the next 4 years. But the regulation, which were applicable, was applicable on everyone. All 100,000 retailers were also part of that regulation. They were to file returns. But effectiveness was not there. Because if you apply the regulation on thousands of people or lakhs of people, it will not be effective. So, one more change was brought in 2010, where bulk customers were added. So, slightly from bulk customer side, the battery or scrap was generated, and it was coming in system.

But in this regulation of 2022, 2 things were major. Here, the regulation will be on producers only. So, here, you have to regulate a few people. In the case of lead-acid battery, there are 10 or 15 major producers of batteries. So, it is easy to implement the regulation. Second part, EPR. In the old regulation, there was no responsibility. So, there was no EPR. There is no EPR penalty. So, these 2 things will change the landscape of regulation.

Diya Brijwani : So, just a follow-up on that. Let's say I, as a retailer, I am getting a higher price from the informal guys just because they don't follow the compliance, norms or, let's say, GST evasion and stuff.

But you're saying that this 2022 regulation, will it enable us to come at par with those prices because retailers were the main point of leakage of these used labs. So, are you alluding to that?

Yogesh Malhotra : Yes. So, one of the premise of putting the onus on the brand owners is that they can control the supply chain. So, wherever the new batteries are sold, they are sold, and replacement of the old batteries are done at the same place. So, the premise is that whenever you need a new battery, you will get an old battery in lieu of that new battery. So, if the brand owners, battery manufacturers like Amara Raja and Exide, because they control their supply chain, they can put pressure on these retailers to give that old battery, only then they will give the new batteries to them.

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Then they can, to some extent, control and reduce the number of batteries going to the unorganized channel. That is the first part. And once they start doing it, probably the channel will follow. So, hopefully, it will start having an impact in the future. And of course, there are other things also that is happening because GST is being implemented in a proper manner, the government is getting stricter in terms of GST evasion and all those things. So, these are also some of the policies that are helping this shift from unorganized to organized.

Moderator : The next question is from the line of Khush Nahar from Electrum Premier. Please go ahead.

Khush Nahar : So, my first question was what was the domestic scrap collection for Indian operations as a percentage?

Yogesh Malhotra : So, for quarter 4, it was 40%.

Khush Nahar : And sir, in the presentation, I see that there is this Australia which has been added in terms of a procurement network. So, what's the strategy there? Are we looking at new products over there?

Or is it the existing verticals that we're expanding the network for?

Yogesh Malhotra : Yes. So, we have started developing some vendor network in Australia also. And we have started sourcing some battery scrap from Australia. And in future, we are thinking of putting up some our own yards also in Australia.

Khush Nahar : And just one last question on the EBITDA margin. After the aluminum hedging, what would be the sustainable EBITDA per kg we can guide across all 3 segments?

Yogesh Malhotra : For aluminum, you're talking about, Rs. 15 to Rs. 16.

Khush Nahar : Yes, the other 2, lead and plastic also?

Yogesh Malhotra : So, lead, we expect Rs. 18 to Rs. 19 per kg and for plastic, Rs. 10 to Rs. 11 per kg.

Moderator : The next question is in the line of Basant Patil from TCG AMC. Please go ahead.

Basant

Patil : Sir, just one question on the domestic front domestic front industry scenario. Even Amara Raja is also getting 1 lakh tons of the lead recycling capacity. So, even if you excise this segment recycling lead capacity, don't you feel the domestic growth would be more pressured to procure the raw materials, battery component standards. So, how do you feel this, sir?

Yogesh Malhotra : So, the opportunity itself is huge. So, currently if you look at the total capacities in the organized sector, they are not capable to fulfill the entire requirement. So, every battery manufacturer, just because he has to comply with the new regulations, would have to find solutions. So, part of it is going to come from contract manufacturing with companies like us, organized recycler. And part of it is going to come by their own internal capacities. So, I think because the opportunity itself is so huge that even if their capacities come, it will not overall impact growth that we have envisaged for the next 4, 5 years.

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Basant Patil : So, whatever you procure from Amara Raja battery is going to be lost going ahead?

Yogesh Malhotra : So, basically, what is going to happen is that Amara Raja is only putting a plant in south, but they sell this battery everywhere in India. So, we have plants in North. We have plants in Central India. We have plants in West India. So, wherever the battery is getting sold in these regions, they would come to either us or companies like us. The specific benefit that we have is that we can process it in the northern plants and then we can give the finished products to Amara Raja from the south plant itself. So, that gives us the advantage over the competition.

And similarly, there are other battery manufacturers also. If this gets implemented, only 2 of the big players like Exide or Amara Raja, other players, who can put up their own plant or who can buy these batteries. The smaller players would also need partners like us. So, there is a huge opportunity there also. Many small players, who do not have that much crowd on the supply chain, they would need a partner like us to collect that battery from the retailers and then process it and then give it back to them. So, that would be other requirements that will come up. So, overall, if you look at the total capacity, the plant that they're putting is not even 20% of the total capacity in India, Exide and Amara Raja currently.

Basant Patil : Yes, sir, that's correct. So, industry opportunity is huge largely, so that will not be a threat for us actually?

Yogesh Malhotra : Yes.

Basant Patil : Sir, one more thing actually. I missed the one part that you were commenting on the lead procurement from India, would be more expensive than lead what you are going to procure from outside for the recycling material outside India? What is that statement, sir?

Yogesh Malhotra : It's basically India market moves independent to the international markets. So, sometimes there is a scenario where Indian markets are much higher. During those times, it makes more sense for us to bring international material into India, process it in India and then supply to the Indian market rather than procuring it in India. So, there is an arbitrage opportunities during those time, which was in the Q3 and part of Q4. So, we take benefit of it whenever those arbitrage opportunities arise. So, that is why you will see that our overall EBITDA margin was also higher in Q3 because imported batteries were cheaper.

But I mean these opportunities are not continuous. So, there will be certain times in the year when you will have these opportunities. Otherwise, the best way to deal is whenever you have Indian requirement, you buy Indian material and give it to Indian buyers. And the international market, you buy international material and supply to the international markets. Am I clear in this?

Basant Patil : Clear, yes.

Moderator : The next question is from the line of Siddharth Mehrotra from Kotak Institutional Equities.

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Siddharth Mehrotra : Sir, just a quick question on your CAPEX numbers. So, I was just looking at the CAPEX you had guided for in your previous presentation versus the new presentation, and I see that the FY'24 CAPEX is actually much smaller than we had guided in the past. So, can you just explain what sort of projections we are altering? What is the progress on our new verticals and so on? And how should we look at this CAPEX? Will it be majorly backended towards FY '26, '27?

What are your views on that, sir?

Yogesh Malhotra : So, yes, you're right, some of the CAPEX that we have planned for the new verticals, especially lithium-ion battery recycling, we were not able to do that in last year, and it spilled over to this

year. And you will see that coming up in this year, the lithium-ion facility in Mundra. And from the existing vertical, part of it was to put up a new facility for aluminum recycling in Mundra, which was also delayed because we were not having any hedging mechanism, so we did not want to put a new capacity. Because until the hedging mechanism is there, we did not want to go into putting up a CAPEX. So, we realized that later.

So, we changed our strategy a little bit, and we have started putting up capacities of aluminum recycling overseas. But now once this hedging mechanism is live, then we may start thinking about putting up this capacity again. So, these are 2 major factors that affected the CAPEX plans.

Siddharth Mehrotra : And what about the progress on the new divisions, which we were sort of overseeing, the paper and steel parts?

Yogesh Malhotra : So, we have also mentioned that paper and steel would probably come in Financial Year '26 and '27. So, we are in line. We are doing our due diligence. It will take some time. Probably, second quarter of this year, the due diligence will be completed and then we'll start on CAPEX for these 2 new verticals.

Management : Meanwhile, for this year, we are more focused on rubber, expansion of rubber, and putting up our lithium-ion first plant in India.

Siddharth Mehrotra : Focused on expansion in rubber, you mean for the Indian plants or the African plants, sir?

Yogesh Malhotra : So, basically, so far, what we have done in rubber is for CAPEX consumption. So, these would be standalone rubber plants in India, both for scrap rubber and for pyrolysis as well.

Siddharth Mehrotra : So, we also plan to sell them externally, if my understanding is correct?

Yogesh Malhotra : Yes.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to the management for closing comments. Thank you.

Yogesh Malhotra : Thank you, everyone, for participating in this call. We trust that we have addressed all your inquiries during the session. However, if there are any remaining questions, please feel free to

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reach out to our Investor Relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you and have a great day.

Moderator : On behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

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24th July, 2024

GIL/2024-25/102

To,

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2024.

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended 30th June, 2024 Conducted on 22nd July, 2024 for your information and records.

The above information is also available on the website of Company:

[https://www.gravitaindia.com/investors/financial -details](https://www.gravitaindia.com/investors/financial-details)

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

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"Gravita India Limited

Q1FY25 Earnings Conference Call "

MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE -TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRAVITA INDIA
LIMITED

MR. VIJAY PAREEK – EXECUTIVE DIRECTOR –
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MR. NAVEEN SHARMA – EXECUTIVE DIRECTOR –
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MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day, and welcome to the Gravita India Limited Q1 and FY '25 Conference Call hosted by Antique Stock Broking . As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

And I'll hand the conference over to Mr. Manish Mahawar from Antique Stock Broking .

Thank you, and over to you, sir.

Manish Mahawar: Thank you, Neha. On behalf of Antique Stock Broking , I would like to welcome all the participants on the 1Q FY25 Earnings Call of Gravita India. From the management, we have Mr. Yogesh Malhotra, Whole -Time Director and CEO; Mr. Vijay Pareek, Executive Director; Mr. Naveen Sharma, Executive Director; and Mr. Sunil Kansal , CFO on the call.

Without further ado, I would like to hand over the call to Mr. Malhotra for opening remarks, post which we'll open the floor for Q&A. Thank you, over to Mr. Malhotra.

Yogesh Malhotra : Thank you, Mr. Manish. Good afternoon, ladies and gentlemen, and welcome to our Q1 FY '25 Earnings Call . I trust you have had the chance to go through the earnings presentation and financial results that were uploaded on the Stock Exchanges . I'm pleased to announce that Gravita has begun the year on a positive note, achieving a strong performance in the first quarter of FY '25. Before we delve into the results, I would like to share some strategic highlights and project updates.

Due to stringent government regulations under BWMR and EPR, the availability of domestic scrap is increasing. And consequently, our sourcing of domestic scrap is also rising. Of the total scrap Gravita has sourced in India in Q1 FY '25, more than 40% is domestic scrap, depicting a growth of more than 50% in volume on a year -on-year basis.

As you are already aware, Gravita engages in back -to-back hedging of lead to mitigate risk and is also working on a hedging mechanism for aluminum. The Ministry of Finance has notified aluminum alloy under the Securities Contracts Regulation Act of 1956. We anticipate the launch of the aluminum alloy commodity derivative on the MCX shortly.

This development will play a crucial role in managing the risk associated with the price volatility. By effectively hedging against price fluctuations, we can ensure more stable and predictable financial outcomes. This stability will ensure that we allocate resources more efficiently, make informed strategic decisions and ultimately scale and expand our aluminum business with resilience.

We are setting up a pilot project for lithium -ion recycling and our first Indian tyre recycling plant at Mundra, which -- both of which are expected to be operational in H1 FY '26. The paper recycling plant and steel recycling plants are anticipated to be operational by financial year FY '27. We are currently in the due diligence phase for both the projects.

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Gravita is also advancing strategically to meet its short-term, midterm and long-term goals by FY '27, FY '34 and FY '50, respectively, as outlined in its ESG road map. By amending ESG principles, Gravita demonstrates its dedication to long-term sustainability and value creation. Coming to operational performance, we saw a substantial increase in volumes in Q1 FY '25. Overall, we saw a growth of 29% in volumes. Volume of lead, aluminum and plastics stood at 41,900 tons, 2,460 tons and 3,190 tons, respectively. Coming to quarterly EBITDA per ton performance, EBITDA per ton of lead, aluminum and plastic stood at INR19,321 per ton, INR19,414 per ton and INR10,077 per ton, respectively.

Moving to financial results for Q1 FY '25. Revenue for Q1 FY '25 increased by 29% to INR908 crores. 47% of revenue in Q1 FY '25 came from value-added products, which is in line with our vision of achieving 50% revenues from this category. Adjusted EBITDA for Q1 FY '25 increased to INR91.24 crores, up by 33% on a year-on-year basis. EBITDA margin stood at 10.05%.

PAT showed a significant increase of 29% to INR67.33 crores on a year-on-year basis. In Q1 FY '25, PAT margin increased to 7.42%. In conclusion, Gravita is making impressive strides towards its clear Vision 2028. Our strategic focus is on expanding existing verticals, aiming CAGR growth for our volume above 25%, profitability growth over 35% and ROCE exceed 25%.

We are also committed to raising our non-lead business share to over 30% using more than 30% renewable energy and reducing energy consumption by over 10%. These efforts underscore our commitment to sustainable development.

Our successful strategies, including capacity expansion, increasing the proportion of value-added products and managing risk through back-to-back hedging have resulted in robust and sustainable margins with over 31 years of recycling expertise, 12 advanced eco-friendly facilities globally, approved footprint in over 70 countries and integrated supply chain, stringent, BWMR and EP R regulations and strong support from stakeholders, we are poised to achieve our Vision 2028 as well as diversifying into new businesses, new areas like lithium-ion, steel and paper recycling.

That's all from my end. I would now request to open the floor for questions and answers.

Thank you, and over to you, Mr. Manish.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a great performance. I have two questions, sir. The first one is on aluminum. If I look at EBITDA per ton, that has decreased materially, while production is, of course, a little bit subdued, maybe because so far, we have not got that hedging clearance. So just wanted to understand the key driver behind this EBITDA per ton improvement. Is it clearly LME driven? Or LME scrap spread were a little bit more benign? And how do we see it going ahead? So that is the first question, sir.

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Yogesh Malhotra: Yes, Amit ji. So basically, this improvement in EBITDA definitely came from -- partly came from the LME, which is the metal prices which improved in this quarter. So, as we already discussed that this aluminum because we are not fully hedged on this metal. So always when the prices are higher, we get slightly better on the margins.

And definitely, on the other side when the prices are lower, we get lower margins. So -- but as Yogesh mentioned, that we are going to -- in future, we are going to hedge this metal also as we do in lead. So we are discussing this matter with the MCX and they are coming up with the product. So in future, this will be in the range of INR15 to INR16, which is a stable kind of a margin per ton -- per kg. So INR15,000 per -- INR15,000 to INR16,000 per ton. So that can be a stable margin for future, we can assume, yes.

Management: I would also like to add here that we have got some contracts in India, price contracts in India. And therefore, we are shipping some material from our overseas locations into India. Most of these price contracts are on the basis of M minus 1 or M minus 2 pricing. So, kind of giving a natural hedge to our positions -- inventory positions overseas. Because of this, you will see even if the MCX is not there, you will see some stable margins coming in the next quarters.

Amit Dixit: Okay. Got it. The second question is on the -- we have closed some subsidiaries, I mean quite recently, Jamaica, Ghana, etcetera. Now we were expecting -- while these -- I mean 2 of

them

were non-operational at the moment. But can you just clarify the reasons behind closing these subsidiaries? Does it change our business case in any way? I just wanted to understand that.

Yogesh Malhotra: So, yes, Amit ji, you're right. We have closed two subsidiaries, one in Costa Rica and one in Jamaica. But these were -- earlier we were into plastic -- PET recycling business in Central

America. So, at that point of time, we were having one plant in Jamaica and one scrap yard in Costa Rica. So, we were doing some processing of PET recycling in Nicaragua also, which the subsidiary we sold a few years back while COVID, there were some scrap shortages because of COVID.

So, we exited from those countries. So, these were some operational companies and non-operational companies, which we were trying to close this. And there is no impact on the business that we were -- we sold this equity of Nicaragua entity, and we were in the process of selling this -- closing these subsidiaries in Costa Rica and Jamaica also. So because we exited from this PET recycling business fully.

But now we also plan to have PET recycling business in India, where we are putting -- we are planning to put an independent PET recycling facility for food-grade plastics, for food-grade flakes in India. So that is our upcoming business because we have that experience in Nicaragua.

Amit Dixit: Okay. So, I mean the closure of the subsidiaries doesn't mean that our future plans that we have in other geographies of expansion into other verticals also, maybe steel -- there is no impact...

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Yogesh Malhotra: So, there is no impact because we are coming out of those geographies, have already come out of those geographies. So -- but we have plans in Central America, but in some different geographies. So, it will not impact any future plans, any extension plans in the future.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: You mentioned certain targets, I couldn't fully catch all of them. What I understood was that ROCE 25%, which we have talked about many a times, growth rate of 25%. Did you mention profit growth of 35% or I think that's what I understood?

Yogesh Malhotra: Yes, sir. So we've always been saying that although the volume will grow at 25%, but because of various initiatives, the bottom line would grow by more than 35% because there, we are trying to increase the value-added product content. There will be certain economies of scale and also the new verticals of plastic and rubber are a little more profitable as compared to lead and aluminum.

So definitely, the bottom line target to -- the target to increase bottom line growth by around 35% in the next 3 to 4 years. Other reasons are like the fixed cost is remaining same, like the interest cost is also -- we are trying to bring it down by having a more cash flow, better cash flows because of the more business coming in from the domestic part. So there, the improvement in bottom line like profitability will be better than the growth in the volumes.

Bharat Shah: Okay. Now that is good to know because all along in many discussions that we have had, my impression on top line growth of about 20%, 25 percentile was well captured, but this is an interesting new addition.

Moderator: The next question is from the line of Sumangal from Kotak Securities.

Sumangal: Congratulations on a very strong set of numbers. My first question is with regards to the new businesses or new categories which we are entering. Are we looking for any technology tie-up or it will be self-sufficient, especially for lithium-ion and recycling, lithium battery recycling?

Number one.

Number two, have you started collecting scrap for these businesses? And once these recycling plants set up, what sort of margin should we expect? During

the initial phase, do we expect the initial few quarters to be loss making or some sort of normalized level of margin one can expect given the visibility on the scrap side for these businesses?

Yogesh Malhotra: In lithium-ion batteries, it's going to be a pilot project. So in lithium-ion, the first part of the technology of creating black mass is basically over-the-counter technology that we are buying.

On the second phase, we will be refining metals or extracting metals out of it, that technology we'll be building in-house. So that is why it's a pilot project. Right now, although we have certain interest to import scrap from other countries also, but all of this has to wait till the time we have set up our own plants.

And battery scrap in India is not currently to the tune that you can buy it currently. So the scrap will start coming probably in a matter of 2 to 3 years, but there is some scrap availability

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in some of the developed countries from where we have already seen some interest. As far as rubber is concerned, it will be a profitable business right from the day 1. Of course, there will be some time to sell it, but it's going to be a profitable business.

But lithium-ion batteries recycling is just a pilot project, we want to be there to understand the

technology better, to understand the flow of material, to tie up with battery and car manufacturing companies. So that is why this is more of a strategic business currently.

Sumangal : Understood. Understood that. Sir, my second question is on the aluminum business. We were talking about a very strong growth this year. Do we expect that to now start reflecting from the second quarter onward. So there is some bit of -- kind of a...

Yogesh Malhotra: What I mentioned, also is that we have now got some contract in India, which are stable in nature in the sense that they are based on -- the pricing is based on M minus 1 and M minus 2, that it means 1 or 2 months prior. So based on this, we can now start production at our overseas plants and start shipping it to India.

So, we've already done that. And currently, around 2,500 tons of material is already shipping towards India, for which we have a pricing offer already. So, you will start seeing these results from Q2 onwards -- of the growth.

Sunil Kansal : Additionally, there is another plant we are starting in Ghana, which is upcoming shortly. So that will also add up some volumes for aluminum business in overseas.

Sumangal : Understood. And when -- from when do we expect the hedging instrument be available?

Yogesh Malhotra: We're expecting it in this Q2.

Sumangal : Okay. Understood. My next question is on penalties on OEMs for the recycling obligations because we were expecting this to be somewhere around -- I mean, what's the latest time line? And from our interaction with the ministries and with the regulators, can we expect this to be implemented?

Management: Yes, that particularly EC is under discussion with the CPCB and the manufacturer and producers of batteries and with consultation with recyclers. So I think they should be finalized within this Q2. Lead acid battery almost finalized between both of them. While in case of lithium-ion batteries, it is still under some discussions, but it will be released together by this quarter itself.

Moderator: The next question is from the line of Meet Bharatbhai Rachchh from Anubhuti Advisors.

Meet Rachchh : Congrats on very good numbers. My first question is to Sunil sir. So there in this quarter, other income has reduced materially Q-o-Q and Y-o-Y basis. So can you give us the bridge or breakup between the forex gain or loss, the commodity forward contracts gain or loss and the treasury income?

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Sunil Kansal: Yes. You're right. This quarter, other income is showing slightly low

er. So there are 2

components of other income: one is operational other income, and another is a non-operational other income. So operational other income, we consider whatever contribution is coming from the commodity contracts or currency contracts, so that we consider as an operational part. And whatever is coming from other sources like interest or bank interests or something like that, so that is non-operational part of the income.

So, this quarter, approximately INR3.57 crores is the operational part and the rest is the -- INR3.3 crores is the non-operational part. So historically, whatever hedging income is coming from the commodity contracts, so that also fluctuates because whatever we are getting better from the operational side, we lose something on the exchange contract.

So, there is a compensation of a physical contract. So this quarter, it is -- on the exchange part, it is a negative, slightly INR0.86 crores. So that is shown in the other expense part. So that is the reason -- and in the previous quarter, it was on the positive from the exchange part and we were losing on the physical part. So it's a compensation. So that is the reason we consider it as an operational income. So this is the reason -- in this quarter, it is lower.

Meet Rachchh : Okay. So INR3.3 crores, which is non-operational -- sorry, INR3.57 crores which is operational, out of that INR0.86 crores is charged through other expenses, right?

Sunil Kansal: 0.86 crores is a negative, which is already covered in the other expense part. So there is no impact on other income. So other income part, INR3.3 crores is the non-operational part, which is -- which we have not considered in the adjusted EBITDA.

Meet Rachchh : Okay. Only INR3.57 crores is considered?

Sunil Kansal: Yes.

Meet Rachchh : Understood. And the second question is on employee cost. So, Y-o-Y, the increase is only 9%. But if you look at Q-o-Q, it is a material increase of close to 60%. So just wanted to understand whether we have any annual incentive payout in Q1?

Sunil Kansal: Yes, you're right. So basically, we are expecting a larger growth in this year, as we were lower in the volume growth in the previous year. So we are targeting it to cover -- we're trying to cover a part of that also in this current year. So we have announced some incentives also, which is close to INR9 crores additional incentive. We have made a provision for this in this Q1. And there is some part of annual increment also, which is 9% to 10% annual increment we do. So that is also -- some provision is taken on that account also.

Meet Rachchh : So Q2 should likely witness a dip in employee cost, right?

Sunil Kansal: Yes. So slightly maybe -- so I think it should be in this range only.

Meet Rachchh : Okay. So , you are expecting another provision of incentive in Q2 as well?

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Yogesh Malhotra: Because whatever the incentive we have taken in this quarter 1, that is in the proportion of -- in this -- for this quarter only. So , whatever will be for the full year, so 1 /4 we've taken in this. So that's where we have. So, if we, if we keep to meeting the projects and definitely, the salary component would be similar. So , you can expect a similar numbers in this.

Moderator: The next question is from the line of Keshav from Raksan Investors. Due to no response, we'll move to the next question, which is from the line of Manan Vandur from Wallfort PMS.

Manan Vandur: Congratulations on the good set of numbers. Sir, I had three questions. I just wanted to understand when is the rubber plant be operational?

Yogesh Malhotra: So, the plant for rubber recycling in India, although we already have plants outside India, but most of those are used for captive consumption. The rubber plant would be operational by H1 FY '25.

Manan Vandur: FY '27?

Yogesh Malhotra: FY '26. Sorry.

Manan V

andur: '26, okay. And sir, the next question is on the capex side of it. In our presentation, it's written around INR600-plus crores of capex until FY '27. So will it be debt funded or internal accruals? And how will it be?

Yogesh Malhotra: Yes. So this INR600 crores capex , it will be majorly from the self -funded. We are not taking any incremental debt, except small debt for our working capital for the future. So we have enough cash flow for funding the incremental capex also and part of working capital also. So we are not going for the debt for this capex .

Manan Vandur: Okay. Understood. And can you give the capex numbers for current year FY '25?

Yogesh Malhotra: Sorry, FY?

Manan Vandur: FY '25 capex numbers, can you give, sir?

Yogesh Malhotra: So, it is estimated at approximately INR180 crores, which includes INR40 crores of -- which includes INR140 crores for the existing verticals and INR40 crores for new verticals.

Manan Vandur: Okay, sir. And the last question, sir, about the profitability side of it, as the presentation mentioned around 35% growth Y -o-Y CAGR until FY '28, so is it safe to assume that the PAT would be around INR800 crores in FY '28?

Yogesh Malhotra: So we have not calculated that number, but yes, 35% volume growth -- sorry, PAT growth of 35% on a PAT basis on CAGR basis...

Sunil Kansal: It would be around INR750 crores to INR800 crores, yes, you're right target -- if we achieve our targets.

Manan Vandur: Congratulations.

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Moderator: The next question is from Bhuvan from Tigers Assets.

Bhuvan: Yes, I just wanted to know what is your sourcing strategy, like how much percentage comes from OEMs, how much from other dealers and how reliable and how stable are the prices? Yes.

Yogesh Malhotra: Yes. So in India, most of the procurement that we are doing currently, around 80% is through OEMs, where we have a tooling kind of arrangement where we get a fixed margin. So it doesn't matter how much variability there in the prices of those material is because eventually, if you only get processing charges from the OEMs. So it's pretty stable as far as the profitability is concerned for us in that business.

Bhuvan: Okay. And I wanted to know in lithium and recycling, which technology you would be using, hydrometallurgy or pyrometallurgy?

Yogesh Malhotra: So, hydrometallurgy, definitely, but we would have to develop that technologies on our own. So, it's a little premature to talk about what kind of -- so it's generally hydrometallurgy only, but it will take some time to develop that technology. So maybe next year, we can talk about the technology also.

Bhuvan: Okay. Presently, like what is the progress in your R&D?

Yogesh Malhotra: Sorry?

Bhuvan: What is the progress regarding this technology, which were developing?

Yogesh Malhotra: See, we have already decided to set up a plant. As I mentioned that there are 2 phases. The second phase would be where we would do hydrometallurgy and we've already earmarked the capex and the equipment that has to be bought. So we'll be buying that equipment and then

we'll do the R&D of refining in those machines or brought-in machines itself. So -- all the equipment is installed, only after that, we will be able to know the development on that phase.

Bhuvan: Okay. Any idea how much would be incurring capex for this segment?

Yogesh Malhotra: In this year, it will be around INR40 crores -- this year. But overall, around INR70 crores to INR100 crores would be on lithium-ion battery in the next few years.

Moderator: The next question is from the line of from Siddharth Mehrotra from Kotak Institutional securities.

Siddharth Mehrotra: Congrats on a great set of numbers. Just a quick question. Sir, can you tell me what our net debt level is as of 1Q FY '25?

Sunil Kansal: Yes. So, our gross debt is around INR550 c

rores and net debt is around INR470 crores.

Siddharth Mehrotra: INR470 crores. And this was around INR450 crores last quarter. So am I given to understand that our working capital days has remained at a similar level as last quarter because if I recall

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correctly, that number was slightly elevated at around 90, 99 days. So has the working capital come down?

Sunil Kansal: Yes. Working capital because, as Yogesh mentioned in his opening remarks that we have sourced more scrap from the domestic market. So that brings more working capital for us. So definitely, proportion to the business, the working capital days is lower.

Siddharth Mehrotra: And any chance you could just break it down into inventories, receivables and payables for me or perhaps give me some number on the working capital days versus, say, 4Q FY '24?

Sunil Kansal: So working capital days was close to 85 days, which came down to around 80 days in this quarter.

Siddharth Mehrotra: And we are talking Q-o-Q, right?

Sunil Kansal: Yes. So I'm talking about Q4 to Q1.

Moderator: The question is from the line of Jenish Karia from Antique Stock Broking.

Jenish Karia: So out of the FY '25 capex target, how much has been incurred till date in the first quarter?

Yogesh Malhotra: Actually, it's very difficult to give you an update on capex on a year-on-year basis, but probably it's around INR15 crores to INR20 crores so far.

Jenish Karia: And towards the existing vertical...

Yogesh Malhotra: Sorry?

Jenish Karia: This INR15 crores, INR20 crores will be incurred towards the existing vertical?

Yogesh Malhotra: Yes. Yes.

Jenish Karia: Okay. And like we see that there is no significant capacity addition on a sequential basis, the capacity has remained at 291,000 tons. And so when will be the new capacities be added during FY '25. So around 50,000 tons is the target. So when can we expect it?

Yogesh Malhotra: So you can expect in this quarter itself. As we speak now, our aluminum capacity in Ghana is being installed. So hopefully, in a couple of days, you'll get a news about that new capacity also. And then we have various new capacities lined up. We have increase in capacities at Mundra and other plants also. So it's in line with the total capex plan. So hopefully, the next quarter, you'll hear some capacity increases.

Jenish Karia: Okay. Sir, next is that our capacity guidance for the next 3 years, the capacity is growing at a 19% CAGR. However, we are guiding for a 25% volume CAGR. So if I assume the guidance to be achieved, our capacity utilization at that level would have been around -- would be around 70% to 75%. So is it possible for us to operate our plants at that peak utilization levels? Or what is the peak utilization level that we will be comfortable with?

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Yogesh Malhotra: Yes, peak utilization level should be close to 75% to 80%. So even we should be close to 70%, 75% -- between 70%, 75% even after this growth of 25%.

Jenish Karia: Yes. Okay. And I guess you have answered my next question earlier. But if you could just repeat the aluminum EBITDA per ton, which is around INR19,000 in this quarter. Is that sustainable for the year?

Yogesh Malhotra: Actually, the sustainable number for aluminum recycling is around INR14 to INR16 per kg. So you will have some deviation till the time that hedging mechanism is in place. So you will see some quarters where you will get more EBITDA numbers -- higher EBITDA per ton numbers. And if you will have some quarters where you will have some lower EBITDA per ton numbers. But hopefully, in this quarter itself, we'll have this mechanism in place. On the other hand, we also -- as I mentioned, we also have this agreement in India now, which we work as a natural hedging mechanism for us. So you can see some stability in these numbers go

ing forward.

Jenish Karia : Okay, sir. And just last one question. On the lead margin. So lead, we have always been saying that INR17 to INR18 per kg is the sustainable EBITDA for the lead segment. However, if I see the last 3 to 4 quarters, we have been delivering around INR19 to INR20 per kg. So is that a sustainable change? Or is this just the hedging gains which are playing out and the cycle can reverse and we can go back to INR17, INR18 per kg?

Sunil Kansal: So basically, yes, you are right, earlier, we used to have INR17 to INR18 kind of EBITDA margin for lead, but which we have improved because of the more volumes coming in, and we have improved from INR18 to INR19. So now we can say that the stable margins for lead is in the range of INR18 to INR19 instead of INR17 to INR18 earlier. So there is no impact of metal pricing in this lead piece.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar : Sir, I just wanted the percentage of domestic scrap collection that you have done for the Indian plants for this quarter.

Sunil Kansal: Sorry, can you come again, please?

Khush Nahar : The percentage of domestic scrap collection from our Indian plants for this quarter?

Yogesh Malhotra: Around 42% of the total procurement that we did was domestic scrap. But in terms of volume, it's around 50% year-on-year basis -- increase of more than 50% year-on-year basis -- absolute numbers.

Moderator: Next question is from the line of Chetan Thacker from ASK Investment Managers LLP.

Chetan Thacker: Yes. Sir, I have just 2 questions. One, primarily was on what is the underlying volume driver for lead in this quarter? And how should we see that going forward for the remaining of FY '25?

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Yogesh Malhotra: So basically, the basic underlying factor is the overall procurement of scrap, availability of Indian scrap in India. So that is the basic underlying factor. And as I mentioned that our overall scrap availability has increased and it continues to increase because of battery-based management rules. So you can expect the similar growth numbers going forward also.

Chetan Thacker: So the number is primarily from our anchor clients that is driving this volume growth?

Yogesh Malhotra: In India, yes.

Chetan Thacker: In India.

Yogesh Malhotra: There is a growth in overseas numbers also. So there is an organic growth in each of the territories we are available, and some part of it in India is coming from these new battery-based management rules -- regulations also.

Chetan Thacker: Possible, sir, to break out what would be the difference between 2 in terms of contribution to growth? Or difficult to do that in terms of volume?

Yogesh Malhotra: So you can expect around 8% to 10% growth coming from organic increase. And balance is coming from increase in domestic scrap availability.

Chetan Thacker: Got it. And sir, in terms of the situation from volumes moving from Africa to Europe where we are facing the Red Sea issue, how should we look at that from an FY '25 perspective? Is that resolved and we should now assume volumes will start to inch up?

Yogesh Malhotra: So we've already mentioned earlier also that these remain some temporary issues. Generally, what happens is that either you shift to a new customer that we've done. And in some cases, the price of scrap in those geographies come down. So it's a combination of both of these and now there is no problem for us going forward as far as Red Sea issue is concerned.

Chetan Thacker: Understood. And sir, second question was on the depreciation line item. That has been a little volatile. So it moved up from INR7 crores quarterly to INR12 crores last quarter and it's back to INR7 crores. So what is the factor that drives this volatility? And how should we look at this?

Sunil Kansal: So yes, in this last year, in the

quarter 4, there was some additional depreciation on account of some -- we have a plant in Ghana, where the currency was moving significantly. So because of that, there was an additional index, which was applicable on this. So it can increase the value of the assets of the company and also consequently increase the value of depreciation also. So that was the reason of higher that depreciation in that Q4 of last year. So -- but sustainably if you see, now whatever depreciation is there in this quarter, so that -- at the current level of assets, it is going to be similar. So in the future, we will not see any significant volatility in case of depreciation.

Chetan Thacker: And in case that inflation persists, then probably Q4 end will be generally the revisiting period in terms of what would be the asset value and hence, consequent impact on depreciation. That would be a fair understanding.

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Sunil Kansal: So there was one -off case of approximately INR3 crores to INR4 crores that came in Q4 of last year. So I don't think anything coming in this year because -- but yes, you're right. Definitely, we revisit every end -- last -- quarter 4 of every year, but we don't see anything now coming up.

Chetan Thacker: Got it. And sir, last question on the rubber plant, what will be the capacity in terms of TPD that we are setting up and the capex for that in Mundra?

Sunil Kansal: For rubber plant, we are expecting to start with -- for this first plant, we are expecting a capacity of 9,000 tons in India.

Chetan Thacker: This is annual 9,000 tons.

Sunil Kansal: Yes.

Chetan Thacker: And the capex for this?

Sunil Kansal: Capex for this is approximately -- I can give you the number -- approximately INR30 crores.

Moderator: The next question is from the line of Keshav from Rak san Investors.

Keshav: What should be the volume growth this year?

Sunil Kansal: Yes. So volume growth should be this year, we are targeting -- again, we cannot say exactly growth for this year. But yes, on a 3 -year basis, we are targeting 25% on a CAGR basis.

Keshav: Okay. But this year should be better than FY '24?

Sunil Kansal: Yes, should be better.

Keshav: Okay. And sir, lastly, what should be the tax rate for the year, if you could give a range?

Sunil Kansal: Tax rate should be close to again 10% to 11%, which we -- normally, we have certain exemptions in overseas and India also. So for the next 2 to 3 years, it is .

Moderator: The next question is from the line of Aastha from Pkeday Advisors .

Aastha : I just wanted to ask the management 1 question. Firstly, from which quarter can we see the volumes to start rising for plastic and aluminum segment?

Yogesh Malhotra: So in aluminum, you can see the rise in volumes coming from Q2, at the max next from Q3.

Aastha : Okay. Q2 to Q3. And for plastic, sir?

Yogesh Malhotra: Volume from next quarter itself. Plastic is going to take a little longer because it's a little different in the sense that still the implementation of EPR is going to take some time as far as consumption of recycled plastic is concerned. So -- and development of plastic products also in the organized sector is going to take some time because it's not like metals where you can

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produce it and you can use it as a recycled product. Plastic is going to take some time longer.

Probably by the end of this year, you will see the growth coming in plastics also.

Moderator: The next question is from the line of Rishab Gang from Sacheti Family Office.

Rishab Gang : I -- like your capacity utilization range hover between 55% to 67%. And this quarter, it was very good. So I wanted to understand first, how much of that was because of the pent -up demand which was not executed maybe in the next -- previous quarter because of geopolitical reasons? Also, a long -

term vision you mentioned around 70%, 75%. So like, do we face any constraints in achieving a 100% capacity utilization because of any bottleneck in that process?

Like what do you think about that?

Yogesh Malhotra: No, actually, it all depends on where the -- because scrap is not something that comes in a constant manner in a linear manner. So there are some problems in achieving more than 70%, 80% operational this thing. But with more Indian scrap availability, the total capacity utilization in India is definitely going to go up. So that is what is going to be the factor in the long term, where we expect the domestic scrap to be to the tune of around 70% to 80% of the total Indian business. That is one area where we would get higher capacity utilization.

And then in other verticals like plastic and aluminum, the capacity utilization is still at a very low percentage. It will also increase going forward. For example, in aluminum, we are not going in for 100% capacity utilization because of no mechanism for hedging for that product. So it will take some time. But as and when these things -- the hedging mechanism comes up, you will see increasing capacity utilization of aluminum also. So in the longer run, definitely 75% to 80% capacity utilization is something that is very achievable.

Rishab Gang: So the supply of enough scrap is a constraint, right, for us achieving a higher capacity utilization and not the demand from the manufacturer, right?

Yogesh Malhotra: See, so what happens is that because our is not a very capex -intensive business model. So we keep higher capacities because as I mentioned that it's not a linear flow of material. So generally, to make sure that if there is additional quantities of scrap available, we can process that also, so we keep higher activity always there. But the domestic scrap and with long -term agreements with the OEMs, we can increase the -- we don't have to increase the capacities in the same ratios as we used to do earlier.

Rishab Gang: Okay. Got it. Also, sir, how do you calculate the utilization rate because I understand it's a

blended utilization rate? So can you give some idea on how is the utilization rate across lead, aluminum, plastic and other commodities?

Sunil Kansal: Yes. So lead is close to 70% at this moment for this quarter. And aluminum is close to 45%; plastic is, again, 40%. So blended comes to around 65%, 66%.

Rishab Gang: And copper?

Sunil Kansal: We don't do copper.

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Rishab Gang: All right, sorry. Also, I wanted to understand what the lead capacity utilization of Chittoor plant? If any idea on that front? Because OEMs are also coming up with the capacity. So what are you seeing on that front?

Sunil Kansal: Yes, Chittoor plant capacity utilizing is close to 67% to 68%.

Rishab Gang: And it has always been like that in the past as well? And do you expect the same in the future?

Sunil Kansal: Yes, on an leverage, it is in the range of 65% to 70% for lead.

Rishab Gang: Okay. Sir, also on the lithium -ion front, right, so what is the typical scrap rate for battery from EVs and what is the lead acid battery? And what is the kind of regulation on lithium -ion battery recycling? And the kind of recycling which is happening in terms of tonnage for lithium -ion across India and globally right now, and maybe 5 years down the lane?

Management: Actually, the prices of these battery depends on the what type of batteries are the lithium -ion battery. They do -- they are one thing called LFP batteries and another is nickel -molybdenum - cobalt battery. So the price varies. So as low as from INR90 kg to INR250 a kg. So as of now, in India, the battery generated is mostly from the mobile battery or laptop batteries, which are still not able to collect it, they're lying with the consumers only. So once the EV battery start coming up, then we will have

certain price. As I mentioned, LFP should be somewhere around INR100 and NMC should be somewhere around INR250 a kg.

Rishab Gang: Also, like what are the kind of recycling happening, right, in terms of tonnage across India and globally for lithium -ion at the moment?

Management: Indian recycling happening mostly in terms of black mass conversion, and this black mass is being exported to the country where they are converting to metal for hydrometallurgy process after. Because India, nobody is producing cells. We are importing cells in India and the batteries are being assembled through cells. So as of now, China, Korea, other European consumers are there who are making cells. So the volumes are at pilot stage, not big commercial level. Maybe, maybe you can say -- maybe a few thousand tons per month...

Rishab Gang: In India?

Management: 3,000 tons, 4,000 tons maximum.

Rishab Gang: India, right?

Management: In India.

Rishab Gang: And globally, what do you think is, like number of tons lithium -ion recycling ?

Yogesh Malhotra: See, you must understand the actual volume of lithium -ion battery even globally would start coming in the next 3 to 4 years. It's too early to -- because the actual usage of these EVs have started only -- just 2 years. Before that, it was only probably Tesla and some companies in China that have started. So even if those capacities are there currently, in future, those

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capacities will fall short. But I mean, just looking at the numbers of the overall growth that has taken place in EVs in the past 3, 4 years.

Rishab Gang: Also on the -- like what is the recycling demand across commodities, like you mentioned you have lead, aluminum and plastic. So recycling demand across commodities in India? And how much recycling needs to happen in organized sector as per the regulations for each commodity? I want to understand what is the market, especially for the aluminum and plastics?

Management: Yes, if we talk about aluminum, India is net import dependent because the Indian generation is hardly 5% of our total requirement of aluminum scrap. Country imports around 1.7 million tons of aluminum scrap and rest is being met through domestic. So you can say, import dependent industry. So it's quite fragmented.

We have a lot of people are importing and converting them to alloy and other material for second industry. When it comes to battery, particularly lead acid battery. So the recycling happening because it's generated from the post-consumer. So most of the recycling is happening through informal sector of when we say formal, informal sector, so that is around 55% to 60%.

And slowly with this regulation, it will shift to formal and organized recycling. That is happening in case of lead. And when it comes to plastics, like MLP or which is going to down

for single plastic, that is not the recycling purpose. But other plastic like higher grade plastic of PET, that is being collected, that is being converted into PET flakes. And their rate is quite better as compared to other parts of the country because we are able to collect good amount of plastics in India.

Moderator: Next question is from the line of Shivam Dave: from Prodigy Investment.

Shivam Dave: Yes. Congrats on a great set of numbers. I just wanted one clarity on the aluminum volumes. I think in Q4 call, you were telling about 60% to 70% utilization for FY '25. Is that something that we can achieve this year?

Yogesh Malhotra: Yes, we are targeting around that only. So the capacity utilization will improve if the hedging mechanism is there. So we are expecting that hedging mechanism to happen in this quarter.

After that, we can probably take it to the optimal level of capacity utilization also.

Shivam Dave: Okay. And on the depreciation front, can we expect the current run rate for the whole year? Or is there going to

be some fluctuations in it?

Yogesh Malhotra: No, no. It is going to be constant from here on. Of course, the more you put in capex, you will see higher depreciation in absolute numbers, but you can expect similar numbers going forward, right?

Moderator: The next follow-up question is from the line of Meet Bharatbhai Rachchh from Anubhuti Advisors.

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Meet Rachchh : Sir, my question is in terms of working capital cycle. So basically, currently, bulk of the working capital goes to inventory. And the current working capital days is around 80 to 85 and our medium-term target is 65 to maybe 70 days. So just wanted to understand the road map of maybe a reduction in inventory days in next 2 to 3 years, how are we going to achieve that?

Yogesh Malhotra: So exactly in the next 3 years, we want to bring it down to around 65 to 70 days. And this is going to happen because of more domestic scrap availability, which is kind of tooling, although the inventory, you would see, the number of days of inventory would be same. But on the other hand, you'll see payables also. So the more tooling business we'll do, the less overall working capital requirements would be there. So it will -- it has already started happening. And in the next 3 years, we'll bring it down to around 65 days.

Meet Rachchh : Improvement would come from higher availability of scrap domestically, right?

Yogesh Malhotra: Absolutely, yes. Because currently a lot of our material comes from overseas. So there is in-transit inventory, proportionally which is very high. As and when we keep on increasing the domestic scrap, that -- percentage-wise, that will come down. So overall, the number days is reduced.

Meet Rachchh : Sorry. Please go ahead. So out of this 80 days of inventory, how much would be from in-transit inventory?

Sunil Kansal: So in-transit inventory takes approximately 45 to 60 days, whatever goods are coming from overseas to India, that takes 45 to 60 days. So that proportion of the in-transit inventory will go down.

Yogesh Malhotra: And here also, you have to understand that in some cases, you keep that inventory if you're buying from your own yard, you will be keeping our inventory for around 15 to 20 days in those yards. And then also, if you buy from some aggregator sometimes, then you'll have to give them in advance some money. So the overall period would be around 60 to 90 days -- I mean, from advances given to the time it reaches your factory.

Sunil Kansal : One more thing I would like to mention here is that because we're into scrap recycling business. So one more theory we have is that we don't say no to the scrap because we -- even if we don't have the enough capacity, we will keep on sourcing the scrap because that will not come back if we lose that. So we'll keep on increasing the capacity wherever required. But yes, on the other side, if we have got more inventory also, we would be happy to increase the capacity. So that is the one more concept we have for the group.

Moderator: The next question is from the line of Omkar Mishra from AUM Advisors.

Omkar Mishra: Yes. So, my question, can you please explain me about the tyre or the rubber business model? I mean what would be the byproducts and whom we are going to sell? And basic care on the model?

Yogesh Malhotra: So in rubber or tyre, we are also currently doing recycling in our overseas plant, where we are making pyrolysis oil out of it primarily and using it to our own tractive consumptions in our

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smelting and aluminum refining processes. So that is one part. So we also have a plant of rubber recycling, which is pyrolysis oil based on new technology of continuous pyrolysis in

India .

But we are also putting up a plant to make crumb rubber initially and we'll go into value addition in that segment also

in future, where we'll try to find out a solution to use the same material in tyres in future. So , it's both, in rubber recycling, we'll be going into tyre-to-tyre or circular economy also and we'll also be going into for pyrolysis oil production simultaneously.

Omkar Mishra: Okay. And what's the scenario about the availability of the tyre in India?

Yogesh Malhotra: So, the availability of tyre in India is there, but we are also targeting import of tyres from various locations across the globe for our operations in India.

Sunil Kansal: Now the EPR concept is also working well for India where they are coming up with the credit mechanism where we can buy the local tyres and there will be some credit generation will be there by the recycler. And the manufacturer -- tyre manufacturer have to buy that -- those credits. So that is also working well for giving us more value for the scrap.

Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to the management for closing comments.

Yogesh Malhotra: Yes. Thank you, everyone, for participating in this call. We trust that we've addressed all your queries during the session. However, if there are any remaining questions, please feel free to reach out to our Investor Relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you, and have a great day.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2024

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24th October , 2024

GIL/2024-25/169

To,

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2024.

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended 30th September , 2024 Conducted on 22nd October , 2024 for your information and records.

The above information is also available on the website of Company:

[https://www.gravitaindia.com/investors/financial -details](https://www.gravitaindia.com/investors/financial-details)

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

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Encl: As above

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"Gravita India Limited

MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE -TIME DIRECTOR
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LIMITED
MR. VIJAY PAREEK – EXECUTIVE DIRECTOR –
GRAVITA INDIA LIMITED *
MR. NAVEEN SHARMA–EXECUTIVE DIRECTOR –
GRAVITA INDIA LIMITED *
MR. SUNIL KANSAL – WHOLE -TIME DIRECTOR AND
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*NON-BOARD MEMBER

MODERATOR : MR. JENISH KARIA – ANTIQUE STOCK BROKING .

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Moderator: Ladies and gentlemen, good day and welcome to Gravita India Limited Q2 FY '25 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jenish Karia from Antique Stock Broking. Thank you and over to you, sir.

Jenish Karia: Yes. Thank you, Del. Good morning, everyone and thank you for joining the 2Q FY '25 Post - Results Conference Call of Gravita India. I would like to thank the management for giving Antique Stock Broking the opportunity to host the call. From the management, we have Mr. Yogesh Malhotra , Director and CEO; Mr. Sunil Kansal , Director and CFO and Executive Directors, Mr. Vijay Pareek and Naveen Sharma. Without further ado, I now hand over the call to management for their opening remarks, post which w e shall open the call for Q&A. Thank you, and over to you, sir.

Yogesh Malhotra: Thank you, Mr. Jenish. Good afternoon, ladies and gentlemen and welcome to our Q2 and H1 FY '25 Earnings Call. I trust you have had the chance to go through the earnings presentation and financial results that we have uploaded on the stock exchanges. I'm pleased to announce that Gravita has delivered outstanding performance in both financial and operational as pects during Q2 and H1 FY '25.

Before we dive into the results, I would like to discuss about some key strategic highlights and project updates. Gravita's step -down subsidiary Gravita Netherlands has signed a Memorandum of Understanding to acquire a waste rubber recycling plant in Romania from an established local entity with a capacity of approximately 17,000 metric tons per annum. This acquisition will mark Gravita's first recycling facility in Europe. This aligns with the company's vision of diversification and expansion aimed at repl icating our recycling business across various geographies.

The acquisition will be carried out by establishing a separate special -purpose vehicle in Romania where GNBV will hold 80% equity along with management control, while the remaining equity will be held by local partners in Romania. The total investment for this transaction is estimated to be approximately INR40 crores with GNBV contributing around INR32 crores, subject to comprehensive financial, environmental and legal due diligence.

GNBV aims to grow its recycling business throughout the European market by seizing new opportunities and establishing strategic partnerships that drive growth. The Board of Directors have approved raising funds of amount up to INR1,000 crores. These funds, if required will be raised for additional capex, M&A opportunities, debt reduction and other general corporate purposes. Our progress on setting up a pilot project of lithium -ion battery recycling and our first Indian rubber recycling plant in Mundra is g oing as per plan.

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We expect them to be operational in H1 FY '26. Gravita is strategically advancing to achieve its short-term, midterm and long-term goals set for FY '27, FY '34 and FY '50 respectively as detailed in its ESG roadmap. This comprehensive road map outlines the company's commitment into integrating ESG principles into its operations and decision-making processes. As Gravita progresses along the strategic path, it aims to position itself as a leader in sustainable practices within the industry, ultimately benefiting both the company and the communities in which it operates.

The long-term vision will help to drive innovation and strong governance pra

ctices will promote

transparency, accountability and ethical conduct within the organization. Coming to operational performance. On the capacity expansion front, Gravita is making steady progress towards its goal of increasing its capacity to over 5 lakh metric ton per annum by FY '27. The company has strong investment plans of INR600 crores which includes capex for both existing as well as new verticals like lithium-ion paper, rubber and steel recycling.

The capex done in H1 FY '25 is around INR30 crores and we are expecting an additional investment of around INR100 crores to INR120 crores in capacity buildup in the H2. On the volumes front, we saw an overall growth of 8% in Q2 FY '25. Volume for lead and aluminium showed an increase of 9% and 3% year-on-year to 42,151 tons and 3,515 tons respectively. Volume for plastics stood at 3,000 tons. Due to strict government regulations under BWMR and EPR the availability of domestic scrap is on the rise leading to an increase in our sourcing of domestic scrap as well.

In Q2 FY '25, we experienced with 140% growth in the domestic availability of scrap on a year-on-year basis. Coming to quarterly EBITDA per ton performance. EBITDA per ton of lead and aluminium increased significantly by 22% and 57% to INR21,642 per ton and INR18,386 per ton respectively. The company was able to increase these margins by leveraging arbitrage opportunities between international and domestic markets.

Moving to financial results for H1 FY '25. Consolidated revenue increased by 19% to INR1,835 crores. Consolidated adjusted EBITDA increased to INR192.72 crores, up 30% on a year-on-year basis. EBITDA margin stood at 10.5%. Consolidated PAT showed significant increase of 27% to INR139.33 crores. PAT margin increased to 7.6%. FY25 is standing strong at 25% which is in line with company's targets. Cash flow from operations has increased to INR73 crores.

Coming to financial results for the quarter. Consolidated revenue for Q2 FY '25 increased by 11% year-on-year to INR927 crores. 47% of revenue came from value-added products which is in line with our vision of achieving 50% revenues from this category by FY '28. Consolidated adjusted EBITDA increased to INR101 crores, up 27% and 11% on Y-o-Y and quarter-on-quarter basis respectively. EBITDA margin increased to 11%. Consolidated PAT showed a significant increase of 24% year-on-year to INR72 crores.

In conclusion, Gravita is making significant progress towards its clear Vision 2028, our strategic emphasis on expanding existing verticals while diversifying into new sectors such as lithium-ion, steel and paper recycling aims to achieve a volume CAGR of over 25%, profitability growth exceeding 35% and ROCE of more than 25%. Additionally, we are dedicated to increasing our Gravita India Limited

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non-lead business share to over 30%, utilizing more than 30% renewable energy and reducing energy consumption by over 10%.

Through our successful strategies which include capacity expansion, diversification both segment-wise and geographically, enhancing the share of value-added products to over 50% and managing risk with back-to-back hedging, we have achieved strong and sustainable margins. With over 30 years of expertise in recycling 12 cutting edge eco-friendly facilities around the globe, our presence in over 70 countries and integrated supply chain, strong capex plans and compliance with stringent BWMR and EPR regulations, we are on track to realize our Vision 2028. That's all from my end. I would now request to open the floor for questions and answers. Thank you and over to you, Mr. Jenish.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Hi, good afternoon everyone and thanks for the opportunity. I have a couple of questi

ons. The

first one is on the expected volume growth this year. So while volume growth, if I look at for H1 it was around 12%, 12.5%. So what kind of volume growth can we expect for the full year? And what are the key avenues for this growth between lead, aluminium and paper -- sorry, and plastics?

Yogesh Malhotra: Yes. So the H1 growth rate so far is 17% year -on-year basis. And we are expecting the same -- I mean, as we have given the guidance of around 25% CAGR growth in the next 4 year, it will be in the same vicinity of 25% this year also. There can be some slight difference of 2% to 3%, both downwards or upwards because as you know that the growth cannot be absolutely linear. So there may be some difference. And the growth projections for lead is around 17% to 20%.

And for plastic and aluminum, it is going to be around 35% to 40% going forward.

Amit Dixit: Okay. The second question is essentially around aluminum. So in the last call, we indicated that we expect the listing of aluminum on MCX -- ADC12, I think, so that we can also hedge aluminum. So I just wanted to get more sense on that and what could be the aluminum capacity utilization by end of the year?

Management: Okay. On the part of listing of aluminum contract on MCX, so that is in process and all the approvals to MCX has been received from finance ministry. And we expect that in Q4, this contract should be listed. And on the part of capacity utilization, the -- this year 2024-'25, the utilization around 45%.

Yogesh Malhotra: And forward in the H2, we expect it to slightly higher capacity utilization because we are increasing the volumes considering this upcoming hedging solution. So we are increasing the capacity utilization closing beyond 50% for this year.

Amit Dixit: Okay. So the sense that I get from both the answers is that H2 should be much stronger compared to H1 on volume front and with aluminum also helping. So we could see a distinctly better profitability in H2 compared to H1?

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Yogesh Malhotra: So profitability, again, as we mentioned, that would be in the same range. We expect 25% growth rate in volume terms and around 35% in profitability. This year, if you look at this quarter as I mentioned in my speech also that there was an upside in profitability. Although the volume grew by only 11%, the profitability went up, EBITDA margins were up by 27%. That was because of arbitrage opportunity. Otherwise, there is some difference, but it will be in the same tune.

Amit Dixit: Okay. Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Chetan Thacker from ASK Investment Management. Please go ahead.

Chetan Thacker : Hi, sir. Good afternoon. Just two questions. One is on the hedge gain that we've seen. What is the quantity against which this has been booked?

Management: Okay. So what we do is whatever volume we have approximately 10% to 15% we are doing like -- if you're doing 50,000 tons of volume, so approximately 10,000 tons we hedge through this mechanism. So whatever hedge quantity is approximately 10,000 tons to 12,000 tons. That's the -- but it also changes on a day -to-day basis because it fluctuates whenever we do the sourcing on the same day we hedge on the -- we take a sales contract on LME for the remaining quantity which we are not able to hedge on the physical side. So -- but that quantity changes on a day -to-day basis, but on an average, you can take it 10,000 to 12,000 tons.

Chetan Thacker : So this INR40 crores pertains to 12,000 tons per quarter?

Yogesh Malhotra: The turnover is much higher. It's at any point in time, the total hedge quantity is around 10,000 tons to 12,000 tons, but the turnover could be much higher because you do hedging on a daily basis against each and every contract. So the turnover would be much higher than this 10,000

0 to

12,000 tons.

Chetan Thacker : So then, sir, fair to assume that for this quarter, say, for example, we've got volumes of 42,000. And you would be on an average doing 10,000. But for the quarter as a whole whatever gains or losses that we see pertains to just 10,000 or it pertains then to the full 40,000.

Yogesh Malhotra: It pertains to full 40,000. So what happens is that once we -- sometimes when we have an ordering in hand or on other side we have a procurement in hand, then that gets cancelled. But whenever there is a lag in between the purchase or the sales during that time we go and hedge it on the exchange and then reverse that deal once the lag is complete.

Chetan Thacker : Got it. The reason why I was asking was because we've actually seen lead prices go down on an average this quarter while your realization, if I don't add the hedge gain is also flattish. So just wanted to get a sense of why would that be happening as well?

Yogesh Malhotra: So generally, what happens is that, I mean, whenever the prices of lead goes down, there is a higher profitability from the hedging gain. What happens is that when the prices are down, you will not -- the vendors will not generally want to sell that their material. So during that time you will have to hedge that on the purchasing side. Whereas when the prices go up, you will have to

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hedge on the sales side. So that is why you will see profitability from the hedging gain more

when the fluctuation is higher.

Chetan Thacker : Understood, sir. Understood. So INR40 crores -- INR38 crores pertains to 40,000 tons that we've seen in this quarter, and that is how we should look at it. So that is approximately INR10,000 a tons. That is the right way to look at it?

Yogesh Malhotra: So it is higher this side because of variation or fluctuation was higher. If it remains same, then we will see a very little gain or loss in the hedging quantity or hedging amount also. More to do with the volatility in the market than to anything else.

Chetan Thacker : Sure. And sustainably, we still maintain INR19 to INR20 a kg for lead in terms of...

Sunil Kansal: INR18 to INR19 per kg in lead.

Chetan Thacker : Perfect. Sir, second question pertains to the fundraise. So we are doing INR1,000 crores fundraise, given our capex, given our cash flow. Just wanted to understand where do we need this additional INR1,000 crores.

Yogesh Malhotra: So as there are certain policy changes that are taking place, the recent one is this reverse charge mechanism that is going to come up. And also we are looking at some opportunities in merger and acquisitions across globe. So we want ourselves to be ready as and when such an opportunity is there. So that is why we have taken a mandate, but we'll raise the fund as and when we have these opportunities in place.

Chetan Thacker : Got it. And sir, reverse charge would essentially in your assessment lead to what kind of opportunity opening up for refining?

Yogesh Malhotra: So what will happen is that, as we mentioned that this battery waste management rule of the extended producer responsibility help in converting the unorganized sector into organized sector.

The reverse charge mechanism will also fast track this conversion from unorganized to organized because currently in the unorganized sector, a lot of GST evasion is taking place. With this reverse charge mechanism, that will reduce. So that will fast track this conversion.

Management: So I'll add on this, basically on reverse charge mechanism when you buy material from unorganized or unregistered person from who doesn't have a GST number. The tax can be paid by the buyer. So this has been already introduced in metal scrap from Chapter number 72 to 81.

While on the other scrap, battery and all it is expected soon.

And apart from reverse charge, there is an additional TDS of GST, that is 2% has been

introduced

again on metal scrap. So we expect the same in batteries to -- in time to come. So it's already there on aluminum scrap and other metal scrap, ferrous and nonferrous. So this will bring some transparency and tax compliances. So there will be a lot of material flow into formal sector from informal.

Chetan Thacker : So the advantage of GST which the unorganized had today, they will gradually start coming into the net. So even they would ideally either have to come on books very clearly, that in turn will

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increase their cost of doing business also. And certain companies would want to then shift to more organized players. That is how we should approach this?

Yogesh Malhotra: Absolutely.

Chetan Thacker: factors that will play out. So not only one person will gain, but even the organized guys will start to move into the formalized channel as well?

Yogesh Malhotra: Absolutely. So the entire formal sector will gain on this change. And Gravita being a leader in this recycling business and have pan -India presence. So -- we have -- we would set to gain a little bit more than other companies who have only a single set of operation in any location.

Chetan Thacker: Understood. And sir, one last question on particularly this quarter, when I look at the OP per tons. So we've got an advantage of better domestic scrap availability and that in turn has led to this improvement because of mix. Because the understanding was that, ideally, if we get imported and sell in domestic that is also more profitable. So just wanted to get a sense on that?

Yogesh Malhotra: Definitely, that is more profitable. And what has happened in this quarter is that we have diverted some of the material from our overseas locations into India to take advantage of this arbitrage opportunity. And that is why, if you see the volume growth is not as much -- I mean, it's not there because we have moved some of the materials back into India from our overseas and they have then -- so to take advantage of this arbitrage opportunity. And, of course, domestic scrap is more or less for tooling business most of the time. So it does not impact the EBITDA margins that much.

Chetan Thacker: Understood. And the last bit on the sales from Africa to Europe that had got impacted. So fair to assume now that has got stabilized and we found alternate buyers there and those volumes are now back to normal?

Yogesh Malhotra: So one of the reasons that volumes are not growing, although our production has grown in the last quarter is because we are diverting some of these materials into India. Also because there is some advantage of arbitrage opportunities in India, so we have diverted some of the materials from East Africa into India. As in -- selling it into Europe now.

Chetan Thacker: Got it. Thank you sir for all these clarifications. All the best.

Moderator: Thank you. The next question is from Khush Nahar from Electrum Portfolio Managers. Please go ahead.

Khush Nahar : Thanks for the opportunity. So sir, my first question was what was the percentage of domestic scrap collection for our Indian plants for this quarter?

Yogesh Malhotra: In this quarter, the battery scrap procurement is around 37% and 63% is from the overseas scrap.

Khush Nahar : Okay, sir. And then my second question was on basically on the volume growth. So any particular headwind or any reason why we saw only a 8% volume growth this quarter, although our H2 will be better, but any particular logistic issue or demand issue that we're facing?

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Yogesh Malhotra: Yes. So as I mentioned earlier also, if you look at the overall production over last quarter, it is around 7%. But as I mentioned that because we're moving some of the material from our overseas location into India to take advantage of the arbitrage opportunity,

it's not showing in

the consolidated sales number, because that gets eliminated once we sell it from our own plants into India. So it's not getting reflected. But if you look at the bottom line number, you can see that growth there.

Khush Nahar : Right. Okay. Sir, so just last question, if I can ask. Any update on the paper recycling plant set up in Central America?

Yogesh Malhotra: So I mean, paper recycling and steel recycling is going to take a little longer. You can expect it in FY '27, but not -- I mean, any movement in this happening in FY '27, not before that.

Khush Nahar : Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: The one issue that you mentioned for fundraise and you talked about reverse charge mechanism. I couldn't understand what is the correlation between the two?

Yogesh Malhotra: So what we are saying is that there could be a change over -- I mean, fast track conversion from the unorganized sector to the organized sector, so that may probably fast track our capex investments in this year and the coming year. So because of that, we may have to put up capacities much faster than we earlier thought. And therefore, we may have to raise some funds for that also.

Bharat Shah: Okay. So basically, the INR1,000 crores potential fundraise is to deal with fast tracking of capex and to available acquisition opportunity?

Yogesh Malhotra: Yes, sir.

Bharat Shah: But this is an enabling provision or it is definite raising right away that you are...

Yogesh Malhotra: Not definite raising right away because we are looking at some of these mergers and acquisition opportunities. And as and when we have some clear picture about those opportunities also, then we will do that. Currently, we don't have -- I mean, it may take a couple of months before we decide on this.

Bharat Shah: So for the present, it is an enabling provision and it will be specifically linked to any definite acquisition or other opportunities that you concretize?

Yogesh Malhotra: Maybe, sir, it will take a couple of months to get that clear picture. If it happens before that, then -- I mean, it all depends on when we get a clear picture about some of the merger and acquisition opportunities that we are looking at. As and when that happens, we will then do this.

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Management: We are already evaluating a few of the opportunities. So whenever we see that things are more clear on that, definitely, we are going to take an action of this fundraise.

Bharat Shah: So then it is fair to say that the amount could be different than INR1,000 crores. And second, whether it will happen or not happen itself could change depending upon on whether we get any targets or otherwise?

Yogesh Malhotra: Absolutely, sir. Absolutely.

Bharat Shah: So time variability, amount variability and the -- basically will be linked to the opportunity identification and other wise, it may or may not happen or it may happen at a later date or a different amount?

Yogesh Malhotra: Yes, sir. You're absolutely right, sir.

Bharat Shah: And these, given the fact that hedging is integral to our business and given the fact that margins are modest, obviously, we can't -- and given the fact that supply chain issues are very important part of the business model, the hedging gains or any losses, I believe you should treat it as basically core integral income of the business, isn't it?

Yogesh Malhotra: Yes, sir, we do that. But this new financial standard, IndAS. Yes. So IndAS accounting doesn't

allow us to consider it in EBITDA or operational income. So for the purpose on IndAS accounting, it is as good as other income or other expense in case of loss. So in case of loss, it is already part of operational income because it is considered as other expenses. But in

case of our

income, it is considered as other income. So what we do is we -- when we present our presentation, so we consider it as operational income in case of other income. So we publish as EBITDA -- adjusted EBITDA considering that additional income from hedging as the operational income.

Bharat Shah: In the last part, the 4-year projections of the compounded growth, you said volume growth of 25%. And you didn't mention about the top line. So presumably, top line probably will grow at a similar pace or -- what is the underlying presumption on that to be made on a 4-year basis?

Yogesh Malhotra: So it will all -- I mean, so why we talk about volume growth is because the metal prices fluctuate a lot. So the top line growth will depend on the metal prices at any point in time, so which is not in our control. So that is why we do not mention the top line growth in our projections. We only talk about the volume growth of each and every vertical there. So as I mentioned that the lead would grow at around 17% to 20%, the other commodities of plastic and aluminium by FY '28 would grow at around 40% -- 40% to 45%. So the top line would depend on the prices of each of these commodities.

Bharat Shah: No, absolutely. That makes highest sense. So essentially, when we are talking about 25% volume and 35% EBITDA, we are basically saying that inherently we will manage those situations as well as we have done so far. And that increased growth of the business to reflect in improving margins bit by bit. That's how those two numbers are correlated, right?

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Yogesh Malhotra: Absolutely, sir. So there are some advantages of economies of scale that is going to kick in as we grow bigger. And of course, because we have plans to increase the value-added content from current around 45% average to 50-plus percentage in future. And then there would be some operational efficiencies also along the way, which will contribute to some increase in overall margins.

Bharat Shah: And one last bit. Given the fact that our return on capital employed has held up and has continued to improve, sustain more closer to 28%, 29%. It would be fair to say that the interest cost and depreciation charge compounding would occur at a lower pace than what will occur on the EBITDA compounding?

Yogesh Malhotra: Yes, sir, to some extent, you're right. But as we are doing new capex, so the depreciation may not come down. But definitely, the interest cost will go down in the future.

Bharat Shah: No, I didn't mean absolute amount coming down. I said compounding of interest and depreciation charge would grow at a lesser pace than the growth that you're forecasting for volumes in the EBITDA. That was the statement I was making.

Management: Yes, sir, you're 100% right because there will be proportion -- the finance cost and the depreciation will not rise in the -- in proportion to the rise in the EBITDA.

Bharat Shah: But you were saying that absolute amount itself may decline, is it over a period of time?

Management: Absolute will not decline. Absolute will keep on increasing, even slightly the finance cost also, considering that we are not using the fundraise for the debt reduction at this moment. So considering the debt at the same level or slightly higher level, the absolute interest cost and the depreciation will go -- keep on increasing, but not in the same ratio as EBITDA will grow faster. EBITDA will grow faster slightly.

Yogesh Malhotra: As we grow, a lot of investment would be done in increasing the inventory cycle also. So therefore, the absolute number will not come down, but as a percentage it will come down I think.

Bharat Shah: Yes, that's exactly what I meant. And therefore, all of this should translate into steadily improving capital efficiency, isn't it? Because if our margins are rising bit by bit, and scale is giving

us an advantage of improvement on the overall efficiency, if working capital continues to remain managing the same way? And then obviously, our return on capital employed would rise over this journey.

Yogesh Malhotra: Definitely, what you're saying is right, sir. And also because we are going into new verticals of plastic, et cetera, and we expect these new commodities and new verticals to give us higher margin as compared to lead -- so that would also contribute to some extent, but we also see some pressure coming on the raw material sourcing also as we go forward. So -- but overall, yes, there would be some slight increase in increased EBITDA margins going forward as well.

Bharat Shah: Sure. Now thank you very much.

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Moderator: Thank you. The next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Good afternoon everyone and thanks for this opportunity. My first question is on the plastic volumes. Now if we consider -- if you look at last 4 years, our volumes quarterly has been in the range of 3,000 to 4,000 tons. So just want to understand what is the constraint here? Is it a capacity constraint or is it the raw material -- the scrap constraint? I just want to understand this better. And going forward, what is our outlook and guidance on this?

Yogesh Malhotra: Yes. So I mean we've been saying that plastic is a little tricky as compared to other businesses that we are doing because you will have to develop new products to meet the market demand, that is how the EPR works in plastics. And it is taking a little longer than we expected to develop new products that can cater to the requirement of our customers. But as and when we keep on stabilizing one product after another, we see a huge value addition in this business also.

And the growth is also going to come exponentially once we stabilize the products. So until that time, probably you will see a similar number. Maybe next quarter would also be in the similar line. But definitely, we see some improvements in the way business is being done in plastic. So going forward, definitely, there will be a huge growth as and when the products are stabilized.

Sumangal Nevatia : Understood, Yogesh, sir. Sir, one question on the RCM. So on the ground, has the transaction started to happen as per the new policy or it is still a few months away?

Yogesh Malhotra: So as Mr. Naveen has just mentioned that it has been announced on metal scrap. Unfortunately, battery scrap and plastic scrap has not come so far in this -- and we are expecting it any time. So hopefully, by this month or next month, we would get a reverse charge mechanism also implemented on battery scrap. So once that happens, then definitely, we will see some movement.

Sumangal Nevatia : Okay. Understood. And sir with this -- sorry, did I cut you?

Yogesh Malhotra: No, please.

Sumangal Nevatia : Okay. Just one last question. With this environment compensation now being introduced, one, are we seeing any change in behavior or more seriousness of the OEMs towards recycling? Any anything visible in your interaction, number one? And number two, with the EPR credit being now priced in the range of INR5 to INR18, do we see this as a new potential revenue stream for us in the future? Or it's more of an enabler of our recycling business?

Yogesh Malhotra: To answer your first question, definitely, there's a huge change in the attitude of producers or brand owners. And we see -- as you've seen the domestic scrap availability has increased, and that is 100% because of this EPR regulations coming into place. And this new -- I mean, although we are not seeing this new steam as a revenue stream for us, but definitely, this will help us procure more material, more domestic material in the future. So we -- although there may be some opportunities in this also

so, but currently, we are not considering this as a revenue or profit stream.

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Only -- I mean, so we can -- we are able to pay higher prices for scrap in future to fight with the unorganized sector. So that's all.

Sumangal Nevatia : Okay. Understood. And is it possible to share what is the mix of tolling in the existing domestic business?

Yogesh Malhotra: So till the time this reverse charge mechanism is in place, majority of it is going to be tolling only. Once this reverse charge mechanism comes into play, at that point in time we would probably go into the market to start procuring on our own. Right now, if you look at it, probably 80% of the material is coming from tolling only -- in domestic, sorry.

Sumangal Nevatia : Understood. And are we in touch or any new OEM empanelment are we looking at or any potential in the bearing?

Yogesh Malhotra: Yes. We are on a regular basis, in touch with all these OEMs and hopefully, very soon, we'll start tying up with some of the major OEMs at least in battery.

Sumangal Nevatia : Okay. And just one last question for Sunil sir. For our -- I mean, M&A opportunities which we keep exploring, what is our focus? Is it existing verticals or is it new verticals? Any thought process if you can share, sir?

Sunil Kansal: So, yes, we are open to any recycling business in any geography. But definitely, the first focus will be on our existing verticals which is lead, aluminum, plastic and rubber. So because plastic and rubber we're very small in this. So plastic and rubber definitely will be in focus. So -- but we're open to lead also, but lead we are not seeing any opportunity in India, but yes, we are open for any -- but we are open to new verticals also. That's not also not restricted.

Yogesh Malhotra: So I would add here that looking at the RCM coming into play, we may look at some opportunity in India for lead also to speed up the capacity expansion.

Sumangal Nevatia : Okay . Understood sir. Thank you very much and all the very best to the team.

Moderator: Thank you. The next question is from the line of Jenish Karia from Antique Stock Broking.

Please go ahead.

Jenish Karia : Thank you for the opportunity. Sir, first is on the rubber recycling acquisition that we have done.

So what kind of revenue run rate we can expect next year onwards and what kind of per kg margin we are expecting in the business?

Yogesh Malhotra: So this capacity of this is around 1,500 tons. So we are expecting to generate around 1,000 -- I mean, sort of 60% to 70% capacity utilization will be there right from the beginning. But that is only a very small project and we are planning to increase the capacity there. We'll increase the capacities, we'll put up more capex to -- so it's a very small acquisition currently. But more strategic than anything else where we want to set up our own businesses in Europe. So the moment we'll acquire this company, we will increase capacity in that company. And we'll also look at opportunities in other product categories as well like plastic, battery and aluminium recycling in the same geography.

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Jenish Karia : Sure. Sir, just from a rubber recycling point of view, since you are setting up plants in India also what kind of per kg margins or percentage margins do we factor in for this business....

Sunil Kansal: Jenish, your voice is not clear. If you can repeat the question, please?

Jenish Karia: So I was just trying to understand what kind of per kg margins can rubber as a segment make because you're planning to do expansions within India also?

Yogesh Malhotra: So basically, we keep on mentioning that you cannot look at per kg or per -- percentage margin because it will vary from geography to geography. So the best way to look at it is how much ROCE it is going to generate. And

do we expect ROCE upwards of 35% in rubber in overseas locations and in India around 25%.

Jenish Karia : That's kind of helpful. Secondly, on the Sri Lanka entity buyback. So is it happening to provide an exit to the partner or will Gravita Netherlands also participate in the buyback?

Sunil Kansal: So we have not yet decided on that. It is under consideration. But yes, so buyback is already announced, so we'll decide on that.

Jenish Karia : Okay, sir. And sir lastly, last quarter, we had mentioned around 2,500 tons of material was in transit. So is there any container availability issue in the current quarter also, firstly? And secondly, we do not see the impact of the 2,500 tons on the sequential volume. So sequentially, the volumes were up by around 1,000, 1,500 tons only. So can you help us understand the gap between the same?

Yogesh Malhotra: Yes. So basically, I mean, there is some issue -- logistics issue that is continuously going for the last two to three quarters, but that is not very material. As far as the transit material we are talking about, generally, it gets -- it does not get reflected in the consolidated statement. So as I mentioned that the growth that you see is -- I mean, you have to reduce the intercompany transactions in that. So therefore, although if you look at the bottom line, you can see growth happening there. But if you look at the top line, probably you will not see the growth. So that will not get reflected in the top line numbers.

Jenish Karia: Sure. No problem. That's helpful. Thank you sir and all the best for the coming quarters.

Moderator: Thank you. The next question is from the line of Aditi Loharuka from CD Equisearch Private Limited. Please go ahead.

Aditi Loharuka : Sir, can you just give me a sense of your bargaining power with both buyers, like suppliers and customers?

Yogesh Malhotra: So it depends from geography to geography, wherever we are present, currently. If you look at the procurement network that we have, we go to the last mile to small scrap dealers, and that increases our bargaining power with them. If we go and buy from aggregators, definitely that bargaining power is not there.

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As far as suppliers are concerned, generally, in value-added products, wherever we are dealing, we have a better bargaining power because quite a few people do this. But if we talk about commodity products like refined lead or some normal products, then definitely the buying power lies with the supplier. So it's different for different things.

Aditi Loharuka : Okay. So while I was going through the presentation, I came across a partner network that you have. I came across companies like Exide, KEC, Amara Raja, they are very large players. So with them, like do they come to you for like selling their scrap and not go to SME as the bargaining power is high?

Yogesh Malhotra: Their bargaining power is high, as I mentioned that -- but at the same time, they need vendors

who can provide them regularly -- there have to be a trust from the vendors because their operations depend on material coming, the quality of the material, the quantities of the material, the consistency, et cetera. It all depends on the vendors they tie up with. And there are very few people who can do this.

At the same time, there is another benefit that Gravita has and that is our global networks, both in India as well as overseas we have many plants. So we can take advantage of logistic cost also. We can supply to the customer from various plants, various operational facilities. So all these help us in getting these big names as of our customers.

Aditi Loharuka : Okay. And sir, one more thing that we import most of our scrap. So why is it so like -- can't you procure it domestically?

Yogesh Malhotra: So see, basically, there are two reasons: one is that imported scrap is cheaper. As I mentioned

that we have a network in some countries where we have our own scrapyards. So we import materials from those scrapyards. So it's cheaper to us compared to the domestic scrap prices, and that is one of the reasons. The other reason is that until now, most of the domestic scrap was going to the unorganized sector because in India, there is a GST of 18% on scrap.

But now with this new battery-based management rules and extended producer responsibility, also the newly -- a new policy of reverse charge mechanism, we have started getting more and more scrap in the Indian domestic market also. So if you look at our last few years, the domestic content has increased, and it will continue to increase in future also.

Aditi Loharuka : Sir, but this is off late since like quite a few years, we have been importing?

Yogesh Malhotra: So the import is not growing as much as the domestic scrap is growing. So if you talk about 3, 4 years back, 90% of our total production in India is dependent on import of scrap. Currently, it's around 60%. And we have grown around 3x -- in the last 4 years, we have grown 3x. So you can see the amount of domestic scrap that we started getting in India now.

Aditi Loharuka : Okay. So it's nothing related to the availability of quantity?

Yogesh Malhotra: Sorry?

Aditi Loharuka : Availability of quantity of scrap in the domestic market.

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Yogesh Malhotra: What is the total amount of scrap in the domestic market that we get. So in this year out of the 46,000 tons that we have procured in lead terms in India around 14,000 tons have come from domestic market only.

Aditi Loharuka: Okay and sir one last question...

Moderator: Sorry to interrupt ma'am. Please rejoin the queue for further questions. Thank you. The next question is from the line of Aman Soni from Nvest Analytics Advisory. Please go ahead.

Aman Soni: Good afternoon sir. My question is on the lithium-ion battery recycling. So just to understand a bit on regulations related to lithium-ion battery. I understand we are quite focused on it. But can you let me understand as per the latest regulations, by when do you expect a significant portion of these batteries to come into the circular economy for recycling? And what percentage of market share are we targeting with our pilot plant in this category, sir? So that is my first question, sir?

Yogesh Malhotra: So in lithium-ion battery, the regulation is same as in lead-acid battery. It comes under the battery waste management tool only. So there is no difference. And it is already in place. The only issue with the lithium-ion battery is that currently the lithium-ion battery that is coming into the market, the scrap that is coming into the market is coming from these mobile batteries and laptops, et cetera. But the major volume will come when the EVs will start generating these lithium-ion batteries. So year '28, '29, maybe from year 2030 also.

So we are just setting up this plant to understand the technology, to understand the ecosystem, tie up with these vehicle manufacturers who are into EVs. So that as and when the scrap starts coming, we shall be ready for that. That is number one. And number two, we are also looking at some opportunities where we can import these EV scraps in some countries like Europe and U.S. So currently, we are not targeting the Indian market for this domestic battery scrap and computer scrap -- computer battery scrap that is coming into the market. We are eyeing the EV battery segment majorly.

Aman Soni: Understood, sir. And secondly, on the API regulations related to rPET recycling, that is the bottle-to-bottle recycling in India. Do you see any forthcoming regulations from Government of India in this regard. And are we looking to capitalize the same? Because as far as I understand, the segment is a margin-accretive one. And a

few players in India are building up the capacity in this direction. So what's your comment on that, sir?

Yogesh Malhotra: So there is going to be huge demand as and when this start -- this will get implemented, this rPET -- I mean there is a 30% rPET resin requirement in new bottle manufacturing. So the

overall market demand will be very high and that will ensure that the people who are doing recycling for yarn, etc, will get marginalized. And more and more scrap will come into the bottle-to-bottle grade because that is more profitable. And that is going to be more profitable because of this regulation.

And there is enough space available in this segment in addition to the two major players in this currently. So we see a lot of opportunities because unlike lead or aluminium where you can put

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a plant in 1 region and then cater to that region. In plastic, you'll have to put multiple plants in various locations within the region also. So setting up these many plants probably is not very easy for any one particular company. So there will be enough space for new entrants to come into this bottle-to-bottle grade manufacturing also.

Aman Soni: And what is our thinking in this direction, sir, like for next 2 to 3 years like what kind of capex are we putting in?

Yogesh Malhotra: So we are actively looking at an opportunity, but this PET recycling is not part of this Vision '28, where we said that we will do 25% growth in volume terms. We have not considered PET volumes in this Vision 2028. If anything comes, that will be in addition to this 25% growth rate, but we are definitely looking into food grade or bottle-to-bottle opportunity that is coming up in India.

Aman Soni: And lastly, sir, what is the guidance for remaining of the year? Like margins impacted in this quarter. So what is the guidance for rest of the year in terms of margins and top line growth?

Yogesh Malhotra: It's in line with our projections for the next 4 years. So there can be a slight -- because this is never going to -- we have always maintained that this growth is never going to be linear. So there will be a period where you will see higher growth, some period will see lower growth also. So it will -- but it will remain in the same line, same range of around 22%, 23% to 27%, 28%.

So this year could be 23% also, could be 27% also. But in the longer run, if you look at it, if you look at FY '28, then definitely 25% -- upward of 25% volume growth is expected.

Aman Soni: Got it sir. Thank you very much sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Amit Lahoti from Emkay Global Financial Services. Please go ahead.

Amit Lahoti : So given that you are maintaining EBITDA per kg guidance of INR18 to INR19 per kg. And with the first two quarters, higher than this range especially the Q2, are we expecting these levels to kind of decline and normalize in H2 or we can beat this guidance?

Yogesh Malhotra: No. Actually, as I mentioned that the sustainable number for lead is around INR18 to INR19 per kg. Sometimes you get arbitrage opportunities as we got in Q2, and therefore, the numbers are a little on the higher side. Although in the longer run, if you talk about it, there would be some improvements. We can take it to around INR19 to INR20 in the next 2 years. But if you look at the near future or next quarter or the quarter after that, the sustainable number would be INR18 to INR19 only.

Amit Lahoti : Okay. Sir, for this year, could it be on the higher side of, say, INR19 per kg? Or you still want to guide for a midpoint?

Yogesh Malhotra: Sorry, I couldn't hear your question.

Amit Lahoti : Yes. So I'm asking for this year FY '25, could it be on the higher end of the range of INR19?

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Yogesh Malhotra: Yes, it could be a little

higher. There is an opportunity we have done in Q2. So if this opportunity remains there, then definitely will probably get a little higher than INR18 to INR19. There's a possibility, yes.

Amit Lahoti : Sure. Thank you.

Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking . Please go ahead.

Bhavya Gandhi : Thanks for the opportunity. Couple of questions from my end. Sir, one, if you can mention what will be targeted EBITDA and ROCE for the plastic business? You said it's on the higher range. But on the ROCE front, if we were to compare with the existing business, is it higher? EBITDA, I understand it's higher, but then the capex requirement is also higher ?

Yogesh Malhotra: Percentage-wise is higher. Although on absolute number, it is around INR10 crores to INR11. But if you look at the percentage-wise, it's around INR12 to INR14 -- 14%, which is higher than lead. And ROCE is also higher, but currently, we are not running it at full capacity. So capacity utilization is not there. So therefore, you may see a similar ROCE of around 25% in Indian operations. But going forward, as we improve the utilization and as we develop the product, the ROCE is going to be much higher than the lead or aluminium.

Bhavya Gandhi : So you're seeing higher ROCE is there in plastic recycling, rPET food grade than the lead and the existing businesses like aluminum and all those?

Yogesh Malhotra: So we are not currently in India in rPET. So we can't comment on that. But yes, from our experiences in bottle -to-bottle flakes overseas, we see higher margins and higher EBITDA numbers in rPET.

Bhavya Gandhi : I understand margins. On the ROCE front, I'm asking?

Yogesh Malhotra: The ROCE also is higher.

Bhavya Gandhi : ROCE is also higher. Okay, got it . And unlike your lead you can not hedge plastic...

Yogesh Malhotra: We are not talking about the Indian operations so far. We'll have to really look into it because capex has also changed over the years and Indian market is a little different than overseas market.

So we can't comment on the Indian market as far as bottle -to-bottle rPET is concerned.

Bhavya Gandhi : Right. Got it. And also, unlike your lead , plastic has a different grade. You mentioned that you're developing different products. So how do you hedge, what would be the hedging mechanism when it comes to plastic or will it be like an open market sale and we'll have to bear the risk of the commodity?

Yogesh Malhotra: Generally, what happens is that in plastic is basically dealing directly with the OEMs, where you will be developing products based on their requirements. And then you can link that product price with these companies based on the prevalent prices, which currently are Reliance prices

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for those grades of plastics. That is what we are developing. So there is a natural hedge here in plastic as we see it.

Bhavya Gandhi: No, if you can help me understand how is it a natural hedge, sir?

Yogesh Malhotra: So what happens is that you buy plastic in India based on the prices of Reliance. And then if you can sell these at the same prices -- index prices to the end customers, then there is a natural hedging wherein which you don't have to go to the exchange and get it hedged.

Bhavya Gandhi: Okay. You are trying to say you would be more of a facilitator. You will just have some cost plus margin mechanism in place or absolute margin in place -- that is what you are trying to say?

Yogesh Malhotra: It's a combination. We'll take a delta. But what happens is that when you buy scrap in India, generally, the scrap is priced at a percentage of the Reliance's price of that particular grade. So what we do is that when we sell it into the market, we just talk to the customer that we'll sell you at a price of the same grade of plastic Reliance has

and there is a formulation based on that. So

there is no difference and here also the inventory level are also not going to be high because you're not importing the inventories you're using the domestic plastic inventory. So -- I mean, so the overall cycle is not that big. So the requirement of plastic hedging is not that prevalent currently.

Bhavya Gandhi: Right. Just one last thing. I wanted some comfort on the corporate governance side, although we have Walker Chandniok auditor in place, but the partner who is signing the documents also belongs to the similar community as that of promoters. So if you can throw some light on that, if they're related or what sort of relation -- community relation do they have? Or -- or are they clearly independent of that?

Yogesh Malhotra: Can you come again, sir. We couldn't hear your question properly.

Bhavya Gandhi: I just wanted some comfort on the corporate governance. The auditor who is signing the documents -- signing from the Walker Chandniok belongs to the same community that of our promoters. So if you can give me some comfort on that?

Yogesh Malhotra: How many chartered accountants in this community -- I mean, you look at it, then you'll realize. There is -- GT -- the company's GT, and there is no relation whatsoever with the owner or the promoter of the company.

Bhavya Gandhi: Got it. Fair enough. That's it from mine. Thank you.

Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande : Thank you for the opportunity. So we could see that volumes have grown by 8% and realization seem to have gone higher. And you have EBITDA per ton, specifically in the lead business has been increasing sequentially on a Y -o-Y basis. And EBITDA and PAT growth has been robust. So what is triggering this operating leverage? And secondly, again, I think you expanded on why...

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Yogesh Malhotra: I'm sorry, the voice is not very clear. Can you come up again?

Bhavin Pande : Yes. So I just wanted to -- so the revenue growth, the 3% gap between volume and revenue, it was on account of realization improvement. And secondly, what is changing the operating

leverage because our EBITDA and PAT growth is extremely high as compared to revenue growth? And secondly, I think you touched a bit on moving -- a transition from foreign markets to the domestic market. So what was that because I missed it in the initial commentary?

Yogesh Malhotra: So what happens is that Indian market follows a different price and overseas or global markets follow a different price. So whenever there is an arbitrage between Indian prices and overseas prices, we moved some of the products from overseas plants into India. And also, when we import material from third parties also into India, rather than exporting it, we sell that material into India.

So if you look at it, 70% generally, we -- of the Indian production, 40% is sold outside and 60% is sold in India. If you look at current year, we have sold 70% of the total production into India, which means that we've taken advantage of the arbitrage opportunity that lies between prices -- global prices and Indian prices. And that is what has helped us increase the EBITDA margin, but this is not a sustainable additional margin. The sustainable margin is around INR18 to INR19 only.

Bhavin Pande : Okay. And sir, what explains the operating leverage -- apart because I assume it cannot be all realization, right?

Yogesh Malhotra: I didn't get it.

Bhavin Pande : Sir, EBITDA growth and PAT growth -- on a Y-o-Y basis, so what explains the operating leverage in that?

Yogesh Malhotra: The operating leverage?

Bhavin Pande : Sir, EBITDA growth on a Y-o-Y basis.

Yogesh Malhotra: It's around 27%.

Bhavin Pande : Correct. And while revenue growth is 11%. So what explains the operating

leverage bit here?

That's what I wanted to understand.

Yogesh Malhotra: As I mentioned that when you move some of your products into India, then it does not get reflected in a double sales. So it will not get reflected in revenue numbers, but because it is the same company, but it will reflect on the profit margins. So that is why there is a difference between the top of the revenue growth and the EBITDA growth or the profitability growth. Some of the material from our overseas companies, we have used it in India. So it gets cancelled out in the consolidation.

Bhavin Pande: Okay. I understood. Thanks a lot sir and good luck to you.

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Moderator: Thank you. The next question is from the line of Parth Shah from Tara Capital Partners. Please go ahead.

Parth Shah : Thanks for the opportunity. On the revenue the volume growth part, I know you've explained it twice. But if you could just once more explain why the revenue -- the volume growth is lower on account of the raw materials being transferred from the overseas market -- from the overseas presence to the domestic markets?

Sunil Kansal: So let me explain once again. Okay. So what we do is normally, we have a customers also in the international -- for the international business whatever we manufacture internationally in overseas plants, we usually sell to international customers directly from those plants. But whenever the Indian prices because the Indian prices is a different index which is Indian index, and it does not follow same price arbitrage like -- international market goes with the LME, but the Indian market goes differently.

So sometimes during the year, when the Indian prices are higher than the international market, so we don't -- we discourage the selling of direct selling from those overseas plants to directly to the customers. We import that good in the Indian market, and we slightly do some value addition in Indian plants and sell it in India to get better price. So those signs that volumes get cancelled whatever we sell from overseas plants to Indian plants, that volume is not considered as sales volume.

And -- but we get slightly better margins at that point of time. And -- but we have to compromise on the volume side, but we are better on the margin side. So that's the reason which happened in this quarter, we are better on the margins, but we compromise on the volumes.

Parth Shah : Okay. Got it. And the next question is the peers have actually reported better -- significantly better volume numbers. So are we seeing any market share loss over here?

Yogesh Malhotra: So generally, what we mentioned that there is a new regulation of battery waste management rule which is converting the scrap that was going into the unorganized sector to the organized sector. A lot of consolidation is happening and the share of organized sector is increasing vis-a-vis the unorganized sector and that is what is changing, what is increasing the overall scrap availability to us in India.

Moderator: Mr. Shah does that answer your question.

Parth Shah: Yes.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our Q&A session. I would now like to hand the conference over to the management for closing remarks.

Yogesh Malhotra: Thank you, everyone for participating in this call. We trust that we have addressed all your queries during this session. However, if there are any remaining questions, please feel free to reach to our Investor Relations team at Go India Advisors. Once again, we extend our gratitude to all the participants for joining us today. Thank you and have a great day.

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Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thanks for joining us. You may now disconnect your lines.

Call: Jan 2025

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27th January, 2025

GIL/202 4-25/233

To,

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the Quarter and Nine-Months ended December 31, 2024

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the Quarter and Nine-Months ended December 31,2024 conducted on 23rd January , 202 5 for your information and records.

The above information is also available on the website of Company:

<https://www.gravitaindia.com/investors/financial -details>

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

FCS: 9984

Encl: As above

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MANAGEMENT : M R. YOGESH MALHOTRA – WHOLE -TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRAVITA INDIA
LIMITED

M R. SUNIL KANSAL – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER – GRAVITA INDIA LIMITED

M R. NAVEEN SHARMA – EXECUTIVE DIRECTOR –
GRAVITA INDIA LIMITED *

* N ON-BOARD MEMBER

MODERATOR : M R. JENISH KARIA – ANTIQUE STOCK BROKING .

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Moderator: Ladies and gentlemen, good day, and welcome to the Gravita India Limited Q3 FY '25 Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jenish Karia from Antique Stock Broking Limited. Thank you, and over to you, sir.

Jenish Karia: Thank you, Alerik. Good afternoon, everyone, and thank you, everyone, for joining the 3Q FY '25 post results conference call of Gravita India. I would like to thank the management for giving Antique Stock Broking the opportunity to host this call. From the management, we have Mr. Yogesh Malhotra, our Director and CEO; Mr. Sunil Kansal, Director, CFO, and Mr. Naveen Sharma, the Executive Director of the company.

Without further ado, I now hand over the call to the management for their opening remarks, post which, we shall open the call for Q&A. Thank you, and over to you, sir.

Yogesh Malhotra: Thank you, Mr. Jenish. Good afternoon, ladies and gentlemen, and welcome to our Q3 and 9 months FY '25 earnings call. I trust you have had the chance to go through the earnings presentation and financial results that were uploaded on the Stock Exchanges. I'm delighted to share that Gravita has achieved outstanding financial and operational performance in Q3 and 9 months FY '25. Before we dive into the results, I would like to discuss about some key strategic highlights and project updates.

Recyclers Ghana Limited, a step-down subsidiary of Gravita, located in Ghana, West Africa, has commenced commercial production of recycled aluminium alloys at its new recycling facility with an annual capacity of approximately 4,000 metric ton per annum in Phase 1. The company plans to expand this capacity to 8,000 metric ton per annum in near future.

Gravita Netherlands BV has increased its stake from 52% to 100% in Navam Lanka Limited, a step-down subsidiary. Gravita has successfully raised INR1,000 crores through QIP, which will be strategically utilized to support the company's growth initiatives, including capacity expansion and diversification into new verticals. This investment aligns with the company's vision of becoming a global leader in the recycling industry, while delivering sustainable value to stakeholders.

Out of the funds raised, INR245 crores has been utilized for various purposes, including repayment of borrowings and working capital. We are making steady progress on establishing a pilot project for lithium-ion recycling, and our first-ever rubber recycling plant in Mundra, India. Both projects are on track and are expected to become operational in H1 FY '26.

Gravita is strategically processing -- sorry, progressing towards its ESG goals of FY '27 -- FY '34 and FY '50, as outlined in its road map. By integrating ESG principles, the company aims to

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lead in sustainable practices, drive innovation and uphold strong governance for long-term value creation and community benefit.

Coming to the operational performance on the capacity expansion front, Gravita is steadily advancing towards its goal of exceeding 5 lakh metric ton per annum capacity by FY '27.

Currently, the company has a capacity of over 3 lakh metric ton per annum. In addition to this

capacity expansion, the company is also exploring for strategic M&A opportunities to fuel its growth plan.

Despite of the global economic slowdown, which has seen a large impact on the metal sector, on the volume front, we saw an overall growth of 33% in Q3 FY '22

5. Volume for lead plus

aluminium showed an increase on both Q-on-Q and Y-o-Y basis. On a year-on-year basis, the volume for lead, plastic and aluminium increased by 27%, 33% and 92% to 43,900 tons, 3,279 tons and 6,264 tons, respectively.

Strict government regulations under BWMR and EPR have led to an increase in domestic scrap availability, resulting in higher domestic scrap sourcing. In Q3 FY '25, we experienced 50% growth in the domestic availability of scrap on a year-on-year basis.

Moving to the financial results for 9 months FY '25. Consolidated revenue increased by 23% to INR2,832 crores. Consolidated adjusted EBITDA increased to INR295 crores, up 18%.

EBITDA margin stood strong at 10.4%. Consolidated PAT showed a significant increase of 28% to INR217 crores. PAT margin increased to 7.7%. 46% of the revenue came from value-added products, which is in line with our Vision 2028 of achieving 50% revenues from this category.

Coming to financial results for the quarter. Consolidated revenue for Q3 FY '25 increased by 31% year-on-year and 7% Q-on-Q to INR996 crores. Consolidated adjusted EBITDA increased to INR102 crores, up 14% on a year-on-year basis. EBITDA margins stood strong at 10.3%.

Consolidated PAT showed significant increase to 29% year-on-year to INR78 crores. PAT margin stood strong at 7.8%.

In conclusion, Gravita is progressing strongly towards its Vision 2028 with a strategic focus on expanding existing verticals and entering new recycling verticals. Key targets include a volume CAGR of 25% plus, profitability growth of 35% plus, and ROIC over 25%, along with increasing the non-lead business share to 30% plus using 30% plus renewable energy and reducing energy consumption by 10%, with more than 30 years of experience, 12 eco-friendly facilities worldwide and presence in over 70 countries, Gravita is well positioned for growth.

The company's ambitious capex and capacity expansion plan, adherence to stringent government regulations, global operations and integrated supply chain provides a strong foundation. This growth is further supported by a commitment to operational excellence, our focus on high-margin value-added products, proactive risk management through hedging and experienced management team and strong stakeholder support.

That's all from my end. I would now request to open the floor for questions and answers. Thank you, and over to you, moderator.

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Moderator: Thank you. We will now begin with the question-and-answer session. The first question is from the line of Amit Lahoti from Emkay Global Financial Services.

Amit Lahoti: So, the first is the margins, the EBITDA per kg continues to be towards the higher end of the guidance range. So, is it fair to assume that in FY '26 as well, you will be doing INR19 to INR20 of guidance?

Yogesh Malhotra: Yes. So basically, EBITDA per ton for lead is going to be in the range of INR18 to INR19, stable margins, considering the more scrap from the domestic market, which leads to slightly lower margins, but we will be compensating it from more business from the overseas market, which is a higher-margin business, more valued products, more volumes. So, all this going to compensate this dip in the margin because of more scrap from the domestic market. So overall, we will be in the range of INR18 to INR19 per ton for lead.

Amit Lahoti: Sure. Then the second one on projects. Specifically, I'm looking at Mundra. So, if you could give some commissioning timeline in terms of commissioning for lead, aluminium, plastic and rubber, respectively. And then how much we could be producing from Mundra alone in FY '26.

Yogesh Malhotra: So Mundra should be close to approximately 72,000 tons from Mundra itself, approximately 6,000 tons per month. But all the other projects in Mundra, which we are doing expansion, so should be done by Q1 of next year.

ear. Probably H1 of next year, yes. So, which includes lithium and battery recycling and new rubber recycling unit in Mundra. So, in addition to lead and plastic recycling in Mundra, we are going to increase these 2 verticals also in those -- in Mundra facility, which will contribute to further increasing capacity at Mundra plant.

Amit Lahoti: So, all of these will commission in the first half of FY '26. Is that correct?

Yogesh Malhotra: Yes, yes, yes.

Amit Lahoti: And then just the Oman expansion, how is the current progress looking like?

Yogesh Malhotra: So, we have plans to go, and there are 3 projects overseas that currently we are looking at. One is Oman, of course, where we are -- also, to fast track, we are also exploring and evaluating to acquire an existing plant in the Gulf region. And then there is this capacity expansion in

Dominican Republic. We are expecting a license to establish by H1 FY '25 -- '25, '26. And then also Romania, where we have acquired a rubber recycling unit, where FDA approval is already in place.

And most likely, the transaction would be complete by Q4. So, these are on the overseas expansion plans or new expansion plans or merger and acquisition opportunities that we are currently pursuing.

Amit Lahoti: Sure. And if I could squeeze in one more question, like do we have any update on RCM in battery scrap?

Naveen Sharma: Yes, the battery scrap RCM got missed because of HSN code mentioned by Ministry of Finance. So, they have included Chapter 72 to 81 and the battery Chapter 85. That process is already been

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initiated and letter has been sent. So hopefully, maybe post next GST council meeting, it should come in chapter as well.

Moderator: The next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: First of all, congratulations for a good performance and return to 10% EBITDA margin. 3 questions, if I may. The first one is on the utilization of QIP proceeds. While you provided a little bit of shape that INR245 crores has been used for repayment of borrowings and working capital, going ahead, just wanted to give a little bit more color on this that whether it will be used for geographic -- geographical expansion abroad?

If you can highlight some of the commodities in which you would be interested, whether it is related to steel and paper at the moment and that's what we understand. Could it be utilized for some kind of copper recycling opportunity. So just wanted a little bit more color on that. This is the first question?

Yogesh Malhotra: Yes. Basically, as far as utilization QIP proceeds is concerned. So, as we have already -- whatever objectives we have taken for the QIPs, according to that, initially, we are going to repay the debt, partly we have already repaid, remaining has to be repaid in the near future. And after which, we will be having some liquidity for using it in the working capital. So remaining amount will be utilized for the expansion. Whatever business we are doing -- additional business we are doing, so that will be utilized for the working capital.

But on a longer period, when we see the opportunities for further expansion of this business, we have to take some debt again for acquiring some companies which -- because we are already doing -- exploring some M&A opportunities in different geographies and different business verticals. So, we can take again some debt and go back to acquire some companies for. And we will be doing some greenfield expansions also where we will be establishing some more units in different countries like we are already doing some projects in -- one in Dominican Republic. So that kind of projects will be there. But yes, not in -- copper you mentioned. So copper is -- we are not expl

oring at this moment. But yes, other like the lithium-ion expansion, rubber recycling expansion and lead and aluminium expansion. So, all these 3 will be there. New verticals will be initially focusing on lithium-ion only at this moment. But yes, we are open to explore others also. So, overall, in the next 3 years, there would be a total inflow, including the INR1,000 crores, of around INR2,500 crores, which includes around INR1,500 crores of internal cash generation also. So, all this INR2,500 crores, out of that, we would be using around INR1,500 crores for these new expenses and INR1,000 crores would be required in working capital, additional working capital that would be there.

Amit Dixit: Okay. Very clear, sir. The second question is on the aluminium. So, if you look at the aluminium volume, it has jumped up sharply compared to the last quarter or even on Y-o-Y. Have we seen some movement around the listing on MCX that we were thinking that we would be able to hedge aluminium with?

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Yogesh Malhotra: Yes. So no, it hasn't materialized so far because of some technical issue at MCX. The government of India has also introduced...

Naveen Sharma: Actually, Government of India has introduced QCO, quality control order. So that was -- that came in 2023. Later on, it got postponed. And recently, it has been implemented from 1st December 2024. So now any brand, which is not having BIS markup of aluminium alloy will not be able to deliver or sell domestically. So MCX wanted that, once this is being implemented, then they will start this process. So, since this has been implemented now, any time they will be taking up this process of listing of this alloy and brand approval maybe this quarter end.

Yogesh Malhotra: But this quarter, aluminium volumes were slightly higher because there was some inventory which was piled up and we were not able to sell because of the price fluctuations. So, we sold

in this quarter and the run rate for aluminium is going to be around 4,000 till the time we have - 4,000 tons per quarter. So, till the time we have this hedging mechanism in place for aluminium. So, we expect to grow at around 40% in aluminium in the next 3 to 4 years. So that growth is intact. That growth...

Amit Dixit: The third question is on the scrap procurement. If you can just break it in 3 buckets for this quarter, that how much scrap of the total usage of scrap was procured from domestic market? How much was from overseas market you kind of brought in the domestic market? And how much was procured in the overseas market for the overseas? If you can provide in the 3 buckets in percentage, that would be very helpful?

Yogesh Malhotra: So around 35%, 36% was overseas, which we source for overseas centres only. And out of the balance is 64% of -- 56% was imported scrap and 44% was scrap in India.

Yogesh Malhotra: Around 44% of the total scrap that we procured in India.

Yogesh Malhotra: And which is around 50% higher than the Q3 last year.

Moderator: The next question is from the line of Bhavin Pande from Athena Investments.

Bhavin Pande: Congratulations on wonderful set of numbers. My first question regarding scrap availability.

You got answers. Second question, sir, how do we foresee the risk of capacity being set up by the players from where we procure scrap, sort of they are putting together their own captive arms for recycling. So how do we tackle this risk from a long horizon?

Yogesh Malhotra: So, the overall capacity in India that is going to increase because of the shift from unorganized to organized and this EPR regulation coming into place, also the RCM that has come up. We expect a 3x increase in the next 2 to 3 years from the current availability of battery scrap. And there is enough scope for everyone to come into. So, the battery manufacturers are also putting up their own

units. But we believe that we will be able to manage, if not increase, our market share in domestic sector.

So even if we keep the same market share, which is what we have projected in our estimations for the next 3 years, that shift from unorganized to organized will be enough for us to meet our targets of 25% growth rate in the next 3 to 4 years. So because of our pan-India presence, we are Gravita India Limited

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-- we are having this logistic advantage of taking more scraps from the domestic market. So that is the reason we are very -- even after all these companies establish their own capacities, we are very sure to get this volume growth from India.

Bhavin Pande: And sir, just one clarity on used cars, if we were procuring batteries from them and on account of the GST implementation on used cars from dealers, so would that have an impact on our business?

Yogesh Malhotra: So yes, it is going to have an impact because more battery scrap would now start coming from that sector also. We already have tied up with most of these end-of-life for vehicle facilities in India. And we are expecting, but it will take some time for that scrap to come. Generally, most of the old batteries actually come through replacement market, which is around 70%. This is only going to be a very small part of that overall -- in the, at least, next 3, 4 years.

But beyond that, probably it will improve in -- and we will start getting more batteries from these sectors in probably more than 5 years from now.

Naveen Sharma: Actually, the new regulation on used cars called end-of-life vehicle, ELV policy that will be active from 1st April 2025. So as per that regulations, the used car will be going to RVSF, registered vehicle scrapping facilities, and these RVSF will supply the 5 waste to the respective recyclers. Among them, battery is one of the scrap, battery, oil, tire, plastic and e-waste. So as soon the ELV targets are being -- comes maybe next 1, 2, 3 years, so there will be more flow of such vehicle to RVSF and flow of battery to recycler.

Bhavin Pande: That was very helpful. And sir, just one bookkeeping, Mundra capacity would be?

Sunil Kansal: So current Mundra capacity is 72,000 tons, which we are expanding further.

Bhavin Pande: And it would go up to any number that you can give out?

Yogesh Malhotra: So close to 30,000 tons more, around 100,000 tons.

Bhavin Pande: 100,000. Okay. That was really helpful, sir, and good luck.

Moderator: The next question is from the line of Shweta Dixit from Systematic.

Shweta Dikshit: One question on the stand-alone financials. If you look at the EBITDA margins that is excluding the other income that dropped to 5.6% this quarter and this number compares to around 8.1% in the same quarter last year, so was there anything -- what has actually driven this margin drop this quarter? And were there any seasonality or any one-off factors in place in the third quarter of FY '24?

Yogesh Malhotra: So actually -- generally, the Indian EBITDA margins are lower than the overall EBITDA margins of the company because the domestic scrap is a little expensive. And our sustainable EBITDA margins from Indian market is around INR11 to INR12 per kg. And we have maintained that EBITDA margins this year. But when we talk about last year, there were certain

arbitrage opportunities, which we make use of. And therefore, if you see historically, you see a higher EBITDA margins from Indian plants also.

But going forward, you can expect an EBITDA margin of INR18 to INR19 per kg on a consolidated basis. And we have always -- I mean, we've always mentioned that you have to look at the entire total EBITDA margins per ton rather than looking at Indian or domestic or overseas EBITDA margin separately. Because of our overall operations globally, we sometimes get this opportunity

where we take advantage of arbitrage and bring our materials from our overseas plants into India.

And that is why sometimes you will see higher revenue coming from India also and sometimes you will see higher margins also in Indian context, but overall margins would remain in the same region of around INR18 to INR19 per kg.

Shweta Dikshit: Okay. So, sir, what's your outlook -- so you were saying something?

Yogesh Malhotra: No, I was asking if I was clear or not.

Shweta Dikshit: Yes, yes. I understood that. Another question would be like what's your outlook with domestic policies.

Yogesh Malhotra: If we exclude any arbitrage opportunities, the Indian domestic margins would be around INR11 to INR12, and overseas would be around INR28 per kg. So, on a consolidated basis, you can expect INR18 to INR19 per kg margin, which does not include any arbitrage opportunity that comes up. As and when those opportunities are there, you can expect an increase of EBITDA margins going forward.

But in the longer-term period, if you ask me, because of increase in value-added content and also higher capacity utilization going forward, you can expect more value-added products, you can expect some slight increase of around INR1 per kg in the next 3 to 4 years, progressively.

Moderator: The next question is from the line of Sani Vishe from Axis Securities.

Sani Vishe: So, continuing on the question asked by the earlier participant. So is it -- is my understanding correct, when we say that despite a higher revenue growth, the EBITDA margin was not -- EBITDA growth was not that significant because in the last quarter, we had higher arbitrage opportunities. Is that correct?

Yogesh Malhotra: Yes, that is correct.

Sani Vishe: Yes. So, we can expect similar margins as this quarter. This is more sustainable, at least in the near term?

Yogesh Malhotra: Yes. So going forward, as we mentioned that the sustainable margins in net would be around INR18 to INR19. And in aluminium, we can expect around INR14 per kg and around INR10 per kg in plastics. But this would improve a little bit going forward in the next 3 to 4 years where we would -- where we are focusing more on value-added content and increasing

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capacity utilization, and more volumes would also increase the EBITDA margin number to some extent. But these are the sustainable numbers.

Sani Vishe: Understood. And one other small question. What would be your current debt level and cash level? And what do we -- where do you expect it to be by the end of the year?

Yogesh Malhotra: Yes. So current debt level is around INR340 crores. And so net debt is approximately INR600-odd crores. So, in the year-end, we are expecting this debt to be close to almost to 0, negligible.

And so we'll be continuing with the liquidity of around INR300 crores to INR400 crores by the year-end.

Moderator: The next question is from the line of Khush Nahar from Electrum Portfolio Managers.

Khush Nahar: Sir, 2, 3 questions from my side. First, what was the percentage of domestic sourcing for our Indian operations this quarter?

Yogesh Malhotra: So overall, 44% of the total scrap that we processed in India is from domestic sources only. 56% is imported.

Khush Nahar: And sir, what would be our utilization for the aluminium plants right now?

Yogesh Malhotra: So capacity utilization for aluminium is still at 46% for this 9 months and approximately 48% for this quarter.

Khush Nahar: And we see that increasing because the hedging will start, if I understand correctly, from Q1 FY '26 because of the delay?

Yogesh Malhotra: Yes. Still we -- because we don't have the hedging materials in place at this moment, so we are still struggling for volumes in India. So as soon as we have that in 1 or 2 quarters, the hedging mechanism in place, so we'll scale up this more capacity than aluminium along with

ith more

capacity utilization also. But we are expecting that in Q1, we will have that hedging mechanism in India. So hopefully, by Q1, the volumes will -- you can see some increase in volumes.

Khush Nahar: And sir, my last question, so just can you elaborate more what gives us the confidence of growing at 35% in terms of profitability CAGR for the next 3 to 4 years? What would be the growth drivers for these?

Yogesh Malhotra: Yes. So basically, currently, we are into 3 product categories majorly, that is lead, aluminium and plastic. So, lead is actually the largest, it has the largest share of around 85%. And there is this new -- it is getting some benefits because of EPR and reverse charge mechanism. Where earlier, we were not having any access to the local domestic scrap, which we have now started getting.

And we can see an increase -- if you see the last 3 years also, we have seen increase in availability of domestic scrap. We see that going forward, it will only improve because of reverse charge mechanism also. Because of GST, we were not getting that scrap. So, let me just explain once more.

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I mean, we are getting more scrap in India because of this shift from unorganized to organized because of battery waste management tool and the reverse charge mechanism. These policies have given us more scrap in the past 2 years, and we expect similar increase going forward also. But apart from lead, we are also aggressively increasing our capacity, both in aluminium and plastic.

Incidentally, plastic also comes under EPR regulation, and we see a huge opportunity in plastic also. We are also expanding overseas. In all of our locations, we are increasing our capacities. And we are also going to increase capacities in some new geographies. We're going to go into some new geographies also. In addition, we are also planning to go into new verticals of rubber and lithium-ion battery recycling.

So, all in all, we believe that all these new opportunities coming from regulations, and we're going into new verticals, we would be easily growing at around 25%. And because of this growth and going into new verticals, there will be economies of scale, there will be a reduction in working capital cycle because we would be sourcing more scrap in India.

And we -- as our focus would be -- has already been on value-added content, so all of this will ensure that the profitability is higher than the growth in revenues. So, we are very confident that going forward, 25% growth in volume terms and 30% to 35% growth in profitability is not at all a problem. And if you look at the past 3, 4 years also, you would see a similar result where we have grown at around 22% in volumes, but on profitability terms, we've grown at a much higher rate.

Khush Nahar: So just one last question. So apart from these 3 overseas recently acquired businesses, are we in talks with advanced stages for any other company in terms of acquisition? And what would be the size of these companies?

Yogesh Malhotra: So, we are aggressively looking at opportunities to grow faster, both in India and overseas. In the segments that we are, we cannot disclose the exact companies that we are targeting right now. But we are scouting for these new opportunities, both in India in lead, aluminium and plastic and overseas also. But I mean, as we mentioned that we are expecting around INR900 crores -- INR800 crores to INR900 crores in mergers and acquisitions in the next 3 years. So, you can expect us to go in and do more mergers and acquisitions in the future.

Moderator: The next question is from the line of Anurag Mantry from Oxbo Capital.

Anurag Mantry: Just one thing on the lead volume growth. I mean, if I look at it on a Q-on-Q basis, it seems to be largely in that 3% to 4% kind of range in the last couple of quarters. So, we see -- I think we've been doing that

at 40%, 44% kind of number basically every quarter. So, from here, how do we -- you see an inflection in growth like what factors do you think are required for us to see that?

Is it basically this reverse charge mechanism regulation coming through in the GST council? Or is it like any new partnerships, et cetera, et cetera? Like what needs to change for the growth rate to be materially higher?

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Yogesh Malhotra: So, whenever we talk about the overall plan of around 25% plus growth rate, the target in lead is around 18% to 20%, and it's higher in aluminium and plastic. We are expecting 40% growth rate in aluminium and around 70% growth rate in plastic going forward. So, I think we are in line with that number. But generally, you would not see that growth coming in on a quarter-to-quarter basis because capacity increase does not happen in a straight line matter.

So as and when there will be a capacity increase, you will see certain increase and then you will see a period where there will be a little stagnation. But overall, you can expect around 18% to 20% growth rate in the lead in the next 3 to 4 years and 40% in aluminium and 60% to 70% in plastic. But if you see the growth rate of lead in last 9 months, it is approximately 25%. So, we are aligned to the whatever reason we have that for lead growth, we are aligned to that.

Anurag Mantry: I mean the reason I was also asking is because I think in the 9 months of last year, you also had that -- like in the last quarter, the December quarter of last year, you also had the Red Sea issue, due to this also got depressed as such but fair point. I guess capacity increases I think...

Yogesh Malhotra: If you look at from Q2 also, there is a 4% increase, which translates to around 20% -- 18% to 20% increase on a yearly basis on an annual basis. From Q2 to Q3.

Moderator: The next question is from the line of Siddharth Mehrotra from Kotak Insurance Equities.

Siddharth Mehrotra: Congratulations on a good set of numbers. Just a small bookkeeping question. Our capacity in the previous quarter was around 291,000 tons. Could you sort of just clarify what is our current capacity as on today?

Yogesh Malhotra: Yes, current capacity, including the rubber division, which we use -- part of that we use for internal consumption, so the total capacity, including rubber, is 308,000 tons.

Siddharth Mehrotra: Okay. So, of the total capacity addition, 291,000 to 308,000, I guess, sort of 4,000 tons were added in your Ghana recycling plant, which is aluminium, the balance is rubber capacity additions for internal use. Is that correct?

Yogesh Malhotra: Yes, yes. So, rubber is 12,000 tons, which is for internal consumption at this moment.

Siddharth Mehrotra: Just a small question on the sort of ramp-up we are projecting for plastics. So basically, what needs to sort of change in terms of the policy support for us to sort of achieve this 70% type of growth, which seems fairly aggressive?

Yogesh Malhotra: Basically, I mean -- there are 2, 3 things. One, of course, is the EPR regulation coming into place, which has already started. The second thing is for our RCM also to be applicable on plastic scrap, which is not currently there because there is, again, GST issues when you go and buy plastic scrap from the market.

So apart from that, I think the current capacity we have is very small. And even without this RCM on plastic and only with the EPR regulations in place, we would be able to grow at around 16%, 17%. But if RCM comes into place, then the growth can be much higher. But we have to increase our capacities in plastics

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We are also looking, as we mentioned earlier also, we are looking at PET recycling opportunity also in India, that would include 70% growth improves that capacity increase in PET cycling. And we see, on

the ground, that there is definite opportunity as far as plastic recycling is concerned because of this EPR regulation. Where more and more companies are now looking for recycled plastic for their packaging material.

But the issue in plastic is that it is much more complicated than recycling metals because current -- earlier, nobody was using recycled materials. So, developing those products is taking a little longer time. But once you stabilize those products, we then definitely -- the growth will, I mean, go exponentially high in plastic.

So currently, we are working with some of these OEMs, but largely because with -- product development takes a longer time, you are seeing a stagnation in growth in plastic. But once those products get developed, then definitely, you will see some surge in the growth rate.

Siddharth Mehrotra: Just one small sort of follow-up on the reverse charge mechanism you sort of alluded to earlier.

So, sir, what is the current status of the reverse charge mechanism guidelines which had come in earlier? And how do we sort of expect any additions or modifications to them so as to benefit us in terms of policy?

Naveen Sharma: See, as of now, the reverse charge mechanism is applicable on 6 or 7 commodities or the supplies which are made to the government or any agri products taken from the agri producers, wherein the tax has to be paid by the receiver and in the same process, metal scrap has already been added after 54th GST Council meeting.

So now metal scrap, Chapter number 70 to 81, will also conduct, come under RCM. In that case, what happens when you buy scrap from unregistered person, you pay the tax first, deposit the tax within the same month, and then you claim the refund. If it is not there, if it is not mandatory, in that case, you buy that scrap from an unregistered person, but you need now to deposit the tax.

You can, when you process and sell, that time, you can use other input tax credit, ITC, not the one which you have to mandatorily pay. Once RCM is made mandatory, then first, you have to pay tax, whatever ITC is available, still you have to pay that extra ITC. You cannot use old input tax credit, while selling the goods.

So, this is a difference. So, what happens in current situation, when the trader buy scrap from

unregistered person and when they sell to recycler or next stage, they use ITC, which is available fraudulently in the market. So that prohibit us to buy from such traders. This is the difference.

Yogesh Malhotra: And as Naveen Ji mentioned, that it is already there in certain metals, but lead acid battery, because it comes in a different chapter, it was left out, but they are considering again in the next council meeting, they would incorporate.

Naveen Sharma: So, it is being said that battery scrap will surely come, and there are chances that plastic scrap, which comes under Chapter 39, tire scrap Chapter 40, paper scrap, Chapter 47, they will also be part of this.

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Yogesh Malhotra: So, the major hurdle was in convincing the government that there should be an RCM in scrap. But now that major hurdle is past us, we've already convinced the government, and there is RCM on certain matters. So now extending it to other commodities would not be such a difficult task.

Siddharth Mehrotra: So basically, it would sort of benefit us only when it comes solely through on the metal scrap side, which you procure. Right now, it's only on metals. Is that sort of understanding correct?

Yogesh Malhotra: No, it is a metal scrap. Unfortunately, they missed the battery scrap because it does not come under the same chapter as other metal scrap comes. It is in a different chapter. Therefore, they missed the battery scrap. But once they -- now they have realized this problem and they are putting it back, and it will -- you will have to wait till the...

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Naveen Sharma: Actually, lead scrap chapter is included, but battery scrap chapter is missed because major lead scrap is from batteries. So, battery scrap chapter comes under the machine chapter, electrical, electronic goods. So that's how it got missed.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: Over time, we made a lot of progress in a number of areas. We have expanded our manufacturing footprint and processing footprint, both in India, internationally, handling the complex supply chain management issues. We have expanded verticals and gone in to new areas and adding more areas.

Even the regulatory trust overall is in support of the industry, given the fact that anything which is going to eliminate or reduce pollution is clearly beneficial activity. And unorganized to organized per se also affords a large opportunity. So everything overall looks to be kind of very conducive. But if we have to think of something which has to go wrong, if something were to go wrong, what could that possibly be?

Yogesh Malhotra: Sir, in the past also, things have gone wrong, and we try to then work on those issues and then try to protect ourselves from those things. But some of the issues as we have global operations and we sell overseas markets also, then shipping costs can be one area where we have struggled in past because of Red Sea issue last year.

And something similar if comes up, then there can be these issues where you will have implications in terms of access to certain markets, and then you'll have to kind of suffer some temporary shortfalls in terms of revenues, because you'll have to then divert those materials into some other geography, so that has happened in the past.

But apart from that, if you talk about, we are hedged in metals, especially lead, and we are looking at opportunities to hedge in aluminium because there is this cyclic metals generally. If you don't hedge then, it is very difficult because the transit time is higher.

Then there are issues in geopolitical also in certain areas, because we are operating in many countries. Last year, we've seen some -- in last year, we've seen some problems in Sri Lanka. Currently also, I mean, if you look at -- there is certain unrest in Mozambique.

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So in these geographies, there can be certain issues that can temporarily hamper your production in those geographies. But that is why we have kept a target internally that we will not increase capacities beyond 15% in any of the locations that we are in.

So whenever there is a chance -- there is an option where we have to grow beyond 15% in any geography, we try to find a different geography to increase that capacity rather than increasing it in the same geography.

So there are various issues that we look into when we talk about problems. Fortunately, for us, there is no currency risk because we are in Africa. So there is a huge currency risk also, but we don't have that currency risk because we deal only in dollars. We ship all our materials out of Africa, while we are not using anything in that country.

So sir, there are many risks coming. There is a risk of government banning import of battery scrap into India also. That was earlier a major issue for us, but not anymore now because we have started getting domestic scrap also in India. If you look at it, around 40% of that scrap --

44% of the scrap that we process this year was domestic. And we can easily increase it to a higher number

We only have restricted it because overseas scrap is more profitable currently. But even if they ban domestic import, even then, we can be very sustainable in India. And our profitability in overseas sector would increase because the prices of battery scrap would go down overseas because India is the largest importer of battery scrap currently. So

there are many things that can go wrong, and we try to find solutions to all those things.

Bharat Shah: So many of these issues, geographic disturbances, the freight cost escalation or disruption, these are relatively more shorter-term issues. Structurally, anything that you're thinking again...?

Yogesh Malhotra: Structurally, it's -- so one thing that we started focusing on diversification was because I mean there is this issue that can come from disruption. Suppose something goes wrong or new technology comes in and battery -- lead acid battery totally goes out of favor, so that can be one problem. And therefore, we have also now started planning to set up a lithium-ion battery recycling unit in Mundra.

So that can be one that can have -- and also, we have also set up a target to reduce this -- our overall revenue that is coming from lead to around 70% in the next three years by focusing more on other commodities like aluminium and plastic. So that is also one of the issues that we see can happen in the future. So we have thoughtfully decided to diversify into other materials or commodities or verticals also.

Bharat Shah: Therefore, it will be safer to presume you have indicated 30% of the business to come from new verticals or non-lead verticals. That percentage, probably, presumably, will further grow over time.

Yogesh Malhotra: Yes, sir. Definitely, this is assuming that we don't go into new verticals other than the current verticals of aluminium, plastic and lead whereas we are also focusing on other verticals of lithium-ion battery, steel, rubber and paper in future. So definitely, it will come down. And also,

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this is based on the assumption that there is this EPR that is there on lead acid battery, where now we would be growing faster in lead because of more scrap availability in the domestic region.

If that -- so other verticals are going -- although other verticals are growing at 40% or 50% on a consolidated basis, even then you can -- you would only be going up to 30% because lead is also growing. But once that stagnation in lead comes then the other verticals will grow much faster. And we would also go into new verticals of lithium-ion battery recycling and paper and steel. So definitely, in the next five years, six years, it can come down to as much as around 50% to 55%.

Bharat Shah: And one last question. When you refer to profit growth of about 35% compounded compared to the volume growth of 25% compounded, that profit you are referring to is operating profit, core business operating profit. So profit before tax or profit after tax? What is the definition of that operating profit compounded?

Yogesh Malhotra: When we talk about -- we're talking about both PAT and EBITDA numbers.

Management: Just in the same ratio?

Yogesh Malhotra: So around 35% EBITDA increase in EBITDA margins and 35% increase in PAT margins also.

Bharat Shah: Sure, because there is not much of a financial leverage in any case in the business, and relative level of depreciation...

Yogesh Malhotra: There will be a slight increase in the increase in PAT margins because once the domestic scrap availability increase, then the overall working capital cycle would reduce to some extent. And therefore, you would see more increase. So around -- EBITDA would grow at around 33%, 34%, whereas PAT will grow around 35%.

Bharat Shah: Sure. And which means return on capital employed may actually grow higher if the working capital comes down?

Yogesh Malhotra: Yes, sir. So there would probably be a small dip initially, but the return on invested capital would always be higher than 25%. And then eventually, it will go up to 27%, 28% in the next 3, 3.5 years.

Moderator: The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP.

Parikshit Kabra: So earlier also, someone raised the question, I just wanted

to jump -- double down on that

question. Is that last year, was a soft quarter for us because of the Red Sea issues, et cetera, et cetera. So this quarter, growing at 33% on that base, is that something that we think is -- like are we going to be able to sustain 33% growth going forward? Or do you think this is a one-off spike and we'll come back to about 14% to 20% growth going forward?

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And you mentioned that the growth will come step wise as the capacity comes. So when is the next big capacity going live? When should we expect that next big step? One quarter? Two quarters? Three quarters? When would that be?

Yogesh Malhotra: So when we talk about -- generally, we talk about a three-year period where we say that the overall increase in volume would be around 25% on an average. So we continue to give the same guidance. So 33%, definitely, there is some aberration because as you mentioned, there were some -- last quarter was not, last year, Q3 was not very good.

So you can expect a 25% growth rate on a year-on-year basis for the next 3 years. So there could be quarters where there will be -- I mean, we would not grow at a 25% or grow at around -- only at around 20%, 15% also. But other quarters, we would grow at around 35%, 40%. So that would continue to happen in the future also.

And the next capacity increase you're talking about, we are going to increase some capacity in Mundra very shortly. We have also acquired a rubber recycling unit in Romania, where we are expecting to take it over in first quarter of -- sorry, last quarter of this year or first quarter of next year. So that, again, is going to give you some capacity increase.

We are -- as we mentioned that we are also looking at some other opportunities and merger and acquisitions. That will also happen, hopefully, in H1 next year. And then, of course, there are certain brownfield expansions that we have -- we will be continuously doing in all of our locations, including India and overseas.

Parikshit Kabra: And there is a foreign currency translation reserve line item in the P&L. Could you just explain what that was?

Yogesh Malhotra: Yes. So basically, because we are into various countries, so there is always some currency plus or minus every quarter. But overall, if you see, we are fully hedged on a back-to-back basis because whatever scrap we source, it is all in dollar terms. And when we sell the goods, it is also on the dollar terms.

So eventually, if we see we are not exposed to any currency risk, and we are -- so it is only the translation which happens on a quarter-to-quarter basis that is reflecting in the P&L, otherwise -- and that we also consider in the operational profits because it's a part of the operational margin. So otherwise, we are not exposed to any risk or we are not having any risk of currency fluctuations in any country.

Parikshit Kabra: So that additional INR15 crores that is coming in the comprehensive profits, that is just an accounting entry. It is not an actual profit of INR15 crores?

Yogesh Malhotra: Yes, yes. Correct.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: Sir, can you talk about the Mundra capacity and lithium battery expansion plan? How is the unit metrics going ahead? And how scalable in the next three, four years?

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Yogesh Malhotra: So Mundra capacity, as Sunilji mentioned earlier also, currently, it's around 72,000 tons. We are going to take it to around 100,000 tons in lead. As far as lithium-ion battery capacity is concerned, actually, in the initial phase, it's only a pilot project because currently, we are not considering any revenues coming from lithium-ion better in the next three to four years. So it's only to understand the technology better to

tie up with companies to do their scrap. So it's only a pilot project currently. We are not considering anything. But later on, once scrap start coming into the Indian markets from EVs, we want to be ready by that time. So you can expect growth coming forward when -- after these three- to four-year period, but not in the three to four period.

Sumant Kumar: Yes. But when you talk about the lithium scrap availability in global market, so can we import and recycle it in India or in the developed, let's say, so in the Africa market, we can have a plant there and recycle it?

Yogesh Malhotra: Africa market would not be possible because in Africa, they would not be buying EVs right now. But definitely, we are looking at opportunities where we can import scrap into India, recycle it. But I mean, currently, we are not considering any revenues from this. But definitely, we're looking at opportunities where if that is a possibility, we would go into that also.

Sumant Kumar: So in the future, because apart from all the vehicle lithium, we have also a solar system also where we use of lithium battery. So the overall population of lithium battery is also going to increase. So considering that, so can you also talk about how the profit margin of the lithium battery you have already worked on the prototype?

So what is the margin difference from the INR20 -- INR18, INR20 lead battery EBITDA per kg currently we have. So what is the margin difference or similar kind of margin will be there?

Yogesh Malhotra: No, no. So definitely, there would be higher margins in lithium-ion battery, but that is only a speculative thing because there is going to be huge entry barriers because the capex is higher, you have to have tie-ups because these batteries would not be available to smaller players.

So they -- on a theoretical basis, there would be higher margins, but currently because the scrap is not available and whatever little scrap is there, it is very difficult to ascertain the profitability of lithium-ion battery. But definitely, once the scrap is available, it is going to be much more profitable than lead acid batteries is what our expectations.

Sumant Kumar: And last, the technology side, our learning curve and whatever, are we doing some tie up, and how is understanding of the business currently?

Yogesh Malhotra: So both. We have our in-house division also that is working on the technology. We are also ready to tie up with some of the existing companies there. Generally, once we set up that plant, we'll have tie-up -- we are planning to have tie-ups, as I mentioned, to source material. And the only way you can source material probably would be also with a technology transfer, so both of these things will work hand-in-hand. But at the same time, we are also looking at our own internal technology.

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And even if we have tie up with anybody for technology, there have to be some work done because currently, there are very few people who are doing end-to-end recycling in lithium-ion battery. So the technology is still under progress. So you have to have some internal R&D that can work on that. And we have our own R&D division that is working for lithium-ion battery technology also.

Moderator: The next question is from the line of Amit Lahoti from Emkay Global Financial Services.

Amit Lahoti: I wanted to follow up on your comment on debt going down to zero. So did we mean gross debt here or net debt?

Yogesh Malhotra: So it is going to be gross debt becoming zero by March end as we have taken this QIP money and one of the objective was to repay the debt in a shorter term. So initially, we are planning to make the debt zero. But later on, as we mentioned, as we go for some M&A opportunities, which we are exploring currently, we will be taking some debt again in the next year. So

that will be

the -- taking the debt and going for some capacity expansion and M&A opportunities.

Amit Lahoti: Okay, so you will still do the repayment of the existing debt and then you will take on a new debt next year, if that is the right understanding?

Yogesh Malhotra: As and when required, yes.

Amit Lahoti: And then the last question is on aluminium margin guidance of INR14 per kg. But in the last two quarters, it was INR18 to INR21. So what were the factors that contributed to higher margins? And what could reverse when we get to sustainable margin of INR14 per kg?

Yogesh Malhotra: So basically, aluminium, you will see these fluctuations till the time there is a hedging mechanism in place. In certain quarters, you will see higher margins as this quarter. And other times, you will see lower margins also, because there is a transition time and the LME changes during these time period. So in some -- if you look at our last quarter, the margins were only INR9 per kg, last year, same quarter, because the LME went down and we incurred some losses on the metal prices at that time.

If you talk about this quarter, we have incurred some additional profits coming because of LME going up. So on a sustainable basis, INR14 to INR15 is the margin that you can expect going forward. And you will see a linear -- you will see a sustainable INR14 to INR15 margin only once the hedging mechanism is in place. Until that time, you will see these fluctuations happening.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Yogesh Malhotra: Thank you, everyone, for participating in this call. We trust that we have addressed all your queries during this session. However, if there are any remaining questions, please feel free to reach out to our Investor Relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you, and have a great day.

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Moderator: Thank you, ladies and gentlemen. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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7th May , 2025

GIL/202 5-26/18

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the Quarter and Year ended March 31st, 2025

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the Quarter and Year ended March 31st, 2025 conducted on 5th May, 2025 for your information and records.

The above information is also available on the website of Company:

[https://www.gravitaindia.com/investors/financial -details](https://www.gravitaindia.com/investors/financial-details)

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

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Encl: As above

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"Gravita India Limited

Q4 FY25 Earning 's Conference Call "

May 05, 2025

MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRAVITA INDIA
LIMITED

MR. VIJAY PAREEK – EXECUTIVE DIRECTOR –
GRAVITA INDIA LIMITED *

MR. NAVEEN SHARMA – EXECUTIVE DIRECTOR –
GRAVITA INDIA LIMITED *

MR. SUNIL KANSAL – WHOLE TIME DIRECTOR &
CHIEF FINANCIAL OFFICER – GRAVITA INDIA LIMITED

*NON-BOARD MEMBER

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

Gravita India Limited
May 05, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Gravita India Limited Q4 FY '25 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar. Thank you, and over to you, sir.

Manish Mahawar : Thank you. Thank you. On behalf of Antique Stock Broking, I would like to welcome all the participants on the 4Q FY '25 earnings call of Gravita India. We have Mr. Yogesh Malhotra , Whole Time Director and CEO; Mr. Vijay Pareek, Executive Director; Mr. Naveen Sharma, Executive Director; Mr. Sunil Kansal , Whole Time Director & CFO on the call.

Without further ado, I would like to hand over the call to Mr. Malhotra for opening remarks, post which, we shall open the floor for Q&A. Thank you, and over to you, Mr. Malhotra.

Yogesh Malhotra: Yes. Thank you, Mr. Manish. Good morning, ladies and gentlemen, and welcome to our Q4 and FY '25 earnings call. I trust you've had the chance to go through the earnings presentation and financial results that were uploaded on the stock exchanges.

I am delighted to share that FY '25 marked a year of strong operational and financial growth for Gravita, culminating in the highest ever revenue, EBITDA, and PAT. Our 5 year CAGR of 23% in revenue and 57% in PAT underscores the company's strong growth momentum, further strengthened by its net debt free status. Before delving into results, I will briefly discuss the strategic highlights and project updates.

Credit rating agency ICRA Limited has upgraded our rating to ICRA AA - Stable from ICRA A+ Stable. Gravita India Limited has strengthened its global footprint with the strategic acquisition of a waste tire recycling plant in Europe.

A special purpose vehicle in Romania has been formed with Gravita Netherlands holding an 80% equity stake and management control, while local partners hold the remaining shares. With a total investment of INR40 crores of which INR32 crore s is contributed by GNBV.

The newly acquired waste tire recycling plant has a capacity of 18,000 metric ton per annum. This strategic move aligns with Gravita's commitment to expanding its recycling operations and advancing sustainability initiatives across Europe.

We are progressing steadily with the setup of a pilot lithium-ion battery recycling project and our inaugural rubber recycling facility in Mundra, India. Both are scheduled to be operational by the first half of FY '26. The Board of Directors has approved an interim dividend of INR6.35 per equity share, reinforcing Gravita's position as a consistent dividend paying company with a 14 years track record of sustainable payouts.

Gravita India Limited

Gravita is meeting strategic strides towards achieving its ESG targets for FY '27, FY '34 and FY '50 as outlined in its long term roadmap. Through the integration of ESG principles, the company aspires to lead in sustainable practices, foster innovation and maintain robust governance to create lasting value and positive community impact.

Coming to the operational performance, on the capacity expansion front, Gravita continues to scale operations having reached 3.34 lakh metric ton per annum in capacity in FY '25 and is aiming for a significant milestone of 700,000 plus MTPA by FY '28.

The company has capex planning totaling INR1,500 crores to be deployed by FY '28.

Encompassing both expansion of existing operations and investment in new verticals, including lithium-ion, paper, rubber and steel recycling

g. Of the total, approximately INR1,000 crores is allocated to existing verticals while the remaining is earmarked for new initiatives.

On the volume front, we saw an overall growth of 20% and 13% in FY '25 and Q4 FY '25 respectively. On quarterly basis, volume for lead and aluminium showed an increase of 12% and 62% on Y-on-Y basis.

Stringent government regulations under BWMR and EPR have driven a significant 60% rise in domestically sourced scrap. 43% of the total scrap was sourced from domestic market as compared to 30% in last year.

Coming to quarterly EBITDA per ton performance. EBITDA per ton of lead and aluminium increased significantly by 6% and 30% on a year-on-year basis. EBITDA per ton of lead was INR20,466, aluminium was INR19,836, and plastic was INR9,882.

Moving to consolidated financial results for FY '25. Gravita has reached new milestones posting record performance in revenue, EBITDA and PAT. Revenue increased by 22% to INR3,869 crores. 46% of the revenue came from value-added products which is in line with our Vision 2029 of achieving 50% revenues from this category.

Adjusted EBITDA increased to INR404 crores, up by 22%. EBITDA margins stood strong at 10.43%. PAT showed a significant increase of 31% to INR312 crores. PAT margin increased to 8%. ROIC pre-tax for FY '25 is standing strong at 27%, which is in line with our Vision 2029.

The cash flow from operations increased significantly from INR42 crores to INR282 crores.

Coming to consolidated financial results for the quarter, revenue for FY '25 increased by 20% year-on-year and 4% quarter-on-quarter to INR1,037 crores. Adjusted EBITDA increased to INR109 crores, up 17% and 6% on Y-o-Y and Q-on-Q basis respectively. EBITDA margin stood strong at 10.5%. PAT showed significant increase of 38% year-on-year and 22% year-on-year to INR95 crores. PAT margin stood strong at 9%.

In conclusion, Gravita is making strong strides towards achieving its Vision 2029 with a clear strategic focus on scaling existing verticals and expanding into new areas such as lithium-ion, rubber, steel and paper recycling.

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The company has set ambitious targets including a volume CAGR of over 25%, profitability growth exceeding 35% and ROIC above 25%. It also aims to increase the contribution of its non-lead business to over 30%. Sourced more than 30% of its energy from renewables and cut energy consumptions by over 10%.

With over 3 decades of experience, 13 environmentally friendly facilities across the globe and a footprint in more than 70 countries, Gravita is well positioned for sustained growth. Its robust capex and capacity expansion plans, compliance with strict regulatory standards, global presence and integrated supply chain form a solid foundation.

This momentum is further reinforced by a commitment to operational excellence, a focus on high margin value-added products, proactive risk management through hedging and experienced leadership team and strong stakeholder support.

That's all from my end. I would now request to open the floor for questions and answers. Thank you, and move over to you moderator.

Moderator: Thank you very much. The first question is from the line of Amit Lahoti from Emkay. Please go ahead.

Amit Lahoti: My first question is on the aluminium business. There is expectation that ADC12 is going to be listed on Shanghai Futures Exchange this month. So would it allow us to hedge on SHFE or we would still have to wait for MCX listing for ADC12?

Naveen Sharma: It's already there on Shanghai Exchange, ADC12. We were discussing that it will be listed on MCX. So that's under the process, because BIS and QCO has been introduced on aluminium

alloy in December '24, and now process is on. As soon as this is being listed on MCX, then it will be -- product will be also approved and listed on MCX India only.
Yogesh Malho

tra: Yes, Amit, I am Yogesh this side. Actually a substantial part of our aluminium business depends on Indian market. So for that business we were targeting MCX registration. Although, our overseas businesses does not require that hedging right now because as, Mr. Naveen rightly said that it's already there on Chinese exchange, Shanghai Exchange. But we were focusing on MCX registration so that our Indian business can also increase.

Amit Lahoti: So is there any clarity in terms of timeline when it could be listed on MCX?

Naveen Sharma: MCX timeline within this H1 or hopefully maybe Q1 possibility. There already processes on.

Amit Lahoti: And then my second question is on growth guidance. So I appreciate that 25% per annum revenue growth target is over 5 years and it is not going to be linear. But could you indicate a specific guidance range for FY '26 given that there is still some time left before we commission the Mundra project. So in H1 of this year there might be some slowness in volumes growth?

Yogesh Malhotra: No. So as you rightly mentioned that these -- those growth numbers cannot be linear because it all depends on how the capex is being done. So we are planning to do a capex of around INR375-odd crores this year and the overall plan is to do a capex of around INR1,500 crores in the next
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3 years. So we are very fairly confident that we will increase the capacities as guided of around 25% to 30% year-on-year for the next 3 years.

Amit Lahoti: So for this particular year FY '26, if you can give any specific range of guidance of volumes growth or revenue growth whichever you're --

Yogesh Malhotra: It will be in line with the overall projections of around 25%. So it can be around 20% also, 30% also depending on how the capex is getting done.

Moderator: The next question is from the line of Bharat Shah from ASK Investment Managers Limited.

Bharat Shah: First question, the guidance that we repeated for 25% ROCE in excess of 25% ROCE, but I thought 2 factors would mean that ROCE should be much higher. One, that as the domestic sourcing improves, I suppose working capital relatively will come down. You can -- I mean, I don't know whether that is a correct assumption, but you can highlight on that.

And secondly, you also mentioned about 9% net profit margin. Of course, it is for this quarter, not for the year. And it is the highest net profit margin in the history of Gravita in any quarter.

So if this is somewhat like a benchmark, then given the fact that margins would improve as well as working capital investment will reduce given the strong growth, should it not mean that ROIC should be much higher? Because we've already reached 27% in the year gone by.

Yogesh Malhotra: So, sir, first of all, when we give this ROCE of 25% plus, that is a benchmark that we have created that any business that we go into, whether it is existing business in a new geography or a new business in some other vertical, that is going to be the benchmark ROCE for us, 25%. So any business that come across that is not giving 25% ROCE we would not be going into that. So that is a benchmark ROCE.

As far as Indian business is concerned, sir, you are right that the inventory cost would come down, but at the same time what will happen is that the margin or the EBITDA per ton or per kilogram for Indian scrap is lower than what we get from the overseas market. So the overall ROCE is also going to be above 25%, but this is what we are talking about is the consolidated ROCE coming from all the verticals across all the plants and including new businesses also. So it will not drop down below 25%. So definitely it can go above 25% also.

Bharat Shah: So it would be prudent to assume ROCE in the range of 25% to 30% over the period of time.

Yogesh Malhotra: Yes, sir.

Bharat Shah: Secondly, just wanted to understand the

expected tax rate, which so far has been in the range of

11% to 13% or 14%. But going ahead, how do we see the tax rate per se?

Sunil Kansal: Yes, sir. It should be in the range of 12% to 13% only, because there was some treasury income in this quarter, so it was slightly higher. But otherwise if we remove that part -- even the treasury part, which will be removed gradually as we will be using this money for the business purposes, so it should be in the range of 12% to 13% only.

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Bharat Shah: And one last thing, when you set up a new facility, either within the country or outside, typically what is the kind of time it takes for you to set up a new facility? If it is a greenfield or if it is a

brownfield, what is the kind of time it takes?

Sunil Kansal: Sir, when we talk about India, then it is -- for a greenfield project, it takes anywhere between 1 to 1.5 years. In a brownfield, we can increase capacity within 6 to 9 months. The only issue overseas is that in some countries it takes a long period to get the initial licenses, so everything depends on this.

For example, in Dominican Republic, the licenses are taking longer than we had presented. So it all depends on licenses. Otherwise, just putting up a plant is not at all an issue for us, because as you know that we also make our own plant and machinery equipments, so that can be done very easily. The only time that sometimes get delayed is because of these licenses that are to be taken from the government.

Bharat Shah: And if I'm permitted, just one last question. On the project side, turnkey projects, are we kind of winding down that activity or it is just that the year gone by it has been a muted one?

Sunil Kansal: Yes, yes. So it all depends on where people are putting in more projects or whether they are putting more projects or not, so it all depends on that. In fact, we are trying to include other verticals also in our project division like rubber and plastic recycling also we are trying to make plant and machinery for these verticals also. So we, in any case, are going to increase volumes from our turnkey projects.

But the fact remains that it becomes a strategic part of our business because it also gives you the benefit in terms of understanding the operational issues and then making plant and equipment that supports those operational issues or that can take care of those operational issues. So it's kind of a R&D facility for us. So in any case, the volumes may go down on a year-on-year basis because of whether people are putting in more capex or not. But this is definitely going to increase in years to come.

Moderator: The next question is from the line of Nikhil Agrawal from Kotak PMS.

Nikhil Agrawal: Just wanted to understand when any time of you realizing your EPR credit, and how much would that be, approximately?

Sunil Kansal: Sir, so the EPR that comes from battery procurement, so most of the procurement, as you know, we are doing bit -- our kind of tolling business where we are procuring it on behalf of the major OEMs. So the EPR that we generate we pass it on to the battery manufacturers.

But there is also some local procurement that we do and currently those EPRs are with us. In future, of course, the quantities of EPR because of local procurement will increase, but that will depend basically on this reverse charge mechanism coming into picture for battery scrap also which is currently not there. So once that starts then the EPR generation from local supplies would also increase.

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Nikhil Agrawal: So any timeline of realizing the credits? I mean, when will it start flowing into the revenues going forward?

Sunil Kansal: So, it will not impact the bottom line. We are very clear that -- because it's a tool that will enable you to give higher price for the scrap and

then collect those scrap from the local market which currently goes to the unorganized sector. So we are not taking any revenues from these EPRs going forward. It is going to be profit neutral. Any profit that will come would be incremental only and we are not considering those profits in our future growth plan.

Naveen Sharma: Informal to some extent.

Moderator: The next question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a record performance for the year-end the quarter. Couple of questions from my side. The first one is, if I turn Slide #8, where you have mentioned that the profitability of overseas operations in Q4 is 25% of overall. Now if I compare it with Q3, the profitability of overseas operations was 53%. So just wanted to understand the reason behind this drop. And, if on long-term basis until FY '29 as you have sounded your key tenets, if we can have a similar aspiration for overseas business profitability?

Sunil Kansal: So, you will have to look at our profit on a consolidated basis because what happens is sometimes we import a lot of materials from our own plants into India and sometimes we select directly depending on what the market is globally. So during those times you'll see some reduction in profits from overseas center whereas in Indian plants you'll see higher profits and vice versa also. So this is a very dynamic situation.

We look at every quarter on which market is better and whether we should import those material into India or we export directly to other countries, so that is one part. And slightly also there was some hiccup in our Mozambique operations because there was elections and after elections there was certain unrest in that geography.

So part of the profits got diluted because the operations were hit in Mozambique. But now as we speak it's in perfectly normal conditions again. So these 2 things that contributed. But major part

of that increase or decrease in overseas volume or profitability is because we sometimes bring that material into India and realize the profits in India.

Sunil Kansal: And another reason to this was because India, we got some treasury income. So because of that the contribution from Indian bottom line was slightly higher. That's also one of the reason for this.

Amit Dixit: But on a -- let us say on a -- I mean, steady basis, what kind of profitability, I mean, do we target? If you can give a broad range that also would be great.

Yogesh Malhotra: So on a sustainable basis, around 40% to 50% of the total profitability you can expect to come from overseas and around 50% to 60% would come from India.

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Amit Dixit: The second question is again on Slide 9 where we have detailed the capex. So while I won't go into '27-'28. But on '26 where the capex is jumping up sharply, if you can just break it in -- I mean, where it is being done for FY '26, the \$375 crores?

Sunil Kansal: Yes, one second. So basically it includes the capex which is in the existing verticals like lead. So we are increasing some capacities in Mundra also, in Jaipur also for the existing plant and we are planning one more plant in India to have more coverage of some locations where we don't have presence at the moment. And that is the part for India.

But other than that, we are also increasing capacities in plastic and rubber in India. So that is also covered. And we are putting up some facilities outside India like Dominican Republic is the country where we are putting capacities for recycling including lead recycling. And we are also increasing capacity in existing plant in Romania which we recently acquired. So expansion of Romania is also covered in this.

And so we are very aggressive on Rubber. So we may have one or 2 plants -- more plants in Rubber in India. So we have also considered that in this capex plan. And yes,

that's all. So these are the things.

Amit Dixit: So just 2 follow-ups from this. One is Romania. So are we going to expand in rubber only in Romania? Or is it in a new vertical in Romania?

Yogesh Malhotra: So initially, we will expand in Rubber in this year. And we are also looking at opportunities not only in Romania, but in the entire Eastern Europe -- European countries to look for other opportunities in other recycling verticals also.

Sunil Kansal: But maybe next year, that part.

Yogesh Malhotra: But that may materialize in next year only, not this year.

Amit Dixit: And the second follow-up is that in -- will there be any expansion in Eastern India this year?

Yogesh Malhotra: So Mr. Sunil mentioned that we are putting up a plant in India and that could be in Eastern India also or some other location also, geographies. So we are still finalizing the location. We'll convey whenever we finalize the location exactly to the investors.

Moderator: The next question is from the line of Srinath V. from Bellwether Capital.

Srinath V.: I would like to understand what are our plans in the rubber space? What are the kind of products that we are working on, what are the -- is it like a basket of products or is it only pyrolysis? So wanted to understand what are we doing in rubber, especially in India?

Naveen Sharma: So this will be all product together. Some places we will be doing pyrolysis. Some places, we will be making value added products like sheets or crumb rubber. And also we are working to make reclaimed carbon black from char which is generated from rubber and one of the byproduct is steel. So as of now steel will be selling and we may see that we can further do recycling for

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that product as well. So it will be all market, sheets, pyrolysis, rCB, tough rubber, even road construction and all.

Srinath V.: And sir, can you basically go a little more nuanced in each of these products to understand what is the kind of scale that we are looking at in? And these products, if sold into the tire universe, they all would require validations and the process, from my understanding, takes a bit of time. So where are we, say, in a carbon black? Are the carbon black producers started sampling our product? Just to get an understanding of where we are in the evolution, sir?

Yogesh Malhotra: So currently, we are not producing anything in reclaimed carbon rubber or carbon black. So what we are currently doing is only pyrolysis oil in the locations wherever we are present. The plant that we acquired in Romania has the capability to develop reclaimed carbon black also, but it's still not under production.

So in the coming quarters, we will be putting -- starting the plant line that is currently not under

production. And eventually by the end of this year, we'll be probably getting some of those material sold to the tire companies, but not before that.

In India, we are setting up the rubber plant right now. So as I mentioned that it will be coming in H1 of this year. So any sampling would only happen after that plant is in production, not before that.

Srinath V.: Just last one, sir. What is the size of our capacity we are putting, sir, in the H1 plant?

Yogesh Malhotra: So it's around -- the total capacity in this year would be around 60,000 metric ton per annum. Part of it will come in H1 and part of it will come in H2.

Srinath V.: So there are basically 2 pyrolysis reactors?

Yogesh Malhotra: It's not only pyrolysis reactor. It is pyrolysis reactor also and our reclaimed -- sorry, another crumb rubber or a rubber sheet plant also.

Srinath V.: And we'll be able to do micronized rubber sheets also, sir, like 180 mesh, the slightly more finer variety?

Yogesh Malhotra: Yes. Yes, we are planning on that also.

Moderator: The next question is from the line of Parikshit Kabra from Pkeday Advisors LLP.

Parikshit Kabra: Congratulations on a great quarter. The results were fantastic, so congratulations. First, a quick question, you mentioned that this time around there is also treasury income. Can you give the breakup about what was the other income, how much of it was treasury income and how much of it was the hedging income that you have generated?

Sunil Kansal: Yes, so there were 2 part of that. One is the treasury income, So in this quarter it was around INR9 crores. And another part was that we saved some interest cost which we -- because we reduced our debt. So approximately INR7-odd crores we reduced the debt cost. So overall,

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impact of -- in this quarter on the bottom -line approximately INR15 crores to INR16 crores because of this additional liquidity.

Parikshit Kabra: INR15 crores to INR16 crores pre -tax?

Sunil Kansal: Pre-tax, yes.

Parikshit Kabra: Pretax, got it. The other question that I have is that, we set our guidance for 5 years and we've been doing that every single year. And since 2022, at least that's when the last I could find the documented evidence. And 2022 5 -year guidance is now going to be coming to an end in this financial year. Right? So going back to that guidance, are we going to be achieving those numbers in FY '26? Are you guys confident of that?

Yogesh Malhotra: So the guidance that we keep giving is around 25% revenue growth and around 30% profit growth, right?

Parikshit Kabra: Yes, 35%. 35% profit growth, yes.

Yogesh Malhotra: So if you look at it we've grown in the last five years by 22% in revenue numbers and 57% in profitability numbers. So we have surpassed those targets that we set up for ourselves.

Parikshit Kabra: So that's -- I understand. But if I look at FY '22 numbers and I take your guidance for FY '26 for both revenue and profit, then based on today's numbers in FY '26 you will require to meet that guidance a revenue growth of 40% and a profit growth of 57%.

Sunil Kansal: So you're saying that okay -- so I understood your question. So basically when you see that from 2026 to 2027, right?

Parikshit Kabra: '26. You have given Vision '26?

Sunil Kansal: So in one year it could be lower but in another it could be higher. So gradually yes we are targeting those numbers.

Parikshit Kabra: Then next, I'm just wondering here that -- I understand that we don't really do that much business in The U.S. so Trump tariffs are not a concern for us in that manner. But are there any indirect concerns because of shift in how trade happens? Can there be any indirect issues that affect our business, one?

And number two, are we worried about those ship logistics costs, the shipping cost? Because right now from what I understand, there has been a cut down in demand of shipping, but eventually if and when the tariffs come off, there can be again excess demand in shipping and so at that time again our logistics cost may rise, is that a concern for us?

Yogesh Malhotra: Yes. So definitely because what will happen is that a lot of containers would get stuck in China because -- so that definitely on a short term basis, logistic cost could go up and would impact the profits if -- but right now it's not having any impact right now as we speak. But there may be in future something like that, that can impact.

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But fortunately for Gravita it's only going to be a short term issue if it is going to be. Because eventually the scrap prices from these countries would come down. It will accommodate the increase in freight prices also. So anything that can happen globally would only have a short term impact and not a long term impact. And we also have this advantage of having global operations, so we can ship from any country to any country. So the impact on Gravita would be comparatively less than the competitors.

Mod

erator: The next question is from the line of Basanth Patil N P, from TCG AMC.

Basant Patil N P : Sir, just wanted to understand on the left out MAT credit. So still our tax rates are under 15%, so will this continue for how many years? Can you please throw some light on this? What is the left out MAT credit still?

Sunil Kansal: So MAT credit, we have entire MAT credit, whatever -- because now we are -- already we are very short on this. This MAT credit came up because we are getting some exemption in tax in India, so that was the reason and we have already got some successful assessments of income tax, so we have already got approved all the tax benefits. So we are considering all the MAT credits into the books. So there is nothing left out MAT credit which is not recommended in the books of accounts.

So whatever -- and the total MAT credit which will be used in this next 6 to 7 years is going to be around INR30 crores. So that will reduce the tax outflow. But on the bottom line side, we are considering all the MAT credit.

Basant Patil N P : So we can expect the taxes to go up for current year and next year going ahead? Or will it remain in the 15% range of the --

Sunil Kansal: As we have already mentioned, the tax rate will be the blended tax rate because we have certain exemptions in overseas. So the blended tax rate should be closer to 12% to 13% on a global basis. So as we are already considering the MAT credit in India also, so the tax rate for India is also going to be same. No change.

Basant Patil N P : So even in India operations also, 12% to 13% would be the applicable rate?

Sunil Kansal: So India will be currently 30%.

Moderator: The next question is from the line of Parth Shah from Tara Capital Partners.

Parth Shah: I had 2 questions. One was, I had an observation when I compare Vision 28 versus Vision 29.

Capacities for financial year '26 are almost the same, while the capex -- the total capex has gone up. And secondly, for financial year '27, our capacities have increased by about 25%, but our capex has substantially gone up, more than 25%, around 40%. So if you could explain that?

Yogesh Malhotra: So the capex would depend on which vertical we are going to enter into. So the capacity can be increased by brownfield projects also, greenfield projects in the same verticals or maybe we'll come up with a new vertical. For example, steel and paper are more capex intensive. So that all should be considered when you look at the total capacities and the capex numbers.

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So it could be -- the configuration could be different in this year versus in next year maybe there are more greenfield projects we are planning to bring in. We are also planning to go into some mergers and acquisitions. Definitely that is going to probably have higher capex numbers. So all this depends on what is the configuration of capex that we are planning.

Parth Shah: Just a follow -up. So in FY '26, are we targeting a lot of greenfield capex and would it be in lead or the newer verticals?

Yogesh Malhotra: So in lead and rubber we are planning greenfield capex and in plastic definitely brownfield capex only. But in lead, we are planning to put up a plant in Dominican Republic and then also increasing capex in Romania, which probably is going to be more capex intensive than it is in India. So it all depends on which territory or region, geography that you are planning your capex is in.

Parth Shah: And my second question is on the guidance for the EBITDA per ton -- per kilogram for lead, if you could provide guidance for '26 -- financial year '26?

Yogesh Malhotra: So currently this year as we've been mentioning that we had certain arbitrage opportunities, so the total EBITDA per ton is around INR20 per ton -- or INR20 per kilogram or INR20,000 per ton. But our guidance is that on a sustainable basis,

we can expect a INR18 to INR19 per kg in

lead with a slight improvement of say around INR0.25 or INR0.50 every year based -- because of better economies of scale and better operational efficiencies that we can expect.

Parth Shah: And this is after considering higher share of domestic sourcing, am I right?

Yogesh Malhotra: Yes, even including that. Even including that. Because although the profitability is lower, but at the same time the operational efficiency improves and the capacity increase or capacity

utilization will also increase when you have domestic products in place, so that will also affect the EBITDA per ton.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Congratulations on a good set of numbers. The first one is, sir, a question on Slide 24, where we are forecasting the formal segment of the lead recycling industry to sharply increase from 40% to 75% in FY '26. So just want to know, is it, an expectation of it happening over few years gradually or we are expecting something really sharp change in FY '26 itself?

Yogesh Malhotra: Yes. So, what we believe now that reverse charge mechanism has come in other scrap. We are expecting that to come in this year in lead scrap also, in battery scrap also which got delayed because of some omission that government omitted by mistake battery scrap in this. So once that will come into picture, I think the shift over will take faster than we were expecting earlier. So we are expecting some fast shift from unorganized to organized.

But, of course, this -- if that doesn't come or if that does not have any impact on the actual numbers then definitely it is going to take maybe 2 more years for this 75% to come into the organized sector.

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Sumangal Nevatia: And sir, when do we expect that RCM to get notified from our interaction and engagement with regulators?

Naveen Sharma: So it is expected that next GST Council meeting this matter should come. So that 55th GST Council meeting should look to be held maybe this month end, so the representation already there.

Even with the overwhelming response on other metal scrap, the industry like plastic and they are also approaching to the ministry, to the Fitment Committee that those scraps should also come under RCM and TDS. So hopefully, we expect that battery should be part of this next committee meeting.

Sumangal Nevatia: Sir, my second question is with respect to our tolling business. Is it possible to share the volumes or mix of tolling as a proportion of our overall India recycling business, number one? And number two, if you look at Slide 18, I think for the first time, we've included Exide among our customer list. So can you just apprise us with respect to what sort of development is this and what sort of volumes and business we are doing with Exide?

Yogesh Malhotra: So in terms of numbers from tolling, around 85% of the total volume is coming from tolling itself right now. And for Exide, I think I will ask Mr. Vijay Pareek to comment on this.

Vijay Pareek: Yes. In fact, as in before reply, we are mentioning that this RCM and BWMR, we are focusing on that. So Amara Raja we are also increasing our volumes. Exide we initiated the developments and trials and everything from January onwards and we are expecting a substantial increase into the volumes.

Besides Exide other OEMs also we are working with them. So the tolling volume we'll be going to continue. And that's why Mr. Yogesh said that the formality into this segment will be there.

Yogesh Malhotra: And we are also increasing our capacities in Phagi and Mundra to accommodate the additional quantities of scrap that is going to come from Exide in the next few quarters.

Sumangal Nevatia: And sir, all these are, I assume, in the tolling arrangement. Can you just remind us what is --

Moderator

r: Mr. Sumangal, may we request you that you return to the question queue for follow-up questions as there are several participants waiting for the next turn?

Sumangal Nevatia: Sure, sure. I'll do that.

Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: So just a couple of questions. So the rubber acquisition and also domestic expansion that we're doing, what could be the asset turns here from this business and what would be your target for the current year?

Yogesh Malhotra: So generally, the asset turnover that we get is around 8x to 10x of our total. In rubber it is going to be almost similar in the same tune of 8x to 10x the revenue would come from rubber because,

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although the price of rubber is lower or the price of the finished product is lower, but the capex increase is also lower. So the capex is also lower. So it's in the same range of around 8x to 10x.

And what was your second question?

Pathanjali Srinivasan: Could you give me some rough cut -- yes, sir. So what could be a target revenue of rubber for the year, combined, the domestic plus Romania put together?

Yogesh Malhotra: See, it's very difficult because as we are going to put up some pyrolysis plants also domestically,

which the production for which is going to be consumed in our own plants, so it's basically for captive consumption. So overall revenue numbers may not reflect in the revenue number s increase -- incremental revenue numbers may not reflect in the actual numbers that we will get from rubber.

So currently we have only this Romania facility where we will be selling the rubber products. Otherwise, which should be close to INR100 crores to INR125 crores, but that's -- but other than that whatever rubber we have -- rubber products we are using it for the other recycling internally like lead recycling and aluminum recycling.

But going forward we will be having growth of around 70 odd percentage in next 3 to 4 years, CGR growth for rubber products which we will be selling to third parties.

Pathanjali Srinivasan: Just one last question. This other expenses seems a bit elevated for the quarter, so can you -- yes, this is my second question. So other expenses seem elevated for the quarter. So could you help me with, this would be the recurring rate or is there any ki nd of a one off or something in this?

Sunil Kansal: So, it's a -- so on an average it's a same number. Nothing is one off case. It's a recurring case.

Moderator: The next question is from the line of Amit Lahoti from Emkay.

Amit Lahoti: The inventory cycle has improved in the second half of FY '25, so what has led to this, and do we expect it to sustain?

Yogesh Malhotra: Yes. So the local procurement has increased. As we were mentioning that once the local procurement stabilizes then the overall imports in India as a ratio would come down. Currently in last quarter 48% of the total scrap that we procured was domestic scrap. And also t he -- because local scrap is more continuous in nature mode, I mean, like -- as compared to when we import, so the capacity utilization is better. So all these contributed to improved inventory cycles for us.

Amit Lahoti: So we expect it to sustain in the coming year as well?

Yogesh Malhotra: Yes.

Amit Lahoti: And, sir, my second question is, if you could remind your EBITDA guidance for aluminium and plastic in case there is any change?

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Yogesh Malhotra: So aluminum also would be around INR14 to INR15 per kilogram going forward. And for plastic also it is going to be INR10 to INR11 per kilogram, at least for this year. Any improvements in plastic is going to come either in the second half of this year as the EBITDA margin improvement or from next year onwards.

Moderator: The next question is

from the line of Ashish Poddar from Motilal Oswal Institutional Equity.

Ashish Poddar: So an observation. On Slide 21, we have mentioned our contribution of value -added products, which improved meaningfully from 42% in FY '22 to 46% in FY '25. But during this period, when I see your EBITDA margin, it's a decline from around 10% to around 8% -8.5%. Now over '25 to '28, we are expecting this 46% mix to improve further to 50%. In this context, what kind of EBITDA margin we are guiding to reach in FY '28?

Yogesh Malhotra: So the EBITDA margins, if you look at it are on the same line, is around 10.43% compared to 10.47% last year. I think you have to include the operational income also which comes from hedging. And so the EBITDA margins are also in the same line. And these E BITDA margins can go up a little up and down depending on domestic scrap material or how much value -added product we have sold, what is the contribution of overseas versus domestic procurement, all this -- and of course value -added content .

So scrap mix makes a lot of difference to the EBITDA margins. But as we mentioned that the EBITDA per ton from various commodities like for lead it is going to be around INR18 to INR20, for aluminium it is going to be around INR14 to INR15 and in plastic it is going to be INR10 to INR11 per kilogram.

Even going forward you can expect slight increases every year because of better operational efficiencies, more value -added products and also because of higher capacity utilizations going forward. But this is going to be the range.

Moderator: The next question is from the line of Shweta Dikshit from Systematix Group.

Shweta Dikshit: Sir, couple of questions. First, on the global perspective in terms of lead, what's your view, how the demand is likely to shape up? Because if you look at the numbers or indicated numbers from International Lead and Zinc Study Group, they say 2025 is like ly to be a surplus year in terms of lead. So how do we see this demand and how do we see our market share moving in terms of that? And will this have an impact on prices and eventually our EBITDA per ton guidance?

Second question is on the standalone side, what would be India operations led EBITDA per ton for the quarter? That's the second question.

And last question is what -- any view, any comments from your side on the plastics segment performance this quarter, since we have continued to guide it on a INR10 to INR11 per kilogram,

but what led towards EBITDA margin decline this quarter and what can likely help improve it in the subsequent period?

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Yogesh Malhotra: Yes. So to answer your first question, I think we are a very small player in lead. And even when you say that it is going to be a surplus year for lead going forward, so the impact would be majorly on mining of lead, whereas recycling of lead would not change at all.

The only impact it would have is the LME prices would go up or down. But it does not impact us because the prices of scrap also comes down. So there is a very minimal impact of any change in the lead prices going for a recycling company like us. So we don't see major changes in terms of our expansion plans going forward, even when there is a chance of slowdown in the economy, because it will majorly impact mining companies and not recycling companies per se.

To answer your second question about EBITDA in India or overseas, I think it's better that you evaluate the company on a consolidated basis only because these numbers would change depending on how much import we have done from our own territories, what is the market price in India compared to what is the global market mix. So these things would impact the numbers of India and overseas.

So these are not -- I mean, sometimes you'll see better numbers in India, but the overseas numbers are not doing well. But these are not sustainable nu

mbers because you take advantage

of arbitrage opportunities every now and then and that impact the numbers in standalone basis and overseas or consolidated business. But if you evaluate the company on a consolidated basis, you'll see that there is a clear EBITDA numbers that you can see and which is around INR18 to INR19 per kilogram in terms of lead.

And in plastic, it has not grown the way we wanted it to grow last year and -- because it was a little difficult because we are developing new products, trying to find new markets for value-added products in plastic and that is taking longer than what we expected. But we are very confident that by H1 this year, you will see positive changes in both revenue numbers as well as profitability in plastic.

Shweta Dikshit: Sir, just a follow-up to that question. When we say arbitrage possibilities in the domestic or Indian business, do we talk about cheaper raw material or do we talk -- are we trying to say that our realizations -- better realizations in India kind of help us sustain the EBITDA margin if at all there is some arbitrage?

Yogesh Malhotra: Both things. On one side, Indian market does not follow the global market. So sometimes there are times when Indian market is better than overseas market. During those times you bring in your material from your overseas subsidiaries into India. So that is one way of the Indian overall EBITDA numbers would increase.

The other is it all depends on where we have better realization even when the market prices are same because there are more value-added products that we can sell. If there are more value-added products that we can sell in India getting better realization, during those times also we divert our material into India even though the market prices are same and vice versa also. So that will change -- I mean, the metrics whether standalone is better or whether overseas plants give you better profitability.

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Moderator: This was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Yogesh Malhotra: Thank you everyone for participating in this call. We trust that we have addressed all your queries during this session. However, if there are any remaining questions, please feel free to reach out to our Investor Relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you and have a great day.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect the lines.

Call: Aug 2025

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01st August, 2025

GIL/2025-26/054

Dear Sir /Madam ,

Sub: Transcript of the earnings conference call for the Quarter ended June 30th, 2025

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the Quarter ended June 30th, 2025 conducted on 29th July, 2025 for your information and records.

The above information is also available on the website of Company:

<https://www.gravitaindia.com/investors/financial-details>

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

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Gravita India Limited

Q1FY26 Earnings Conference Call

July 29, 2025

MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRAVITA INDIA
LIMITED

MR. NAVEEN PRAKASH SHARMA – EXECUTIVE
DIRECTOR – GRAVITA INDIA LIMITED *

MR. SUNIL KANSAL – WHOLE TIME DIRECTOR &
CHIEF FINANCIAL OFFICER – GRAVITA INDIA LIMITED

* NON-BOARD MEMBER

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

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Moderator: Ladies and gentlemen, good day and welcome to Gravita India Limited 1Q FY '26 Earnings Call. As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar. Thank you, and over to you, sir.

Manish Mahawar : Thank you. On behalf of Antique Stockbroking, I would like to welcome all the participants on the 1Q FY26 Earnings Call of Gravita India. We have with us leadership team, represented by Mr. Yogesh Malhotra, Whole Time Director and CEO; Mr. Naveen Prakash Sharma, Executive Director; and Mr. Sunil Kansal, Whole Time Director and CFO on the call. Without any delay, I would like to hand over the call to Mr. Malhotra for opening remarks, post which we will open the floor for Q&A. Thank you, and over to you, Yogeshji.

Yogesh Malhotra : Thank you, Mr. Manish. Good afternoon, everyone, and welcome to our Q1 FY '26 earnings call. I trust you have had the chance to go through the earnings presentation and financial results that were uploaded on the stock exchanges. I'm pleased to share that Gravita has made an excellent start to the fiscal year, delivering outstanding performance across our key business segments.

The company reported healthy growth in revenue, EBITDA and PAT, reflecting the strength of our operations and the resilience of our business model. Supported by a net debt-free balance sheet, this performance underscores the momentum behind our continued progress. Before delving into results, I will briefly discuss the strategic highlights and project updates. On the capacity expansion front, Gravita is making steady progress with current capacity reaching 3.40 lakh metric ton per annum.

The company is well positioned to cross the 7 lakh metric ton per annum mark by FY '28, reflecting its long-term growth vision. With a capex plan of INR1,500 crores extending to FY '28, Gravita aims to deepen its presence in current businesses and diversify into new domains such as lithium-ion, paper, rubber and steel recycling.

Around INR1,000 crores is designated for existing business lines with the balance set aside for the next or emerging verticals. Aligned with our broader diversification goals, the pilot lithium-ion battery recycling unit in Mundra is advancing steadily and is expected to be operational in Q2 FY '26. Gravita remains firmly on track to meet its ESG targets for FY '27, in line with its long-term sustainability road map extended to FY '34 and FY '50.

Embedding ESG at the heart of its strategy, Gravita is cultivating responsible business practices, advancing innovation and reinforcing transparency to deliver sustained value and uplift to local communities.

Coming to the operational performance. Government tightening of BWMR and EPR frameworks has significantly boosted the availability of domestic scrap. On the volumes front, Gravita India Limited

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total volumes witnessed a growth of 12% in Q1 FY '26. On a year -on-year basis, EBITDA per ton improved significantly across all segments, INR21,790 in lead, INR17,140 in aluminum and INR10,213 in plastics. Coming to the consolidated financial results for the quarter, Gravita reported revenue of INR1,040 crores in Q1 FY '26, making a growth of 15% year -on-year. 47% of this was driven by value -added products, reaffirming progress toward our VISION 2029, targeting 50% contribution through value -added products. Adjusted EBITDA increased to INR111.70 crores, reflecting a growth of 22% year -on-year. The EBITDA margin remained strong at 10.74%. Profit after tax

tax, PAT, rose to INR93.26 crores, making a significant increase of 39% year -on-year. PAT margin stood firm at 8.97%.

In conclusion, Gravita is advancing steadily towards its VISION 2029, underpinned by a well -defined strategy to scale its core businesses and diversify into emerging sectors such as lithium -ion, rubber, steel and paper recycling. The company has set forward -looking goals, including achieving a volume CAGR of over 25%, profitability growth exceeding 35% and maintaining a return on invested capital above 25%.

It also aims to grow its non -lead segment to contribute over 30% of total revenue, derive more than 30% of its energy needs from renewable sources and reduce energy intensity by over 10%. With a legacy spanning over 3 decades, 13 environmentally responsible manufacturing units and a commercial footprint in more than 70 countries, Gravita is uniquely equipped to long -term value creation. Its growth is supported by a focused capex program, capacity ramp -up initiatives and adherence to evolving global compliance standards.

This trajectory is further propelled by the company's emphasis on operational efficiency, expansion into higher -margin value -added products, disciplined risk management, including hedging strategies, strong leadership and enduring stakeholder confidence.

So in conclusion, Gravita is advancing steadily towards its VISION 2029, underpinned by a well-defined strategy to scale its core businesses and diversify into emerging sectors such as lithium -ion, rubber and paper recycling. The company has set forward -looking goals, including achieving a volume CAGR of over 25% and profitability growth exceeding 35% and maintaining a return on invested capital above 25%.

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This trajectory is further propelled by the company's emphasis on operational efficiency, expansion into higher -margin value -added products, disciplined risk management, including hedging strategies, strong leadership and enduring shareholder confidence. That's all from my end.

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I would now request to open the floor for questions and answers. Thank you, and over to you, Mr. Moderator.

Moderator: Thank you. The first question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Congratulations for a good set of numbers. A couple of questions from my side. So if I look at the overall results, while revenue and volume growth has remained a little bit lower than the expectations, EBITDA growth has been quite good. So is it due to the -- our sourcing efficiencies continuing or we have got the semis from Africa and refine them and sold them in India to take advantage of the difference in the LME and MCX price? So just wanted to get a little bit more color on that.

Yogesh Malhotra: Yes, absolutely. So the reduction in volume also is partly because we have shifted some of the material from our African plants into India. And also the EBITDA is better because of our increased value -added product contributions, which has grown to around 47% last quarter. So both of these have contributed to increase the EBITDA margins for us.

Amit Dixit: So given the current EBITDA per ton that we have and it has increased quarter after quarter. So the current EBITDA that we see around INR21,000 -odd for lead, is it the sustainable margin that we can expect going ahead as

well?

Yogesh Malhotra: So, yes, around INR19 to INR20 per kg can be expected as a sustainable margin going forward also. So earlier, we were saying around INR18 to INR19, but now we see that there has been

some -- because the value-added content has also increased. And if we can keep that contribution coming, the overall EBITDA would increase to around INR19 to INR20 per kg.

Amit Dixit: Okay, sir. That's helpful. The second question is on aluminum. So is it possible to provide an update on the listing of aluminum alloy on MCX? Is the trading -- I mean, when we can expect it to be listed so that we can also hedge it?

Naveen Sharma: Yes. So aluminum on MCX is already on process, and it's expected to be done in this quarter. It's already been considered in the Board of MCX and all documentation work at their end are completed. So we're hopeful that they should open their first godown somewhere in the north. These are the data which we received from the MCX office.

Amit Dixit: Sir, assuming it is done in this quarter, so what kind of exit capacity utilization in aluminum we can expect by Q4?

Yogesh Malhotra: So currently, if you look at our overall capacity in aluminum in India, it's almost under 10%, 5%. So it's actually 5% currently because we are not even using that plant. So all the volume that is coming from -- for aluminum are coming from our overseas locations only. So we believe that once this MCX will start setting up hedging mechanism for ADC12, we will start procuring material. And then I think by Q4, you can expect around 20% to 30% utilization of the plant for India.

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And slowly, we will build it up depending on how much trading gets done on the exchanges going forward.

Moderator: The next question is from the line of Amit Lahoti from Emkay Global.

Amit Lahoti: My first question is on capacity utilization from existing operations. So we have seen that volumes have been flat for 3 quarters in a row. So are we not sweating our assets hard enough to get more volumes as we are just at 65% utilization?

Yogesh Malhotra: Sir, if you look at the lead capacity -- lead utilization, it's around 75% of the total, which is kind of optimal currently -- at optimal level currently. To increase capacity further, we will have to set up new capacities. And we are in line with increasing our capacities in India, specifically looking at additional raw material availability. So you will start getting some results from those capacities as we build it up from Q3 onwards.

Amit Lahoti: Okay. So when we target 25% growth for next year in terms of volumes, so how much volumes are going to come from expansion projects and how much from existing capacity ramp-up, if you could break it down?

Yogesh Malhotra: So if you look at the current scenario, around 15% to 18% could come from existing capacities only. This was 12%, as I mentioned earlier, was only because we have shifted some of the material from our overseas plants into Indian plants. So -- but if you look at the production capacity, the growth would be around 15% to 16% in the first quarter. So we expect a 15% to 16% growth from the existing verticals only. And then maybe the additional 10% would come from the additional capacity that we are going to set up.

Amit Lahoti: Okay. And then my second question is on aluminum. So globally, there is a tight scrap supply, and there is also a growing call in Europe to implement export controls and tariffs on scrap because they don't really want to export their scrap outside of Europe. And on the demand side, Chinese have put up new capacities in aluminum recycling. So in that kind of market structure, how do we differentiate in terms of scrap sourcing capabilities and margin sustainability for aluminum?

Naveen Sharma: So to cover that, we are already focusing more on Africa, where we have control on the scrap supply. And as we mentioned that the Indian capacity as of now, we have kept on hibernate until we have some hedging mechanism comes in. And to ensure profitability from Africa, we are the one who got BIS approval because there's a mandate of QCO since November 2024. So our African plant got BIS approvals and we are able to feed Indian market from our African facilities. So we have focused there to cover all these.

So due to this, our EBITDA margins have also gone up from INR14 to INR15 kg to INR17 kg because there was a shortage of raw material from Europe market, and we are able to get better margins from our African supplies of alloy to India market. And being first mover in taking BIS for our African plant, we are the few suppliers who are able to bring material in India.

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Amit Lahoti: Okay. So Africa gets scrap from Europe. And if there is any kind of export control in Europe where they are not able to export scrap to Africa, then would it not be difficult to procure scrap in African operations as well?

Naveen Sharma: No. Africa is dependent only within African scrap. So we have a few countries together, and we bring scrap to one location because we operate 5 plants in Africa, and there are more than 52 countries in Africa. So 5, 7 countries has a boundary shared with that location. And we are not importing anything over there. It's domestic scrap within the African continent.

Yogesh Malhotra: And there also, we are planning to both increase the capacities also in the existing plants and going forward, setting up new plants in geographies where we are not present.

Moderator: The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: So sir, most of the questions were already answered, and I have left with 4. So first of all, you have highlighted the target of 7 million ton per annum capacity by FY '28. So could you please update on the current execution or status of FY '26 plain capacity addition and how much of the incremental capacity expected to come online this year?

Yogesh Malhotra: So we are expecting a capacity increase of around 100,000 metric ton this year, which is in line with our plans to take it to around 700,000 by FY '28. So some of this will start coming up in Q3 also and some will be in Q4.

Rehan Saiyyed: Okay. Okay. And just my second question was just one clarification regarding your presentation mentioned increased share of value-added products around 47% Y-o-Y growth. So could you share with verticals like growth comes from the aluminum side or from lead, plastic or rubber?

Yogesh Malhotra: So this is a consolidated value-added content from all our existing verticals. It's not only limited to lead. It is coming from all the verticals. Plastic also, tire also, but because the volume of these tire and plastic is very less, the lead would be around 45% plus.

Rehan Saiyyed: Okay. Okay. And sir, last question on the export side, like on the internal operations front, partly Africa and Dominican Republic, how are currency fluctuations impacting profitability? And what hedging mechanisms are you placed beyond the back-to-back hedging of metals if you just clarify regarding this?

Yogesh Malhotra: Can you repeat the question again? The first part I could not get.

Rehan Saiyyed: Sure, sir. I'm asking about the hedging part like on the international operations front, particularly Africa and Dominican Republic, how are currency fluctuations impacting profitability? And what hedging mechanism are you placed beyond the back-to-back hedging of metals?

Yogesh Malhotra: So currency fluctuation does not impact us because our operations are in Africa, but we are not selling anything locally there. So all our sales and all the purchase is in local currency, but the calculation of the prices of raw material is based on USD only. And whatever we

are procuring,

we are selling it in USD only. So there is no impact of currency fluctuation in all our overseas operations. As far as fluctuation in metal prices is concerned, we are 100% hedged in that.

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So whatever we buy on any particular day, we hedge it, either we sell it directly to the customer, price it to the customer or we hedge it on a metal exchange. So we don't take any -- I mean, risk in terms of changes in prices of metal also. So we are 100% hedged -- our global operations are 100% hedged. Thankfully not in aluminum product, but in lead. In aluminum, we are looking at MCX to start having a contract for ADC12 to start hedging aluminum part also.

Rehan Saiyyed: Okay. That I understand. And like last bookkeeping question, what is your capex bound that you have spent in this quarter? And what was the capex plan for FY '26 full year?

Yogesh Malhotra: For the quarter-to-quarter, it would be very difficult to tell you, but we are in line to add around 100,000 metric ton capacity this year. That is in line. I mean, so the overall capacity would go up to 460,000 tons by the end of this year, roundabout. And by FY '28, it will be around 700,000 tons.

Moderator: The next question is from the line of Ankit Babel from Subhkam Ventures.

Ankit Babel: Sir, a couple of questions. One was that this quarter, the volume growth was 12%, which is way below your 25% volume growth guidance. So, I mean, what kind of growth you are looking at for the full year, considering the first quarter performance in terms of volume growth?

Yogesh Malhotra: I think year-on-year, we are expecting a -- I mean, so as I mentioned that the growth is not going to be linear. So the 25% growth rate that we are targeting is for a period of 3 years because capex, as I mentioned earlier, also will not take place every quarter. So it will take some time for us to set up new capacities.

So the growth will not be very linear. But you can expect somewhere in the line of 25% only year-on-year also. So in some cases, it will be 22%, 23%. In the other year, it would be around 27%, 28%, but it will be 25% in the next 3 years linear growth.

Ankit Babel: This year also, at least you expect 20%, 22% growth.

Yogesh Malhotra: Absolutely, it will be in line. So as I mentioned earlier also, some of the capexes that we are doing will start giving us results from Q3 onwards. So the overall volume increase, part of it is going to happen from the existing capacity, which will be in the line of 15% to 16% and the balance 7% to 8% would come from new capacities that will be increased in the next 2 quarters.

Ankit Babel: Okay. So will it be possible to give you some volume guidance on your products, mainly the lead and the aluminum and plastic, what volumes you are targeting this year?

Yogesh Malhotra: See, we are more concerned about the profitability part, and that is why whenever there is a chance we bring some of the material from our overseas plant into India. So you will not see that impact on the volume front, but you will see it on the profitability front. If you see even this year, the volume growth is only 12%, but the EBITDA growth is around 22% year-on-year. So that is because we have sacrificed some of the volume to have higher profitability. So that will keep on happening.

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So on volume camps, you may see that sometimes it will be 25% plus, but there would be times when you will not see 25% growth in volume. So that is not the right criteria to focus only on volumes. You will also have to look at the EBITDA margins or the profitability also.

Ankit Babel: Okay. So the improvement in your lead EBITDA is...

Yogesh Malhotra: Because the production volume growth will not always reflect on the sales volume growth because sometimes we bring that material into India and then

it does not get reflected in the overall volume growth.

Ankit Babel: Okay. And your EBITDA per ton on the aluminum was lower both on Y-o-Y and Q-o-Q basis.

So what was the reason for that? And where do you expect this to stabilize?

Yogesh Malhotra: So on a yearly basis, we have always said that there are times when there is some arbitrage opportunities or some other price fluctuations that makes it difficult to ascertain EBITDA per ton on a regular basis. But on a sustainable basis, around INR14 to INR15 EBITDA margins are our guidance for future. And even this quarter also, we have done more than that. It's around INR17 per kg. Because in aluminum, currently, there is no mechanism for hedging.

So there are times when we don't get the margins, it does not get reflected in the P&L. So if you look at last financial year, it was higher, but financial year prior to that, it was lower than -- I mean, it was around INR12 only, INR12 per kg. So this is all because there is a variability in the prices of aluminum, which gets reflected in the profit and loss. But if you talk about on a sustainable basis, around INR14 to INR15 per kg is a sustainable margin in aluminum.

Ankit Babel: Sir, but how change in aluminum prices impact your EBITDA because you hedge your...

Yogesh Malhotra: So we are not hedging aluminum, as I mentioned. We are only hedging currently lead. Aluminum is not hedged.

Ankit Babel: Okay. And sir, coming back to the volume guidance, if you can give for this year, lead, aluminum and plastic?

Yogesh Malhotra: I mentioned that, I mean, volume guidance in terms of productivity, around 15% to 16% would come from existing businesses. And as and when we put up capacities, there would be around 7% to 8% increase from that additional capacity that we are expecting in this year. So it will be in the range of around 22% to 28%.

Moderator: The next question is from the line of Sagar Shah from Spark PWM.

Sagar Shah: First of all, congratulations for a healthy set of numbers. I had some few questions. My first question was related to your drivers behind the increase in the lead margin. This quarter, we had -- we saw our lead margins actually increasing. I'm talking on the EBIT level.

So I think we have reached 12.5% as compared to the -- even quarter-on-quarter, we have a jump of around 150 bps. So what are the drivers of the lead margin? Is it because of the increase in lead prices because -- or is it something else or operating leverage? What is it exactly?

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Yogesh Malhotra: First of all, the lead prices have gone down in last quarter, and it has been going down regularly for the last 3 to 4 quarters. So it has not impacted the additional margin. What has happened is, if you look at our margin profile for the last 3 years, you can see a regular -- there is another voice coming.

Moderator: Sorry to interrupt sir, there's a background noise from Mr. Sagar.

Sagar Shah: Yes, sir.

Yogesh Malhotra: Yes. So if you look at the overall margins in lead, you can see a steady increase in some of the margins over the years. And part of it is because of economies of scale as we have grown the business, the overall overhead remains almost same. So that has contributed to some extent to increase the margins overall.

And the value-added content has also gone up. In the last quarter, the total value-added products that we have sold is around 47%. So that also contributed to increase in margins over the years.

And then market arbitrage also plays a role because we have global operations. So sometimes when the Indian market prices are higher or the global market prices are higher, we take advantage of that.

And that also contributes to the increase in overall margins for us. On a sustainable basis, our guidance is that, we can get around INR19 to INR20 per kg of EBITDA margins on a sustainable basis.

asis.

Sagar Shah: Okay. Fine, sir. My second question was related to our plastics segment. The plastics segment, our margin has -- in this quarter has come down actually. So going ahead, what's your view on this segment, sir, basically because we saw a huge drop in the plastic margins, as well as I wanted some few aspects on the rubber segment?

We haven't incurred -- we haven't actually got any revenue from the rubber segment, although you have guided that going ahead, you'll be selling some other products, wireless soil and some other products from the rubber segment outside of our -- to the industry. So what are the updates on that segment as well as on plastic?

Yogesh Malhotra: So in the plastic segment, the EBITDA per ton is similar. It's the same. It's INR10 per kg, which is a steady margin. The only thing is that, the volumes have not gone up as much as we wanted it because it's a long -- developing plastic products is going to take some time, but it's under developmental phase right now. And we expect that by the end of this year, you can see some growth in plastic volumes because currently, some of the developments have started taking place already.

As far as rubber is concerned, the Romania plant where we have bought it, we're getting a EBITDA ton of around INR7 to INR8 per kg, but it's in the stabilizing phase right now.

Hopefully, by Q3 or Q4, we'll be able to -- you will be able to start getting some results from that plant also. In addition to that, we are also putting up a plant of rubber recycling in India, which -- within this year itself. So then you will start getting some results of that also coming either in Q4 this year or maybe Q1 next year.

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Sagar Shah: Okay. So since the EBITDA per ton is quite stable, so is it fair to assume that the plastic realization was lower and that led to the drop in the EBIT margins?

Yogesh Malhotra: Sorry? Yes, yes. So the volumes were lower.

Sagar Shah: Okay. Fine. My last question was related to the capex. Can you highlight that what kind of capex is going to get incurred in FY '26 by segment, how much are you planning in lead, rubber, copper and aluminum?

Yogesh Malhotra: So in current year, we are planning to put up -- I mean, to increase the capacity to 100,000 metric ton per annum. Another -- so this will be mostly in India because we see a lot of scrap availability in India. So we have kind of increased the pace of setting up plants in India. So maybe that mostly the capacity expansion will take place, followed by rubber and lithium-ion. So these are the 3 segments we are targeting in current fiscal year. And the total capacity that we are targeting is around 100,000 metric ton.

Sagar Shah: So can you highlight the amount, sir, the amount to be incurred in each segment...

Moderator: Sorry to interrupt, sir. Sir, do you have any follow-up question you can re-join the queue? There are several participants waiting in the queue.

Sagar Shah: Yes, but that was the last question, actually, which sir was going to answer.

Moderator: Sir, but there are several participants waiting for their questions. The next question is from the line of Sani Vishe from Axis Securities.

Sani Vishe: Congratulations on another set of good results. So my first question is a kind of follow-up on the earlier discussion. So we said our volume growth was partially lower because of value-added product addition. So is my understanding correct that if you have some additional value-added products, the end volume is lower than the initial volume. Is that correct?

Yogesh Malhotra: No, sir, actually, what we mentioned was that our volume growth was lower because we shifted some of the material from our African plants to our Indian plants.

Sani Vishe: Right. But then the volume should in the end increase, right, in terms of value-added products, somewhere it

should reflect?

Yogesh Malhotra: No, no, sir, what we do is --. Sorry?

Sani Vishe: The volume should somewhere reflect, right, even if it is shifted from Africa to India?

Yogesh Malhotra: So what happens is that, because the Indian market is higher, generally, we do partially some process in Africa and shift it to India for the balance processing. So because of this, you can only count it. So there is a process -- either we can sell it overseas or we can bring it to India and then do some processes in India. It's not entirely a value-added product that we make. We make

normal products also, but some of the processes we shift to India only. And that is why it does not get -- it gets eliminated when you do the consolidation.

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Sani Vishe: So sir, that is what I'm asking. If it is not reflected in Africa, it will reflect in India volumes, right? Somewhere it will reflect?

Yogesh Malhotra: But India volume, it reflects, but India volume is already at optimal capacity utilization. So that is why it does not -- so it cannot you cannot count it -- so the point is that, we can sell it overseas directly to value-added product there and -- sorry, do all the processing in those units there and ship it overseas or we bring it to India, process it in India and then sell it to Indian customers. So it gets eliminated. The overseas overall volume gets eliminated and it shows only in the India volume.

Sani Vishe: Okay. And that leads to better EBITDA per ton?

Yogesh Malhotra: Overall, yes.

Sani Vishe: Yes. So sir, but we have been always guiding EBITDA per ton around INR19 per kg. But it seems we keep adding value-added products, it can easily sustain above INR20 like it has happened in this quarter. Is that correct?

Yogesh Malhotra: Yes, definitely. But what happens is that, over the years, our overall Indian scrap availability is also increasing, which does not give you as much margin as the imported material does. So what we expect is that, it will remain on the same vicinity because the Indian volume will increase. But at the same time, the value addition will also go up. So it will remain in the same band of around INR19 to INR20 per kg.

Sani Vishe: Okay. Fine. And one small question. So our other income, which includes, I think, the hedging gain, hedging income. So that hedging income, I think, would be around INR11 crores this quarter. That's a rough calculation. So if you exclude, there is still around INR19 crores of other income that is left and which was a similar amount last quarter also. So this remains higher compared to earlier -- all earlier quarters. So can you just throw some light on it? And can we expect it to be around this level going forward?

Sunil Kansal: Yes. So basically, this INR19 crores belongs to our treasury income, the money which is kept ready for future capex and the working capital. So till the time we spend this money to -- for expansion of our existing business and upcoming business. So then after which this treasury income will not be there, but there will be some operational income. So gradually, we are utilizing this liquidity for expansion of the business. Till the time we are getting this treasury income, which is close to INR19 crores in this quarter.

Sani Vishe: Okay. So that's why it increased after the QIP, understood, sir.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Sir, my first question is on capex. So if you see last 2, 3 years, we've been targeting around INR200 crores annual capex, but '24, '25, both we've spent around INR100 crores only. So one is, just want to understand what has been the reason? Is it -- I mean, some visibility on growth which we are looking at or some other constraint, which has led to lower capex? And then on this year and next year, we have a very significant jump in capex being planned.

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So how confident are we of putting the capacities on time? And if we put such significant capacity, I mean, what is the scrap availability situation we are looking at? Are we confident of running the plants at decent utilization?

Sunil Kansal: Yes. So basically, capacity expansion, whatever we planned for this year and for upcoming years, it is 100% on -- we are 100% confident of execution of that capacity expansion plan. So we -- as already mentioned that this year, we are going to increase approximately 100,000 tons of capacity addition as the plan from current capacity around 340,000 tons to approximately 440,000 tons. So that's the 100% online. And in future also, we are going to stick on the plan of taking it to 700,000 tons by FY '28.

Sumangal Nevatia: And sir, any reason why last 2 years, we have spent only INR100-odd crores. Was it a capital constraint or some other issues?

Yogesh Malhotra: So frankly speaking, part of it was because most of that was going to take place in some newer -- I mean, diversification, newer verticals. And we couldn't go and do it because -- and I mean, lithium-ion, we started doing it now. But in paper and steel, which were major -- going to be a major contributor to this capex, we have put them in back burner because right now, in the existing verticals, we are seeing growth rates.

So we are going ahead and putting up capacities in lead, rubber, lithium-ion and to some extent, aluminum recycling. And maybe the steel and paper and other verticals will take place in the later part of the 3-year period.

So earlier, we were focusing on these things, and it was taking more than because we had to understand the technologies also. So that is why we could not do those capexes. But because now these capex that we are targeting now in the next 2 years are going to be in the existing verticals majorly. And looking at the scrap availability in India, most of this is going to take place in India. So we are fairly confident that those expansions will take place now.

Sumangal Nevatia: Understood. Sir, my second question is with respect to M&A opportunities. Now we have a very comfortable balance sheet. So one is, which areas are of interest to us? And are there any sizable opportunities available in those areas which we are in the process of evaluating?

Yogesh Malhotra: So we are looking at opportunities in geographies like Eastern Europe, Middle East, Asia Pacific for the existing verticals. These are the areas we are looking at for opportunities for merger and acquisitions. We have set up a new division, which is looking at only at opportunities for merger and acquisition. So we are fairly confident that we'll do some acquisition in the next maybe 1 year, 1.5 years, major acquisition.

Sumangal Nevatia: Understood. And this will be new commodities or existing commodities?

Yogesh Malhotra: So mostly existing commodities only. New commodities, we would like -- in new commodities, we would want to set up our own plant first to understand the technology better rather than going and acquiring a new plant anywhere else.

Sumangal Nevatia: Understood. And just one last question on BWMR...

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Moderator: Sorry, to interrupt. Sir, I request Mr. Sumangal to re-join the queue for the follow-up question.

Sumangal Nevatia: Okay. No problem.

Moderator: The next question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Sir, I see that in our future growth, the next highest growing segment is rubber. So just wanted to understand what kind of the revenue and margin contribution we can expect from this segment?

Yogesh Malhotra: So the margin contributor, I think we've already mentioned that we are expecting around INR7 to INR8 per kg EBITDA margins from rubber. But

it will change from geography to geography

depending on what is the prices of the end product in that particular geography. So it will be really changed. And we are planning a revenue of around INR300 crores to INR400 crores by FY '27, '28.

Vikash Singh: Understood, sir. Sir, second question pertains to our sourcing basically. So given our capacities are increasing across segments, is the sourcing -- entire sourcing would be available, especially for the lead will be in India or because you just said that you are bringing some material from Africa. So are we facing some problem with the sourcing and enough material is not available in that system?

Yogesh Malhotra: No. So we are focusing both Indian sourcing also and overseas sourcing also. The only thing is that, earlier Indian scrap was not available to us. But now we have started getting Indian scrap also, and that is why we are increasing the total capacities in India much faster because now we have both overseas scrap also available to us and the Indian scrap also available to us because of EPR regulations.

Vikash Singh: Understood. And just a second part of the question that, are we facing near-term sourcing challenges because we are importing some material from Africa and foregoing phase there?

Yogesh Malhotra: No, no, we are not facing any sourcing problem. The only thing is that, imported material gives you better margins. So that is why we'll keep importing material as far as possible, but we will keep increasing the capacities as and when more Indian scrap will get available. The sourcing is not going to be a problem for -- at least for the next 2 to 3 years.

Moderator: The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities.

Ashish Kejriwal: Sir, quickly, one, is it possible for you to guide the effective tax rate for the year? Because tax rate has been increasing quarter-on-quarter.

Sunil Kansal: Yes. So basically, the effective tax rate for the operational part is approximately 13% to 14%. But since on a temporary basis, we have some treasury income also. So till the time we use this money, treasury money for the expansion of the business, which is planned, we are going to have this treasury income, which is attracting a full tax. So instead of some locations where we have the tax exemptions, so this treasury income is going to affect the tax rate.

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So currently, with this treasury income, we are expecting a tax rate -- effective tax rate of approximately 15% to 16%. But currently, it is slightly higher because of some jurisdiction in Africa, we got some -- the tax exemption got expired, but we have another option to spend -- do some capex and expand this tax rebate in that geography.

So we are doing that. And hopefully, we will get the tax rate -- effective tax rate that's seen at 15% to 16% at this moment with the treasury income. When the treasury income is not there, it is used in the business, the effective tax rate will come back again to 13% to 14%. But for this year, you can assume it to be near by 15% to 16%.

Ashish Kejriwal: That's great, sir. And secondly, in terms of capacity expansion, we understand that, obviously, you are going to expand capacity by around 100,000 tons in FY '26 and the work is also going on the ground. So -- but I don't know whether we have started work on FY '27 numbers also where we are expanding capacity.

So my question is, one, this 100,000 tons, is it possible to break into different segments? And what about FY '27? Have we started the work over there? And thirdly, on capex, how much we have already spent in first quarter because our overall capex guidance is around INR375 crores for this year?

Yogesh Malhotra: So in terms of verticals, I think it will be very difficult to shine the capacity increase in different verticals. But majority, I can tell you

, is going to be in lead, followed by rubber and lithium-ion

recycling in this year. And there would be some increase in capex in aluminum also. But we have also started work on FY '27. And we have plans to set up a plant in East India also.

That is also part of the process. And then some of the capacities that are going to come in FY '27 is overseas Dominican Republic expansion that we have plan -- new greenfield project in Dominican Republic that we are planning. So that is also -- we are expecting a license by Q4 this year for that capacity also. So we are in line with setting up capacity expansion for FY '27 also.

Ashish Kejriwal: And sir, capex in first quarter, how much we have spent?

Yogesh Malhotra: We spent around INR60 crores in capex in the first quarter.

Moderator: The next question is from the line of Alisha Mahawla from TRUST Mutual Fund.

Alisha Mahawla: Sir, is it possible to say how much is the lead capacity going to increase by after this capacity expansion that you're talking about? And when in Q3, is it expected towards the end of Q3?

Yogesh Malhotra: Yes. So some of the capacity would be happening in Q3 and part of it would happen in Q4 also. So roundabout around 50,000 to 60,000 tons of capacity increase you can expect in this year in lead.

Alisha Mahawla: And what kind of -- and is it possible to quantify in FY '27 how much will our capacity expand by, like in '26 we are targeting 100,000 tons? How much is it in '27?

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Yogesh Malhotra: Sorry? I didn't get...

Alisha Mahawla: I wanted to understand the capacity expansion that we're targeting for FY '27? In '26 I think we're adding 100,000 tons, how much would we be adding in FY '27?

Yogesh Malhotra: So, in FY '27 it would be around 125,000 to 150,000 tons. Overall, total capacity increase.

Alisha Mahawla: Understood. And considering that most of our capacity is coming towards the back end of the year, would it be possible for us to achieve 20% plus kind of volume growth...

Moderator: Sorry to interrupt.

Yogesh Malhotra: Ma'am, your voice is not very clear.

Moderator: Yes, sir. There's a background noise from Mr. Alisha's line.

Alisha Mahawla: Sir, just wanted to understand since most of our capacity is coming in H2 of the year. Will it still be possible for us to do the 20% plus kind of volume growth in this year?

Yogesh Malhotra: Yes. But as I mentioned earlier that it may not reflect in the actual numbers because sometimes we bring some of the material from our overseas plants into India. So in the end, you'll have to look at the EBITDA numbers and that will reflect around 20% plus growth in any case in FY '26. So the total production growth would be around upwards of 20%, but whether it reflects in the revenue numbers or not, we'll see. But yes, the capacity will definitely impact the numbers this year.

Moderator: The next question is from the line of Shweta Dikshit from Systematix Group.

Shweta Dikshit: Sir, just I missed the capex number for this year and how much was it in first quarter?

Yogesh Malhotra: So the overall capex number in this year, I can't accurately tell you, but we've spent around INR60 crores already this year. The plan is to spend upwards of INR350 crores this year and add additional capacity of 100,000 tons. So we are in line with adding that 100,000 metric ton capacity this year. It will be done in this year. We are very confident of doing that.

Shweta Dikshit: Okay. And sir, 2 other questions. Firstly, on the rubber side, as you said that your plant in

Romania is currently making INR7 to INR8 per kg and it is ramping up or stabilizing as well. Similar thing is expected when the India plant comes on stream. So even after operational efficiencies are achieved and the capacity ramps up, are we still looking at INR7 to INR8 per kg of EBITDA per ton in rubber or can we expect this number

to be higher? That's on the first side.

And second --. Yes, please continue.

Yogesh Malhotra: So yes, the EBITDA number would be in the same -- sorry, please continue. Ask me the second question also.

Shweta Dikshit: Yes. And the second question is on lithium-ion, while it is expected to be a part of -- major like following lead and rubber, this is going to be the third largest capex drawer for the year. But since this is just a pilot project, any light that you can throw on the financial side, whether it is

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expected to contribute to profitability as well? Or is this just something that's going to be a capex allocation, but not yet to contribute to profitability since it's a pilot project?

Yogesh Malhotra: Yes, absolutely. So lithium-ion project, we don't see that it is going to contribute at least this year because there are a lot of variables that will affect this lithium-ion project. It's partially a plan for the future because we believe that actual scrap will start coming around 2 to 3 years from now. So we just want to be future-ready as far as lithium-ion battery recycling is concerned. And technology also, we need to work on to finally streamline technology for lithium-ion battery recycling as well.

So it will not contribute actually. If it contributes, that will be additional to what we have said so far. As far as rubber is concerned, the margins are going to be around INR7 to INR8 per kg. The only thing is that, when the actual -- when we streamlined the operations in Romania and in India, the volumes will keep on increasing. And that is when it will start adding to the bottom line.

Shweta Dikshit: Understood. Sir, again, a follow-up on the volume side. I understand that you expect a major chunk of volume growth this year from your existing operations and around somewhere between 7% to 10% from the new expansions have come on stream, but that's happening at Q3, Q4. But when we look at Y-on-Y growth in FY '27, since we will already be at the peak utilization level of our existing capacity, how do we see growth panning out in FY '27 when we achieve the maximum operational -- optimum utilization of existing capacity?

Yogesh Malhotra: As I mentioned, some of the capacity increase will start giving results in Q2 also and some will -- but major part of that will come in Q3 and some part will come in Q4 also. So overall, from Q2 onwards, you will start seeing some improvement in the overall volume growth. So overall, 6% to 7% when we say it takes into account that the capacities will start coming from Q3 onwards.

Because if you look at the total capacity increase, it's around 100,000 tons. So that is around 30% increase in capacity -- new capacities. So even if you start getting it partially, they will start giving you some impact of the total 7% to 8% for the entire year.

Shweta Dikshit: And in FY '27, this entire 1 lakh should operate at optimum utilization?

Yogesh Malhotra: Yes.

Moderator: Thank you. Ladies and gentlemen, this was the last question. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Yogesh Malhotra: Thank you, everyone, for participating in this call. We trust that we have addressed all your queries during the session. However, if there are any remaining questions, please feel free to reach out to our Investor Relations team.

Once again, we extend our gratitude to all the participants for joining us today. Thank you, and have a great day.

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Moderator: Thank you. On behalf of Gravita India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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03rd November , 2025

GIL/202 5-26/122

To,

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2025

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30th, 2025 conducted on 31st October , 202 5 for your information and records.

The above information is also available on the website of Company:

[https://www.gravitaindia.com/investors/financial -details](https://www.gravitaindia.com/investors/financial-details)

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

FCS: 9984

Encl: As above

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MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GRAVITA INDIA
LIMITED

MR. SUNIL KANSAL –WHOLE TIME DIRECTOR &
CHIEF FINANCIAL OFFICER –GRAVITA INDIA LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Gravita India Limited Q2 and H1 FY '26 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited.

Thank you, and over to you, sir.

Manish Mahawar : Thank you, moderator. On behalf of Antique Stock Broking, I would like to welcome all the participants on the 2Q FY 26 earnings call of Gravita India. We have with us leadership team represented by Mr. Yogesh Malhotra, Whole -Time Director and CEO; Mr. Sunil Kansal, Whole -Time Director and CFO, on the call. Without any delay, I would like to hand over the call to Mr. Malhotra for opening remarks, post which we will open the floor for Q&A. Thank you, and over to you, Mr. Malhotra .

Yogesh Malhotra : Thank you, Mr. Manish. Good morning, everyone and welcome to our Q2 and H1 FY '26 Earnings Call. I hope you've had an opportunity to review the earnings presentation and financial results uploaded on the stock exchanges.

I'm pleased to share that Gravita delivered a steady performance in H1 FY 26, reflecting consistent strength across operational and financial parameters in all major business verticals. Supported by a net debt -free balance sheet, the company remains well -positioned for continued growth and long -term value creation.

Prior to discussing the results, I will provide a brief overview of the strategic highlights and project updates. The company's expansion program is progressing as planned with current installed capacity rising to 3.40 lakh metric tons per annum. Gravita aims to more than double this to over 7 lakh metric ton per annum by FY '28, reflecting its commitment to scalable, sustainable growth.

The capex budget has been realigned to approximately INR1,225 crores by FY '28, considering current business opportunities, strategic initiatives in existing verticals and expansion into new recycling domains such as lithium ion, paper and steel. Of this, around INR850 crores will be deployed towards strengthening existing verticals, while the remaining capital will support diversification initiatives.

During H1 FY '26, a capex of about INR105 crores has been incurred and an additional investment of around INR100 crores is expected in H2 towards capacity expansion. As part of our commitment to diversification, the pilot lithium and battery recycling unit at Mundra is scheduled to become operational in Q3 FY '26.

Phase 1 of Mundra capacity -- lead capacity expansion of 30,000 metric tons per annum is expected to be commissioned by November 2025, while Phase 2 adding another 50,000 metric ton per annum is targeted for completion by Jan 2026.

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Phagi lead recycling capacity enhancement of 45,000 metric tons per annum is underway and is expected to be completed by December 2026. Mundra project for rubber is expected to be commissioned by Q4 FY '26 with revenue contribution anticipated from FY '27, supported by stabilization of the Romania facility.

To give an update on aluminum hedging mechanism, aluminum trading on MCX is yet to commence, but it is likely to begin anytime soon. The proposal has been approved by the MCX Board and all necessary documentation has been completed. Gravita continues to make steady progress towards achieving its FY '27 ESG milestones, aligned with its broader sustainability road map extending to FY '34 and FY '50.

The company's approach places ESG at the

center of its operations, promoting responsible practices, innovation-led efficiency and transparent engagement to generate enduring value for stakeholders and communities.

Coming to the operational performance, with the government tightening BWMR and EPR framework, greater accountability has been introduced across producers, recyclers and collection agencies. This has streamlined waste collection channels, reduced leakages to the unorganized sector and improved traceability, collectively driving an increase in domestic scrap availability. On the volumes front, total volumes witnessed a growth of 4% year-on-year in Q2 FY '26. On a year-on-year basis, quarterly EBITDA per ton stood at INR23,196 in lead, INR14,786 in aluminum and INR10,122 in plastics.

Coming to consolidated financial results for the half year, Gravita reported revenue of INR2,75.44 crores in H1 FY '26, marking a growth of 13% year-on-year. 47% of this was driven by value-added products, reaffirming progress toward our Vision 2029 target of 50% contribution. Adjusted EBITDA increased to INR223.51 crores, reflecting a growth of 16% year-on-year.

The EBITDA margin remained strong at 10.77%. Profit after tax rose to INR189.25 crores, marking a significant increase of 36% year-on-year. PAT margin stood firm at 9.12%

Throwing some light on the consolidated financial results for the quarter, Gravita reported consolidated revenue of INR1,035.50 crores in Q2 FY '23, registering growth of 12% year-on-year.

Adjusted EBITDA rose to INR111.81 crores, up 10% year-on-year with margins stable at 10.80% on the back of operational efficiencies and a favorable product mix. Profit after tax stood at INR95.9 crores, increasing by 33% year-on-year with PAT margin maintained at 9.27%, underscoring strong profitability.

Gravita is advancing confidently towards its Vision 2029, guided by a structured road map focused on scaling core businesses and expanding into emerging sectors such as lithium ion, rubber, steel and paper recycling. The company is targeting a volume CAGR of over 25%, profitability growth above 35% and maintaining our ROIC of over 25% alongside ambitious

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targets to increase the non-lead segment share to 30% of total revenue, meet 30% of the energy needs through renewables and reduce energy intensity by more than 10%.

With a legacy of over three decades, 13 environmentally responsible state-of-the-art facilities and a commercial presence across 70-plus countries, Gravita is well positioned for sustainable and long-term value creation. Its growth momentum is supported by a focused capex program, capacity expansion and strong compliance with global standards.

This trajectory is further reinforced by the company's emphasis on operational efficiency, value-added product expansion, disciplined risk management and strong leadership, fostering continued stakeholder trust and confidence. That's all from my end. I would now request to open the floor for questions and answers. Thank you, and over to you, moderator.

Moderator: Thank you very much, sir. We will now begin the question and answer session. We have first question from Mr. Amit Lahoti from Emkay.

Amit Lahoti: Two questions from my side. First on margins. We have consistently delivered higher lead margin compared to our INR19 to INR20 guidance per kg. At what point do we actually upgrade the sustainable guidance range? Is this increase in margin coming from India business or Africa?

Yogesh Malhotra: I mean, yes, over the past few quarters, if you see the margins have increased. Part of that is because of improvement in efficiency, increase in value-added content which we are currently having around 46%, and we wish to take it to around 50% in future. We are -- to around INR19 to INR20 now. Earlier, it was around INR18 to INR19, so we now foresee that on a sustainable

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sis, we would be able to achieve around INR19 to INR20 in lead.

Sunil Kansal : This INR23 when it comes, so definitely, it comes with the compromise on the volumes, so which slightly -- when the Indian markets are better, so we sell overseas material to Indian markets, which presses us better prices sometimes. This is the arbitrage we got in this quarter compromises something on the volumes and better on the margins.

Amit Lahoti : Then second question on capacity commissioning time line. How close are we in commissioning lead capacity in Mundra and Phagi facilities. As from our last interaction, it was supposed to come sometime in the month of November, so are we there yet or is it going to take some more time?

Yogesh Malhotra : The Mundra capacity of 30,000 metric tons would be done within November itself and another 50,000 tons would be done by Jan '26, whereas the Phagi lead capacity also would probably be completed by December -- mid-December.

Amit Lahoti : Then how long it will take to ramp up?

Yogesh Malhotra : Immediately, I mean, because these are Brownfield projects, so we can start taking advantage of these capacities. So we have already started building up the inventories in anticipation of this upcoming capacities and as soon as we have the capacities live, we can start the production and ramp up the capacities immediately.

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Amit Lahoti: Okay. Thank you so much.

Moderator: Thank you. We have next question from Shivam Dave from MIV Investments.

Shivam Dave : I just wanted some clarification on the capex that was guided for FY '26. I think we were supposed to do around INR370 crores, but I think the PPT suggests that we should move to around INR200 crores. The next 2 years remain unchanged, but is there any rationale as to why your INR1,500 crores capex come down to INR1,200 crores?

Yogesh Malhotra : What earlier we planned is that we will be expanding the capacities in the form of Greenfield expansions, but later on, we realize that we should have it at the same location, like we are expanding the capacity at our existing facilities in Mundra and another facility in Phagi, so where we -- the capex is significantly lower as compared to what we do in Greenfield projects.

That is the reason with the same capacity, we are coming up -- same capacity is coming up with a lower capex. That is the reason overall also, we have saved on significantly on the capex with an overall capacity of around 700,000 tons in next 3 years with a reduced capex of around INR300 crores.

Shivam Dave : That answers that your 4.6 lakh tons of capacity for FY '26, and that's largely unchanged for the next 2 years also like in terms of current capex?

Yogesh Malhotra : Yes.

Shivam Dave : Should Mundra be the only Greenfield that is coming up as of now that is scheduled? Most of it then could be Brownfield?

Yogesh Malhotra : We are awaiting some approvals in Dominican Republic, which probably we are expecting to come in this quarter itself and -- sorry, Q4 of this year. Then we will start building up the capacities there in Dominican Republic. Apart from that, we are also exploring a project in East for lead, aluminum and plastic recycling in India. Next year onwards, we will look into steel and paper recycling that is going to be Greenfield projects again.

Shivam Dave : The second thing was on the hedging mechanism for aluminum. I understand it is something that it's taking some more time. Practically, when do you expect this should actually on to -- when we see that mechanism coming in place?

Yogesh Malhotra : We were expecting it to come probably last quarter itself, but it did not happen that way.

Whenever we talk to the MCX, so they said that they would do it any time. Unfortunately, it is taking longer than expected, so we can't comment right now, but we are expecting it any time - - because all the approvals

are in place now the only thing they have to do is to just start the contract. We are expecting -- every quarter, we expect that this will be the quarter that it will come. We are also waiting.

Shivam Dave : As of FY '27 end, what should be your lead capacity that we expect?

Yogesh Malhotra : FY '27 should be close to around -- for the lead, it should be around 400,000 tons.

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Moderator: We have next question from Mr. Amit Dixit from Goldman Sachs.

Amit Dixit : Congratulations for a good performance. A couple of questions from my side. The first one is essentially the 700,000 capacity, what would be the breakup of this capacity between lead, aluminum, rubber and plastics? If you will have lithium ion also at that point in time. Just

wanted to get an idea on the breakup?

Yogesh Malhotra : Lead should be close to 50,000 tons. Aluminium should be close to 70,000 tons. Plastics should be close to 50,000 tons again, and rubber should be close to 100,000 tons and approximately 30,000 tons should be lithium ion.

Amit Dixit : The second one is a bookkeeping question essentially. If you could highlight the revenue and PAT contribution of overseas operations in this quarter?

Yogesh Malhotra : Because it was -- as I mentioned that there were some overseas volumes were also sold in India. The contribution from the overseas business in the bottom line is INR10 crores and the remaining was from India.

Amit Dixit : And top line?

Yogesh Malhotra : Top line was around 30% from overseas.

Moderator: Next question is from Dheeraj Ram from B&K Securities.

Dheeraj Ram : The capex has been reduced from INR375 crores to INR206 crores, so out of this, in last quarter, you have said that 50,000 to 60,000 tons will be added from leads, which approximately can be around INR100 crores to INR110 crores. That leaves out the new vertical, which is INR40 crores, mostly will be going for lithium-ion expected. That leaves out INR60 crores to INR70 crores for non-lead verticals, so out of this INR60 crores to INR70 crores, where you're focusing on for FY '26, especially?

Yogesh Malhotra : We'll be focusing majorly on tire business. If we -- we will increase the aluminium business in India if the MCX approval comes. Otherwise, we'll increase some capacities overseas in aluminium and plastics.

Dheeraj Ram: In last quarter, you have pointed out on major acquisition opportunity by mid-FY '27. If MCX got included, ADC12 includes in MCX, so can we expect this acquisition opportunity to come in aluminium where you might increase your capacity by 2x or something or 3x in FY '27 end?

Yogesh Malhotra : It's very hard to say, when will those acquisitions take place. Yes, aluminium, we are looking for acquisition -- but again, as you mentioned rightly that it depends on approval of MCX as the hedging mechanism to be in place before we do anything like that.

We are also exploring other options, like we are exploring options of rubber and plastic in other geographies, acquisition of some companies in other geographies also. We are exploring a lot of opportunities for merger and acquisition in all segments, which will happen when it's very difficult to say right now.

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Dheeraj Ram: Last question is revenue contribution from rubber that you're expecting in FY '27?

Yogesh Malhotra : In FY '27?

Dheeraj Ram: Yes.

Yogesh Malhotra : We have just started building up the rubber business. Definitely, we are expecting the rubber business. Non-lead business should grow up to around 30%, which includes the rubber also by FY '27. Hopefully, we should have a rubber business of around INR70 crores to INR80 crores by FY '27. Probably we'll be able to give you a better answer in H1 next year when we've already started those plants in India. Then we will be able to give you a better answer as to what will be the total revenue coming from rubber.

Moderator: Thank you. Next question is from Mr. Vikas Singh from ICICI Securities.

Vikas Singh : Sir, I just wanted to understand this value-addition sales, which you said that have inflated the margins. Have we reached -- we attained the full utilization or the full extent of this or there is a further scope for increasing our value-addition? If it is up to what percentage?

Yogesh Malhotra : Currently, around 46% of our total volume comes from value-added product. Quarter-on-quarter, it varies between -- sometimes it is 44%, 45%. Sometimes like this quarter, it has gone up to 47% also, but our ideal -- I mean, target is to reach to around 50% of value-added content in future.

Vikas Singh : Noted, sir. How does this impact our overall margin if we manage to achieve our target at the current stage?

Yogesh Malhotra : Generally, value-added products give you a 2.5% to 3% additional gross margin.

Vikas Singh : Noted. Sir, my second question pertains to along with you, almost other recyclers are also adding capacity. Just wanted to understand our sourcing strategy, considering that there was a new store that some of the people whom we supply right now are thinking of putting their own capacity.

From where you would source that much of lead for recycling?

Yogesh Malhotra : First of all, you have to understand that there is a lot of recycled battery scrap going to be available to the organized sector in India itself because of Battery Waste Management Rule, the shifting of material from unorganized to organized is already taking place. There is going to be a huge opportunity.

Currently around only 35% of the total material comes to the organized sector. The expectation

is that all of that would shift -- I mean, around 90% would shift to the organized sector in the next 2 to 3 years. There is going to be huge capacity expansion throughout the organized sector in India. I don't think that raw material is going to be an issue.

In addition, we are -- we also have our own yards in overseas locations from where we import a lot of material. Currently, around 50% of our total scrap that we operate in India comes from Gravita India Limited

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overseas locations. We are continuously increasing our strength there also. Both Indian scrap as well as overseas scrap is going to contribute to the expansion in the future.

Moderator: Thank you very much. Next question is from Sumangal from Kotak Securities.

Sumangal: Sir, my first question is on the volume. If you look at 1H volume growth has been in single digit.

I wanted to understand what was the constraint? I understand the delays in expansion, but our stated capacity is still much higher.

First question is I want to understand the reasons. Then if we have this significant capacity across Phagi and Mundra getting added over the next 2, 3 months, from fourth quarter onwards and in FY '27, if we kind of assume even a 60% kind of utilization, it implies a 30%, 40% kind of a growth. Should we expect that? Do we have the scrap available with us to deliver that growth over the next few quarters?

Yogesh Malhotra: Yes. To answer your first question, I think -- I mean, so we were expecting a 4% sequential growth in last quarter also, but because of this GST reduction that took place, so there was already an anticipation in the market that the GST in batteries would go down from 28% to 18%. The trade reduced their overall inventories because of which there were some delays from the OEMs in picking up materials, which impacted part of the volumes.

We expect the impact would be around 5% to 7%, 8% of the volumes dropped because of this particular reason. We anticipate to cover this in H2. We have ample inventories in place at least for Q3 and the procurement is going on for Q4 volumes also, keeping in mind the expansion that is

taking place in this quarter. You can expect -- again, as we mentioned that in the long term, we are very confident of achieving that 25% growth in volumes going forward.

Sumangal: Sir, in FY '27, whatever we've lost in terms of lower volumes this year, in the new capacity of around 120, 130 kt, should we expect 60%, 70% utilization in FY '27 for this new capacity?

Yogesh Malhotra: Not immediately because when we build up capacities, we build up with the thought process that in future, we will start receiving more -and-more batteries. We'll start some of those efforts to increase that battery capacity also -- I mean, procurement capacities also once the -- we've done part of it already, and the balance part would be done in Q3 and Q4.

You can expect probably from Q1 next year or maybe Q2, the capacity to go to the optimal level of 60% to 70% utilization. These capacities are enough to give you a 25% growth for the next 1 year itself. By that time, we are planning to build up more capacities.

Sumangal: Sir, my second question is on your opening remarks, when you mentioned that on the ground, there is some tightening happening and more compliance on BWMR. Over the last 3, 4 months, can you highlight a few developments? What is the change? How are you -- I mean, some anecdote in terms of what are you seeing on the ground, more compliance with respect to BWMR, that would be helpful?

Yogesh Malhotra: The biggest, I think evidence is the procurement of battery scrap -- domestic battery scrap, and we've increased it by around 35% this year. I mean Q2 versus Q2. H1 also, there is an increase

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in battery of around 22%. There is a continuous increase in availability of battery scrap overall to us. That is itself a clear indication that overall regulation is becoming stricter and more -and-more battery companies are now focusing on buying from companies who can give them EPR credits also.

Sumangal: Just one last question on the -- I mean, a lot of our peers are quite positive on the copper business, and they're investing in growing that business as well. What is our take? Have we evaluated in the past? Are we kind of studying it and planning anything in that?

Yogesh Malhotra: Yes. We keep on evaluating all segments in recycling, as we mentioned earlier also. So far, we are not focusing that much on copper because as per our studies, we see -- I mean, value -addition in copper is very small. There is no copper scrap generation in India. We are not very confident of bringing copper scrap into India.

Definitely, we'll keep on re-evaluating copper as a segment as we do for other segments also.

It's not that we don't want to do copper at all, but we regularly evaluate the market scenario, what

is happening in different commodities.

Based on that, we take decision on where to grow and when to grow. Copper is also part of our evaluation. Right now, we don't believe that the ROCs are of the same level as which we expect from other businesses. We are focusing on other businesses first and then probably copper also would follow soon.

Moderator: Thank you very much. Next question is from Jayesh Shah from OHM Portfolio.

Jayesh Shah : My first question is in your opening line comment that your loss of volumes is basically an arbitrage on the margins, which is why you have higher margins. Can you explain this better?

Because what we have seen is first quarter also, you have lacked on volumes and so in second quarter. Second quarter, probably the GST explanation is there. What is the real constraint? Is it the inventory or is it lifting of the OEMs? Does this mean that overall, you have lost market share in the first half vis-a-vis other players?

Yogesh Malhotra : No market share, actually, if you look at the overall market share globally, probably the market share is miniscule. Saying that we've lost market share

, generally, whatever customers we are servicing, there no market share erosion has taken place. We are still increasing market share on a regular basis.

Capacity is definitely a constraint. The other constraint, as we mentioned in the opening remarks also that when there is an option to increase volume vis-a-vis increase the overall profitability, we go for the second and improve our profit. For example, we have our own operations in overseas locations. Rather than selling directly to the third-party, we bring that material into India, do some processing in India and then sell it to the customers in India.

That way, we increase profitability. Of course, in the consolidation, the value -- sorry, the volume from other our subsidiaries get cancelled out. You don't see the total volume. Although, if you look at the production levels, there would be an increase in production, but now with this capacity increase that we're talking about, in addition to processing the scrap from our operations

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overseas, we can also take on more scrap in India itself. Earlier, there was a constraint because if we bring in the scrap from our overseas locations, we were not able to process the Indian scrap to some extent.

Jayesh Shah : What you're trying to say is that if I gross up the volume from your international business that your volume growth is in line, is it?

Yogesh Malhotra : Yes.

Jayesh Shah : It would be interesting if you can reveal these figures in the quarterly presentation, then we have a better idea because this is a bit confusing?

Yogesh Malhotra : We will try to somehow find a solution to this on how to -- I mean, make it more clear.

Jayesh Shah : As a corollary to what you are saying is that when you expand capacities now and when the volumes go up, the margins will trend down again to INR19, INR20 per kg, is it?

Yogesh Malhotra : No, not exactly INR19 to INR20 because we will still -- so INR19 to INR20 will only happen if we stop bringing that material to India at all. Till the time there is some arbitrage opportunities, you can see some -- expect some increase over INR19 to INR20, but once that arbitrage is off, then definitely, it would be around INR19 to INR20 only.

Jayesh Shah : In this case, how do we look at your overall guidance, which is revenue you've given in terms of absolute growth number? You have mentioned INR19 to INR20, because first half, the numbers are not really in track. We are happy to see that you have done better on margins, but you are lacking on revenue and volumes?

Yogesh Malhotra : Sir, we generally say that because -- I mean, so you can look at the overall total EBITDA or PAT numbers rather than looking only at volume and the ROC from the businesses that we are doing. These are the two major areas where you can track our performances.

Jayesh Shah : Some time back, you have talked about some acquisition in Europe or some kind of discussion going on. Any update on that?

Yogesh Malhotra : We've already acquired a company -- a tire recycling company in Romania, and we're looking at options in Eastern Europe to -- we are exploring options in Eastern Europe to either set up more such units or maybe look for opportunities where we can buy out some tire recycling or maybe even lead or aluminum recycling companies there.

Jayesh Shah : That's still under -- on the lookout, is it? That's the update.

Yogesh Malhotra : Yes. One company has already been taken over, and we are increasing capacity in that company itself. Then we are also looking out for other opportunities in Eastern Europe.

Moderator: Thank you. Next question is from Parikshit Kabra from Pkeday.

Parikshit Kabra : I just wanted to do a follow-up on the previous gentleman's question about the volumes and your explanation. If I understood correctly, you implied that when you source scrap abroad and you

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find that you're getting a better price in India, you bring the scrap to India and you process it in India and then you sell it. Because of this, are you saying that your capacity abroad where you would have ideally liked to use that scrap is lying idle and hence, your volumes are not rising? Yogesh Malhotra : No, no, it's not -- so we do part of the process in those countries. The second part, where what we call refining or alloying, etc., those capacities definitely are running idle to some extent, and we are utilizing Indian capacities for that extent. We are increasing those capacities in India so that even when we bring those materials into India, we still have the capacities to process the domestic scrap that we buy on our own in India.

Parikshit Kabra : Then are you essentially saying that, look, there is no demand problem abroad, but you are purposely bringing the scrap to India because your overall margins improve in India. Surely, even if your margins don't increase by utilizing your full capacity there and selling it here or there and using your sourcing lead in India and utilizing your capacity in India and selling it in India, your absolute profit would rise because of overall volume increase and revenue increase even if the margins come down?

Yogesh Malhotra : No, we always take that into consideration and only bring when we see that the overall margins also increase. Overall EBITDA also increased by bringing those material into India. If that is not the case, then we don't do it. We are also aware of this thing , but whenever there is an option of bringing it into India and getting overall increase in overall EBITDA, only then we go and do it. Margins offset the overall EBITDA that you make by selling those products.

Parikshit Kabra : The reason why I think you're pushing on this is because your competitor has grown at 40% top line and you have grown at 10% top line and you're playing in a similar market, right? You both are supplying mostly to your customers in India. At the same time, but you're saying that this plays out fine and they are obviously growing at 40%. Wouldn't it be fair to say that you're losing market share?

Yogesh Malhotra : No, as I mentioned that, see, it depends -- the global market is too huge for anybody to lose market share. Some of the companies -- I mean, so are not supplying to the customers to whom we are supplying, they have a different customers globally. I don't think there is -- and as it is the overall market is increasing to such an extent that everybody can grow, keeping the same market share.

As we also mentioned that there was some restriction because the capacities that we were trying to put up in probably H1 this year got delayed and are coming up in H2 this year. Once those capacities are in place, we will be able to increase our production and then we'll be able to sell those material into the market again.

Parikshit Kabra : Sir, my second question was on the aluminum side. I understand we are waiting for the MCX to approve the hedging mechanism. Of course, the other bottleneck would be getting approval from OEMs or whoever your customers are for the quality of aluminum that you're providing after recycling. Once the MCX hedging mechanism comes online, is the other bottleneck already solved for? Do you already have approvals from a bunch of OEMs who will start immediately supplying once the hedging mechanism comes online?

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Yogesh Malhotra : There are 2 aspects. Definitely, if you have -- we have some OEM approvals, but not some of the major OEMs are approved -- have approved us, so that is one part. The second part is that once MCX comes into place, you can openly sell the material to the exchange itself if you make ADC12, if there is a demand rather than looking for an OEM approval.

To answer

your question, there are two parts. Definitely, we will be also looking at some opportunities where we can probably take a stake in a company that already has OEM approval, and we are currently also considering some of these companies, but we are waiting for the MCX approval to start happening first.

The second part is that even if that does not happen, there will be a market where we'll be able to sell at a market price, the moment we'll buy material overseas. Selling itself is not a problem, though the margins would be higher if you are able to sell it to the OEMs directly in India. Other than that, I mean, we can still sell -- we were still selling that material in India without OEM approval also.

Moderator: Next question is from Mr. Parikh Gandhi from Verushka Capital Research . Please go ahead.

Parikh Gandhi : I just wanted to know that with respect to the 7 lakh capacity that we are eyeing for the FY '28, how much of this with respect to paper and steel are we? Because from this call as well, from the previous call as well, what I could understand is that a major focus is on the existing verticals

along with expanding the lithium-ion and the rubber ones. How does paper and steel come into this picture? Do we foresee this as well as the next -- which can really help our top line as well?
Yogesh Malhotra : In paper and steel, we are not expecting any capacity out of the 700,000 tons capacity. Whatever paper and steel are going to happen is beyond this 700,000 metric tons.

Parikh Gandhi : Sir, like are we sure to incur this next year as well, like for the paper and steel? Because in the previous con call, you did mention that the earlier capex was supposed to get incurred for paper and steel, but then we moved the capex to the existing verticals. How do we see going forward?

Yogesh Malhotra : Yes, absolutely. Our current focus is on existing verticals and the new verticals that we've already started of rubber and lithium-ion battery. Probably once we are done with those, and we are very confident of getting the 30% to 35% increase in revenue numbers from the existing and the new verticals in the next 3 to 4 years. I mean, after that, we will be exploring paper and steel. It's only one-by-one that we are exploring all these facilities rather than going at all the segments at once.

Parikh Gandhi : No capex for paper and steel for now?

Yogesh Malhotra : Not in this year and probably not in the first half of next year also. Beyond that, if there are certain -- I mean, we see some changes in the environment, we will probably do it, but at least for the next -- H1 of next year, there is no commitment to put any money in paper or steel.

Moderator: Thank you very much. Next question is from Siddharth from Kotak Securities.

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Siddharth : Congrats on a good set of results. Just one question on the rubber side of things. Sir, I was asking, at least in the rubber space, it seems that there are a few large players already operating in India.

I just wanted to check given our sort of focus on rubber as the newest vertical, what exactly gives us the confidence or the right to win in this space? Just would like to hear your thoughts on that?

Yogesh Malhotra : Yes. Again, if you look at rubber also, it's a very fragmented industry right now rubber recycling. There has been an introduction of EPR very recently. Earlier it was around 90% of the total capacity in rubber recycling was in the unorganized sector. Because of this EPR and also some regulations by CPCB of continuous pyrolysis plants, the older plants for the unorganized sector will probably go away.

Again, the rubber recycling would also start happening in the former sector. That is one part. The second part is we already have our own scrap yards overseas where we can source cheaper tire and rubber scrap, which will help us in getting better margins out

of rubber recycling. The

third part is we are also looking at various other options rather than merely pyrolysis oils like RCV, rubber sheets.

All these carbon black also, so we are looking at various other options in rubber recycling and not only pyrolysis oil. Where currently also there are very few players. We believe that there is enough space in this segment also where we can recycle it in a profitable manner.

Siddharth : Sir, if I were to sort of ask you what sort of economics we do see from the business? I understand that last time we highlighted that we will have further clarity as our plans progress. Would you be in a position to give me the unit economics of, say, the rubber division, say, 3 years down the line?

Yogesh Malhotra : See, currently, we are taking the lowest of -- in our projections, we take the lowest EBITDA margins of around INR7 to INR8 per kg. As and when we going for some value addition, definitely, the margins would improve, but in our projections, we've only taken -- if we don't do any value addition and only going for the pyrolysis oil and rubber sheets, etc., which are run-of-the-mill products, even then the EBITDA margin is around INR7 to INR8 per kg.

Siddharth : On a percentage basis, that number would be? Percentage EBITDA?

Yogesh Malhotra : It should be close to 30%.

Siddharth : Sir, just a second question, sir. Just wanted to check that we are saying that the ADC alloy 12, all approvals are in place. Just wanted to confirm one small point, sir. Any incremental change which has happened in the last, say, 3 months?

Yogesh Malhotra : What we can tell you is that all required permissions are in place in MCX.

Sunil Kansal : There is nothing left are in place.

Siddharth : But from what I understand, this was the case last quarter as well or has anything changed in the past 3 months?

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Yogesh Malhotra : No. Internally also, they have -- I mean, the goal had to go for all these commodities that are there for which the permission has been granted. Beyond that, I mean, we don't know what

exactly is happening and where it is stuck.

Siddharth : Last time, there was no internal approval from the MCX side for these contracts. Is that understanding correct, sir?

Yogesh Malhotra : Yes. That is our understanding, but now even the internal permissions are in place for them to launch these products.

Siddharth : But sir, even if you get these like MCX alloys, if you don't have OEM approvals, my understanding is almost 65% to 70% of the total ADC demand is tied to the auto industry. If you don't have the auto OEM approvals in place, I was just thinking how do you plan to expand this particular segment? Any thoughts on that, sir?

Yogesh Malhotra : Sir, there are two, three things. First of all, of course, we have OEM approval, but not of the major OEMs like Maruti, that approval is not there. That is one part. Second part is even if you do not have approval from Maruti, you can just sell it to Tier 1 or Tier 2 vendors. There, the margins would be lower, but you can still sell it to those customers in India.

The reason why we were not doing it is because the margins are thin and because the overall time period for realizing the profit was too high. Because of no hedging mechanism, sometimes you would run into profits higher than expected and sometimes you will run into losses also. We were avoiding that.

Otherwise, if you look at what I buy today and sell it to even a trader or a Tier 2 company, there are margins to be made in aluminum also. We mentioned that on a sustainable basis, around INR12 to INR14 margin can be made in aluminum, not as high as lead, but even if you sell it to Tier 2 companies, you can make around INR12 to INR14 EBITDA margin on aluminum.

Siddharth : These are Tier 1, Tier 2 suppliers of these auto OEMs. Is that correct, sir?

Yogesh Malhotra : Yes.

Moderator: Thank you very much. Next question is from Archit Agarwal from Steptrade Capital .

Archit Agarwal : Can you throw some light on the revenue mix as of now?

Yogesh Malhotra : 87% of the revenue has come from lead, 9% from aluminum and 4% from plastic.

Archit Agarwal : Okay and volume-wise?

Yogesh Malhotra : This was volume. I was mentioning was volume only.

Moderator: Thank you very much.

Moderator: Next question is from the line of Karan Gupta from ACMIL. Please go ahead.

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Karan Gupta : My question is regarding the EBITDA per ton. Am I audible?

Management: I mean can you speak a little louder. You are audible, but the voice is very...

Karan Gupta: Yes. Just a second. My question is regarding the EBITDA per ton. As you have already alluded on the lead side that INR19 to INR20 is more sustainable and margin accretive . What for aluminum and plastic side? You said INR12 to INR14 per ton which is?

Yogesh Malhotra : So currently, because we are not doing business in India, our overseas margins are a little higher of around INR14 to INR15. If we do it in India, the margins would be around INR12 to INR14 in aluminum. For plastic, the sustainable would be around INR10 to INR11 per kg.

Karan Gupta : Just one last one on the copper side is partly answered, but what kind of value addition that you are seeing is limited as of now? Is it the sourcing is limited or the process that you need to refine or maybe collect the raw scrap is basically the complex as of now?

Yogesh Malhotra : Yes. Generally, when we talk about the scrap that we are doing, like battery scrap, aluminum scrap, etc., we are buying it from developing countries. There, we have our own yard. It's part of the advantage that we hold is access to the scrap availability. Whereas in copper, most of the scrap generation happens in the developed countries, like Europe and U.S. It's a very -- I mean, organized setup, and accessible to each and everyone.

There is very little play in terms of getting a better procurement price. The second thing, again, is bringing it to India and then doing the processing. Processing is also very simple, because copper is just copper metal, whereas in lead, you remove impurities, make value-added products out of that and there where the margin comes to. Whereas in copper, generally, it's in terms of cables, you take off the layering and then melt the copper and then you can sell it at a percentage of copper price anywhere you want.

Therefore, the value addition in -- of whatever we think is not that high, when you deal in copper pricing. Overall, definitely, it helps you improve revenues also because copper prices are higher. Those advantages are there with copper, but in terms of percentage EBITDA margin that you can get out of it or even absolute EBITDA margin would definitely be higher because the prices are 4x to 5x that of lead or aluminum.

In terms of percentage EBITDA margin, it will never match those numbers. That is our take on copper, but others are doing it profitably, then we'll have to see where probably we'll have to re-evaluate it again.

Karan Gupta: Okay. Thank you.

Moderator: Thank you very much. Next question is from Kishore Kumar from Unifi Capital. Please go ahead.

Kishore Kumar : I just wanted to understand the broad procurement split of domestic and imports for the scrap for this quarter vis-a-vis last year?

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Yogesh Malhotra : Yes. Overall, we are at close to -- for Indian plants, we are close to 50% import and 50% domestic. Yes, we have another line where we source overseas and process overseas, so that's another part. For India, we are 50-50.

Kishore Kumar : Just to clarify, for the Indian business, it's 50 percentage sourced domestically and 50 percentage we are getting it from the overseas plants?

Yogesh Malhotra : Yes.

Yogesh Malhotra : Yes. Now, domestic has slightly gone up. It is around 52% domestic battery and around 48% overseas battery.

Kishore Kumar : Is the split similar for the last Q2 as well, sir, year-on-year, is there any difference?

Yogesh Malhotra : Yes. Last year, around 36% of the battery was Indian battery and around 64% was imported.

Kishore Kumar : Sir, my second question is on the balance sheet, bookkeeping questions. Other current assets have actually gone up significantly. Is there any prepaid expenses actually accounted there or capital advances?

Yogesh Malhotra : You're talking about other current assets, right?

Kishore Kumar : Yes.

Yogesh Malhotra : Okay. Basically, this includes whenever we import the scrap, we need to pay the advances to the vendor. So considering the upcoming facilities in Mundra, which is mostly our import dependent, so we are coming up with significant capacity expansion in Mundra.

So in anticipation of the upcoming capacity, we have slightly increased -- started increasing the import bookings and made some import advances also, which is helping us to ramping up the capacities as soon as we have the capacities lines, so this denotes the more imports in the upcoming quarters.

Kishore Kumar: Got it, sir. It's clear. Thank you, sir. All the best.

Yogesh Malhotra: Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, in the interest of time, that was the last question.

I would now like to hand the conference over to management for closing comments.

Yogesh Malhotra : Yes. Thank you, moderator. Thank you, everyone, for participating in this call. We trust that we have addressed all your queries during the session. However, if there are any remaining questions, please feel free to reach out to our Investor Relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you, and have a great day.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

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27th January , 2026

GIL/ 2025-26/189

To,

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended December 31, 2025

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 2025 conducted on January 23, 2026 for your information and records.

The above information is also available on the website of Company:

[https://www.gravitaindia.com/investors/financial -details](https://www.gravitaindia.com/investors/financial-details)

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

FCS: 9984

Encl: As above

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Company Code - GRAVITA

"Gravita India Limited 3QFY26 Post Result 's
Conference Call"

January 23 , 202 6

MANAGEMENT : MR. YOGESH MALHOTRA – WHOLE -TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER , GRAVITA INDIA
LIMITED

MR. SUNIL KANSAL – WHOLE -TIME DIRECTOR AND
CHIEF FINANCIAL OFFICER , GRAVITA INDIA LIMITED

MR. NAVEEN SHARMA – EXECUTIVE DIRECTOR ,
GRAVITA INDIA LIMITED *

MR. ANANT JAIN – INVESTOR RELATIONS , GRAVITA
INDIA LIMITED

* NON-BOARD MEMBER

MODERATOR : MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

Gravita India Limited
January 23, 2026

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Moderator : Ladies and gentlemen, good day and welcome to 3Q & 9M FY 2026 Post -Results Conference
Call of Gravita India Limited hosted by Antique Stock Broking Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing “*”, then “0” on your touch
tone phone.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking . Thank
you and over to you, sir.

Manish Mahawar : Thank you, moderator. On behalf of Antique Stock Broking, I would like to welcome all the
participants on the 3QFY26 Earnings Call of Gravita India.

We have with us leadership team , represented by Mr. Yogesh Malhotra – Whole -Time Director
and CEO; Mr. Sunil Kansal – Whole -Time Director and CFO ; Mr. Naveen Sharma – Executive
Director ; and Mr. Anant Jain – Investor Relation s on the call.

Without any delay, I would like to hand over the call to Mr. Malhotra for opening remarks, post
which we will open the floor for Q&A. Thank you, and over to you, Yogesh ji.

Yogesh Malhotra : Thank you, Mr. Manish. Good afternoon, everyone, and welcome to our Q3 and Nine Months
FY 2026 Earnings Call. I hope you have had an opportunity to review the Earnings Presentation
and Financial Results uploaded on the Stock Exchanges .

I am pleased to share that Gravita delivered a consistent performance in Q3 and nine months FY
2026 , reflecting steady progress across operational and financial parameters in all major business
verticals. In nine month FY 2026 , the company delivered year -on-year growth of 9%, 15% and
32% in revenue, EBITDA and PAT.

Before delving into the results, I would like to take a moment to highlight our ongoing
expansion plans and strategic updates :

There have been some delays in our capacity expansion plans, although broadly we are
progressing as planned with installed capacity now at about 3.40 lakh metric tonnes per annum.
We expect to cover it up in the upcoming quarters to meet our medium -term target of scaling
this up to over 7 lakh metric tonnes per annum by FY 2028 , in line with our focus on building a
larger and more diversified recycling platform.

On the investment side :

We have earmarked a total CAPEX of Rs. 1,225 crores through FY 2028 . Of this, around Rs.
850 crores is being deployed towards strengthening and expanding our existing businesses, while
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the balance will support entry into new recycling verticals like lithium -ion batteries, paper and steel.

During the first nine months of 2026, we have already incurred CAPEX of about Rs. 1,255 crores . At Mundra, lead capacity expansion of 80,000 metric tonnes per annum is targeted for completion by Q4 FY 2026 . At Jaipur, lead capacity expansion up to 45,000 metric tonnes per annum is targeted for completion by Q4 FY 2026 . The Mundra rubber project is slated for commissioning in Q1 FY 2027 , with revenues expected to begin flowing from Q2 FY 2027 , aided by stabilization of the Romania operations as well.

Gravita Netherlands BV, our step -down subsidiary, has approved an additional investment in Gravita Europe S .R.L through the acquisition of 3.5 lakh shares, representing a 15% stake. Post this transaction, GNBV 's shareholding in Gravita Europe S .R.L will increase from 80% to 95%, further strengthening our presence in the European market.

On the operational front :

The regulatory environment remains favorable for organized recyclers. Stronger enforcement of the BWMR and EPR frameworks has enhanced accountability across producers, recyclers, and collection agencies, leading to more efficient collection channels, reduced leakages to the unorganized sector,

and improved traceability. These measures have materially increased domestic scrap availability, driving higher local sourcing.

In terms of volumes :

Q3 FY 2026 saw a modest sequential improvement overall. The lead segment reported steady growth on both Y -on-Y and Q -on-Q basis. The plastic segment recorded a strong rebound, with volumes rising 55% Q -on-Q to 3,160 metric tonnes . In contrast, aluminum volumes declined on both a year -on-year basis and quarter -on-quarter basis. The decline in aluminum volumes during the quarter was primarily driven by higher metal prices in the market.

In such periods, scrap aggregators typically withhold material in anticipation of further price increases, which temporarily tightens scrap availability. This led to lower procurement and consequentially reduced processing volumes during the quarter. As pr ices stabilize and scrap flow normalizes, procurement is expected to improve, supporting a recovery in aluminum volumes in the coming quarters. Lead, aluminum and plastic EBITDA per metric tonnes stood at Rs. 23,000, Rs. 14,215 and Rs. 10,462 respectively .

In Q3 FY 2025 - 2026, revenue remained flat on both year -on-year and quarter -on-quarter basis at Rs. 1,017 crores . Adjusted EBITDA stood at Rs. 116 crores , up 13% year -on-year and 4% quarter -on-quarter. With margins remaining strong at 11.41% plus, supported by operating efficiencies and mix improvements, PAT increased by 32% year -on-year to Rs. 97.67 crores , with PAT margins remaining healthy at 9.60%.

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Gravita is progressing steadily towards Vision 2029, backed by a clear roadmap to scale its core business, while expanding into new recycling segments such as lithium -ion, rubber, steel and paper. The company is targeting strong growth metrics, including a volume CAGR of over 25%, profitability growth above 35% and ROIC exceeding 25%, alongside increasing the non -lead segment 's contribution to 30% of revenue, raising renewable energy usage to 30% and reducing energy intensity by over 10%.

With more than three decades of experience , 13 environmentally responsible facilities and presence in over 70 countries, Gravita is well -placed for sustainable long -term value creation, supported by disciplined CAPEX , capacity expansion, operational efficiency, and strong governance.

That is all from my end. I would now request to open the floor for questions -and-answers. Thank you and over to you, moderator.

Moderator : Thank you so much, sir. Ladies and gentlemen, we will begin with the question -and-answer session. Our first question comes from the line of Amit Lahoti from Emkay Global Financial Services Limited. Please go ahead.

Amit Lahoti : Thanks for the opportunity. My first question is on capacity expansion projects like you highlighted there was a delay. So, what were the bottlenecks in the last two months to three months which led to this delay?

Yogesh Malhotra : Sir, we already have the installed capacity there, but there is some delays from the government authorities in giving the license to operate. Because of various reasons in Gujarat, because of this vibrant Gujarat into place, some of the government official s are not regularly attending the offices right now. So, we are expecting this to probably happen in either month end of January or maximum in Feb itself. So, in this quarter, we are expecting both the Phagi as well as Mundra

plant to get the license to operate.

Amit Lahoti : Okay. So, is there a change in government 's stance on recycling and hence there is no sense of urgency around the approvals? Because even for other regulations like reverse charge mechanism, we have been waiting for quite some time, but government support has not been coming so far. And then there is a delay in approval. So, is there a trend or this is just like one - off kind of a delay that we are looking at?

Yogesh

sh Malhotra : It is a one -off kind delay because these consent to operate are given by state governments and not the central government. And I mean it is not that they have told us not, because we already have CTE, which is the Consent to Establish. So, that we have already got. So, generally, after that, they just inspect your site to see whether it is in line with the approval they have given. And once they are sure, they will give you the consent to operate. So, it is merely a formality, but because of this vibrant Gujarat theme, they are not regularly attending the office. So, that is why the delay is there. But we are very confident that it will happen now in this quarter itself.

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Amit Lahoti : Okay, got it. My second question is that our margins have been holding up pretty well and above our guidance consistently , but still our guidance remains where it is like Rs. 19 to Rs. 20 per kg but we have been reporting Rs. 23 per kg. So, at what point do we leave this restraint and holding the guidance because our peer group is already talking about margin upgrades for quite some time?

Yogesh Malhotra : Sir, I think the margin would remain at around Rs. 19 to Rs. 20, as we mentioned earlier that, we sacrifice some revenues to ensure that these margins are intact. So, that is why because there are arbitrage opportunities so we shift some material from our African plants into India taking advantage of those benefits.

So, fortunately for us for the last whole year that has been the case so there has been some arbitrage opportunities which we have been able to benefit from. But consistently getting more than Rs. 19 to Rs. 20 margin we will have to probably wait for maybe six more months to see whether we can sustain these kind of margins or not.

Amit Lahoti : Okay, got it. And lastly a housekeeping question, what was our domestic versus overseas mix in Q3?

Yogesh Malhotra : Sir, domestic because as we mentioned that there were some arbitrage opportunities and also , we were having a lot of stock in place because the capacity expansion is taking place so we wanted to stock up on the raw material. So, we have reduced some local purchases. So, overall in the quarter, how much was the --

Sunil Kansal : So, quarter it was 25% from domestic and 75% was imported. But overall , we should be back to the normal one which is around 45% from domestic and 55% from the imported one. So, once we have the capacity live.

Amit Lahoti : Sure, okay. Thank you so much.

Moderator : Thank you so much. Our next question comes from the line of Nilabja Dey from Asmo Research. Please go ahead.

Nilabja Dey: Sir, thanks for the session, sir . One question is that, going as per your opening remarks, whatever you mentioned, since the top -line growth is not expected to pick up before FY 2028 , is my understanding correct? Because the metal is already boiled currently and people are expecting it is also moving up. And you are telling that procurement of the raw materials is a challenge because the suppliers are holding it. And then your capacity expansion also gets delayed. So, would you interpret these two issues?

Yogesh Malhotra : Yes. So, in terms of capacity expansion, as I mentioned that we are very confident of getting the expansion in line in the next few quarters. So, the Indian capacity expansion is going to be there in Q4 itself. As far as the vendors holding up scrap is concerned, generally it is a short -term thing because their holding capacity is also not that huge.

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But generally , when there is an increase in prices, they generally tend to hold some of their inventories. But the moment the prices stabilize, they will start releasing those inventories. So, I do not think that it is going to be -- and even if the prices increase from here onwards, because their capacity

is limited, they will not be able to hold more than that. So, it has already started coming to us. And we believe that we will be back to the normal numbers in the coming quarters.

Nilabja Dey: Okay. And see, another thing, if I take the raw material prices are elevated, then your margins will get hit or you are taking a cost -plus approach so that you do not think that will be an issue?

Yogesh Malhotra : No, not at all. Because we buy scrap at a discount over the LME prices. When the prices increase, also the absolute price of the scrap increases, but the percentage of the scrap remains the same.

So, the margin between the selling price and the buying price remains intact, more or less.

Nilabja Dey: Okay. Thank you. Thanks a lot.

Moderator : Thank you. Our next question comes from the line of Amit Dixit from GS. Please go ahead.

Amit Dixit : Yes. Good afternoon, everyone, and thanks for the opportunity. A couple of questions from my side. One is more of a macro question on the adoption of EPR and BWMR . What is the progress of the trading of aluminum alloy on MCX? So, if you can briefly highlight these, because these are some of the tailwinds that will drive over performance. That is my first question.

Yogesh Malhotra : Okay. So, on the part of EPR and battery waste management rules, this has already been reviewed and yesterday NITI Aayog has recommended a few recommendations strengthening the EPR process, strengthening the portal and linking of all data from GSTN portal and there are further collection rules are also being framed.

So, we are hopeful that by April 1 st, 2026 these rules will be amended or modified and SOP will be created for collection site in battery -based management rule and also audit rules are also being formed for EPR. And when it comes to MCX on aluminum , so this is also under consideration with MCX and I am hopeful in FY 2026 it should come by Q1 of FY 2026 - 2027.

Amit Dixit : Sir, just wanted to understand the constraints behind that because we have been expecting this for over a year and there has been a very limited progress around particularly the trading of aluminum on MCX, so just wanted to understand where the bottleneck lies or is it something regulatory or something that is being discussed with the government or there is some data that they are looking at, just wanted to understand the key constraint.

Yogesh Malhotra : Yes. Constraints are over, the key constraint was that it has to get passed through under Security Contract Regulation Act, so that took almost 1.5 year, and it came from Ministry of Finance and Ministry of Mines and BIS.

Now the second part was creating a contract that also has been formed by MCX . Now it is a call of MCX, their business call, because they will be the one who will be the beneficiary as a Gravita India Limited

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platform, exchange platform. So, there was certain gap because there was change of their highest authority, CEO change was there somewhere in November and it has already been discussed in their meeting. And frankly speaking the call has to be taken by MCX, regulation is over and that is their business call and they also created specification committee also, but anytime they should do it.

Amit Dixit : Okay, sir. The second question is more of a book keeping question if you can mention the revenue and profit from overseas I mean percentage terms?

Yogesh Malhotra : I mean it is not right to understand about profitability from overseas and you cannot differentiate the overall profitability, as we mentioned earlier also, that there were areas when we import those materials that we process overseas into India for further processing because Indian market is better. So, the profitability would keep on changing. But just for your knowledge around 72% of the profits, revenue came from India and 28% of the profit or the revenue came from overseas. So, as per pr

ofits also 76% was from India and 24% was from overseas.

Amit Dixit : Great, sir. Thank you so much and all the best.

Yogesh Malhotra : Thank you.

Moderator : Thank you. Our next question comes from the line of Sucrit Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit Patil : Good afternoon, team. As Gravita scales in recycling operations across lead, aluminum and plastics, how do you see capacity utilization and product mix evolving over the next one to two quarters? Specifically , what technical levers such as process automation, backward integration or efficient improvements are you using to enhance the process and maintain global competitiveness, while maintaining ESG commitment? That is my first question. I will ask my second question after this. Thank you.

Yogesh Malhotra : Yes. So, if you look at our best capacity utilization, in India more than 90% capacity utilization is there. So, incidentally we also have our own project division which works with the operational division to keep on reinventing things on how processing is being done, how to bring in automation, how to improve technology and that is why in terms of our operational cost and yield we are better than the competitors across the globe. And not only do we use our own plant and machinery, we also supply turnkey solutions to people doing lead and aluminum recycling across the globe. So, that gives us an edge as compared to all other competitors. And what was your other question, sir?

Sucrit Patil : My other question is to Mr. Sunil. With margins supported by steady cash flow, how are you planning to sustain profitability while funding expansion into new recycling verticals? From a technical standpoint, what is your framework for managing working capital cycles, hedging raw

material price volatility and optimizing capital allocation to ensure ROE stays steady over the medium term? Thank you.

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Yogesh Malhotra : Sir, I can answer your question , because it has been the policy of the group that whatever new verticals we would go into or whatever ground field expansions also we do should meet one of the criteria and that is the return on investment of around 25% from all our new ventures. So, that is intact and that is why whatever products we choose whether it is currently lead, aluminum , plastic or going forward we are planning to go into steel, paper, lithium -ion. We would ensure that it meets the criteria of 25% ROCE.

So, that remains the core of the business strategy that we have. But overall on the funding side we plan to spend approximately Rs. 1,200 crores in the next two years to three years for CAPEX and approximately Rs. 1,500 crores will be needed for working capital. So, we have something in liquidity which we generated through QIP in last year and remaining is to be funded from the internal accruals which we generate as cash flow in next two years to three years.

And additionally , we may take some debt to a limited extent where we plan to raise some debt up to within some limits. So, we are fully competent of taking this growth, fully funded from internal accruals and liquidity we have.

Moderator : Thank you. Our next question comes from the line of Aniket Madhwani from Steptrade Capital please go ahead.

Aniket Madhwani : So, hi. I just want to know the volume generated this quarter I mean in lead, aluminum and plastic as you mentioned, there is a decline in volume in aluminum. So, could you just clarify on the numbers?

Yogesh Malhotra : Numbers , can you show?

Sunil Kansal : So, the lead total quantity that we sold in lead is around 46,269 tonnes . We sold around 3,500 tonnes of aluminum, 3,550 tonnes and 3,160 tonnes of plastic scrap. So, total overall numbers are 52,982 tonnes .

Aniket Madhwani : Okay. And so have we recognized any revenue from rubber or lithium -ion segment I mean -- Yogesh

Malhotra : Lithium -ion is not functional right now. It will probably come in this quarter. The consent to operate for lithium -ion is also expected to come in the next couple of days probably, it is in process . Whereas rubber definitely currently we are just using it for in -house consumption only, so there has been no revenue coming from rubber. It is a very significant revenue which is coming from our Romania facility, which is just started in this quarter itself, which is almost Rs. 3.5 crores in this quarter itself. But going forward, we have plans to scale up this Romania facility also in rubber.

Aniket Madhwani : Okay, got it. And so you previously mentioned that you are targeting to achieve a 25% CAGR and volume done so that should be reflected in your top line as well, right? As approximately 90% of your revenue comes from the lead segment. So, here I can see in the last three quarters, you have achieved around Rs. 3,000 -odd crores , so what are you expecting to close in Q4?

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Yogesh Malhotra : Sir, there are two things here, I mean, although when we talk about volumes, we generally talk about the production volumes, because as I mentioned earlier that some of the material that we produce in our Africa plants, when there is arbitrage opportunity, we move that material into India and process it again here, so it gets eliminated when we talk about the overall revenue growth in terms of volume.

But if you consider that, then we have grown at around 8% to 9% overall , if you do not eliminate that part. In Q4, as I mentioned that we are expecting some expansions to take place , capacity expansion to take place , because of that, we would see some volume increase coming in the Q4.

Moderator : Thank you. Our next question comes from the line of Kunal Devendra Kothari from Nuvama Wealth Management. Please go ahead.

Kunal Devendra Kothari : Yes, thank you for the opportunity. So, my first question is that we are adding up around 125 KT of lead in quarter four FY 2026 . So, by when you think we can optimize fully, does it take a quarter or two, or we can ramp up it fully? This is my first question.

Yogesh Malhotra : In H1 next year, we will be able to ramp up it. Some of the volumes will start coming from Q4 itself, but major incremental volume will start coming from Q1 and Q2 of next financial year.

Kunal Devendra Kothari : So, by Q2, will we be able to fully ramp up?

Yogesh Malhotra : Absolutely, sir.

Kunal Devendra Kothari : Okay, sir. So, second question is on CAPEX . So, we did around Rs. 125 crores CAPEX in first nine months, but trend what we are seeing is declining from around Rs. 650 million in quarter one, Rs. 400 million in quarter two and now Rs. 200 million in quarter three. So, what is the

specific reason for the declining trend?

And secondly, you had target of around Rs. 200 crores of CAPEX for the entire FY 2026 . So, how much you think that it is achievable? And adding to that by FY 2028 as you mentioned the total CAPEX will be higher of Rs. 1,200 crores , so with this declining trend how you see that you will be able to catch up and achieve this target?

Naveen Prakash Sharma : I could not hear your first question properly, but to answer your second question we have already done a CAPEX of around Rs. 125 crores till now. And we are expecting it to cross Rs. 200 crores by Q4. So, we will meet the target that we set for FY 2026 for capacity expansion.

Kunal Devendra Kothari : Okay. Just --

Naveen Prakash Sharma : And the second thing is that you should also look at the total capacity rather than the CAPEX done because in some of the cases we have done capacity expansion in brown field projects rather than green field projects. So, the oil CAPEX required to do that has been lower than what we had envisaged earlier, so that is probably the reason why the CAPEX is lower, but the

capacities would be in line with what we have told that would happen by FY 2028 .

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Kunal Devendra Kothari : Sir, any specific reason that bulk of the CAPEX is coming in quarter four?

Naveen Prakash Sharma : Sir, some of these CAPEX are supposed to come in Q2 also, but as I mentioned, there have been some delays from our side in terms of setting the plant up and then there have been some delays for getting those approvals also . Otherwise, some of these CAPEX was expected in the Q2 and Q3 also, but there have been some delays we admit that.

Kunal Devendra Kothari : Okay. Thank you, sir. All the best.

Moderator : Thank you. Our next question comes from the line of Sagar Shah from Spark PWM. Please go ahead.

Sagar Shah : Yes. Thank you so much for the opportunity and congratulations, sir, for better than expected margins actually. Now my first question was related to actually our CAPEX you highlighted we incurred around Rs. 125 crores in CAPEX . So, just wanted to clarify one thing, the 30,000 tonnes additional capacity in lead, which you highlighted in Q2, has it been fully commissioned in this quarter? And another one, 45,000 tonnes of lead which was going to come up in Q4, so is it on track? My first question is this on the CAPEX front, then I will highlight my second question.

Yogesh Malhotra : So, to answer your question, one plant in Jaipur, we are expecting a capacity increase of 45,000 tonnes by Q4 of this year. And in Mundra, we are expecting 80,000 tonnes capacity in Q4, further increase of 80,000.

Kunal Devendra Kothari : So, in all in this Q3, another 30,000 tonnes has already been commissioned in the Phase 1 lead expansion.

Yogesh Malhotra : So, Q4 125,000 tonnes of lead capacity expansion would be expected , not in Q3, Q4.

Kunal Devendra Kothari : Okay, so basically by Q4, 125,000 tonnes will be commissioned by Q4 FY 2026 , that you are highlighting, right?

Yogesh Malhotra : Yes.

Kunal Devendra Kothari : Okay. And in our plastics and aluminum, there is also some sort of capacity expansion also. So, is it safe to assume that the capacity expansion will be done in these two segments also or only lead you are planning to expand?

Yogesh Malhotra : Not in this year, but next year definitely there are some capacity expansion. In aluminum, the capacity expansion, we are holding up because we want to get MCX approval first. So, as Naveen ji mentioned that we are expecting it by Q1 of next year and then we will start starting expansion in aluminum capacities. But plastic capacities will start happening in next year also.

Naveen Prakash Sharma : And in addition to this, we are also getting capacity in India in next year. And lithium oil also is expected in Q4. So, all these capacities would come in next year.

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Kunal Devendra Kothari : Okay. My second question was related to the plastic segment. Plastic segment, we are running at low capacity utilization, but our margins have come very friendly actually. So, the capacity utilization hovered at around 40% if we compare these nine months actually. So, going forward, I wanted some color on the plastics demand and on the kind of products that we are dealing in this segment. And what is the outlook going ahead as well in this segment?

Yogesh Malhotra : As I mentioned that plastic growth will all depend on how the industry would take to secondary plastics going forward because most of the industry is not using secondary plastic for their primary packaging. They are using it for secondary or tertiary packaging. But primary packaging has yet not started in most of the cases.

So, we are targeting that segment because that is more profitable compared to other segments and it is a slow process in the sense that you have to develop that product, you have to start

testing those products, start

using those products for years before you go ahead to start using that product on a regular basis.

So, it is a slow process. But we are very confident we are making inroads into this, we are developing new products for new customers and . And we are very hopeful that although the direction is right but the moment it will start happening it will just take off. But currently you can expect a slow growth of around 8% - 10% for the next couple of quarters and then probably we can see an increase further.

Kunal Devendra Kothari : So, can you highlight what are the products that you are planning to make in plastic , is that PP granules or what kind of products?

Yogesh Malhotra : We are making PP granules , but that is specific to the customer s' requirement of their packaging requirements. So, for example, Asian Paints require recycled plastic for their buckets or battery manufacturers require PP granules for their battery boxes and so on and so forth. So, all the brand owners require different kinds of products and it is a little difficult to develop those products from secondary plastic . But we are working on with some of these OEMs and developing products for them .

Kunal Devendra Kothari : Okay, fine sir. Thank you so much and I will come back in the queue. Thank you so much and all the best.

Moderator : Thank you. Next question comes from the line of Vinayak Kariwal from Xponent Tribe. Please go ahead.

Vinayak Kariwal : Hi sir, thank you for the opportunity. Sir, my question was on the lead volumes growth. So, what we are selling in the export market, we are mostly selling to South Korea, UAE. But according to some reports, the lead volumes demand in these countries are saturated. And thus , many of our peers are starting to sell a big chunk of their lead volumes to Singapore and these traders sitting there.

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So, why are we not selling our volumes to these traders sitting in Singapore and do you see any benefit to selling your volumes in Singapore because of the demand saturation in these countries?

Yogesh Malhotra : Sir, currently our volumes are so low that even if there is a decreasing demand, we will be able to sell all the material that we produce or manufacture to the OEMs directly in Southeast Asia. Generally, in Singapore, you sell it to traders and not directly to OEMs, which does not give you the higher margins that we get. And our target is to keep selling 70% to the OEMs and 30% to the traders.

Currently, we have long -term tie -ups with major OEMs also and some of the biggest traders also, whether it is Trafigura, Glencore, Thyssen. We work with almost all the traders and we work with almost all the major OEMs within India also and outside India also. And whatever products we are making, we are just trying to sell it at the highest price. So, if there is any pressure from those OEMs, then we may think of shifting it to other geographies. But till the time we are getting enough orders from them, which can fulfill all our production, then we do not need to go to these other markets. We want to maximize the profits by selling it to the highest bidder, basically.

Vinayak Kariwal : So, you are not seeing any demand saturation from these OEMs currently and comfortably you could maybe push in the incremental volume from your capacity to these OEMs?

Yogesh Malhotra : Sir, and then I mean we also have applied to LME, and we probably would get our LME license also in Q4. We are expecting the license in Q4 itself. So, once that license is there, then we can sell any amount on the exchanges also. Currently, we are selling it at MCX and in future, we would have LME exchanges also as our market. But that said, it gives you lesser volumes, I mean, lesser realization than sell to exchanges rather than sell directly to the OEMs.

So, we prefer to sell it to the OEMs. And if there is any pressure in

the future, then LME

exchanges are there for you to sell to.

Vinayak Kariwal : Mostly, currently you are not selling.

Yogesh Malhotra : No. In the near future, we do not see any pressure at all. Whatever we are producing, there is enough market available both in India as well as overseas, which can take our products.

Vinayak Kariwal : Thank you.

Moderator : Thank you. Our next question comes from the line of Amay Sharda from Purnartha Investment Advisors. Please go ahead.

Amay Sharda : Hi, sir. Thank you for the opportunity. I just had one or two questions. First was what was the percentage of revenues from Exide Industries in the last quarter?

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Yogesh Malhotra : So, Exide is a very small portion we do because we have just started with Exide. But going forward, we are working both models supplying directly to Exide also and we are taking some scraps also like we do with Amara Raja. So, the volumes will grow significantly in next upcoming year.

Amay Sharda : But currently it is like lower single -digit kind of numbers, right?

Yogesh Malhotra : It is not in the top 10 customers of Gravita currently.

Amay Sharda : And it continues to grow going forward.

Yogesh Malhotra : Sorry, sir?

Amay Sharda : Yes, is it going?

Yogesh Malhotra : Sir, again as I mentioned that , so the overall requirement of lead is more than what we produce. So, we will keep on selling to the customers where we get the highest realization. So, for us currently there are better opportunities. If we get better opportunity from Exide or when we grow our volumes more than what we can currently serve, then in those cases we may look at other OEMs also in future.

Amay Sharda : Okay. Got it, sir. Thank you so much.

Moderator : Thank you. Our next question comes from the line of Gaurav Shah from Nitya Capital. Please go ahead.

Gaurav Shah : Yes. Thank you for the opportunity. My question was more on the volume. So, while we see that the volume is remaining stagnant over the last few quarters between 50,000 tonnes and 55,000 tonnes and we are increasing capacity in terms of volume. How do we calculate the capacity utilization at 90%?

Naveen Prakash Sharma : So, the volume is constant because the capacity increase has not taken place in India. And that is why we are running it at an optimal capacity of 90%. Sorry, the optimal capacity is even less than that but because there is enough scrap available and enough demand from the customers, we are currently running it at 90% of capacities in India. And we are increasing , because we have scrap availability and we can manufacture those products. But we lack the capacity. So, once the capacity is there, we can use it further to make more products in future.

Gaurav Shah : Sir, can I understand that the overseas capacity is not getting fully utilized for now?

Naveen Prakash Sharma : So, overseas capacities will generally keep a higher capacity in overseas locations because scrap availability is not continuous . And in our case, the capacity should not be a constraint because, the CAPEX to revenue is around 8x to 10x. So, we generally keep a higher capacity in overseas locations, keeping in mind that we can get a higher scrap also in future. And currently , if you look at our overseas capacity utilizations, it is at around 65%.

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Yogesh Malhotra : So, basically the overseas capacity is because we are not able to import in those countries. So, it is mostly dependent on the local scrap. As compared to other countries, in India we can import the scrap. So, that is the reason we are increasing the capacity in India. We can import overseas also, we can take domestic also. So, that is the reason India is looking more volumes.

Gaurav Shah : Understood. Thank you, sir.

Yogesh Malhotra : And also, as we mentioned earlier, that we are

importing some of our scraps from overseas

locations into India because there is a better arbitrage opportunities. So, in that case also, some of the overseas capacities remain unutilized.

Gaurav Shah : Understood. Thank you so much.

Moderator : Thank you. Our next question comes from the line of Sumant Kumar from Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar : My first question is, any impact and can you quantify the new labor law for us?

Yogesh Malhotra : Sir, currently we do not see any impact, but definitely the impact would come from the recalculation of gratuity and leave encashment for the labor. And we are expecting overall, in future going forward, we expect an overall impact of around Rs. 4.2 crores going downwards.

Sorry, this year, not in the next year.

Sunil Kansal : In this year, the total impact of this amount was approximately Rs. 4 .2 crores , out of which Rs. 3.5 crores was pertaining to previous years and roughly Rs. 60 lakhs to Rs. 70 lakhs was pertaining to these nine months.

Sumant Kumar : So, this Rs. 4.2 crores you are talking about for annual, right?

Sunil Kansal : For annual number, yes. Absolutely.

Sumant Kumar : Okay. So, the FY 2027 , we can see this kind of impact, correct?

Sunil Kansal : Right.

Sumant Kumar : Okay. And then the next question is regarding aluminum, I have seen a significant decline 50% decline and 5% growth in lead site. so, what is happening in aluminum ? Why our growth is significantly down since volume growth?

Sunil Kansal : Sir, we mentioned earlier that there has been some increase in aluminum prices and when such things happen, then the scrap dealers tend to withhold the scrap and do not sell it to the recyclers. And this causes packing of scrap availability and that has led to lower volumes in the quarter. But going forward, we are expecting the normalcy to continue and we will start getting more aluminum scrap going forward.

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Sumant Kumar : Okay. And that is why we have seen a margin expansion from Rs. 10 per kg to Rs. 14 per kg because of rising aluminum prices?

Sunil Kansal : No, it is around the same. Rs. 14 per kg was, even in last quarter, we had around Rs. 14 per kg. So, this is the normal --

Sumant Kumar : In the November Quarter, we had Rs. 10 per kg.

Yogesh Malhotra : This Rs. 10 was in plastic, not in aluminum.

Sumant Kumar : Okay, sorry, yes, it was Rs. 20.

Sunil Kansal : Rs. 20 was specifically higher because of increasing aluminum prices last year, because we imported a lot of material into India and because of that, there was an increase in the overall profitability coming out of higher prices of aluminum.

Sumant Kumar : Profitability in aluminum has gone down Y-o-Y?

Sunil Kansal : Yes, sir.

Sumant Kumar : Okay. Thank you.

Moderator : Thank you. Our next question comes from the line of Sumangal Nevatia from Kotak Securities. Please go ahead. Sumangal, you may please proceed with your question.

Sumangal Nevatia : Yes. Good afternoon, sir. Thank you for the chance. Most of the questions are answered. I just want to know, excuse me if I missed, is it possible to give some volume guidance for FY 2027 given that we have such significant capacity addition and decent visibility on scrap?

And, I mean, if you look at last four to five years, now our volume CAGR, assuming similar, some ramp-up in fourth quarter, for last five years our CAGR of volume is around 16% - 17% now versus 25% guidance. So, how fast we can catch up over the next one year to kind of get the CAGR back as per our long-term target? So, I think guidance for 2027 volumes across division would be very helpful.

Yogesh Malhotra : So, as we are mentioning that, there may be some volatility in terms of this volume growth on a year-on-year basis, but overall, our target of 25% remains intact. But more than that, we talk about 30

% to 35% growth in the bottom line numbers. That is the EBITDA numbers or the PAT numbers because, as I mentioned that sometimes although the volume that we have done is higher, but it does not reflect in the overall consolidated statement because some of the materials, we move from Africa into India. So, the top-line numbers may vary, but you can expect the same kind of bottom-line numbers of around 30% to 35% increase in EBITDA numbers in next year and then going forward also.

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Sumangal Nevatia : Okay. And, sir, when do we start expecting contribution of external sales of rubber division? From which quarter?

Yogesh Malhotra : So, as Sunil ji mentioned, there was some contribution from rubber coming in last quarter also, but it was not significant. So, it was not shown in the segment-wise numbers. But from next quarter onwards, we will start sharing the numbers for rubber also.

Sumangal Nevatia : Sure. Thanks a lot. Thanks. Thank you.

Moderator : Our next question comes from the line of Netra Deshpande from Mirae Asset Sharekhan. Please go ahead.

Netra Deshpande : Hello. Thank you, operator, for giving this opportunity and thank you, management. I just would like to ask you, there are the global headlines and the geopolitical issues which are going in the global trend. So, definitely, the commodity prices are very volatile. Just like other nonferrous metals, specifically, we are seeing lead, aluminum, all that stuff.

So, any other kind of a hedging that you have opted and how much would be the percentage and what would be the impact on the overall margin, can you please bring? And, secondly, any other plans for copper addition in this scrap or just like as you have mentioned, the rubber, paper, steel, lithium, they are going to get into this. So, by any chance, the copper, zinc or nickel, the non-ferrous segment? Thank you.

Yogesh Malhotra : Yes. So, to answer your first question, as far as lead is concerned, we are totally hedged. So, there will be no impact of these fluctuations on lead. Both in, I mean, it may have impact on the top line, but there would be no impact on the bottom line because we go 100% hedged in lead. Aluminum, we are looking at some options to hedge. But currently, because we do ADC -12,

which is not traded on any of the exchanges, so we find it a little difficult to hedge and that is why we have kept our volumes low in aluminum.

We are not doing any aluminum recycling in India currently, but the moment that hedging mechanism is in place, we will start doing aluminum recycling also. So, that will give us some growth in aluminum also going forward. And we are looking seriously on all recycling verticals including solar panels, paper, steel and specifically copper also, because of the recent ecosystem that is happening in copper. And how the copper is behaving and the requirement of copper going forward. So, we believe that in future copper can also be one of the segments that Gravita would go into.

Netra Deshpande : Okay. Thank you. Thank you so much.

Yogesh Malhotra : Thank you, Netra.

Moderator : Our next question comes from the line of Devang Shah from Allvest Investment managers Private Ltd. Please go ahead.

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Devang Shah : Yes. Hi. Good afternoon, sir. My first question that in this particular quarter, we came out with an overall operating margin improved by 200 bps to somewhere close to 12% as far as overall margin is concerned. And this margin is improvement due to better price realization or operation efficiency? That is first question. And secondly, moving forward, what kind of trajectory we can expect? It will expand or continue to remain in this particular reach?

Yogesh Malhotra : So, from a quarter -to-quarter, I mean, generally it comes from better realization and not from improvement in operation

s because it takes time for operational improvement to take effect. But going forward, we believe that what we have said is that in lead, alu minum and plastic, we have given you per tonne number that would remain there.

And also, because there has been some better opportunities in India and that has impacted our top-line. We have sacrificed some of the top -line growth to get better EBITDA numbers also.

But going forward, you can expect what we have already mentioned that around Rs. 19 to Rs. 20 in lead, around Rs. 14 to Rs. 15 in aluminum, and plastic would give you around Rs. 10 to Rs. 12.

Devang Shah : Okay. So, we may continue, similar kind of trajectory in an optimism way, right?

Yogesh Malhotra : Yes, but in future, in long term, you can definitely expect some additional benefits coming out of better operational efficiencies and better procurement network also and more value -added products going forward. But that would be more in a long -term basis. So, by FY 2028, you can expect probably Rs. 0.5 to Rs. 0.75 per kg improvement in all the three segments.

Devang Shah : Okay. And my second question, even, as far as volume growth is concerned, because in our presentation, aspiration to be a 25% kind of guidance. As far as our overall vision is concerned, that has been highlighted. But somewhere we are stuck, and in this qu arter also, it is been reflected that, overall, Y -o-Y also we have not been able to come out with a good volume.

So, moving forward, as far as FY 2027 and 2028, I do not want any number but you can say somewhere close to your guidance or somewhere close to 20% kind of thing, we can expect. As far as total volume growth is concerned.

Sunil Kansal : Yes, absolutely. Because part of this volume growth, as I mentioned, we sacrificed because to get higher profitability, but part of it was because the capacity expansion that we were planning to have in Q2 and Q3 did not happen. There was some delay and th ese capacities are going to come in Q4 this year.

So, definitely, going forward, from Q1 onwards, you can see some improvement s coming from lead. And in aluminum and plastic also, because the capacities are there, we can expect some higher numbers. So, definitely, there will be some improvement in terms of volumes coming in the next year.

Devang Shah : Okay. Thank you, sir.

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Moderator : Thank you. Ladies and gentlemen, due to the time constraint, that was the last question for today. I would like to hand the conference over to management for the closing comments. Thank you, and over to you, sir.

Yogesh Malhotra : Thank you, everyone, for participating in this call. We trust that we have addressed all your queries during the session. However, if there are any remaining questions, please feel free to reach out to our Investor Relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you and have a great day.

Moderator : Thank you, sir. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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11th May, 2026

GIL/2026 -27/15

To,

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31st, 2026

Pursuant to Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI

(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the Quarter and year ended March 31, 2026 held on May 8th, 2026 for your information and records.

The above information is also available on the website of Company:

<https://www.gravitaindia.com/investors/financial-details>

This is for your kind information and records.

Thanking you.

Yours Faithfully

For Gravita India Limited

Nitin Gupta

(Company Secretary)

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Encl: As above

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Company Code - GRAVITA

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Gravita India Limited 4Q & FY26 Earning 's
Conference Call

May 08, 2026

MANAGEMENT : MR. YOGESH MALHOTRA - WHOLE -TIME DIRECTOR
& CHIEF EXECUTIVE OFFICER , GRAVITA INDIA
LIMITED

MR. SUNIL KANSAL - WHOLE -TIME DIRECTOR &
CHIEF FINANCIAL OFFICER , GRAVITA INDIA LIMITED

MR. NAVEEN SHARMA - EXECUTIVE DIRECTOR ,
GRAVITA INDIA LIMITED *

MR. ANAN T JAIN - INVESTOR RELATIONS , GRAVITA
INDIA LIMITED

*NON-BOARD MEMBER

MODERATORS : MR. RIJU DALUI - ANTIQUE STOCK BROKING

Gravita India Limited

May 08, 2026

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Moderator : Ladies and gentlemen, good day and welcome to the Gravita India Limited 's 4Q & FY '26 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Riju Dalui from Antique Stock Broking. Thank you and over to you, sir.

Riju Dalui : Thank you, R ituja. On behalf of Anti que Stock Broking, I would like to welcome all the participants on the Q4 & FY '26 Earnings Call of Gravita India.

We have with us from the Management side, Mr. Yogesh Malhotra – Whole -Time Director and CEO ; Mr. Sunil Kansal – Whole -Time Director and CFO ; Mr. Naveen Sharma – Executive Director and Mr. Anand Jain – Investor Relation on the call.

Without any delay, I would like to hand over the call to Mr. Malhotra for his opening remarks, post which we will open the floor for Q&A. Thank you and over to you, sir.

Yogesh Malhotra: Thank you, Mr. Riju. Good afternoon, everyone, and welcome to our Q4 & FY '26 Earnings Call. I hope you have had an opportunity to review the Earnings Presentation and Financial Results uploaded on the Stock Exchanges .

I will walk you through the key strategic updates, operational progress and financial performance, followed by Q&A session.

I am pleased to share that Gravita ended FY '26 on a strong note, continuing towards its growth trajectory. Over FY '21-FY '26, the Company delivered a strong five -year CAGR in revenue , EBITDA and PAT of 25%, 49% and 31% respectively reflecting consistent operational and financial performance.

Despite macroeconomic uncertainties and elevated logistic costs arising from geopolitical conflicts, Gravita demonstrated resilient performance driven by disciplined risk management, agile execution and strong operational capabilities.

Before discussing financial performance in detail, I would like first to highlight the key strategic developments that continue to shape and strengthen our growth journey :

Our expansion program is progressing broadly as planned, with total install capacity now at about 4.57 lakh metric ton per annum. We continue to work towards our medium -term target of scaling this up to over 8 lakh metric per annum by FY '29, in line with our focus on building a larger and more diversified recycling platform. In Feb 2026, Gravita expanded its lead recycling
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capacity at Mundra by 80,300 metric ton per annum, taking the total capacity to 145,100 metric ton per annum.

The Company invested INR 49 crore towards procurement and commissioning of the plant, funded through internal accruals. The expanded capacity is expected to enhance operational efficiencies, optimize logistics and strengthen service capability for key export markets located strategically near the port. The Mundra facility continues to offer significant advantages in raw material sourcing and global market access, further reinforcing Gravita's commitment to sustainable growth and the circular economy.

As part of its diversification strategy, Gravita commissioned a 6,000 metric ton per annum pilot lithium-ion battery recycling facility at Mundra in January 2026, with an investment of INR 14 crore funded through internal accruals. The facility is expected to scale up gradually as operations stabilize.

Backed by advanced recycling technology, the plant will ensure safe and sustainable recycling of lithium-ion batteries, minimize environmental impact and conserve valuable resources, while strengthening Gravita's presence in the emerging EV battery recycling segment.

I am pleased to

share that Gravita has entered the copper segment through the acquisition of 99.44% stake in Rashtriya Metal Industries Limited for INR 560 crores, marking a strategic diversification beyond its core lead business. RML operates an integrated manufacturing facility in Gujarat with a capacity of 31,200 metric ton per annum and derives 40% of its revenue from exports to key markets including the UAE, USA, Thailand, Sri Lanka, Kenya, Indonesia, Oman and Saudi Arabia. The acquisition strengthens Gravita's non-lead portfolio, enhances backward integration capabilities and unlocks synergies across procurement, logistics and sales, while expanding its presence in high growth electrical automotive and other value-added copper alloy segments.

The Company plans to establish a copper recycling facility in Mandvi, Gujarat with an initial capacity of 29,400 metric ton per annum in Phase 1 by incurring a capex of INR 160 crores approximately. The facility is expected to strengthen backward integration, enhance operational efficiency and support margin expansion in the copper segment. Commercial operations are expected to commence within the next 12 months. The commissioning of plant will be funded through internal accruals.

On the investment side, we have earmarked a total CAPEX of INR 1,700 crores through FY '29. Of this INR 815 crores is being deployed towards strengthening and expanding our existing businesses while the balance will support entry into new recycling verticals such as lithium-ion, copper and steel. During FY '26, we incurred a CAPEX of INR 372 crores. Gravita has been assigned an ESG rating of 65 by NSC Sustainability Ratings and Analytics Limited reflecting the Company's strong commitment towards sustainable business practices, responsible growth and long-term value creation.

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Coming to operational performance :

In FY '26 total volume increased by 5% to 56,208 metric ton per annum. The lead segment reported growth in sales of 7% to 48,889 metric ton per annum driven by capacity additions and stabilization. On a quarterly basis, sales witnessed an increasing trend. On the other hand, the aluminum segment witnessed a declining trend in FY '26 as well as on a quarterly basis, primarily due to the inability to hedge and a selective sales strategy. The volumes are expected to pick up once the hedging mechanism is live on MCX.

Due to tightening government regulations and the ongoing transition from informal to formal sector, the industry is undergoing supply chain formalization and enhanced compliance lead sourcing in FY '26.

FY26 EBITDA per ton for lead, plastic and aluminum stood at INR 23,043 and INR 16,043 and INR 12,328 respectively.

Moving to the consolidated financial results for FY '26:

Revenue stood at INR 4,265 crores reflecting a Y-on-Y growth of 10% driven by increased capacity utilization and operational efficiencies. Value-added products contributed 42% to the overall revenue demonstrating steady progress towards Vision 2029 where the target is a 50% contribution from such offerings.

Adjusted consolidated EBITDA for FY '26 stood at INR 452.48 crores reflecting a growth of 12% year-on-year with margins remaining healthy at 10.6%. Consolidated PAT came at INR 378.80 crores registering a year-on-year growth of 21% with PAT margins at 8.88%.

Coming to the consolidated quarterly performance :

Revenue grew by 13% year-on-year and 15% quarter-on-quarter to INR 1,172.76 crores.

Adjusted EBITDA stood at INR 112.91 crores reflecting a growth of 4% year-on-year with margins remaining strong at 9.63% plus supported by operating efficiencies and an improved mix. PAT for the quarter came in at INR 91.88 crores with PAT margins remaining healthy at over 7.83%.

Gravita is steadily progressing towards its Vision 2030 with a clear focus on scaling its core businesses and expandi

ng into emerging segments such as copper, lithium -ion, rubber and steel recycling. Backed by over three decades of recycling expertise, 14 eco-conscious manufacturing facilities, presence across 70 plus countries, strong stakeholder support and robust capacity expansion plans, Gravita remains well positioned for sustainable long -term growth driven by diversification, operational efficiencies and value -added products.

That's all from my end. I would now request to open the floor for questions -and-answers. Thank and over to you, moderator.

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Moderator: Thank you. The first question is from the line of Akhilesh from Emkay Global. Please go ahead.

Akhilesh: Thank you so much for the opportunity. So, my first question is on the CAPEX. So, our earlier CAPEX guidance was of around INR 1,200 crores over FY 2026 -2028. Now, since we have done RML acquisition and further expanding our recycling capacity. So, there, what is our plan now? Are we planning to rationalize some of our net capacity expansion or how it is going to be because of this?

Yogesh Malhotra: Yes, 5-year CAPEX was not including the copper part which is now being added. So, that is one which is making us look at CAPEX in next 4 years. So, instead of INR 1,200 crores we are planning to have bigger capacity specially in copper. So, we are adding copper and as we already mentioned that we recently announced the capacity of 30,000 plants in copper which was not there earlier. So, we are very bullish on this part because we already acquired a Company in value -added products in copper. So, now the copper will be the bigger part of this CAPEX plan in next 4 years. So, there is a reason we are increasing the capacity expansion and CAPEX plans for next 4 years, which is from INR 1,200 crores to INR 1,700 crores.

Akhilesh: But, sir, because of this CAPEX, are lead capacity going to get rationalized? I mean is there any change in expansion of lead capacity as such?

Yogesh Malhotra: No, we are not changing the capacity of lead. So, lead capacity will be as per plan because earlier the plan was to take this capacity to 700,000 tons but now we are taking it to 800,000 tons. So, the additional capacity is coming up in copper which is tak ing up more capacity.

Akhilesh: Can we get the commissioning timeline of that 45,000 tons of lead capacity addition which was about to happen in Q4 itself?

Yogesh Malhotra: It is going to happen in this Q1 only in Jaipur.

Akhilesh: Any estimated timeline like end of Q1 or something?

Yogesh Malhotra: So, we have already installed the capacities. We are just waiting for the government approvals which can come anywhere probably in the first half of this quarter only.

Akhilesh: Okay. And sir, my last question. What is the cause of the decline in absolute EBITDA in Q4 despite the copper segment addition in the baseline revenue and EBITDA both? And how do we see the impact of West Asia in Q1 also?

Yogesh Malhotra: So, copper did not have any impact in Q4 in the sense that we only took it over in March itself. So, only a very small impact in the EBITDA came from copper, miniscule part came from copper. But as far as the overall EBITDA reduction is concerned, I mean a lot of our material goes to the Middle East, around 10% to 12% of the total sales and most of these products that we sell to the Middle East are value -added products. So, because of this disruption, we could not sell that material to Midd le East and therefore the value -added content or value -added products

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that we used to sell went down and therefore the EBITDA per ton also came down to some extent. And also , the inward logistic cost went up and therefore the overall material cost has also gone up. So, that has also impacted to some extent the EBITDA margins.

Akhilesh: There is a small follow -up on

this itself. Now, since West Asia War is still going on, so how do we see our Q1 margins to look like?

Yogesh Malhotra: See, in the short term, it definitely will have some impact. But we always keep to, I mean, we try to mitigate those issues by going to different markets. Generally, in value -added products, it takes time to find new markets for those products. So, there will be some impact, but we are trying to find out how we can mitigate some of the impacts coming out of this if it takes longer.

Akhilesh: Got it. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Vileh Kumar Rai from Kama yaKya. Please go ahead.

Vileh Kumar Rai: Hi, sir. Congratulations on a great set of numbers. I have two questions. So, can you briefly

outline your strategy in the copper business? Are you trying to launch more value - added products, or are we focusing on the existing products that we have got through the acquisition? And what are the synergies that we will get with our lead -acid business and copper business? And will this lead to an elongated working capital cycle?

Yogesh Malhotra: So, basically, there are already quite a few value -added products in our kitty now with RML. So, in the initial phase, we would try to consolidate whatever markets or whatever products we are having, and at the same time, do some backward integration by putting up a copper recycling plant at Mundra, which will be commissioned within the next 12 months. So, that will add on some value in terms of -- and, of course, there will be some synergies in sales also, apart from procurement that we talk about. So, that will improve the margins going forward. So, that will be the first phase. In the second phase, when we increase the capacities further in copper, then we will look at other value -added products also apart from whatever we are making right now at RML. Working capital, this would not be impacted because, I mean, it's a backward integration only. So, overall, EBITDA margins would increase, but the working capital range would remain similar.

Vileh Kumar Rai: Okay, sir. And then you also mentioned rubber and steel recycling in the future. So, do we have any plans out for that yet? Would we do an inorganic acquisition or would we try to set up the capacity on our own?

Yogesh Malhotra: So, steel is not going to come anytime soon because we are now looking at copper and then other products also. But tyre, we have already acquired a Company in Romania and in India also we have started putting up capacities for rubber and that would be coming up in H1 this year. So, the rubber capacity would come up in H1 this year.

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Vileh Kumar Rai: So, steel is more of a long -term plan?

Yogesh Malhotra: So, this is, yes, definitely. So, this is just the first capacity as far as rubber is concerned and that is also in the first phase only. And the total capacity that we are planning for rubber is around 30,000 tons. That would come up in Q1 or Q2 this year. But apart from that, we would then increase the capacity. First of all, in Mundra itself, we will increase the capacity from 30,000 tons in the next phases. And then we will set up other rubber plants in other regions in India also. And we are also planning to increase capacity in Romania where we already have a plant next year.

Vileh Kumar Rai: Okay, sir. So, steel is more of a long -term plan? We will see this after maybe two years or three years down the line once we have scaled our existing businesses?

Yogesh Malhotra: It all depends on how fast we stabilize the existing CAPEX that we have done. Steel is under, I mean, consideration at all times. But the only thing is that we are having our hands full right now with copper, rubber and lithium -ion expansion plants and of course our existing lead expansion plants. So, that is why we put steel on the

back burner right now.

Vileh Kumar Rai: Okay. Sure sir. Thank you sir. I will join back the queue.

Moderator: Thank you. The next question is from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Nirvana Laha: Thank you for the opportunity. My first question is on RML. So, what is the current capacity utilization there and what kind of growth are you expecting there in FY '27-'28 and which areas do you think the growth will come from?

Yogesh Malhotra: So, current capacity utilization is around 50% and we would want to take it to around 60 %-65% in the next year itself. Going forward, by the end of the 2 -3 year period, we would take it to, I mean, we are also planning to go for expansion in the existing plant. So, we would take this current capacity to almost double the current capacity from 30,000 ton to around 60,000 ton in the next three years. But the overall capacity utilization at that point in time would also remain at around 60 %-65%.

Nirvana Laha: Okay, sir. And the current product profile is, I understand there are some supplies to defense, etc. If you can help us understand what is the current product profile and where do you see it going from here in the next three years?

Yogesh Malhotra: So, in the current, we are making copper sheets, brass cups, copper foils and other similar products that either go to these electric and electronics industries, coinage industry, ammunition industry, etc. So, in the next 2 -3 years, we are only going to consolidate the current markets only, the existing markets, probably increase the product range in the existing markets only. But maybe 2 -3 years down the line, we may think of having other products in our kitties also. But right now, we are only going to, till the time we go and start producing 60,000 tons per annum,

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we would only concentrate on the existing product portfolios. But then, once we increase the total capacity, then we may go in for other copper products also.

Nirvana Laha: Sure. So, the copper recycling that you are setting up, what is the plan there? Is that like backward integration for RMIL? Are you going to supply capital to RMIL or are you planning to sell in the market?

Yogesh Malhotra: So, both. Major part would go into RMIL only. But then, if there is opportunity, because we will keep on increasing the capacity at that end also, at the backward integration part also. So, if there are opportunities to sell it to other companies also, we would also be open to that. But major chunk of it would go to RMIL as backward integration.

Nirvana Laha: Sure. And what are the current gross margins there at RMIL and how much bump do you think this backward integration will get you?

Yogesh Malhotra: So, currently on a sustainable basis, we are getting around INR 45,000 per ton. And going forward, I think, if we do the backward integration, it would go up to INR 65,000 per ton to INR 70,000 per ton in future.

Nirvana Laha: So, this you are mentioning, sir, is the EBITDA per ton, is it?

Yogesh Malhotra: Yes.

Nirvana Laha: Sir, the realization for the products that RMIL makes, because I understand there are certain alloy products also, if we have to understand how the realization go, do we track copper prices...?

Yogesh Malhotra: So, realization is the mix of all the products that they are selling. So, there are part copper and part brass. But overall, when we talk about the EBITDA per ton is based on the mix of the current products that they are selling.

Nirvana Laha: Okay, sir. I will come back in the line. Thank you.

Moderator: Thank you. The next question is from the line of Aadesh Gosalia from Spark Capital. Please go ahead.

Aadesh Gosalia: So, my first question was on the outlook on the working capital. So, if you can just provide some outlook for FY '27's working capital scenario, what you are seeing

with the new product lines coming up and the expansion that is happening?

Yogesh Malhotra: So, current working capital was for this year, including the copper part, was around 90 days, which was slightly higher because there were... we kept some more inventory considering the upcoming capacity at Jaipur and Mundra. So, that was the reason. But going forward, we see it with the copper business coming in and copper business, since that will be more imported one, so it should be close to 85 to 90 days going forward.

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Aadesh Gosalia: Okay. So, more or less in the similar range because 90 days was in FY '26. So, is my understanding correct?

Yogesh Malhotra: If we do not consider copper, it should be lower. But since the copper is mostly imported one, so that is the reason the working capital will be again back to 85-90 days.

Aadesh Gosalia: Okay. Got it. So, if you can share some outlook and the volume numbers of quarter for Q4, like we are expanding so much in quarter. So, do we have some significant interest from certain OEMs or like some confirmed orders or something like that? If you can just give a picture in those lines?

Yogesh Malhotra: Are you talking about RMIL or the entire group?

Aadesh Gosalia: Entire group, like the current capacity is coming up. So, I think on both the lines would give a better picture.

Yogesh Malhotra: So, actually, it is very difficult right now to say anything about Q1 because on one hand we have expanded at some capacities which is going to give us some benefit in the quarter. And of course, RMIL would be the first quarter that would start showing its complete result. But at the same time, there are disruptions in logistic cost also and to some extent, we are not being able to sell products or maybe bring raw material from the Middle East, which is a major contributor in terms of both the value-added content sales also and raw material also. So, that will have some negative impact going forward. But overall, in the next three years, we are very confident of getting a CAGR of 20%-25% in volume terms consistently over the next three years.

Aadesh Gosalia: Okay. And the volume numbers we saw in Q4 for copper?

Yogesh Malhotra: So, volume numbers, overall, we are planning to grow at around 40%-50% in copper in this year. So, it will be in the similar range over last year in copper also.

Aadesh Gosalia: Okay. And just one data keeping question on the steady state tax rate that we will have?

Management: So, tax rate for last year, it was around 15%. But since the business which is coming up like RMIL and copper business, which is mostly in India and Indian tax rate is close to 25%. So, blended tax rate for going forward should be in the range of 17%-18%.

Aadesh Gosalia: Okay. Thank you. That's it from my end. I will join back in the queue.

Moderator: Thank you. The next question is from the line of Amit Dixit from Goldman Sachs. Please go

ahead.

Amit Dixit: Hi. Good afternoon, everyone. Couple of questions from my side. The first one is essentially again on RM IL Just wanted to understand if there is surplus land for you to expand over there.

And looking at the margins of RML EBITDA margin that you have disclosed for FY '26, that is close to around 8%. Now, Gravita's overall margins are like in the range of 10% or so. So, is Gravita India Limited

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there any possibility of increasing the margins over there? Or is the business like that that, you know, a copper business would remain at 8% kind of thing? And if you could also highlight the sourcing of copper of currently, will you be tapping into your regular African markets? Or, you know, you will be exploring, let us say, Latin America also for that. So, this is the first question.

Yogesh Malhotra: So, in RM IL, I think the overall margins, definitely we would plan to incr

ease this. As I

mentioned that we would probably change some product mix. So, sorry, at the procurement level, some mix in terms of scrap also. Currently, they are not optimizing use of copper scrap. We would like to increase that going forward. And of course, we will use our existing yard network to source copper scrap also. And then, of course, in copper generally, we would have to go to the developed markets also. So, US, Europe and South America and of course, Australia. These are the other markets that we will be considering in terms of setting up additional yards in the next 2 to 3 years. And of course, importing from our existing set of vendors. So, that will improve the margins in next 2 to 3 years to around 9 % to 10% from current around 8%.

Amit Dixit: Sir, just a broad commentary would help actually on the shift from informal to formal sector. Last year or year before last, there were a couple of endeavors from the government, particularly with respect to correcting the inverted tax structure and making sure that the BWR mechanism is implemented. So, what are the changes that you are seeing and what would be the approximate shift that you would expect over the next 3 years to formal sector from informal?

Yogesh Malhotra: So, one of the major shifts that has started is actually earlier there was a lot of EPR transactions that were taking place between two parties and it was not transparent. Now, the government has set up an exchange only where you can sell or buy EPR. So, there is more transparency. Now, nobody can sell at a rate lower than the earmarked rate for EP INR So, that is one area that has changed drastically in this case because in some cases the customers were forcing the vendors to sell EPR at a cheaper rate. So, with this exchange coming in between where you can sell it through that exchange only, that will get, I mean that will change. So, that will further fast track this shift from unorganized to organized.

Management: And add to further to this, there will be an audit mechanism which Central Pollution Control Board is making that framework of audits. So, wherein somebody generating any fake edits that will also be audited. So, this process will also improve in this EPR mechanism and BWMR regulations.

Yogesh Malhotra: Sir, as far as battery is concerned, I think there is now a consensus between smelters and also the battery makers and I think there is no resistance in terms of this EPR regulation now.

Everybody is on board with the EPR regulation as far as battery is concerned. There are other sectors also where it is taking probably a little longer time, but most of the customers, I mean the battery brand owners and the smelting companies are in line with these EPR regulations now.

Amit Dixit: Okay, sir. Great. Thank you so much and all the best.

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Moderator: Thank you. The next question is from the line of Suman t Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So, my question is for the copper segment. How the existing yard and overall sourcing of lead and other raw material after using to copper is helping and how much we have to expand to other geographies or also other yard to have more sourcing of copper?

Yogesh Malhotra: Sir, actually, I mean copper generation in developing economies is limited. So, we have to go to the and whereas most of the battery scrap that was coming to us was from our own yards, was from developing economies only. So, to some extent our developing e conomies would also give us copper, but most of the copper that would get import, that we would import would come from developed economies as I mentioned like US, Australia, Brazil, etc. So, we have to set up or we have to strengthen our s ourcing from these developed nations also when it comes to copper. So, we are setting up a recycling plant which will be operative from next year onwards an

d we are

also at the same time setting up our own procurement network in these locations. So, we are very confident, but that by the time we will set up the plant, we would have a procurement network

in these countries also.

Sumant Kumar: Existing network is helping you ?

Yogesh Malhotra: It will definitely help, but the plan is to going for a 30,000 tons per annum in the first phase itself. So, we would need to have other sources for copper also which would majorly come from developed nations only. It is not that we do not have our own procurement network in these nations, in these countries. We have a lot of our batteries come from US currently. So, we would use that network to source copper, but then we would have to expand that network even further.

Sumant Kumar: Last question. After consolidation of RMIL, I understand RMIL EBITDA per kg is higher, but working capital I think is also higher. So, is it correct assumption, your margin profile of the Company is going to improve, but your working capital is also going to increase?

Yogesh Malhotra: So, margin profile in terms of percentage would not improve. In terms of absolute, it would improve per ton, if you talk about. And yes, definitely because we would be importing a lot of copper from overseas locations, then definitely the working capital would increase. So, as Sunilji mentioned a little while earlier is that you can expect the total working capital to remain at around 90 days in future also.

Sumant Kumar: Okay. So, it will be higher than existing working capital days?

Yogesh Malhotra: Existing also it is 90 days. So, with the copper, because we were holding additional inventories for in the lead also, we were holding some additional inventories. And that is the reason the whole year was 90 days for us in the last year. So, and going forward also it should be in the range of 85 to 90 days, considering copper coming in.

Sumant Kumar: Thank you so much.

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Moderator: Thank you. The next question is from the line of Vikas Singh from ICICI Securities . Please go ahead.

Vikas Singh: Good afternoon, sir. And thank you for the opportunity. Sir, just wanted to understand our capital allocation in terms of that INR 1,700 crore, if you can bifurcate it on a year wise and given the copper would require a huge absolute working capital, how should we look at the debt?

Yogesh Malhotra: So definitely the year wise if you see the breakup is close to INR 600 crores for next year and INR 700 odd crores in FY '28 and then around INR 400 crores for FY '29. So, this is a broad breakup of INR 1,700 crores and definitely this INR 1,700 crores will be funded from internal accounts, we can easily fund this INR 1,700 crores. But definitely we need a more capital for working capital, which will be taken from some debt, working capital debt. But we don't consider this working capital debt as debt because we keep our hedging mechanism in place and all the inventories, which is a major part of this working capital is always hedging inventory and we don't see any risk and metal is as good as liquid cash. So, the idea is to keep this inventory in the form of metal and take some debt on that.

Vikas Singh: Noted, sir. But still we didn't get the clarity on what kind of debt increase we can expect in the next 12 months to 15 months because of these endeavors ?

Yogesh Malhotra: So, debt should be working capital debt of around INR 800 crores to INR 900 crores after the copper coming in once the copper business starting say next year. So, that time we should be peak debt should be close to 800. Currently we are INR 118 crore of net debt we are having and which will go up by INR 600 crores to INR 700 crores approximately.

Vikas Singh: Noted, sir. Sir, my second question regards to copper only. Unlike lead, we don't have that kind of already established sourcing system o

r a geographical advantage. So, just wanted to understand given some of the competitors are also adding sharp capacity in their segment and we will predominantly depending on the imports. So, have we already tied up with few people to get this or how should we look at from which geography we think that we would be able to source everything in terms of copper?

Yogesh Malhotra: So, sir, in copper there are two things. I mean, if you buy from aggregator, I mean, that is true with any metal or any scrap is that if you buy from aggregator and then you make normal probably rod of copper and sell it to the market, you would not have any profits. But here now we have this RIML where we are making value added products. So, we are thinking of copper as a backward integration to that facility. Definitely our own procurement network is going to help. It's not that it's not going to help. We already have material coming from countries from where copper is also coming. We have our representatives there in some of these countries. We have our own yards also in some of these countries. Earlier we were not buying copper from those vendors or in those yards. Now we would start buying copper also from those yards. So, definitely there is going to be synergy in terms of reducing cost. And there is where we are a little different from our competitors. So, on one hand, we would have some benefit in terms of going to the last mile and collecting copper scrap. At the same time, because of the value addition

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also, we would get some delta in terms of the overall realization from copper. So, if you look at the overall margin that we believe is going to be better than some of our competitors who are just selling basic copper products and are buying from aggregators.

Vikas Singh: Noted, sir. Sir, any synergy benefit which you want to point out in terms of percentage or figures?

Yogesh Malhotra: So, currently, as I mentioned that the RM IL is having a total EBITDA per ton of around 45,000 per ton. And we are expecting it to go up to around 65,000 per ton, by the time our new recycling unit comes up in the next two years.

Vikas Singh: Noted, sir. That's all from my side. Thank you and all the best for future.

Moderator: Thank you. The next question is from the line of Shrenik Mehta from IndoAlps Wealth. Please go ahead.

Shrenik Mehta: My question was about the overall aluminum EBITDA which has fallen on a per metric ton basis from almost 23,000 per ton to 17,700, a 23% decline. And plastics have also fallen from 20,300 to 9,800, almost half. Given that you have this vision of 2030 where non-lead business would be almost 35% to 40% of the overall business, can you decompose how much margin compression is attributable in this case to one, the LME-linked input cost passthrough lag? And second, through the capacity ramp of absorption at Mundra and recently commissioned plants? And third, the structural pricing pressure from competition or end-market weakness? And which of these do you expect that will reverse in the first half of FY27?

Yogesh Malhotra: So, I think we have always mentioned that the per ton EBITDA from aluminum is going to be around INR 14 to INR 15 per kg. And that has been true for the entire year. In fact, there has been some increase in last quarter because of sudden increase in aluminum prices. But on a sustainable basis, we have always said that it's going to be around INR 14 to INR 15 per kg. And for the entire year, because of copper pricing going up, it has been around INR 16 per kg in aluminum. So, it's not correct to say that the margins have been decreasing. The margins are still over and above the guidance that we have given. But because there is no hedging mechanism, then you can see some shifts in realization or EBITDA margins going forward also. But on a sustainable basis, INR 14 to INR 15 can

be expected. And definitely, because when we set up our own plant in India, the working capital cycle increases and therefore, the necessity to have a hedging mechanism is very important. So, therefore, we are waiting for this approval from MCX or MCX starting a contract on aluminum before we scale it up in India. As far as plastic is concerned, I have mentioned it many times earlier also that it will take some time. And it's also consistent if you look at FY '25 last year versus this year, there has been some increase in EBITDA per ton from around INR 10 to around INR 12 this year. And part of it was because of again Q4 when the plastic prices surged because of this disruption and no plastic coming from overseas locations. So, therefore, the plastic prices went up and therefore, we could gain some higher EBITDA in plastic in the last quarter. But on an average basis, you can expect around INR 10 to INR 12 EBITDA margins in plastic going forward also. So, there is no decline in the

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margins overall, but the volume in plastic would take some time. In aluminum, we are regularly following up with MCX and waiting for the approval to then scale up aluminum in India.

Shrenik Mehta: And when do you expect that approval because it's been hanging for a long time?

Yogesh Malhotra: I understand that we have been expecting this for the past one year. I mean, I can say that we can get it in Q1 next year also, but unfortunately, it's very difficult to predict because everything is there. I mean, there is nothing that is left now. The approvals are already there. MCX has already made that contact, but they are not releasing those contacts. So, I think it can happen anytime.

Shrenik Mehta: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please go ahead.

Ashish Kejriwal: Hi, thanks for the opportunity. So, two quick questions. One, you already mentioned about your sustainable EBITDA pattern guidance for aluminum, plastic. Is it possible to share that same for lead, copper, and rubber?

Yogesh Malhotra: So, lead again is around Rs.19 -INR 20 per kg and copper currently is around INR 45 per kg. But once we start our recycling facility, it would go up to INR 60-65 per kg.

Ashish Kejriwal: And rubber?

Yogesh Malhotra: So, rubber would be around Rs.7 -8 per kg.

Ashish Kejriwal: So, sir, here when you are talking about lead INR 19-20, you are considering the effect of this middle-east crisis also into that?

Yogesh Malhotra: No. This is on a sustainable basis without any crisis or without any arbitrage opportunities. I mean, if you look at last year, we had some opportunities of arbitrage where we increased our

EBITDA per ton to around INR 22. But on a sustainable basis, I mean, when there is no arbitrage opportunity and there is no disruption, then it is INR 19-20. But if any of these two can change the lead margin, but that would only be temporary, not a permanent shift. So, on a permanent basis, Rs.19 -20 is achievable. And then as we become bigger and as our share of value -added product goes up, you can see some improvements in the next couple of years.

Ashish Kejriwal: Understood. So, that means Q1, one can expect at a lower end of the guidance in terms of EBITDA per ton at least.

Yogesh Malhotra: Yes, you can say that because there are certain disruptions that are taking place. But at the same time, we are looking at other avenues so that we can compensate some of that effect. So, we are still, I mean, trying to find out what would be the exact guidance for this in the next quarter .

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Ashish Kejriwal: Okay. Second question is out of this INR 850 crore CAPEX , which you are doing for copper, steel and others, how much is it for copper? Because what we understand is tha

t lead was our

bread and butter and then we tried to do it with aluminum , plastic, rubber. But unfortunately, for the last 4 -5 years, nothing major happened over there. Now, copper comes to our kitty and see that we will be focusing.

Yogesh Malhotra: Out of this total capex of Rs.1 ,700 crores, which we plan for next 3 years, the CAPEX for copper is approximately INR 700 crores.

Ashish Kejriwal: Okay. So, in this INR 700 crores, how much capacity we are building in including the integrated or backward integration also?

Yogesh Malhotra: So, yet to be planned because we are doing some CAPEX for valuated products also and at the same time for basic recycling also. So, both around INR 200-300 crores for valuated products, which will not be generating additional revenue, but definitely it will improve the margins. But additional INR 300-400, INR 400-500 crores for increasing the capacity of basic products.

Ashish Kejriwal: So, that 's what I am trying to ask. So, suppose in next 3 -4 years, we complete this INR 700 crore capex on copper and we have a capacity of INR 30,000, which you are saying we can double it to INR 60,000. So, INR 60,000 again can go upward or not, which is included in this copper capex. I am trying to look at what kind of EBITDA we can generate once you do the entire Rs.700 capex and up and running in maybe 4 years down the line ?

Yogesh Malhotra: So, I mean in the next 2 years, the capacity would be around INR 60,000 tons only, 2 -3 years. But then when we increase our recycling capacities further, then part of it would go to RMIL and the balance part we are planning to make probably go into some other valuated products or some other products and therefore the total capacity would be around INR 100,000 tons in FY '29.

Ashish Kejriwal: So, INR 100,000 tons, INR 65,000 -INR 70,000 per ton, EBITDA one can expect from there.

Yogesh Malhotra: EBITDA per ton. INR 60,000 per ton.

Ashish Kejriwal: That's great, sir. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Thanks for the chance, sir. Roughly, now just continuing on the copper topic, what sort of working capital are we looking at, say, in the next 3 -4 years? Is it roughly around INR 1,200 crores?

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Yogesh Malhotra: So, basically, the working capital cycle for copper is going to be around 90 days. So, in that sense, whatever, right, if we calculate it for 30,000 tons capacity at 70%, yes, it should be close to Rs.1 ,000 crores.

Sumangal Nevatia: Okay. So, just, I mean, if you put in that INR 700 odd crores of CAPEX , INR 1,200 odd crores of working capital and EBITDA margin and some decent utilization of 60,000 tons capacity, our calculation is suggesting not more than 11 %-12% ROCE. So, just want to know what is our sense of the entire copper division return profile?

Yogesh Malhotra: Now, basically, as we said, this recycling facility is the backward integration of our existing facility in copper, like we took over this RM IL. So, if you consolidate this, both the businesses together, the overall, the margin profile will be better and ROCE should be in the range of 20% plus.

Sumangal Nevatia: Okay. So, what margin profile, with backward integration, we are taking around INR 60-65 per kg. Is that fair or will be better than that also on backward integrated capacity?

Yogesh Malhotra: So, this will be 65, will be on the basis of current 45 of RM IL, considering 45K of RM IL current. So, there will be some upside on that also in future and with integration, it will further improve. So, we are going beyond 65 over a period of 2 -3 years down the line.

Sumangal Nevatia: Okay. Understood. So, my second question is on the lead division. So, generally, as per our expectation, how have been the entire enforcement o

f the VPR norms and are we seeing any

penalties being imposed? Because given all the policy tailwinds also in the last few years, our volume growth has been almost, in the lead division has just been around 15% CAGR, which has been much weaker than what we were expecting or guiding. So, what has been the key, I mean, disappointment here and how do we see this changing?

Management: Yes, as I mentioned earlier that there are a few changes which are going to happen on this EPR portal. One, the trading will be happening through MSTC, which will be an independent trading portal. And second, the audit mechanism being also involved, evolving, wherein the people who are providing EPR will be audited by Central Pollution Control Board. So, this will create a higher value realization of EPR credits and later these scripts may become a part of carbon credit also. So, there will be more transparency coming in this area. And parallelly, the reverse charge mechanism and TDS on particularly battery scrap is under discussion and the next GST council meeting, it may be implemented because NITI Aayog has recently released three reports. One on tyre, one on end-of-life vehicles, another one was on batteries, lithium-ion as well as lead-acid battery, wherein also they have recommended all these reforms related to tax and operational reform. So, hopefully, in next council meeting, it may come as a reverse charge mechanism, TDS, one is E-portal and third is audit of the recyclers.

Yogesh Malhotra: So, to answer your question to some extent, it is having an impact in terms of higher availability of material domestically. But at the same time, you know, 18% GST is creating a hurdle because of which most of the battery brand owners are not able to compete with the unorganized market.

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So, therefore, I mean, although they are trying their best, at the same time, unfortunately, the lead prices globally have not been, I mean, they were very low over the last years. So, the difference between domestic lead and overseas lead was very high. So, that also created some problem in terms of battery manufacturers to go and collect batteries from domestic market. But once this reverse charge mechanism will come, that 18% benefit that this unorganized sector gets goes away, then it will probably go very fast. But otherwise also, if the arbitrage opportunity which is currently available in domestic market vis-à-vis the LME or the global markets comes down, then also the collection would be much faster.

Sumangal Nevatia: Got it. If I can just squeeze in one more question, can we get volume guidance for FY '27 across divisions?

Yogesh Malhotra: So, volume plan is like same 20 %-25% growth and in additional growth, slightly additional growth because we missed some volumes in the last year. So, we are expecting slightly more than this in the FY '27.

Sumangal Nevatia: Got it. Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Nishita from Sapphire Capital. Please go ahead.

Nishita: So, I just had a question on the lithium-ion battery plant that you put up of 6000 MTPA. So, we commissioned that in Q4. So, what is the revenue potential from that plant?

[Yogesh Malhotra: See, as we mentioned earlier also that lithium-ion battery is just a pilot project where we are trying to understand the technology. It is only the first part of the overall lithium-ion plant that we have established and that is still black mass. So, currently we are putting up the second part where we would be refining and extracting lithium and other minerals from this plant. That is still to come. So, we are not expecting any major revenue in this year from lithium-ion battery recycling. But in the next 2 to 3 years, I mean you can see some volumes coming. But we are not considering any volume from lithium-ion battery t

ill our FY '29 guidance. If something comes, that would be over and above the guidance.

Nishita: Okay. Understood. And like the backward integration of recycling for copper, the recycling plant that we are doing, what will be the capacity of that recycling plant?

Yogesh Malhotra: The capacity for this plant is the phase 1 will be 29,400 tons per annum.

Nishita: And like what will be the total capacity after all the phases are done?

Yogesh Malhotra: As we mentioned that over a period of 2 to 3 years, we are planning to take this capacity to 100,000 tons plus.

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Nishita: Okay. Understood. And so, like we are under a very high growth phase right now with all of our capacity expansion. So, once all of the capacity expansion is done, what like at the maximum utilization with all the capacities commissioned, what is the revenue potential that we see?

Yogesh Malhotra: So, as I mentioned earlier that the total, you can expect a volume of around 800,000 tons by FY '29 in terms of volumes. I am sorry, that is the total capacity and you can expect around 60 % to 65% utilization of those capacities, which would come to around 500,000 tons by FY '29.

Nishita: Okay. And the EBITDA per ton will be more or less stay the same that you mentioned earlier?

Yogesh Malhotra: So, segment wise EBITDA guidance we have already given and it would remain on similar terms only.

Nishita: Okay. Understood. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Sahil Garg from CCV Fund. Please go ahead.

Sahil Garg: Sir, may I know what was the reason for promoter offloading their stake in the open market during last 12 months?

Yogesh Malhotra: So, there was no sale in the open market. There was some dilution by way of selling to some institutional shareholders, where they were looking for some bigger stake in the Company . So, that was the reason. And promoter was also looking for some liquidity for his personal purposes. That was the only reason.

Sahil Garg: Okay. And second question is that the borrowings in the overall Company is increasing like in March '25, it was INR 286 crores and March '26, we have closed at INR 736 crores. But our interest cost is decreasing. So, we have put interest of only close to INR 25 odd crores against the borrowings of INR 736 crores. So, are we capitalizing the interest cost or like what is the reason for such a low interest cost?

Yogesh Malhotra: No. Basically, we are considering the net debt. So, currently, net debt is very small, which is 100 odd crores at this moment. So, earlier we were having some additional liquidity by way of we raised some equity from the QIP and that money was there with us. So, later on, we used part of that money for some of the CAPEX and internal equity and the working capital. And recently, we acquired one Company , you have heard about RM IL in copper business. So, some of the liquidity was used for that also. So, considering everything, after all , everything, now that we have the net debt of around INR 100 crores, which is very small and that is the reason the interest cost was coming down.

Sahil Garg: So, by net debt, you mean to say that you have a surplus cash balance, right? Or maybe some liquidity investment? So, for that, we are already booking some other income in the P&L. So, there is a INR 77 crore of other income in the P&L. So, how we are netting up with that?

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Yogesh Malhotra: So, overall, on the debt side, we have, but when we have the higher interest cost also, then basically the reduction of other income was also there. Sir, may I know what is the cost of borrowing?

Sahil Garg: Debt is increased in this year, year -end only. Because of this acquisition, which was done in the March itself, the debt is increased. Otherwise, the

debt was lower. So, the interest cost, if you see on the year -end, overall year was lower, because debt was lower.

Management: So, the other income only stopped in mid -March only.

Sahil Garg: Okay. So, what would be the tentative interest cost for FY '27 based on the current debt of INR 736 crores?

Yogesh Malhotra: So, interest will be in the similar range, whatever we are doing around INR 4 odd crores for a quarter. So, that INR 4 crores to INR 5 crores will be the interest cost for this year. Till the time we start the copper recycling business, which is a bigger part of the working capital. So, we start some increase in the debt for working capital. Otherwise, till the time we don 't start that recycling business in copper, the working capital debt will be similar.

Sahil Garg: Okay. Perfect. So, I have just one last question. May I know what is the current expansion status of the Mundra and the Phagi plant? I guess I missed it earlier.

Yogesh Malhotra: So, Mundra has already been commissioned and Phagi you can expect in Q1. So, there are 2 -3 parts to Mundra expansion. One is the lead expansion that has already happened in last quarter. The rubber expansion would happen in Q1 or Q2 this year, H1 this year. Phagi lead of around 45,000 tons of lead capacity would happen in Q1 of this year.

Sahil Garg: Okay. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Management for closing comments.

Yogesh Malhotra: Thank you everyone for participating in this call. We trust that we have addressed all your queries during this session. However, if there are any remaining questions, please feel free to reach out to our investor relations team. Once again, we extend our gratitude to all the participants for joining us today. Thank you and have a great day.

Moderator: Thank you. Ladies and gentlemen, on behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.